

CCL Products (I) Ltd. (CCL)

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Call: May 2023

CCL PRODUCTS (INDIA) LIMITED

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To

The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra – Kurla Complex,
Bandra East, Mumbai – 400051.

Scrip Code: CCL To
The Corporate Relations Department,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Scrip Code: 519600

Dear Sir/Madam,

Subject: Transcript of the Conference Call held to discuss the results of Q4 FY2022-23 as required under Reg. 30 of SEBI (LODR) Regulations, 2015

With reference to the above-mentioned subject, we wish to inform that,

i) The copy of the Transcript of the Conference call held on 17th May, 2023 to discuss the results of fourth quarter of financial year 2022-23 is enclosed herewith.

ii) The Transcript is also uploaded on the Company's Website and the Web link is, <https://www.cclproducts.com/wp-content/uploads/2023/05/Transcript-of-Q4-Results-Conference-Call-2022-23.pdf>

iii) The List of Management attendees is stated in Transcript.

iv) No unpublished price sensitive information was discussed in the call.

This is for your information and necessary records.

Regards,
For CCL Products (India) Limited

Sridevi Dasari
Company Secretary & Compliance Officer

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"CCL Products India Limited
Q4 FY2023 Results Conference Call"

May 17, 2023

ANALYST: MR. ABHISHEK NAVALGUND - NIRMAL BANG EQUITIES
PRIVATE LIMITED

MANAGEMENT : MR. CHALLA SRISHANT - MANAGING DIRECTOR - CCL
PRODUCTS (INDIA) LIMITED
MR. B. MOHAN KRISHNA - EXECUTIVE DIRECTOR -
CCL PRODUCTS (INDIA) LIMITED
MR. PRAVEEN JAIPURIAR – CHIEF EXECUTIVE OFFICER
- CCL PRODUCTS (INDIA) LIMITED
MR. V LAKSHMI NARAYANA – CHIEF FINANCIAL
OFFICER - CCL PRODUCTS (INDIA) LIMITED
MS. SRIDEVI DASARI - COMPANY SECRETARY - CCL
PRODUCTS (INDIA) LIMITED
MR. P.S. RAO – CONSULTANT COMPANY
SECRETARY - CCL PRODUCTS (INDIA) LIMITED
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Page 2 of 23 Moderator: Ladies and gentlemen good day and welcome to the CCL Products (India) Limited fourth quarter FY2023 Results Conference Call hosted by Nirmal Bang Equities Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand over the conference to Mr. Abhishek Navalgund from Nirmal Bang Equities. Thank you and over to you Sir!

Abhishek Navalgund : Thank you. Hello everyone. On behalf of Nirmal Bang Institutional Equities I welcome all the participants to CCL Products India Limited's Q4 and FY2023 earnings conference call.

The management is represented by Mr. Challa Srishant, Managing Director; Mr. Praveen Jaipuriar, CEO; Mr. B. Mohan Krishna, Executive Director; Mr. V Lakshmi Narayana, CFO, and Ms. Sridevi Dasari, Company Secretary, and Mr. PS Rao Consultant Company Secretary. Without further ado I would like to hand over the call to Mr. Praveen for his opening comments and then we will open the floor for questions and answers. Thank you and over to you Sir!

Praveen Jaipuriar : Thank you Abhishek and good morning to everybody. Thank you, Nirmal Bang Equities, for arranging this call and thank you to all the participants for joining us for this call. I briefly read out the results and post which we will open the floor for questions and answers. As far

as Q4 is concerned the group has achieved a turnover of Rs.520 Crores for the fourth quarter of 2022-2023 as compared to Rs.376.22 Crores for the corresponding quarter of the previous year and the net profit stands at Rs.85.29 Crores as against Rs.52.69 Crores for the corresponding quarter of the previous year. The EBITDA is Rs.115.47 Crores and profit before tax is Rs.94.7 Crores. When we come to the yearly performance on year-to-year basis the group has achieved a turnover of Rs.2071.21 Crores so we crossed a milestone of 2000 Crores this year as compared to Rs.1462 Crores for the corresponding previous year and the net profit stands at Rs.268.87 Crores as against Rs.204.35 Crores for the corresponding previous year. The EBITDA is Rs.403 Crores and the profit before tax is Rs.305 Crores so that was a brief snapshot of the results. I open the floor for question and answer.

Moderator : Thank you very much. Our first question is from the line of Kashyap Javeri from Emkay Investment Managers. Please go ahead.

Kashyap Javeri : Thank you so much Sir and congratulations for really great set of numbers. My first question is on our cash flow now after probably two or three years now we have seen
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Page 3 of 23 inventories coming under control and operating cash flow level also generated great amount of cash for us do you expect this to continue as we go forward like you have been highlighting for quite some time the overall cash conversion the cycle continues to get tighter?

Lakshmi Narayana : To answer to your question the on cash flow statement if you look at it the best part of our operating cash flows were being used to generate our required working capital so the amount of volume of business we were able to achieve in the current financial year almost should be around 45% growth in terms of the revenue means proportionately increasing the working capital utilization also as well as deployment of the maintenance of the working capital changes. So going forward the remaining free cash flows that are going to be available will be spent on ongoing projects and building freeze dried capacities.

Kashyap Javeri : So, where we had this issues on inventory side because first the Russia Ukraine war and the coffee prices shooting up now that the global sourcing lines are sort of more free and the coffee prices have also come down ideally the inventory number rather should remain control?

Lakshmi Narayana: The Ukraine Russia war it has no impact on the green coffee prices. If you look at it globally the green coffee prices are moving upward as of now so the volumes remain intact due to the increase in the green coffee prices which could make us to invest more into the operating cash flows into the working capital and the inventories to built up and if you look at it the inventories we do not carry much of finished goods inventories, we carry the green coffee inventory to take care of any uncertainties into the availabilities of the products.

Kashyap Javeri : Last question is what is the number of customers that we added this year new customers?

Praveen Jaipuriar: It is an ongoing process every day, every month, every quarter we had the customers. There are some customers who would drop off, so very difficult to give this number because every quarter, every month these numbers would vary. In every segment we have many geographies we add customers, sometimes we add customers which are absolutely new, sometimes we add customers who were previously with us probably would have dropped off at some stage and again get re-added so that is an ongoing process Kashyap and we keep adding new customers all the time but we have already maintained for many, many calls that if you see there are 50%, 60% of our volumes comes from the existing customers and the rest of the volumes probably come from either adding new customers or adding new volumes to the existing

customers so that is the answer from our side.

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Page 4 of 23 Kashyap Javeri : You said 70% of the revenues from existing customers and balance should be new customers?

Praveen Jaipuriar: 50 to 60% from the existing customers and the balance keeps coming from addition because it is always wherein some people drop off, new people come in so that is the nature of the business.

Kashyap Javeri : Can you give us breakup of the revenue in terms of CIS, Europe, and India?

Praveen Jaipuriar: If I were to tell you broadly CIS countries contribute almost 20-25% of our volumes and Europe is anywhere between 12-15%, so as we break up between CIS and EU domestic market included Asia becomes the largest because the large part of it goes to the domestic market so that is the breakup, north America is 12-14%, so if you add up all of these you will see that up to 100% so that is the broad breakup of the geographies that we operate in.

Kashyap Javeri : Thank you so much. I have more questions, but I will come back in the queue.

Moderator : Thank you. Our next question is from the line of Amar Mourya from AlfAccurate Advisors. Please go ahead.

Amar Mourya : If you can give us a broad understanding about how had been our volume growth in this quarter and how was the volume growth for the year and what would be the expectation for the next year in terms of the volume growth given that couple of capacities will be also coming up?

Praveen Jaipuriar: Volume growth for the quarter and the year end stood at a very consistent level. We had earlier indicated that we will end the year between 20-25% and we ended little above 20% volume growth and we got another 20% value. So if you see our annual turnover growth is around 40 to 41% and the guidance for the next year is also very close to this. We are looking to grow the volumes at around 20% or so a couple of percentages here or there but that is the guidance we are giving and this year probably we may not get such a higher grip on the prices because base prices are also pretty high and a lot will depend on how coffee prices move during the year so as we go along we will be able to give you a sharper guidance on the value growth but broad volume growth guidance is close to 20% for the next year as well.

Amar Mourya : What would be volume growth for this quarter?
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Page 5 of 23 Praveen Jaipuriar: This quarter also we are similar. As I told you, in all four quarters we had very similar volume growth between 20 to 25% so this quarter also the volume growth was close to 20%.

Amar Mourya : This Vietnam capacity of 16000 metric tonne let us say how do we expect the utilization for FY2024, the new capacity which is coming?

Praveen Jaipuriar: We already started utilizing the new capacity and for the year if you see the guidance it is almost 50% of the new capacity will be utilized in the current year.

Amar Mourya : Perfect Sir and next year one more capacity for Vietnam will also come another 16000?

Praveen Jaipuriar: By this yearend probably there is one more SD capacity in India which is 16000 tonnes and next financial year by Q2 we will have a freeze dry capacity in Vietnam which is close to 5500 metric tonnes.

Amar Mourya : That capex basically broadly remain on the track right?

Company Speaker: Yes.

Amar Mourya : Perfect Sir. Thank you.

Moderator: Thank you. Our next question is from the line of Vidit from IIFL Securities. Please go ahead.

Vidit: Hi thanks for taking my question. Could you just share the capacity utilization that we achieved in the Vietnam capacity in 4Q when it was commissioned because it looks like a lot of the growth this quarter has come up from Vietnam from the subsidiary business and just wanted to get a sense of what has driven this growth in EBITDA ex standalone EBITDA?

Praveen Jaipuriar: So you are right the additional capacity t

hat we got this quarter was because of the expansion that we did in Vietnam so we could utilize certain capacity from Vietnam itself and that is why we got robust growth on this quarter which meant that the EBITDA percentages, the profit from the NCL unit was very robust this quarter which added to our company's growth profile but this was all projected and we had factored all of this when we had projected annual 20% or so volume growth because we knew that the commissioning would happen by the last quarter so all this growth was factored in and that had led to driven a lot of growth for us in the last quarter.

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Page 6 of 23 Vidit: What was the capacity utilization across both the countries in India and Vietnam?

Praveen Jaipuriar: So if I were to remove the new capacity because it is only half of the quarter that we used the new capacity so exact capacity utilization would be a wrong picture but let me break it up, the previous capacity so that was almost 100% utilized, when I say 100% obviously it is not 100% rated but generally it would operate between 85 or 90% or so because of the various blends that we use and things like that so almost all of the previous capacity was utilized and this year from the new capacity which is 16000 tonnes we added in Vietnam we are looking to utilize another 50% capacity out of that 16000 so another 8000 or so should get added and that is what will drive the 20% or so volume growth that we have been talking about for the current year.

Vidit: Understood and in terms of just overall freeze-dried demand has been under pressure do we see this trend changing anytime soon or these volumes of freeze dried and margins continue to be under pressure?

Praveen Jaipuriar: I do not think the demand was under pressure ever because we operate mostly the clients to whom we are giving instant coffee, large part of consumption of instant coffee with more consumption so we have not seen any contraction in demand even during COVID period we did not see any contraction of demand so while out of home consumption did undergo through a stress but in home consumption was always intact so we have not seen any contraction in demand. Yes when the coffee prices went up for a short period of time freeze dried because the prices went up so there was a little downtrading from freeze dried to straight dried at a consumer level which led to a little pressure, but what happens at the consumer level over a period of time when the price hike happens at that moment probably there is a little stress but over a period of time we all know as consumers we kind of accept these price increases over a period of time and that is what has probably happened and we have not seen any contraction in demand even in freeze dried as of now. In fact, our freeze dried capacity is 100% volume for the next one-and-half years and we are seeing pressure demand from that segment as well so we do not see any apparent demand contraction going forward unless and until something drastic happens but as of now we are not seeing any demand contraction.

Vidit: Just one data point that if you could share on the retail business what sort of revenue, we did in FY2023 and what are we projecting going forward.

Praveen Jaipuriar: In FY2023 the whole domestic business crossed a turnover of around 80 Crores and the pure brand out of this was between 150 to 160 Crores and the rest was bulk and private label so that is there, and we are looking to continue the growth momentum. This year also
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Page 7 of 23 we are looking to at least drive a growth of anything between 30 to 40% and that is what we are aiming for this year as well.

Vidit: Sorry I did not get that number of revenue did you say 280 Crores?

Praveen Jaipuriar: 250 Crores I said.

Vidit: 250 Crores of which 50 to 100 Crores was private label is it?

Praveen Jaipuriar:

No, out of which 80 to 90 Crores was private label and bulk and 150 to 160 was pure brand.

Moderator : Thank you. Our next question is from the line of Mayur Patel from IIFL AMC. Please go ahead.

Mayur Patel : Hi thanks for the opportunity. Can you just share some thoughts around how you are seeing the demand supply which can lead to the change in coffee prices going forward and adding on to it our business as you have always explained in the past is more of a spread business so there is a 20% plus volume growth expected for the next year even if the coffee prices decline theoretically by 15-20% we should expect the space to be maintained in our 20% plus EBITDA growth is it a fair expectation?

Praveen Jaipuriar: Yes so the second part I will answer first which is the EBITDA spread as we have always maintained our EBITDA growth is always in line with our volume growth so even if the coffee prices fall if our volume growth are close to 20% even our EBITDA will grow at 20% so that logic always gets maintained. The only difference that comes is the topline which is the value numbers so it will all depend on what is the kind of prices there and we will add or subtract that kind of prices on our volume growth so that is the only variable factor.

Mayur Patel : This is reassuring. Anyway, the EBITDA growth is more important than the topline growth like you rightly explained. On the first part if you can just help us just for our understanding how do you see coffee prices going forward based on demand and supply factors?

Challa Srishant : As far as coffee prices are concerned this is actually quite complicated because in fact in the previous estimate that was there with new crop that is coming in is a very good crop and in fact the prices should be going down but instead what happened is in Vietnam, in Indonesia and other locations Robusta prices there is a lot of demand for Robusta also which has increased which has actually driven the prices upward. When the Arabica prices started going up automatically there has been some transition towards Robusta which is where the
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Page 8 of 23 Robusta also had a pressure. In fact as of now we are seeing a kind of like an all time high prices at this point in time. We are expecting this to slowly soften once the new crop starts coming in from Indonesia and then subsequently from our regions as well.

Mayur Patel : This is pretty good reassuring. Thanks, Srishant. Just one more question if I can squeeze in, we have seen some good improvement in working capital, are there more legs to this should we expect some more improvement in the net working capital cycle going ahead?

Challa Srishant : So working capital is one thing because the prices are going up and fluctuating the way it is frankly it becomes a bit premature for us to comment whether there will be an improvement or no. We have always taken strategic calls based on the market fluctuation so the times where we find it is more economical to secure the raw material and brought the working capital if we feel that the prices are still going to shoot up because otherwise the kind of prices that we get whoever is quoting us they will add their working capital cost and then quote to us, it keeps changing from time-to-time based on how the markets fluctuate.

Mayur Patel : Thank you very much. All the best.

Moderator : Thank you. Our next question is from the line of Nirav Savai from Abakkus AMC. Please go ahead.

Nirav Savai : Hi Sir my question is regarding the depreciation part and this quarter we have seen a depreciation of about 10 Crores versus 19 Crores in the previous quarter so has anything changed there, lower depreciation despite Vietnam facility which has commercialized operation this quarter?

Lakshmi Narayana : Yes if you look at it some of the old capacities have been completely depreciated and the new capacity that has come into operation wh

ich has been capitalized at the end of March

and that is the reason why you see the reduction in depreciation in current financial year and the next financial year having capitalized the expanded capacity and we will see more depreciation in 2023-2024.

Nirav Savai : So, this quarter the new capacity depreciation has come?

Lakshmi Narayana : This quarter Q1 new capacity depreciation will come.

Nirav Savai : Also, Sir the new expansion which we are doing the India side that is expected to commercialize operation in first half or it would be in the second half of FY2025?

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Page 9 of 23 Lakshmi Narayana : The implementation part will be completed in March 2024 and the commercial operations begins in the first quarter of 2024-2025.

Nirav Savai : Q1 of FY2025 it would commercialize operation and the new freeze-dried capacity in Vietnam would be also in FY2025 or it is going to be in 2026?

Lakshmi Narayana : It is in Q2 of 2025-2026, 2024-2025 we are likely to complete, and we are scheduled to complete the trial operation. So sometime in 2024-2025 financial year end we may come into commercialization.

Nirav Savai : That is fourth quarter of FY2025?

Lakshmi Narayana : Fourth quarter of 2025 and the real time difference of FD will be in 2025-2026 onwards.

Nirav Savai : You are saying it will commercialize operations on fourth quarter of 2025 or 2026 Q1 onwards you will see some.

Lakshmi Narayana : Third quarter of 2025 it will be commercialized and the real time in new FD facility we will be seeing from 2025-2026 onwards.

Nirav Savai : Right. Got it Sir. That is, it from me. Thank you.

Moderator : Thank you. Our next question is from the line of Lokesh Maru from Nippon India Mutual Fund. Please go ahead.

Lokesh Maru : Thank you for this opportunity. Congratulations on amazing set of numbers. Just one question from my side can you please help with the EBITDA per kg for the quarter?

Praveen Jaipuriar: Lokesh EBITDA per kg did not change much from where we spoke last time so if you were to recollect because our volume growth and EBITDA growth if you see are pretty much in line so exactly same per kg profits are there for spray dried it is the range of 90 to 100 and for freeze dried it is 130 to 140 that continues to remain as it is this year as well.

Lokesh Maru : So, the 34% increase in our EBITDA year-over-year this quarter means the volume growth was 34% this quarter?

Praveen Jaipuriar: Very, very finer thing so there will be some variations and variances up and down but if you were to look at a broad sense like when you see the annual numbers you will see that because in quarter-to-quarter if you do very myopic comparisons you will start seeing these

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Page 10 of 23 differences because there are certain delayed supplies or certain delayed shipments or mix changing so lot of these things happen which kind of affect the EBITDA per kg so it is best to get from a long-term perspective but if you see the yearly perspective exactly the same volume growth and EBITDA growth are there. We said 20-25%, closer to 20% was the volume growth and so is the EBITDA growth for 21%. Broadly Lokesh this logic works for us most of the times.

Lokesh Maru : Sure Sir understood and one more thing was the branded business which if I recollect correctly could be 175 Crores for the year where do you expect this to be like let us say in FY2027 per se from three year perspective, you see it is growing 30 to 40% does it mean you wanted anywhere around 300 Crores or so in three years?

Praveen Jaipuriar: I was expecting you would ask me this year you kind of stumped me direct in year of 2027.

So Lokesh as we have been maintaining at the start of the year we had projected something close to 170 but we are little short than that around close to 155, 160 but as you would recollect we had mentioned that we are taking a lot of

correction of stocks in the market,

financial discipline and things like that so we purposefully kind of held our primary sales this year but in spite of that the business grew by 25%. Going forward we are maintaining that anything between 30% to 35% should be our growth projections for the coming year or at least three years or so and however as we speak it is a very dynamic business we are just in the building space so there could be quarters or years where we could probably grow at higher levels or at lower levels will depend on a lot of things, the competition is heating up because we have now got a decent share in the market so all that will come into play so we will keep you informed but at a broader level you are right we are looking to kind of grow at this pace of 30 to 35% for the next two to three years.

Lokesh Maru : Sure Sir understood. Thank you so much and all the best.

Moderator: Thank you. Our next question is from the line of Dhiral from Phillip Capital PCG. Please go

ahead.

Dhiral: Good afternoon Sir. Thanks for the opportunity. Sir this year we have seen a lower effective tax rate for FY2023 so what could be the run rate for FY2024-2025?

Lakshmi Narayana : For the lower effective tax rate there is one reason that the new facility which we have created packing and agglomeration facility that capitalized in the current financial year thereby we could claim the additional depreciation which leads to fall under the MAT comparing with the regular tax in the current financial year and in the current financial year it is likely to fall around effective tax rate of around 25%.

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Page 11 of 23 Dhiral: This is despite Vietnam contribution going up because this year maybe 20% growth will come from Vietnam facility?

Lakshmi Narayana : Effective tax rate if you look at it one unit in India it was full tax rate of 34% and second thing it will be exempted and Vietnam operations are exempted. We expect the effective tax rate to fall between 22 to 25.

Dhiral: If you can give the overall Vietnam revenue EBITDA and PAT for the year?

Lakshmi Narayana : Significant contribution will be there from Vietnam as we have completed the expanded capacity and proportionately the contribution will go in the consolidated level.

Dhiral: If you can give the data for the Vietnam overall revenue for the year and EBITDA and the PAT?

Lakshmi Narayana : Current financial year you are talking about?

Dhiral: FY2023.

Lakshmi Narayana : FY2023 we are around 40% of the total revenue it is coming from Vietnam operation.

Dhiral: PAT will be?

Lakshmi Narayana : PAT will be around 140 Crores.

Dhiral: If I see your other expense in Q4 was higher by 56% on y-o-y basis so any particular reason for that?

Lakshmi Narayana : There is not much of increase in the Q4, if you look at it in Q4 expenses are 118 Crores in Q4 versus 107 Crores in Q3, there is not much of increase in our expenses.

Dhiral: Sir on y-o-y basis from 75 to 118?

Lakshmi Narayana : On y-o-y basis if you look at the volume growth it is almost around 20% and if you look at it 310 Crores the variable expenses of 2021-2022 is almost 228 Crores. If you look at it around 25% volume growth it will be compensated in terms of the increase in other expenses as well.

Dhiral: Thank you so much Sir.

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Page 12 of 23 Lakshmi Narayana : There is no disproportionate increase if you look at it.

Moderator: Thank you. Our next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani : Just wanted to understand that the capex for next year and how you are likely to fund it and how should we expect the debt levels to be in FY2024 given that you are generating strong cash flows as well?

Lakshmi Narayana : We are going with a new facility of 16000 metric tonnes SD capacity in India which is likely to cost around 400 Crores out of that

we are contributing around 80 Crores from our side and the balance is going to be availed in the form of debt, this is what you could see in the year 2023-2024.

Aejas Lakhani : From the 900 Crores of debt that is outstanding is it fair to understand that debt should peak out at 1200 Crores because you are generating significant operating cash flow as well so I would assume that some of it will come in the form of that as well?

Lakshmi Narayana : Yes, you are right.

Aejas Lakhani : So peak debt will not be 1200 it could be much lower because you will compensate it with a mix of your own cash flows?

Lakshmi Narayana : That is right our cash flow also gets contributed in that and that attrition can be seen in terms of working capital utilization side.

Aejas Lakhani : Got it and secondly in terms of could you quantify any new larger orders or any order wins that you are expecting or is it just the existing customers giving you incremental volumes or anything new on the anvil?

Praveen Jaipuria: At any point of time there are five to six clients in the pipeline and as I was telling earlier as well that we have a set up there it is almost 50 to 60% of our volumes come from regular business or regular clients and the rest is almost like a leaking bucket where new clients come in and some of them drop off so that is the nature of the business. At this point of time it is very difficult to share. We generally do not share these are confidential information

about our clients so we are not supposed to share but at any point of time as I am telling you there are five to six client projects in the pipeline and some of it materializes some of it does not. It is an ongoing process that keeps on happening.

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Page 13 of 23 Aejas Lakhani : Got it. Thanks.

Moderator: Thank you. Our next question is from the line of Rahul Maheshwari from Ambit Asset Management. Please go ahead.

Rahul Maheshwari : Thank you so much Sir and excellent set of numbers. Two questions primarily can you give some guidance on the premium products which cold brew products couple of quarters which you had given the enquiries were strong enough how much they are contributing such kind of products and connected to this again a small packaging which we commenced 12500 tonne can you give some colour on that what is the capacity utilization and how much extra premium can we fetch compared to the bulk products which we are selling?

Praveen Jaipuria: It is a niche product as we may call it things like cold brew or speciality coffee and things like that which are premium in nature will almost contribute 5 to 10% of our volumes. If volume is 5 to 10% the value will be 10 to 15% so it will give us a higher value realization from the others so that is on the niche and the premium products as you may call it and as far as our small pack capacity utilization see almost for the full unit if you were to see 30% of the capacity utilization happens from the domestic market itself because domestic market is all small pack and we have got rest 20-25% coming from the international market so almost 50-55% capacity utilization is there and this is when I talk about premier seeds as we have told earlier also there are certain SKUs with capacity utilization is very high, so for example if I were to take sachets or pouches there we are almost in some SKUs 100% capacity utilization. There are certain SKUs probably where the capacity utilization is 20% so as a whole, we are 50-60% levels of capacity utilization in the new packing unit.

Rahul Maheshwari : But on the export side how much value addition which we are trying to capture through the small pack compared to earlier when we were not having the small packaging unit in terms of realization?

Praveen Jaipuria: No, we were having a small pack facility, but it was part of the Duggirala facility. We have now created a separate unit altogether so that

we can have a full-fledged facility which is

State-of-the-Art to supply to our clients and also help us get new clients so that is there. As far as margins are concerned you have asked how much does it give you almost 10 to 15% additional margins we get due to this value addition and that was one of the reasons we had set this up because we thought that if we could provide turnkey solutions to our clients not only it helps the clients but also helps to run more margins.

Rahul Maheshwari : Just a second question on US last year we completed just correct me if I am wrong 8000 tonne type of capacity in current year FY2023 how much capacity we have added over there

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Page 14 of 23 and what is the outlook can you give on the US side and second thing on the sourcing of green coffee apart from Vietnam and India Africa is the market where we are looking at sourcing of raw materials? Thank you.

Praveen Jaipuria: First thing I think the US numbers are not correct I do not said 8000 tonnes it was close to 4 to 5000 tonnes and that is the volume we are doing in the US market. We are looking to acquire more clients so as and when we get certain growth, we will keep you informed but that is the level it is almost 10 to 15% of our business comes from this market. The second question you asked about coffee sourcing from Africa we already do a lot of coffee sourcing from some of the African countries like Uganda and all. As we have told you we operate on two things where do we get the coffee at the best price and second is depends on the client's needs. If the client needs a certain type of coffee to be sourced from a certain origin, we continue to do that so for us there is no binding that we have to source from here or there and we do source from African markets as well.

Rahul Maheshwari : Sir just connected to this when we are diversifying our sourcing mix any realization benefit, we get compared to Vietnam and Africa?

Praveen Jaipuria: Not really. It really depends at that moment when we are doing or finalizing the deal where is the place where we are getting the coffee from it is a more complex thing it also depends on the blend what kind of blend the client wants. If the client wants a certain blend and I know that I can only get this blend from a certain type of coffee very difficult to kind of go and source from somewhere else so it is a complex situation which two to three things determine where do we source from, one is blend of course the second is okay if the blend we have a provision wherein a type of coffee can be replaced by b type of coffee then we say okay which is the best pricing that we are getting from which sources the best pricing,

so all of these factors come into play, it is a complex thing and that is where we develop our competitive edge from others and that is how we keep on operating in the future as well.

Rahul Maheshwari : Thank you so much and best wishes.

Moderator: Thank you. Our next question is from the line of Himanshu Nayyar from Systematix. Please go ahead.

Himanshu Nayyar : Hi Sir and congratulations on good set of numbers. So firstly just on this quarter perspective we see significant divergence in performance in the standalone business and consolidated so India and Vietnam seem to be going in very different path especially on the margin front and even on the growth front where growth in standalone looks much higher so are both
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Page 15 of 23 these things just on account of base effect as in base in India was lower on the revenue side same time last quarter and similarly on margins or is there anything more to read into that?

Praveen Jaipuria: Three, four things here. Vietnam of course the thing got commissioned in March, so we had some volumes of that give us that better growth. Base effect little bit is there if you remember last to last year Q4 quarter the

re was a certain freeze-dried volumes which got little delayed that is when Russia Ukraine war had started so that was supposed to be a mixed quarter so little bit of base effect in that. The third thing is that we had been speaking about this because of higher demand and our constraints in supplying or producing coffee we had outsourced coffee also so that also added to our volumes in the last quarter so all of them put together has given us growth so therefore you see good growth here in standalone as well as NFE.

Himanshu Nayyar : On the margin front also if you can explain the significant diversions as in margins are down sharply in standalone and up sharply in Vietnam?

Praveen Jaipuria: So outsourcing led to reduced margin in standalone and Vietnam of course there would not be much of an increase per se, there could be certain things which would have got in our favor in terms of last month capacity getting added that would have led to better economies of scale and therefore better margins there so these are the factors which was in our favor and not in our favor in standalone.

Himanshu Nayyar : Second bit also on the India business if you can just give us some updates on the profitability of that business whether we are starting to make money out there and any updates if you can share on our new ventures as we were looking at in three to four coffee vending machine business or any other updates you would want to share on coffee apart from coffee whatever we are doing?

Praveen Jaipuria: Here I was telling a few moments ago the India business we did around 250 Crores out of this the branded business was 150 to 160 Crores and this is approximately 25% growth over last year and we continue to kind of put our debts on to the branded business and look to grow at 30 to 35% in the next two to three years at a CAGR level so that is the expectation when it comes to entering into new categories we are already expanding Greenbird. The sales are right now slow because of the fact that it is a new category people are yet learning about the category and the concept but the good thing is there are certain pockets where we are getting nice response, repeat purchases and all so from three cities we have now already expanded to six and we are looking to expand into another three to four cities very soon. As far as some of the other categories right now we are focusing on coffee and the Greenbird yes in the backend we are working, evaluating the categories we are trying to find out, are
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Page 16 of 23 there some gap areas or spaces for us to enter so all the work is happening in the background we cannot share them right now but at an opportune time we will let you know that if there is any plans for us to enter into this category. Coffee vending business yes, we are looking to be aggressive, we are always getting new clients into our fold, there are many clients who we are now installing machines on a PAN India basis and these are large clients. There are some tech clients where we are installing almost 500 machines for the same company across their offices in India so that will be foray which we will be aggressively pursuing on so that is the little update on the various things that you had asked for.

Himanshu Nayyar : On profitability if you can just comment?

Praveen Jaipuria: As we told earlier since last year on an MIS basis we have been breaking even and the reason I say MIS because earlier we were working on transfer pricing basis and that is the reason we are looking to demerge the company into the parent company so that we have more resources to expand the business but if you were to look at MIS business last year itself we had made a certain level of profit, this year we have made profits and going forward we will keep on making profits but the thing is that we are not looking to drive a lot

of profits and profit generation

from this business because it is a branded business and we do feel that another 5 to 10 years we need to keep on investing on this business and especially considering that we are looking to not just stay in coffee but expanding to other categories so I am not seeing a lot of money generation from this setup but yes there will be certain money generation that will keep happening year-on-year.

Himanshu Nayyar : Final question on book keeping one if you can just let us know on the current rate of interest on the expanded debt that we will be sort of paying post the recent hike in interest rates and the rate of depreciation if you can just give a run rate going forward?

Lakshmi Narayana : The rate of interest towards the working capital on effective rate of interest from 2.5% to 3%. So as a whole if you look at it around 6% is the effective interest rate as of now on working capital and the term loan is likely to be somewhere around 8% if you are likely to work it out for the capacity that you have likely to increase.

Himanshu Nayyar : You said you had 8% on the term loan?

Lakshmi Narayana : Yes, and coming to the depreciation rate it will be followed as per the company shares and the effective straight line measure of depreciation it will stay around 10%.

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Page 17 of 23 Himanshu Nayyar : For the current quarter rate should surely increase from the 10 Crores that we had this quarter right Sir?

Lakshmi Narayana : That is right. The Q1 where Ngon coffee where we had completed the expansion including the depreciation will come into force from Q1.

Himanshu Nayyar : So, any number you can let us know as to what should be the run rate now at least for the next two quarters for depreciation?

Lakshmi Narayana : The depreciation is likely to increase almost around 7.5 Crores per quarter.

Himanshu Nayyar : 10 plus 7.5?

Lakshmi Narayana : 7.5 Crores per quarter.

Himanshu Nayyar : Got it Sir. That is, it from me. Thanks, and all the best to the team.

Moderator: Thank you. Our next question is from the line of Devanshu Sampat from Avendus Wealth. Please go ahead.

Devanshu Sampat : Hello Sir, good morning. I just had three questions. So your comment on the clients dropping on a regular basis 30-40% seems to be a fairly higher number especially for a business that I would assume the clients to be sticky so is this churn mainly from the bulk or the middlemen that we were trying to sort of cut out from or can you throw a bit more colour on this, regular clients are around 50 to 60% that we keep getting business from and the balance people who keep dropping off so this would constitute what set of clients are these the unbranded bulks or the middlemen that we sort of cater to?

Praveen Jaipuria: Let me just kind of rephrase it so when we say 40%, so 40% it is like new clients coming in. There are certain dropping in and sometimes with the old clients itself from where we get 60% of the business we may get orders for new variants or new products somebody who is buying freeze dried could end up buying straight dried and things like that so that is the thing and I do not think it is a pretty high number because if you see any business probably this is the kind of churn you will have with the new set of people coming in and the old set of people going out. Now generally speaking the brand owners generally are very sticky with us because they are serving to their consumers they do not want to take risk. There are traders or middlemen who are buying very base product of coffee very run of the mills stock who are looking for price advantages and looking for cheaper coffee. These are the people who kind of keep adding in and dropping in and we do have a certain amount of

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Page 18 of 23 business which keeps coming from them as well, so of course these are the people whenever they get a price advantage they kind of

keep coming and going and that is the reason I said it is like a leaking bucket and most of this people as you rightly pointed are like traders and are like middlemen who are just looking for deals so these people are the people who drop off.

Devanshu Sampat : Got it.

Praveen Jaipuria: They also keep coming back if they are getting lucrative pricing from us they will keep coming back and going off so that is 20% of our business is like that and it keeps happening all the time.

Devanshu Sampat : That is around 20% of the business and you mentioned this 5 to 10% share of value addition that we are doing right now so can you give a sense on how you see this number going up over two to three year period especially with the discussions we are having with the client

right now any sense you can give us?

Praveen Jaipuriar: In our previous call we had mentioned that we are commissioning a pilot plant which is a small plant with small quantity generally till now we have not been able to do speciality coffee because of the fact that the MOQs are large and there are lot of clients who look for smaller quantity so with this pilot plant in place we also participated in some of these speciality coffee fairs in US and there has been a lot of positive response so we are looking to kind of increase this premium in the specialized coffee segment for us. Now this pilot plant or the mini plant will help us further strengthen our play into this area so there are talks going on, we have submitted samples with lot of clients who were looking for such kind of coffee as and when they keep materializing, we will keep informing you.

Devanshu Sampat : If and when we do get business from them will it require us to set up additional capacity or we can service them?

Praveen Jaipuriar: The speciality coffee seeking clients they generally made coffee because it is a premium product. It is a specialty product, and it is a niche category so they need in small quantity for which we have made a pilot or a mini plant. We have now got the capability to make coffee from this mini plant.

Devanshu Sampat : Got it and just my last question so just to get a sense over here what is the key reason that they do not go when you are talking to clients right now again I am asking from a perspective that given our scale our cost advantages and the variety we offer so what are the CCL Products (India) Limited
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Page 19 of 23 key issue points that come up usually is it payment terms, is it cost related things, is it sourcing policy of the company if you can throw some colour on this?

Praveen Jaipuriar: Many reasons. There are certain clients one of the biggest reasons the deal has not gone through for us has been our inability to supply. The capacity constraint has been one of the big reasons why some deals have not gone through. For example freeze dried we are full till next one-and-a-half years so any new enquiry that comes we have to say no to it so that is one of the reasons. The other reason is yes as you rightly pointed out price is one of the reasons where deals may not go through, generally these two are the primary reasons, payment terms and conditions earlier reasons because we are exporting and we would do it on advance basis and those clients also know and they also accept this fact but these are primary two reasons I do not see any third reason because as far as our capabilities are concerned most of the time we are always sure and we have done this also that there is no issue with making of blend of their choice or packing it in the manner that they want to so all that capabilities are 100% there with us most of the times these are the two reasons why deal would not go through large reasons.

Devanshu Sampat : What you are saying is this FD is the key reason and if we are getting a lot of enquiries over there is that the capacity that they can get it outsourced or that is mainly straight dried th

at
we outsource?

Praveen Jaipuriar: We can, but once you outsource the margins get contracted so that is the reason, we are building a new freeze dried capacity in Vietnam which should be running by Q2, Q3 next year and that will help us kind of augment the demand that has been there in the market.

Moderator: Thank you. Our next question is from the line of Rushabh Doshi from Nimiti Investment Advisors LLP. Please go ahead.

Rushabh Doshi : Hi congratulations on great set of numbers. I just had a broad question like I guess the instant coffee market is around \$14 billion so I just wanted to understand what is the value addition percentage for companies like us which are in the processing stage, let us say the difference between instant coffee retail price and the price at which deals are procured is 100 so how much percentage would our value addition in the total supply chain?

Praveen Jaipuriar: When you procure green coffee so after procurement of green coffee there are large cost or let us say pre cost to it so one is the conversion cost out of a kg of bean you will get 400 gram or 375 gram or 425 depending on the kind of bean you are using and the blend that you are going to make so that is the output so generally on that green you get this 40% to 45% kind of yield and when you add to it the processing cost of it you are making the CCL Products (India) Limited
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Page 20 of 23 whole process, the bean goes with a whole process to come to an instant coffee, add packaging cost to it and then logistic cost to it so after that addition when you sell it to the brand owners depending on what kind of brand they are selling they have the ability or the strength of the brand they will price it may be anywhere between 20, 30, 40, 50, 60%, 70 maybe sometimes 100% higher than what they buy at so that is the broad value chain that I can explain to you in terms of how the pricing value chain works in the coffee market.

Rushabh Doshi : For the domestic market like how large would the instant coffee market be or what would

be our markets be for the branded?

Praveen Jaipuriar: If you take the whole of India the instant coffee market is around 2500 Crores so we are doing around 150 to 160 Crores so that is our market share around 5% or so is our market share.

Rushabh Doshi : That is all from my side. Thanks.

Moderator: Thank you. Our next question is from the line of Amar Mourya from AlfAccurate Advisors. Please go ahead.

Amar Mourya : Sir thanks a lot for the opportunity again. Just wanted to understand how should we see the interest rate going forward like this 11 Crores run rate which is going on should it increase further from here on?

Lakshmi Narayana : Gentlemen if you look at it the global market keep on changing and nobody could be able to predict how it is going to be. As we are seeing every month that is everyone is following it up so we really cannot comment how the interest rates are moving.

Amar Mourya : But then this 11 Crores in near term do you see is going to increase or decrease?

Lakshmi Narayana : That is what I told you. It all depend on how the financial markets are going to reflect upon from time-to-time.

Amar Mourya : I understood that, but I am saying at the current scenario let us say if everything remains at a stable level is there a scope from here on to increase or it is going to remain stable?

Lakshmi Narayana : It is likely to remain. If the rates are going to be unchanged and the interest per volume remains same.

Amar Mourya : Tax rate for next year would be something around 12% rate, right?

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Page 21 of 23 Lakshmi Narayana : Yes.

Amar Mourya : Perfect Sir.

Moderator: Thank you. Our next question is from the line of Naitik Mutha from Mahansaria Family Office. Please go ahead.

Naitik Mutha : Hi congratulations on a great set of numbers. I just wanted to understand your strategy with respect to the

domestic branded business so I do not see a lot of Rs.1, Rs.2 or Rs.10 sachet

in terms of coffee nearby and my observation is limited to western India so I just wanted to ask do we actively choose not to do this or we doing it and I am not seeing it yet?

Praveen Jaipuriar: Just to give you a little perspective. If you see the Indian coffee market almost 70% of the market lies in south India. One zone almost contributes 70% of the business rest 30% comes from all the zones put together and these zones are pretty light consumers of coffee because these are tea drinking consumers and coffee is not a regular consumption drink but off and on consumption drink so what we did is four or five years when we were starting our foray into the B2C segment we concentrated on south of India because that is where the volume comes from and we created a distribution setup there. Now that we have got a foothold in the market and we are seeing that we have got a reasonable market share and there is a traction in the market we are now extending to other cities but other city expansion is a challenge in itself because placement itself is a challenge because you need to reach to these many outlets which are huge in number and we probably will not have the resource to reach to so many outlets on our own so the strategy is to go to premier of outlets which is to first go to the cream layers of cities and towns and in these cities and towns go to the cream layer of outlets and that is how we are going to build the distribution. Again we will not be able to spend a lot of resource in mass media advertising in north east and west because it requires a lot of money so we will do a very focused social media advertising and lot of the brand sale that we are intending to do is from D2C platforms like our own site Amazon, Flipkart and Big Basket, etc., so that is the kind of strategy we are looking to put in place for the rest of India market. So south market we continue to build our distribution, today we are around 1 lakh or let us say in south India we are at 70 to 80,000 outlets we are looking to add another 20 to 30,000 this year and that is how we are looking to grow the market in south of India so that is the broad level of strategy that we will put in place in the coming years.

Naitik Mutha : That is very helpful so just wanted to ask we do not do such small sachets even in south India for that matter or do we do it?

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Page 22 of 23 Praveen Jaipuriar: We are looking to expand the business. What happens when a new brand comes into the market we generally starts from the top so we are mostly present in the top outlet the cream layer of outlets where you sell large bottle packs and things like that but now that we are expanding distribution we will be expanding it to smaller outlets and therefore our plain sachets and small pack Rs.10 pack, Rs.5 pack, Rs.2 pack we will increase our play there

and we also look to wholesale to drive our distribution in the small packs because a lot of the small packs go through wholesale and indirect distribution so all that work we are intending to do in the coming months and years.

Naitik Mutha : That is very helpful thank you. My next question is on the global industry so if you could just lay out what is the size of global industry for the instant coffee market, where we stand currently and what is our aspiration say three years and five years down the line?

Praveen Jaipuriar: The global market is a triangulation of data because there is no one set of data which gives you the exact picture but our understanding is the global market instant coffee is almost 9 lakh metric tonne out of which approximately 50% or so will be by brand owners who have their own captive capacity to feed into and the rest 50% or so will be left with B2B players so our addressable market is somewhere close to 4 lakh, 4.5 lakh metric tonne and that

is where we stand. If you were to calculate the market share for us it is close to 7-8% may be a percentage here or there so that is the broad perspective I can give you on the global market and our standing in the global market.

Naitik Mutha : Any strategy or how do you look at this in three years or five years down the line, how do we look at ourselves in the global market as sizeable player or how do we think about?

Praveen Jaipuriar: Last year when we had put a vision for ourselves and we had put a vision number also we have said that in four years we are looking to double our volumes and the resulted coffee prices will determine what will be our value growth so we are sticking to that projection that will continue to drive CAGR of approximately 18 to 20% volume growth in the four years, one year has already passed and the next three years this will happen and if you were to grow at this rate and considering that the world coffee market is growing at single digit in fact low single digit we probably will be crossing 10% addressable market share globally in the next three to four years so that is where we have set our goals and targets on.

Naitik Mutha : Sure, that is very helpful. Thank you.

Moderator : Thank you. Due to time constraint, that was the last question of our question and answer session. I would now like to hand the conference over to the management for closing comments.

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Page 23 of 23 Praveen Jaipuriar: Thank you everyone for joining us and thank you Nirmal Bang for arranging this call. We look forward to meet you again in the next quarter.

Moderator : Thank you. On behalf of Nirmal Bang Equities that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2023

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Date: 28.07.2023

To To

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Scrip Code: CCL Scrip Code: 519600

Dear Sir/Madam,

Subject: Transcript of the Conference Call held on 25.07.2023 as required under Reg. 30 of SEBI (LODR) Regulations, 2015

With reference to the above mentioned subject, we wish to inform you that,

- i) The copy of the Transcript of the Conference call held on 25th July, 2023 is enclosed herewith.
 - ii) The Transcript is also uploaded on the Company's Website and the Web link is, <https://www.cclproducts.com/wp-content/uploads/2023/07/Conference-Call-Transcript-25.07.2023-1.pdf>
 - iii) The List of Management attendees is stated in Transcript.
 - iv) No unpublished price sensitive information was discussed in the call.
- This is for your information and necessary records.

Regards,

For CCL PRODUCTS (INDIA) LIMITED

Sridevi Dasari

Company Secretary & Compliance Officer

CCL PRODUCTS (INDIA) LIMITED

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MANAGEMENT:

MODERATOR: 4 Ey

COFFEE

"CCL Products (India) Limited

Conference Call"

July 25, 2023

ANTIQUE '

Mr. CHALLA SRISHANT — MANAGING DIRECTOR —

CCL PRODUCTS (INDIA) LIMITED

MR. PRAVEEN JAIPURIAR — CHIEF EXECUTIVE

OFFICER — CCL PRODUCTS (INDIA) LIMITED

Mr. B. MOHAN KRISHNA — EXECUTIVE DIRECTOR —

CCL PRODUCTS (INDIA) LIMITED

Mr. V. LAKSHMI NARAYANA — CHIEF FINANCIAL

OFFICER — CCL PRODUCTS (INDIA) LIMITED

Ms. SRIDEVI DASARI — COMPANY SECRETARY — CCL

PRODUCTS (INDIA) LIMITED

Mr. P.S. RAO — CONSULTANT COMPANY SECRETARY —

CCL PRODUCTS (INDIA) LIMITED

Mr. MANISH MAHAWAR — ANTIQUE STOCK BROKING

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Moderator:

Manish Mahawar:

V Lakshmi Narayana: CCL Products (India) Limited

July 25, 2023

Ladies and gentlemen, good day, and welcome to CCL Products (India) conference call hosted by Antique Stockbroking. As a reminder, all participant lines will be in the listen only mode.

And there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Manish Mahawar from Antique Stock Broking. Thank you, and over to you, sir.

Thank you, Carol. A warm welcome to all the participants on CCL Products' call. This call has been organized to discuss gross debt, expansion plan and merger of coffee division of continental coffee. From the management, we have Mr. Challa Srishant, Managing Director; Mr. B. Mohan Krishna, Executive Director, Mr. Praveen Jaipurkar, CEO; Mr. V. Lakshmi Narayana, CFO; Ms. Sridevi Dasari, Company Secretary, and Mr. P S Rao, Consultant Company Secretary on the call.

Without further ado, I would like to hand over the call to Mr. Lakshmi Narayana for opening remarks. Post which we will open the floor for Q&A. Thank you, and over to Mr. Narayana.

Thank you. Good morning to all of you. This is Lakshmi Narayana here, CFO. In continuation to the earlier call, I think a little bit of confusion is there on account of the debt status, which I would like to convey to you and clarify it. As I stated in my previous call, the total debt on March 31, 2025 it is likely to be around INR2,000 crores, which makes an explanation keeping in view of the green coffee prices at \$3,000.

And gross debt scenario have worked out the likely debt by end March 2025. So in order to clarify the amount of confusion that has been rumoured around I just want to reclarify that this is the worst case scenario and as I have estimated around \$3,000 for GC prices and arrived around INR2,000 crores. And keeping in view of the utilization and likely -- and maintaining if at all if the GC prices continues at \$3,000.

We may likely to end up around INR1,840 crores. But it will go down when it goes down from \$3,000 level of GC prices to further maybe around \$2,300 level. And proportionately, the working capital utilization as well will go down. And we expect in that scenario, the likely debt to be somewhere around INR1,600 crores, in March 31, 2025.

And then March 31, 2024, we may likely to endorse around INR1,400 crores. This is what is likely to be under that part but what I stated in my previous call is just keeping in the traction part I have indicated and also the peak level of GC prices indicated around INR2,000 crores. So with due correction expected on GC prices, proportionately it may come down further as I have stated now.

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Moderator:

Rakesh Wadhvani:

Praveen Jaipurkar:

Rakesh Wadhvani:

Praveen Jaipurkar: CCL Products (India) Limited

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Coming to the second point of demerger, demerger of activity of CCPL with CCL parent company. The amount of carry forward loss, which is going to be set off in the parent company, which is likely to be appearing as the reduction in the resource a

nd surplus of the

parent company. That's one way. And the second way is the effective tax rate -- it will have an impact on the further reduction of effective tax rate due to setting off the carry forward losses in the subsidiary companies.

This is the second point which I could note down. And tentatively on March 31, 2023, there is a carry forward loss which is available for set off, which is around INR35 crores. And coming to the third part, this is relating to the clarification on expansion plan, which has been announced only by the AP state government, stating that CCL is going to take up expansion plan with the INR1,200 crores, which is not right.

We never raised any request nor we have shared any information with the state government.

And we don't have any plan of taking up any project of that kind in Vizag. So I think so these are all three points, which are rumoured around, we just want to take it forward with questions.

Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Rakesh Wadhvani from Monarch.

Sir, I just want to understand how the capex -- how has company planned on the capex?

Because is the customer that comes to us and asks that we wanted to increase the business with us and we expand? Or is it that we expect -- we do a market research and we expect there is a - there will be huge demand in the coming years and we expand? First point on that.

And sir, on -- second on the capex part only, we are expanding in India as well as in Vietnam.

And in our Vietnam facility, capacity will be still 50% utilized. Just wanted to know what is the reason for expansion in there right now? We can have -- we would have postponed by one more year. Any thoughts -- your thoughts on that?

If I understood correctly, the question is regarding the expansion, why are we doing this expansion, right?

No, no. Sir, my first question is that how -- like how we plan for expansion? Is it a customer who comes to us and say if he want to increase that business with us and we put up a new capacity? Or is it that we go to the market, do market research, and we think there will be a

huge volume growth in the coming years, we can get the business and set up a new facility.

How does it work?

So in this current scenario both the things happen for spray-dried, we were doing our market research and then we were going in further expansion accordingly. We were running at peak capacity for quite some time and we were -- we decided that we -- I mean, we had to go in for expansion because there was a lot of demand that was coming in from multiple quarters. For freeze-dried, it was a slightly different scenario where we had some customers come in, giving us commitments for the next couple of years.

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Rakesh Wadhwani:

Praveen Jaipuriar:

Rakesh Wadhwani:

Praveen Jaipuriar:

Rakesh Wadhwani:

Praveen Jaipuriar:

Rakesh Wadhwani:

Praveen Jaipuriar: CCL Products (India) Limited

July 25, 2023

And because of that, we had to advance our expansion plans. Our original idea was after the spray-dried expansion was completed, we will wait for about a year or two before we go into the freeze-dried expansion. But because we had a commitment coming in from an existing customer -- in fact, 2 customers, that's when we decided to speed up that process.

Okay. Sir, related to that question, so freeze-dried capacity is coming in Vietnam, which will start in the September '24, is my understanding correct?

Yes. By next year this time, we should be starting the facility.

And that 100% capacity is booked from the first year only?

Capacity utilization, so we'll lose about half the year no? Because we'll end up losing about almost two quarters -- in the second quarter, the stabilization, everything will be done. So we'll have half the year left. So for half the year, I mean, we can just assume maybe around 75% utilization approximately of the balance of ca

capacity that's left.

Okay. And from the next financial year, we can expect at the peak capacity utilization?

Yes, hopefully.

Okay. Okay. Sir, second question regarding on the branded business, we have a Continental brand in India. We acquired a company -- a coffee brand in U.K., and we have also guided that we are looking for small-brand acquisition in international markets. Just wanted to understand what is our thought process, why acquiring small, small brands in these markets rather than focusing -- taking the Continental brand itself to the other markets because as on today, Continental brand has become itself very big, INR250 crores revenue in the last few years there. So any thoughts on that? And second on that profitability, where we see our profitability in the Continental brand in the coming years?

Okay. So to answer the first question, actually, we are not really looking for brands -- small brands or big brands for acquisition anywhere in the world. The current situation was actually purely an opportunistic buying that had happened because one of our partners in the U.K. mentioned to us that this particular brand was available for sale. And the reason why we were interested in this particular brand is because there is certain history to it.

In 1997, CCL was the main company that helped this brand get established. And from '97 till 2018, we were the primary supplier for this particular brand -- for these brands, in fact. We were doing multiple qualities, and we were supplying to them for the U.K. market. This particular company had grown to a substantial extent, which was doing almost about INR100 crores, INR120 crores.

At which point in time, the owner of that particular company decides to sell it to a Swedish company. The interest of the Swedish company was that they wanted to enter the U.K. market. So that's the reason why they bought this particular brand has a very good premium. And when that happened, unfortunately, these guys don't know much about the instant coffee space, they

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are mainly a roaster ground coffee company. What they did was they decided to change suppliers immediately.

And they started buying from another customer of us who is based in EU. But it so happened

that the quality that they asked for, they weren't very particular, so they were okay with doing a change in quality. The customers in U.K. did not like that and the brand started falling. Within 4, 5 years, came down to around INR18 crores from INR100-plus crores. So that is when we got this opportunity and we negotiated and we were able to get it for about INR5.5 crores. And since we know the original formulation since we never revealed it even to the brand owner in the past, we are the only ones who can actually produce the same quality that the customers are expecting in the U.K. market. So that was one of the main reasons why we decided to proceed with this acquisition. We had actually created a very unique blend for this particular customer, and it was a very premium product. So that was the main reason behind this particular acquisition.

The next question is from the line of Ankur Arora from Magma Ventures.

A couple of quick things, sir. Here seeing the debt part that if the coffee price remain at \$3,000, you will have probably INR1,850-odd crores. Now...

Sir, your voice is not clear, can you please repeat?

Yes, so I was saying. You explained that part of INR1,850 crores peak debt level, assuming \$3,000 coffee prices, \$3,000 coffee, which is probably roughly the prices which is going on right now as well. So see we are going to generate roughly INR800-odd crores of cash flows in the next 2 years, right, after the interest payments or maybe a little less than that INR700 crores to INR750 crores.

And with that roughly the same amount of money

which you're putting as capex as well. So it's effectively the increase in debt should be driven only by working capital. Now the increase in debt by almost INR850-odd crores for probably INR1,000 crores additional revenue or maybe even little lesser than that, doesn't seem too high?

No. Okay. On a broad basis, now, the answer that we could give because a lot will depend on the -- as CFO has put in his opening remarks, a lot of it will depend on the coffee prices going forward in the sense that there will be a huge difference between a \$2,300 coffee price and a \$2,900 or a \$3,000 profit price. So that will change the equation a lot. But considering the kind of projections that we are seeing right now, it looks like that from '26 onwards, we'll be able to generate free cash flows.

I mean that's not where we see price grow after '26 I'm saying the EBITDA in the next 2 years will be roughly around INR1,000 crores. You will have probably taken together -- we will probably have another INR100 crores, INR200-odd crores of interest payment and maybe some bit of tax payment. And you are still left with probably INR600 crores, INR700-odd crores of cash flows, which is going in to capex right? And the two facilities. I think the

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increased debt is predominantly only for the working capital, the coffee prices are roughly also the same -- pretty high level right now as well. It's not like it's...

What is the EBITDA that you are taking? I think there is -- there could be some this thing, we have been giving a guidance of approximately 20% EBITDA growth from last year onwards.

So let's say, last year, our EBITDA was around INR400-odd crores. So yes...

So in 2 years, I'm taking INR1,000 crores in total for 2 years together...

Yes, for INR400 crores, if you take a 20% growth this year will be around INR480 crores and then subsequently yes, around INR580 crores the next year.

This makes around INR160 crores of EBITDA.

Yes, yes. So I think that will progress in that manner, and this basis that considering that we will have to service the current debt at whatever levels it is, and considering the current interest rate that is prevailing that was the number that CFO had mentioned in his opening remarks.

That's what I'm trying to understand. So you're saying INR200 crores will be debt out of that -- interest payment out of that. You are left with INR860 crores, there will be payment of INR100 crores, INR150 crores of tax payment. You are left with INR700 crores. You have INR700 crores...

Approximately INR100 crores, INR110 crores will be the interest amount, which will get serviced and yes, so your backed cash flows '25 will not be there because we also pay dividend

no, at 25% to 30% of our profits as that's our policy. So a large chunk goes there, which means that there won't be enough cash generation for free cash flows till year '25, it's only in '26 onwards, there will be free cash flow...

Sir, what is the current coffee prices?

Sorry?

What will be the current coffee prices?

Current coffee prices are approximately \$2,500, \$2,600 level. But it will really depend how things go forward because currently, what happens is that the Brazil crop comes in, so there will be certain movements in the market. We'll have to wait and watch. And then December, January, the Vietnam and the Indian crop comes in.

And that's when the prices again kind of -- the market gets set for new prices at that point of time. So we'll have to wait and watch. But our estimation is that obviously, it will cool down going forward, considering the fact that these are all at 12 years high and all goes -- these all prices go through the cycle. See that -- there is not that much of a demand t

hat the coffee

prices would have increased to such level because the demand in coffee is probably growing at single digits, yes?

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But the coffee -- and even if you were to take certain supply disruptions here and there, which are also not confirmed, this kind of inflation is unwarranted for. So -- and we have seen these cycles in the past also. If you see 6 years ago, a similar scenario had emerged wherein the coffee prices had gone at very high levels, and then it cooled down to \$1,300, \$1,400 level subsequently. So even if it doesn't cool down to that levels going forward but our estimation is that it will come much closer to \$2,000 levels. The only thing is that we have to wait and watch and see at what times the reversal happens. But in the long run, yes, we are very sure that these prices are unsustainable.

I said, the INR1,850 crores of debt level, INR1,850 crores of debt level, which you are giving for FY '25, that is based on \$3,000 coffee prices, right? Our price level you have taken for that?

Yes, around -- not exactly \$3,000, \$2,700, \$2,800 is what we had calculated.

If hypothetically the price is \$2,000, how much will the debt be roughly?

So the working capital will come down by, let's say, 20% or so, 20% to 25%.

Another INR200 crores, INR300 crores reduction in debt will happen from that...

Yes, yes, definitely, there will be reduction INR200 crores, INR300 crores.

The next question is from the line of Jenish Karia from Antique Stockbroking.

I would like to understand, sir, how do we plan the inventory for the demand, is it expense inventory of raw material that we keep or just basic understanding of how the planning is done for here?

Sorry, you're asking about our inventory planning strategy no?

Yes, sir.

Yes. So basically, the inventory -- we are a cost-plus model, we only contract the green coffee once we get the order. So there is no speculative green coffee buying that we do. And our green -- our inventory depends a lot on the kind of contracts we are doing, yes? So there could be, let's say, a long-term contract. So for that, we will have deferred supplies of green coffee. Sometimes, when you're buying green coffee locally from small guys, you tend to hold that coffee yourself because you don't want a situation where the coffee prices are rising and the guys end up defaulting the thing when it comes to long-term contract, we go with larger suppliers who are very established suppliers, so they don't default. So it's a -- the inventory carrying strategy is a factor of multiple things that are happening around us, and it is all linked to the kind of contracts that we are doing, yes?

So that is where it also -- in the past, our inventories went up also because of the fact that there was uncertainty after 4-week period regarding logistics. So because there was uncertainty regarding logistics, we ended up holding higher inventories because we wouldn't want to be in

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a situation where you have to produce coffee and you don't have coffee with you. So time to time -- previous to COVID, you would have seen our inventory days were pretty low because that time, the situation was very stable, and we could actually do with holding very few -- a very little amount of inventory, maybe 2-month stocks or 2.5 month stocks. But during COVID, we ended up having 4 to 5 months of stocks. Now that situation is easing. But again, the volatility in the coffee prices also makes you kind of really look at your inventory holding strategy. So all of these come into p

lay. There is no one written down or set

rule or I can say that we'll only hold 2 months of stocks or 4 months of stocks. It will all depend on that kind of -- on that point situation and also the kind of contracts that we do.

Understood, sir. And sir, secondly, again, on the working capital side. So as we plan to scale up our B2C business not only in India but also globally, do we -- can we expect a rise in the receivable days in the longer term or if not, in the next 1 or 2 years?

See, the retail business, the branded business is still a very small proportion of the coffee business. So I don't think so that will -- in the near future will kind of change any dynamics, whether it is our working capital cycles or inventory management and things like that.

Okay. And sir, last question. We mentioned that we will have around INR25 crores of cut off losses benefiting in the tax. So what would be the tax rate for FY '24 and '25?

So it is actually INR35 crores that is getting off-settled, and the effective tax rate this year will be close to 9%.

Okay. And then '25, it will be normalized to, again, 12%, 15%?

No, so closer to 12% to 13%. Yes, this would have been the rate this year also. But because of offsetting, the thing will come down to close to 9%.

The next question is from the line of Siddharth Purohit from InvesQ Investment. As there seems no response from the current participant, we proceed to the next question from the line of Zubin from Ambit Investments.

Yes. Rahul Maheshwary here. I had two questions. First, as you are ramping up the capacity to some more than 75,000 tons in the next 2 years, so can you help us, let us know the procurement of the green coffee beans? Are we -- how we are planning towards that as we ramp up or double our capacity to that?

And second thing, as in the previous con call, you had mentioned that we want to take our -- a few of our brands globally as a retail brand. So in that, our model will change from current pass-through model to a more retail oriented model. So in that case, how you would be managing the inflationary coffee prices? Means can that also model be a cost pass-through models when we are taking one of our few iconic brands to the global level today what we are planning to the coffee partners, etcetera. These are my 2 questions.

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So two things. One, first thing that you asked about is the fact that we are increasing the capacity to 75,000 tons. That is our procurement strategy. So our procurement strategy completely does not change at all. You know that we had been buying coffee both in India and in Vietnam from across the globe. It all depends on the kind of blend that we are doing, the prices that are being offered from different origins. And we buy coffee from -- all over the world we buy coffee from Southeast Asia, which is Vietnam, Indonesia.

We buy coffee from Africa, Uganda. We could end up buying coffee from Brazil. So most of our procurement strategy does not change. The only thing is that the scale would change yes, of course, we'll end up buying more and more coffee. And it's a very open market traded commodity. It's the second largest traded commodity after oil. So it's pretty much an open market kind of a buying. We'll continue to do that. None of the dynamics changes there.

Second thing is that you asked about our taking our brands into global markets. Yes, we are trying to build our B2C vertical. We started 5, 6 years ago. We had seen a fair bit of traction that happened in Indian market, and that gave us feet and legs to say that, okay, can we take this whole B2C operation outside India as well because outside India, one, we have a lot of understanding about the global markets thanks to the fact that we are supplying to almost

everybody across the globe. And secondly, because we always -- the whole process w
as started
to set up a B2C vertical as well.

As far as the pricing strategy is concerned, that pricing strategy is completely different to the B2B. B2B, we work with cost-plus model. But there, there are 2, 3 things that will determine what kind of prices we'll sell to. And those -- when you are selling a B2C brand, it will be consumer pricing and not to a client or anybody else. So the consumer pricing is, obviously, it depends on the market leader pricing, the price velocity that the consumer is wanting to pay for your brand, your brand strength. So a lot of factor will go into deciding that price, but that will be far more consumer-led, and this pricing B2B has been customer-led.

Coming back to the last part that you have asked is that are we in the mode of shifting the gears towards being a B2C company? I would say we are not in a mode of shifting gears but adding a gear of a B2C vertical, it in no way means that B2B will have any less focus. We have -- as you can see from our guidance, we have been very aggressive on the B2B side as well. But yes, the B2C segment is something that we have always wanted to build. We have started the process, and we will continue to build that as well, but none at the cost of each other, yes? Both will have equal amount of pressure from our side.

Praveen, that's very helpful. Just a add on to this question, currently, CCL has been able to make how many types of blends in the coffee and how big is the potential going ahead once you ramp up the capacity? One is on this part. And second thing, as -- is there any -- how much is the overlap between the innovative coffee brand which you want to take to global and one which is being supplied to the partner? Can you give some colour highlight that what is working in your innovative lab, etcetera, that can give us a good idea?

Yes, so first part is the number of blends. See, the number of blends is directly dependent on the demand from the client side probably has less to do with the capacity. But as we add
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capacity, we'll also add a lot of new clients. And I'm sure new clients, everyone has this demand of developing a blend for themselves.

So what we end up doing is end up having a lot of blends because everybody comes with a demand that I want a blend which is different from -- that is being prevalent in the market. Currently, as we have informed earlier as well in our library, probably we have 1,000-plus blends, and this is deemed to grow as we acquire new clients. But how much it will grow is difficult to tell now. But we'll keep you informing as and when we keep developing newer blends for our new customers or maybe old customers wanting to have something or wanting to launch something new in the market. So that's on this side.

Now coming to the overlap between our brand and some of the innovative products that we want to do. Again, this strategy will be very, very different here. We do understand the fact that there could be certain conflicts in the -- in some of the markets where we would want to launch the brand. So we are aware of that. We are designing strategy so that there isn't much of an overlap.

And anyways, when we are doing blends, we have told this before as well that when we do a blend for a client, that blend remains to that client. We don't kind of copy that blend to give it to somebody else. And when we are doing a blend for ourselves, we are developing a blend which is very, very different, very different and very unique to ourselves. And this blend doesn't get shared with anybody else. And that is what we have seen in the Indian market also. Today, if you see the Indian market, be it the private label, be it a lot of brand that we are seeing today in the consumer space and our own brand, we are all coexisting. All of them have a different blend to each other, and it's the consum

er who decides which blend or which brand

they prefer. So it's a little -- on the consumer side, I would say it's a very different sort of a competitive scenario where not only the product but also the brand, the pricing, a lot of things play a role.

And since it's a competitive market, it really doesn't matter whether I'm having my own brand or somebody else is having their own brand. And most of the people do realize this and are perfectly okay with this. But consciously speaking, we would not like -- we would not be in a similar blend kind of a space wherein our clients are also there. So that's kind of a differentiation we'll always maintain.

The next question is from the line of Lokesh Maru from Nippon India Mutual Fund.

Sir, I wanted to ask this question. Given our capacity expansion, does that allow us to lower our inventory days by any chance? Basically, if capacity was a requirement of inventory at our end, and number of days, does that go down?

Not really, Lokesh. I mean right now, the number of days probably will be in a similar zone. We are making efforts. Let us see. Because as I told earlier also, it will depend on a lot of other situations, let's see, and the type of contracts that we are doing. The prices as well. So as I told earlier that there could be a scenario where prices are low. There is free flow of green beans all around. So then you have that this thing to lower your deals. But in a scenario where prices are

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fluctuating, where the supply constraints could be there, there are times when you are wanting to buy coffee but availability is also not there.

So we don't want to end up in a scenario wherein you are left high and dry without having sufficient inventory. So that kind of thing is difficult to kind of predict right now, whether we will lower it or not. So therefore, as a guidance, we are saying that we'll maintain the similar amount of inventory going forward in line with the capacity expansion.

Okay. And apart from the coffee price part, what usually is our thought process on how many days of inventory do we intend to leave with that?

Generally, around 3 months is what we end up seeking. There could be certain fluctuations. I told you before, COVID, we were actually at 60, 65 days as well. So -- but currently, it's more than that, again, owing to fluctuations in the market and the market scenarios. So we have 3 months of inventory right now. But yes, these are all to -- as a guidance, we are saying that we'll be close to 3 months going forward as well, but things could change if there is a lot of stability around that.

Sir, any colour on this thing just basic expectations, not really an expert forecast, any colour on given there is impacting both goods this coast of Pacific, which is -- should be Vietnam, right, and the other cost as well, Brazil. What are the expectations building up for the coffee prices to remain firm or like really go down as such?

No, so as I was telling you a few minutes ago, these are all-time high prices. We are expecting it to go down. The only thing is that timing is something which nobody is able to predict, that at what time it goes down because these prices are unsustainable. These are all-time high prices. And like any commodity, coffee also has a cycle, this time probably it has held on to higher prices for a little longer than no one had expected. But yes, this -- definitely, this is likely to soften up.

Okay. Sir, last question on -- I know you have spoken already about it, but just to reconfirm and clarify on what would be the expected interest outlook for the next 2, 3 years? Like last year, it was very low compared to what we are expecting going forward for FY '24 and '25, sir how much on annual basis what is the kind of interest outlook that

you are expecting?

As we look at the present scenario, the rate of interest is -- for working capital it is running around 6%. And the term loan, it is likely to be somewhere around 10.5%. Look, it is too hard to say the way that the interest rates are hiking up across the globe. So we presume that the current scenario base will continue maybe in a couple of 3 years because if you look at the U.S., there is a likely increase a couple of markets that we are planning to increase. So that is ultimately going to reflect some other markets as well. So keeping all this in view, we expect our rate is likely to continue as far as CCL is concerned, our working cap is at 6% level.

Sir, and our term loan, basically, that would be like INR600 crores of expansion currently and INR420 crores of expansion on future -- INR1,000 crores right, and the rest would be working capital requirement. Is that correct?

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V Lakshmi Narayana:

Lokesh Maru:

V Lakshmi Narayana:

Moderator:

Tushar Raghatate:

Praveen Jaipuriar:

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Praveen Jaipuriar:

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Right, yes, as I told...

And how much have we retiring this term loan, how much do you retire every year?

In the current financial year, there is -- almost we are retiring around INR78 crores is the repayment. And the next financial year, it is likely to be around INR120 crores.

The next question is from the line of Tushar Raghatate from Kamayakya Wealth Management. Sir, just want to understand what would be our value-added in percentage terms of the volume and the realization premium which you might get on that value-added product in percentage terms? That would be helpful.

So value-added is a little broad term. Generally, if I were to convert that value added into, let's say, premium and more specialty coffee, basically between 5% to 10% is our volumes as of now, yes. So these are products which are really innovative, premium and they give us higher margins. Now these higher margins could lie right from 50% to sometimes 100%, 150% higher than the regular margins. It depends on a lot of things.

What is the kind of products? And are we doing -- sometimes these products may go in bulk. Sometimes, they go in small packs. So when they go in bulk, probably we end up earning 50% to 70% higher margins. Sometimes when it goes in small packs, we could end up earning 100% more margin than a regular bulk product. So that's the kind of range that is there. But yes, these are very small, obviously, higher -- highly priced products will have its own niche. So these are small at the moment.

But going forward, yes, this is one focus area that we have been focusing on. The coffee market has been evolving. There is a lot of now queries started happening for specialty coffee, and that's the reason we also set up a mini plant to be able to cater to small quantities. But the fact of the matter is these are smaller quantities as of now. But yes, we are putting a lot of focus to get more and more orders of these kind of coffees.

Sir, my last question, I just wanted to understand like INR100 decrease in the price of a coffee. How much it will have a shift in our EBITDA per kg? That relativity I want to understand...

So coffee prices dropping or increasing does not have any effect on EBITDA per kg we work on cost-plus model. So when we do a contract, we do a contract on today's coffee prices. And if the contract gets materialized, we procure at today's prices, yes? So whether in the case of higher coffee prices or lower coffee prices, our EBITDA per kg remains constant.

The only effect that you will see is that in the top line, probably like last year, on a volume growth of 20%, 21%, we got a value growth of 40% to 43%, which meant that we value -- the 20% to 23% higher value we got for the same volume, and therefore, our value growth started looking much higher. But our EBITDA per kg does not change in any scenario.

Fair enough, sir. Sir, just one question. Sir, what would be the utilization level in the India and Vietnam? And sir, we have been on the capex pre, if we could see it. Sir, what is giving that

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Tushar Raghatate:

Praveen Jaipuria:

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view of -- for the capex, any order book which we have or any concrete orders which you are seeing for the next 1 to 2 years?

Okay. So first part, utilization. If you see the India capacity, it is continue utilized, yes? When we see -- when we say fully utilized, it really means that close to 90%, 95% because there will be blend differences and things like that. So it's fully utilized in India. The Vietnam capacity, the earlier capacity, is fully utilized. The new capacity, which is 16,000 metric tons that we added last March, that current utilization is at 50% levels, yes?

So in the first quarter, we saw 50% utilization. And going forward, we expect similar kind of utilization for the full year for the extended capacity. So that's on the capacity front. The second question that you asked was on -- what was your second question? Sorry, if you could repeat. Hello? I missed your second question. I've answered about the capacity. So what was the second question?

Yes, sir. Sir, actually, we could see that we are on a capex pre. So I just want to understand what is the driver of your ongoing capex and the upcoming capex? Any concrete plan...?

Yes, yes. So drivers are multi-fold. But basically, if I were to put in a crust, it is our demand estimation from the market, which depends on many things. When we -- like, for example, last year, if you would have gone through our con call, we had mentioned that last year, we almost procured 3,000 metric tons of coffee from third-party and supplied to our clients, which meant that there was demand for us to fulfil and we didn't have enough capacity. So reasons like these.

Second is, yes, for example, freeze-dried. Freeze-dried, we would have installed the capacity probably a year later. But then couple of our clients came and they were ready to underwrite some of the capacity. And they said that they are willing to kind of buy freeze-dried right from the word go. So that again, gives -- so it's a combination of factors of our demand estimation. These are sometimes order books.

So for example, we had order books last year. We bought coffee from outside. So we were very sure that the new capacity, at least that 3,000 tons to 4,000 tons, is readily available to be utilized. And sometimes, it is our demand estimation, which is also based on market information, market queries that we get like in the example of freeze-dried when somebody came and told us that we are going to buy. So all of this leads to our decision on capacity expansion. Some of it has looked like that it was happening back to that. But a lot -- some of our capacity expansion was actually on the radar. It was supposed to happen. But unfortunately, COVID happened. During COVID time, everything came to a standstill. Everybody was on a wait and watch. And once COVID got over, we started expanding, and then it all looked like all of it has come together. But this 1 to 2 years of capacity expansion actually, probably things where normal would have got spread into 3, 4 years.

Sir, just one suggestion from my end.

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Manoj Gori:

Praveen Jaipuriar:

Manoj Gori:

Praveen Jaipuriar: CCL Products (India) Limited

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Please, sorry to interrupt, but may I please request you to rejoin the queue for your follow-up as we have people waiting for their turn. The next question is from the line of Manoj Gori from Equirus Securities.

Sir, probably if I recollect 3 to 4 quarters back in one of the con call, we had a discussion about the return ratios like given that the coffee prices are moving up. So we would be having some

impact on the return ratios. However, today, when I learn -- and probably you had indicated like there would be no impact and probably we don't require any incremental working capital or capital employed given that we would be working on the sourcing part, or probably with client part. However, when I look at today, you're talking about the incremental working capital requirement because of the increase in coffee prices. So can you throw some light on this or correct me if I'm wrong?

So exactly 6 months ago, if you were to read most of the analyst reports on green coffee, you would find that everybody had predicted a fall in green coffee prices. And so did we. But unfortunately, some fund guys took position on coffee. Coffee as a commodity became one commodity where people wanted to play because most of the other commodities of you see, their cycles, they're on a downward spiral.

And therefore, a lot of fund guys took position here and the coffee prices did not come down at all. And that led to -- and at that time, we had thought that if it comes down by \$300, \$400, then we would be in a position where we may not require additional working capital and we could maintain even with our expanded capacity. But unfortunately, what happened is that the coffee prices have kind of stayed at higher levels and haven't come down, putting pressure on working capital requirement as of now.

Right. Right. Sir, my second question would be, so if you look at the EBITDA growth that we just guided, or probably what we are targeting of roughly around 20% EBITDA growth for the next 2 years, however when I look at the new capacities which are coming in seem to be more premium as compared to the spray-dried. So especially when you look at the Vietnam conglomerated coffee, so where we command better margins as compared to India operations, plus next year, we would be coming with freeze-dried capacities as well.

So don't you expect -- and plus, we are focusing on the better value-added product mix. So don't you feel like 20% EBITDA growth, while we are targeting for that 18%, 20% volume growth, like our EBITDA per kg or per ton should improve significantly or at least it should improve, whereas what we are seeing right now is like it would be moving in line with volume growth?

So I'm talking a little bit broadly. If you really dig down into -- dig down details, probably you'll get a sense that there are certain aspects where we will improve our EBITDA. But let me talk in a little broader way. If you see at current levels, there are 2 capacity expansions that we are doing -- 3 capacity expansions. And if you see the first 2 are 16,000 tons and 16,000 tons of spray-dried capacity, so our mix in the total all scheme of things will change.

So we'll be selling more of spread capacity, which means that in an overall level, at consolidated level, the EBITDA as well come down because our freeze-dried proportion,

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Manoj Gori:

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V Lakshmi Narayana:

Aashish Uppanlawar:

V Lakshmi Narayana: CCL Products (India) Limited

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which gives us higher EBITDA, will reduce in the next couple of years. It's only in next year -- in the mid of next year when the freeze-dried capacity comes we will start doing -- getting freeze-dried -- we will start getting better EBITDA from freeze-dried. So keeping all of these in mind, there will be pluses. There will be certain minuses. The pluses will happen. Yes, we are focusing on value-added products.

But as I just told you, it's right now very small. So I don't see significant impacts coming in next 2 years, and that is why we gave guidance for 2 years. Subsequent to 2 years, probably when these segments like small packs, like value-added products, when they start growing in higher proportions and have significant basis in our portfolio then we will start seeing bett

er

EBITDA margins. But for couple of years, the EBITDA that we are kind of talking about is -- the growth that we are talking about is led by volume, and we would like to maintain that next 2 years will grow as per volume growth, and we will get around 20% volume growth on EBITDA.

Sir, lastly if I may squeeze in, so as I understand correctly...

I'm so sorry to interrupt, may I please request you to rejoin the queue.

Sure, sure. Yes.

The next question is from the line of Aashish Uppanlawar from InvesQ Investment.

Sir, you mentioned that the tax rate could be around 9% this year and I think 12% around -- beyond '24. So is it going to be sustainably at 20 -- 12%? I guess you have some tax breaks in Vietnam, I guess. So if you could clarify on that, will be helpful.

Yes. So I'll tell you. It would have been 12% this year. Next year also 12%. But because of demerger, we will see a lower tax rate this year, which is close to 9%. Next year we will be closer to 12%, 13%. But a year after that, we will have our India capacity where the new tax rate is around 15%. So as a combination, it will be closer to that number.

But don't hold me first thing that it was 12% and it came to 13.5% or things like that. But a lot will depend on how -- or which plants we are utilizing, where is the utilization higher, where is the utilization lower. All that factor will play up. But next couple of years, yes, you are right. It will be closer to 12% to 14%, not below or beyond that.

Yes. So can we break this up into India what tax rate you will be paying on an ongoing basis? And then in Vietnam, how much it is?

So in Vietnam, as of now, it is completely exempted, till the next announcement comes. It continues the -- corporate income tax is zero.

Okay.

And in India, we have SEZ, we have EOU and the different combinations it goes on the rate.

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Aashish :

V Lakshmi Narayana:

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Vivek Ganguly:

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Okay, okay. So on a blended basis, we still will be -- have a visibility of, say, 14%, 15% for the next -- beyond '25?

Yes, a couple of -- yes you told that '23, '24 and '24, '25 and it will continue to be 12%.

The next question is from the line of Vivek Ganguly from Nine Rivers Capital.

Historically, what we have seen is that you all had a healthy top line and a very conservative balance sheet. And that was obviously aided by the low cost of borrowing of 3%, 3.5% that you all had. Now going forward, we are going towards a continued growth of robust 20-plus percent or 20%. And the balance sheet where the debt equity is moving towards 1:1 ratio, aided by -- because of tailwinds or headwinds that are there underlying. And where your cost of capital or cost of debt is also moving from this historical 3%, 3.5% to 6% to 7% range.

So I think this is what actually is where all the concern is emanating from. Is that are we -- the fiscal discipline that we had in the past, are we letting go of that? Or if things slip -- are we on a slippery slope if things were not to work out and things were to get a little more risky? That is if you can address this question philosophically, a lot of things would get taken care of either way from my personal perspective.

Yes. So maybe I can answer this question. So fundamentally, this is a question that a lot of people have been asking us directly. So from our side, there is no change in our thinking or our philosophy or our strategy also for that matter. To be very frank, I think everyone's been

tracking the company for quite some time. They've seen that in India, we were already operating at peak capacity for the last couple of years.

In fact, the year that COVID hit that was when we were actually supposed to go in for expansion. But we had to delay that because the whole world was on lockdown. And even during the COVID year, what happened was we managed to have a 10% growth in volumes. And in fact, that w

as a year that we were able to actually penetrate the market even better. So subsequently, once things started easing up, we started focusing on the expansion part. We had to go one expansion after the other.

We initiated some line balancing, then we enhanced the capacities and started growing. And as our volumes started growing as we started supplying to customers, we started adding a lot of new customers as well. For us, if you look at it historically, look at 2008 for instance. In 2008, the whole world was in recession. We were, I think, one of the only companies that grew by almost 40%. So these disruptions that keep taking place once in a while, we've -- actually turned out to be opportunities for us. And at least we look at them as opportunities because that is when customers are willing to look at alternatives.

Now when COVID hit, we've seen the sudden spike where people wanted those alternatives in place. They have realized you can't have overdependencies on any one geography or territory. When the Russia war situation happened, we've seen a complete sea change in how customers think. People who wouldn't have even considered talking to any other alternative vendors because of the relationships that have been in place for years, were forced to start onboarding new suppliers.

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And by virtue of being one of the largest manufacturers in the world, it became that much easier for us to approach these new clients. And that is what is giving us that confidence today that we can continue this volume growth because once we get entry, we are there to stay. Our ability to match customers' blends is also relatively easy because of the R&D team that we have developed at our end. So customers -- people who have never considered alternatives are suddenly surprised that, oh, this company is able to match my existing blend with maybe one try or maximum of two tries.

And not only match, after we get that confidence in place, we're able to offer a wider range of products. We're letting the companies to rethink their own strategies about how to expand further in their areas. So we are forging much stronger partnerships, which is also enabling us to grow.

One of the reasons -- in fact, interestingly, one of the customers that we have, one of our largest customers, we onboarded them and just before onboarding them. They made it very clear. These are our credit terms. Only if you are financially strong enough to offer these credit terms we will even consider you as a supplier. With those particular credit terms, the number of potential suppliers come down from 100 to maybe 4 or 5 in the world, and we are one of them.

So we -- today, in fact, one of our existing shareholders also asked us to explore the option of why don't you consider -- because of your economies of scale and all, why don't you consider getting credit from your own suppliers. Why don't you consider reducing your credit days with your customers? We've explored both these options as well. But what we found, interestingly, is because of the credit rating of the company, we are able to get access to funds at a much lower rate than everybody else. That is also one of the competitive advantages that we have, both in India as well as Vietnam.

We are in this priority sector right now. And there are certain benefits that come out of that, which is why we are actually utilizing our working capital and everything else to the fullest to achieve our objectives. So it's a combination of everything that is enabling us to grow at the pace that we are growing.

As far as this long-term debt is concerned and everything else, as I mentioned earlier, our initial strategy -- our strategy over the years has always been, first, to expand, then stabilize, then expand and then stabilize. The only change that has come about this time is we had to advance our freeze-dried expansion by about 1,

2 years only because we have a customer

coming and saying, "We're willing to give you a commitment in writing for at least 5 years." If that did not happen, we would have postponed this expansion until the stabilization was completed.

So we are in a situation where that debt is a little higher right now. But that confidence level is there that not only can we service this debt, we can also grow at a much faster pace than what we anticipated earlier. In fact, that is one of the reasons why because the B2B space is 100% taken care of at least for the next couple of years, we have that confidence and that flexibility

to focus on the B2C also a little bit more aggressively. We are not like -- one of the questions
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Praveen Jaipuriar:

Moderator: CCL Products (India) Limited

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that one of the shareholders asked earlier is, what is the profitability that we're expecting from the B2C segment and all that? Are we focusing on profitability nght now?

The answer is no. Right now, our intention like what we did in India, our focus is to grow volumes in the B2C space in a sustainable manner. We are not looking at spending ridiculous amounts of money in advertising and pushing the product. Every country that we are introducing our products, there will be a learning curve. So we're planning and doing that slowly and steadily. And our intention is eventually the transition should hopefully take place where we are more of a B2C company than just a B2B company as we were in the past. And this transition also, we are doing with the help of our existing customers in different regions, the several distributors, the people who are changing their entire business model because of us, partners that have been with us for so many years. So all these changes is what is giving us the confidence that we are on the right path with respect to the long-term vision of the company.

Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the management for their closing remarks.

Thank you, everyone, for joining us. I hope we have been able to clarify some of the doubts some of you had. And please feel free to reach out to us separately if you have any queries. You can write it to our -- to Sridevi, and we'll be happy to answer your queries. Thank you so much, and look forward to meeting you again.

Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you, all, for joining. You may now disconnect your lines.

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Call: Jul 2023

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Date: 28.07.2023

To To

The Listing Department, The Corporate Relations Department,
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Bandra East, Mumbai - 400051. Mumbai - 400001.
Scrip Code: CCL Scrip Code: 519600

Dear Sir/Madam,

Subject: Transcript of the Conference Call held on 25.07.2023 as required under Reg. 30 of SEBI (LODR) Regulations, 2015

With reference to the above mentioned subject, we wish to inform you that,

- i) The copy of the Transcript of the Conference call held on 25th July, 2023 is enclosed herewith.
 - ii) The Transcript is also uploaded on the Company's Website and the Web link is, <https://www.cclproducts.com/wp-content/uploads/2023/07/Conference-Call-Transcript-25.07.2023-1.pdf>
 - iii) The List of Management attendees is stated in Transcript.
 - iv) No unpublished price sensitive information was discussed in the call.
- This is for your information and necessary records.

Regards,

For CCL PRODUCTS (INDIA) LIMITED

Sridevi Dasari

Company Secretary & Compliance Officer

CCL PRODUCTS (INDIA) LIMITED

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MANAGEMENT:

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COFFEE

"CCL Products (India) Limited

Conference Call"

July 25, 2023

ANTIQUE '

Mr. CHALLA SRISHANT — MANAGING DIRECTOR —

CCL PRODUCTS (INDIA) LIMITED

MR. PRAVEEN JAIPURIAR — CHIEF EXECUTIVE

OFFICER — CCL PRODUCTS (INDIA) LIMITED

Mr. B. MOHAN KRISHNA — EXECUTIVE DIRECTOR —

CCL PRODUCTS (INDIA) LIMITED

Mr. V. LAKSHMI NARAYANA — CHIEF FINANCIAL

OFFICER — CCL PRODUCTS (INDIA) LIMITED

Ms. SRIDEVI DASARI — COMPANY SECRETARY — CCL

PRODUCTS (INDIA) LIMITED

Mr. P.S. RAO — CONSULTANT COMPANY SECRETARY —

CCL PRODUCTS (INDIA) LIMITED

Mr. MANISH MAHAWAR — ANTIQUE STOCK BROKING

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Moderator:

Manish Mahawar:

V Lakshmi Narayana: CCL Products (India) Limited

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Ladies and gentlemen, good day, and welcome to CCL Products (India) conference call hosted by Antique Stockbroking. As a reminder, all participant lines will be in the listen only mode.

And there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Manish Mahawar from Antique Stock Broking. Thank you, and over to you, sir.

Thank you, Carol. A warm welcome to all the participants on CCL Products' call. This call has been organized to discuss gross debt, expansion plan and merger of coffee division of continental coffee. From the management, we have Mr. Challa Srishant, Managing Director; Mr. B. Mohan Krishna, Executive Director, Mr. Praveen Jaipurkar, CEO; Mr. V. Lakshmi Narayana, CFO; Ms. Sridevi Dasari, Company Secretary, and Mr. P S Rao, Consultant Company Secretary on the call.

Without further ado, I would like to hand over the call to Mr. Lakshmi Narayana for opening remarks. Post which we will open the floor for Q&A. Thank you, and over to Mr. Narayana.

Thank you. Good morning to all of you. This is Lakshmi Narayana here, CFO. In continuation to the earlier call, I think a little bit of confusion is there on account of the debt status, which I would like to convey to you and clarify it. As I stated in my previous call, the total debt on March 31, 2025 it is likely to be around INR2,000 crores, which makes an explanation keeping in view of the green coffee prices at \$3,000.

And gross debt scenario have worked out the likely debt by end March 2025. So in order to clarify the amount of confusion that has been rumoured around I just want to reclarify that this is the worst case scenario and as I have estimated around \$3,000 for GC prices and arrived around INR2,000 crores. And keeping in view of the utilization and likely -- and maintaining if at all if the GC prices continues at \$3,000.

We may likely to end up around INR1,840 crores. But it will go down when it goes down from \$3,000 level of GC prices to further maybe around \$2,300 level. And proportionately, the working capital utilization as well will go down. And we expect in that scenario, the likely debt to be somewhere around INR1,600 crores, in March 31, 2025.

And then March 31, 2024, we may likely to endorse around INR1,400 crores. This is what is likely to be under that part but what I stated in my previous call is just keeping in the traction part I have indicated and also the peak level of GC prices indicated around INR2,000 crores. So with due correction expected on GC prices, proportionately it may come down further as I have stated now.

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Moderator:

Rakesh Wadhvani:

Praveen Jaipurkar:

Rakesh Wadhvani:

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Coming to the second point of demerger, demerger of activity of CCPL with CCL parent company. The amount of carry forward loss, which is going to be set off in the parent company, which is likely to be appearing as the reduction in the resource a

nd surplus of the

parent company. That's one way. And the second way is the effective tax rate -- it will have an impact on the further reduction of effective tax rate due to setting off the carry forward losses in the subsidiary companies.

This is the second point which I could note down. And tentatively on March 31, 2023, there is a carry forward loss which is available for set off, which is around INR35 crores. And coming to the third part, this is relating to the clarification on expansion plan, which has been announced only by the AP state government, stating that CCL is going to take up expansion plan with the INR1,200 crores, which is not right.

We never raised any request nor we have shared any information with the state government.

And we don't have any plan of taking up any project of that kind in Vizag. So I think so these are all three points, which are rumoured around, we just want to take it forward with questions.

Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Rakesh Wadhvani from Monarch.

Sir, I just want to understand how the capex -- how has company planned on the capex?

Because is the customer that comes to us and asks that we wanted to increase the business with us and we expand? Or is it that we expect -- we do a market research and we expect there is a - there will be huge demand in the coming years and we expand? First point on that.

And sir, on -- second on the capex part only, we are expanding in India as well as in Vietnam.

And in our Vietnam facility, capacity will be still 50% utilized. Just wanted to know what is the reason for expansion in there right now? We can have -- we would have postponed by one more year. Any thoughts -- your thoughts on that?

If I understood correctly, the question is regarding the expansion, why are we doing this expansion, right?

No, no. Sir, my first question is that how -- like how we plan for expansion? Is it a customer who comes to us and say if he want to increase that business with us and we put up a new capacity? Or is it that we go to the market, do market research, and we think there will be a

huge volume growth in the coming years, we can get the business and set up a new facility.

How does it work?

So in this current scenario both the things happen for spray-dried, we were doing our market research and then we were going in further expansion accordingly. We were running at peak capacity for quite some time and we were -- we decided that we -- I mean, we had to go in for expansion because there was a lot of demand that was coming in from multiple quarters. For freeze-dried, it was a slightly different scenario where we had some customers come in, giving us commitments for the next couple of years.

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Rakesh Wadhwani:

Praveen Jaipuriar:

Rakesh Wadhwani:

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Rakesh Wadhwani:

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Rakesh Wadhwani:

Praveen Jaipuriar: CCL Products (India) Limited

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And because of that, we had to advance our expansion plans. Our original idea was after the spray-dried expansion was completed, we will wait for about a year or two before we go into the freeze-dried expansion. But because we had a commitment coming in from an existing customer -- in fact, 2 customers, that's when we decided to speed up that process.

Okay. Sir, related to that question, so freeze-dried capacity is coming in Vietnam, which will start in the September '24, is my understanding correct?

Yes. By next year this time, we should be starting the facility.

And that 100% capacity is booked from the first year only?

Capacity utilization, so we'll lose about half the year no? Because we'll end up losing about almost two quarters -- in the second quarter, the stabilization, everything will be done. So we'll have half the year left. So for half the year, I mean, we can just assume maybe around 75% utilization approximately of the balance of ca

capacity that's left.

Okay. And from the next financial year, we can expect at the peak capacity utilization?

Yes, hopefully.

Okay. Okay. Sir, second question regarding on the branded business, we have a Continental brand in India. We acquired a company -- a coffee brand in U.K., and we have also guided that we are looking for small-brand acquisition in international markets. Just wanted to understand what is our thought process, why acquiring small, small brands in these markets rather than focusing -- taking the Continental brand itself to the other markets because as on today, Continental brand has become itself very big, INR250 crores revenue in the last few years there. So any thoughts on that? And second on that profitability, where we see our profitability in the Continental brand in the coming years?

Okay. So to answer the first question, actually, we are not really looking for brands -- small brands or big brands for acquisition anywhere in the world. The current situation was actually purely an opportunistic buying that had happened because one of our partners in the U.K. mentioned to us that this particular brand was available for sale. And the reason why we were interested in this particular brand is because there is certain history to it.

In 1997, CCL was the main company that helped this brand get established. And from '97 till 2018, we were the primary supplier for this particular brand -- for these brands, in fact. We were doing multiple qualities, and we were supplying to them for the U.K. market. This particular company had grown to a substantial extent, which was doing almost about INR100 crores, INR120 crores.

At which point in time, the owner of that particular company decides to sell it to a Swedish company. The interest of the Swedish company was that they wanted to enter the U.K. market. So that's the reason why they bought this particular brand has a very good premium. And when that happened, unfortunately, these guys don't know much about the instant coffee space, they

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Moderator:

Ankur Arora:

Praveen Jaipuriar:

Ankur Arora:

Praveen Jaipuriar:

Ankur Arora: CCL Products (India) Limited

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are mainly a roaster ground coffee company. What they did was they decided to change suppliers immediately.

And they started buying from another customer of us who is based in EU. But it so happened

that the quality that they asked for, they weren't very particular, so they were okay with doing a change in quality. The customers in U.K. did not like that and the brand started falling. Within 4, 5 years, came down to around INR18 crores from INR100-plus crores. So that is when we got this opportunity and we negotiated and we were able to get it for about INR5.5 crores. And since we know the original formulation since we never revealed it even to the brand owner in the past, we are the only ones who can actually produce the same quality that the customers are expecting in the U.K. market. So that was one of the main reasons why we decided to proceed with this acquisition. We had actually created a very unique blend for this particular customer, and it was a very premium product. So that was the main reason behind this particular acquisition.

The next question is from the line of Ankur Arora from Magma Ventures.

A couple of quick things, sir. Here seeing the debt part that if the coffee price remain at \$3,000, you will have probably INR1,850-odd crores. Now...

Sir, your voice is not clear, can you please repeat?

Yes, so I was saying. You explained that part of INR1,850 crores peak debt level, assuming \$3,000 coffee prices, \$3,000 coffee, which is probably roughly the prices which is going on right now as well. So see we are going to generate roughly INR800-odd crores of cash flows in the next 2 years, right, after the interest payments or maybe a little less than that INR700 crores to INR750 crores.

And with that roughly the same amount of money

which you're putting as capex as well. So it's effectively the increase in debt should be driven only by working capital. Now the increase in debt by almost INR850-odd crores for probably INR1,000 crores additional revenue or maybe even little lesser than that, doesn't seem too high?

No. Okay. On a broad basis, now, the answer that we could give because a lot will depend on the -- as CFO has put in his opening remarks, a lot of it will depend on the coffee prices going forward in the sense that there will be a huge difference between a \$2,300 coffee price and a \$2,900 or a \$3,000 profit price. So that will change the equation a lot. But considering the kind of projections that we are seeing right now, it looks like that from '26 onwards, we'll be able to generate free cash flows.

I mean that's not where we see price grow after '26 I'm saying the EBITDA in the next 2 years will be roughly around INR1,000 crores. You will have probably taken together -- we will probably have another INR100 crores, INR200-odd crores of interest payment and maybe some bit of tax payment. And you are still left with probably INR600 crores, INR700-odd crores of cash flows, which is going in to capex right? And the two facilities. I think the

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Praveen Jaipuriar:

Ankur Arora:

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Ankur Arora:

Praveen Jaipuriar: CCL Products (India) Limited

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increased debt is predominantly only for the working capital, the coffee prices are roughly also the same -- pretty high level right now as well. It's not like it's...

What is the EBITDA that you are taking? I think there is -- there could be some this thing, we have been giving a guidance of approximately 20% EBITDA growth from last year onwards.

So let's say, last year, our EBITDA was around INR400-odd crores. So yes...

So in 2 years, I'm taking INR1,000 crores in total for 2 years together...

Yes, for INR400 crores, if you take a 20% growth this year will be around INR480 crores and then subsequently yes, around INR580 crores the next year.

This makes around INR160 crores of EBITDA.

Yes, yes. So I think that will progress in that manner, and this basis that considering that we will have to service the current debt at whatever levels it is, and considering the current interest rate that is prevailing that was the number that CFO had mentioned in his opening remarks.

That's what I'm trying to understand. So you're saying INR200 crores will be debt out of that -- interest payment out of that. You are left with INR860 crores, there will be payment of INR100 crores, INR150 crores of tax payment. You are left with INR700 crores. You have INR700 crores...

Approximately INR100 crores, INR110 crores will be the interest amount, which will get serviced and yes, so your backed cash flows '25 will not be there because we also pay dividend

no, at 25% to 30% of our profits as that's our policy. So a large chunk goes there, which means that there won't be enough cash generation for free cash flows till year '25, it's only in '26 onwards, there will be free cash flow...

Sir, what is the current coffee prices?

Sorry?

What will be the current coffee prices?

Current coffee prices are approximately \$2,500, \$2,600 level. But it will really depend how things go forward because currently, what happens is that the Brazil crop comes in, so there will be certain movements in the market. We'll have to wait and watch. And then December, January, the Vietnam and the Indian crop comes in.

And that's when the prices again kind of -- the market gets set for new prices at that point of time. So we'll have to wait and watch. But our estimation is that obviously, it will cool down going forward, considering the fact that these are all at 12 years high and all goes -- these all prices go through the cycle. See that -- there is not that much of a demand t

hat the coffee

prices would have increased to such level because the demand in coffee is probably growing at single digits, yes?

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Ankur Arora:

Praveen Jaipuriar:

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Praveen Jaipuriar:

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Jenish Karia:

Praveen Jaipuriar:

Jenish Karia:

Praveen Jaipuriar: CCL Products (India) Limited

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But the coffee -- and even if you were to take certain supply disruptions here and there, which are also not confirmed, this kind of inflation is unwarranted for. So -- and we have seen these cycles in the past also. If you see 6 years ago, a similar scenario had emerged wherein the coffee prices had gone at very high levels, and then it cooled down to \$1,300, \$1,400 level subsequently. So even if it doesn't cool down to that levels going forward but our estimation is that it will come much closer to \$2,000 levels. The only thing is that we have to wait and watch and see at what times the reversal happens. But in the long run, yes, we are very sure that these prices are unsustainable.

I said, the INR1,850 crores of debt level, INR1,850 crores of debt level, which you are giving for FY '25, that is based on \$3,000 coffee prices, right? Our price level you have taken for that?

Yes, around -- not exactly \$3,000, \$2,700, \$2,800 is what we had calculated.

If hypothetically the price is \$2,000, how much will the debt be roughly?

So the working capital will come down by, let's say, 20% or so, 20% to 25%.

Another INR200 crores, INR300 crores reduction in debt will happen from that...

Yes, yes, definitely, there will be reduction INR200 crores, INR300 crores.

The next question is from the line of Jenish Karia from Antique Stockbroking.

I would like to understand, sir, how do we plan the inventory for the demand, is it expense inventory of raw material that we keep or just basic understanding of how the planning is done for here?

Sorry, you're asking about our inventory planning strategy no?

Yes, sir.

Yes. So basically, the inventory -- we are a cost-plus model, we only contract the green coffee once we get the order. So there is no speculative green coffee buying that we do. And our green -- our inventory depends a lot on the kind of contracts we are doing, yes? So there could be, let's say, a long-term contract. So for that, we will have deferred supplies of green coffee. Sometimes, when you're buying green coffee locally from small guys, you tend to hold that coffee yourself because you don't want a situation where the coffee prices are rising and the guys end up defaulting the thing when it comes to long-term contract, we go with larger suppliers who are very established suppliers, so they don't default. So it's a -- the inventory carrying strategy is a factor of multiple things that are happening around us, and it is all linked to the kind of contracts that we are doing, yes?

So that is where it also -- in the past, our inventories went up also because of the fact that there was uncertainty after 4-week period regarding logistics. So because there was uncertainty regarding logistics, we ended up holding higher inventories because we wouldn't want to be in

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a situation where you have to produce coffee and you don't have coffee with you. So time to time -- previous to COVID, you would have seen our inventory days were pretty low because that time, the situation was very stable, and we could actually do with holding very few -- a very little amount of inventory, maybe 2-month stocks or 2.5 month stocks. But during COVID, we ended up having 4 to 5 months of stocks. Now that situation is easing. But again, the volatility in the coffee prices also makes you kind of really look at your inventory holding strategy. So all of these come into p

lay. There is no one written down or set

rule or I can say that we'll only hold 2 months of stocks or 4 months of stocks. It will all depend on that kind of -- on that point situation and also the kind of contracts that we do.

Understood, sir. And sir, secondly, again, on the working capital side. So as we plan to scale up our B2C business not only in India but also globally, do we -- can we expect a rise in the receivable days in the longer term or if not, in the next 1 or 2 years?

See, the retail business, the branded business is still a very small proportion of the coffee business. So I don't think so that will -- in the near future will kind of change any dynamics, whether it is our working capital cycles or inventory management and things like that.

Okay. And sir, last question. We mentioned that we will have around INR25 crores of cut off losses benefiting in the tax. So what would be the tax rate for FY '24 and '25?

So it is actually INR35 crores that is getting off-settled, and the effective tax rate this year will be close to 9%.

Okay. And then '25, it will be normalized to, again, 12%, 15%?

No, so closer to 12% to 13%. Yes, this would have been the rate this year also. But because of offsetting, the thing will come down to close to 9%.

The next question is from the line of Siddharth Purohit from InvesQ Investment. As there seems no response from the current participant, we proceed to the next question from the line of Zubin from Ambit Investments.

Yes. Rahul Maheshwary here. I had two questions. First, as you are ramping up the capacity to some more than 75,000 tons in the next 2 years, so can you help us, let us know the procurement of the green coffee beans? Are we -- how we are planning towards that as we ramp up or double our capacity to that?

And second thing, as in the previous con call, you had mentioned that we want to take our -- a few of our brands globally as a retail brand. So in that, our model will change from current pass-through model to a more retail oriented model. So in that case, how you would be managing the inflationary coffee prices? Means can that also model be a cost pass-through models when we are taking one of our few iconic brands to the global level today what we are planning to the coffee partners, etcetera. These are my 2 questions.

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So two things. One, first thing that you asked about is the fact that we are increasing the capacity to 75,000 tons. That is our procurement strategy. So our procurement strategy completely does not change at all. You know that we had been buying coffee both in India and in Vietnam from across the globe. It all depends on the kind of blend that we are doing, the prices that are being offered from different origins. And we buy coffee from -- all over the world we buy coffee from Southeast Asia, which is Vietnam, Indonesia.

We buy coffee from Africa, Uganda. We could end up buying coffee from Brazil. So most of our procurement strategy does not change. The only thing is that the scale would change yes, of course, we'll end up buying more and more coffee. And it's a very open market traded commodity. It's the second largest traded commodity after oil. So it's pretty much an open market kind of a buying. We'll continue to do that. None of the dynamics changes there.

Second thing is that you asked about our taking our brands into global markets. Yes, we are trying to build our B2C vertical. We started 5, 6 years ago. We had seen a fair bit of traction that happened in Indian market, and that gave us feet and legs to say that, okay, can we take this whole B2C operation outside India as well because outside India, one, we have a lot of understanding about the global markets thanks to the fact that we are supplying to almost

everybody across the globe. And secondly, because we always -- the whole process w
as started
to set up a B2C vertical as well.

As far as the pricing strategy is concerned, that pricing strategy is completely different to the B2B. B2B, we work with cost-plus model. But there, there are 2, 3 things that will determine what kind of prices we'll sell to. And those -- when you are selling a B2C brand, it will be consumer pricing and not to a client or anybody else. So the consumer pricing is, obviously, it depends on the market leader pricing, the price velocity that the consumer is wanting to pay for your brand, your brand strength. So a lot of factor will go into deciding that price, but that will be far more consumer-led, and this pricing B2B has been customer-led.

Coming back to the last part that you have asked is that are we in the mode of shifting the gears towards being a B2C company? I would say we are not in a mode of shifting gears but adding a gear of a B2C vertical, it in no way means that B2B will have any less focus. We have -- as you can see from our guidance, we have been very aggressive on the B2B side as well. But yes, the B2C segment is something that we have always wanted to build. We have started the process, and we will continue to build that as well, but none at the cost of each other, yes? Both will have equal amount of pressure from our side.

Praveen, that's very helpful. Just a add on to this question, currently, CCL has been able to make how many types of blends in the coffee and how big is the potential going ahead once you ramp up the capacity? One is on this part. And second thing, as -- is there any -- how much is the overlap between the innovative coffee brand which you want to take to global and one which is being supplied to the partner? Can you give some colour highlight that what is working in your innovative lab, etcetera, that can give us a good idea?

Yes, so first part is the number of blends. See, the number of blends is directly dependent on the demand from the client side probably has less to do with the capacity. But as we add
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capacity, we'll also add a lot of new clients. And I'm sure new clients, everyone has this demand of developing a blend for themselves.

So what we end up doing is end up having a lot of blends because everybody comes with a demand that I want a blend which is different from -- that is being prevalent in the market. Currently, as we have informed earlier as well in our library, probably we have 1,000-plus blends, and this is deemed to grow as we acquire new clients. But how much it will grow is difficult to tell now. But we'll keep you informing as and when we keep developing newer blends for our new customers or maybe old customers wanting to have something or wanting to launch something new in the market. So that's on this side.

Now coming to the overlap between our brand and some of the innovative products that we want to do. Again, this strategy will be very, very different here. We do understand the fact that there could be certain conflicts in the -- in some of the markets where we would want to launch the brand. So we are aware of that. We are designing strategy so that there isn't much of an overlap.

And anyways, when we are doing blends, we have told this before as well that when we do a blend for a client, that blend remains to that client. We don't kind of copy that blend to give it to somebody else. And when we are doing a blend for ourselves, we are developing a blend which is very, very different, very different and very unique to ourselves. And this blend doesn't get shared with anybody else. And that is what we have seen in the Indian market also. Today, if you see the Indian market, be it the private label, be it a lot of brand that we are seeing today in the consumer space and our own brand, we are all coexisting. All of them have a different blend to each other, and it's the consum

er who decides which blend or which brand

they prefer. So it's a little -- on the consumer side, I would say it's a very different sort of a competitive scenario where not only the product but also the brand, the pricing, a lot of things play a role.

And since it's a competitive market, it really doesn't matter whether I'm having my own brand or somebody else is having their own brand. And most of the people do realize this and are perfectly okay with this. But consciously speaking, we would not like -- we would not be in a similar blend kind of a space wherein our clients are also there. So that's kind of a differentiation we'll always maintain.

The next question is from the line of Lokesh Maru from Nippon India Mutual Fund.

Sir, I wanted to ask this question. Given our capacity expansion, does that allow us to lower our inventory days by any chance? Basically, if capacity was a requirement of inventory at our end, and number of days, does that go down?

Not really, Lokesh. I mean right now, the number of days probably will be in a similar zone. We are making efforts. Let us see. Because as I told earlier also, it will depend on a lot of other situations, let's see, and the type of contracts that we are doing. The prices as well. So as I told earlier that there could be a scenario where prices are low. There is free flow of green beans all around. So then you have that this thing to lower your deals. But in a scenario where prices are

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fluctuating, where the supply constraints could be there, there are times when you are wanting to buy coffee but availability is also not there.

So we don't want to end up in a scenario wherein you are left high and dry without having sufficient inventory. So that kind of thing is difficult to kind of predict right now, whether we will lower it or not. So therefore, as a guidance, we are saying that we'll maintain the similar amount of inventory going forward in line with the capacity expansion.

Okay. And apart from the coffee price part, what usually is our thought process on how many days of inventory do we intend to leave with that?

Generally, around 3 months is what we end up seeking. There could be certain fluctuations. I told you before, COVID, we were actually at 60, 65 days as well. So -- but currently, it's more than that, again, owing to fluctuations in the market and the market scenarios. So we have 3 months of inventory right now. But yes, these are all to -- as a guidance, we are saying that we'll be close to 3 months going forward as well, but things could change if there is a lot of stability around that.

Sir, any colour on this thing just basic expectations, not really an expert forecast, any colour on given there is impacting both goods this coast of Pacific, which is -- should be Vietnam, right, and the other cost as well, Brazil. What are the expectations building up for the coffee prices to remain firm or like really go down as such?

No, so as I was telling you a few minutes ago, these are all-time high prices. We are expecting it to go down. The only thing is that timing is something which nobody is able to predict, that at what time it goes down because these prices are unsustainable. These are all-time high prices. And like any commodity, coffee also has a cycle, this time probably it has held on to higher prices for a little longer than no one had expected. But yes, this -- definitely, this is likely to soften up.

Okay. Sir, last question on -- I know you have spoken already about it, but just to reconfirm and clarify on what would be the expected interest outlook for the next 2, 3 years? Like last year, it was very low compared to what we are expecting going forward for FY '24 and '25, sir how much on annual basis what is the kind of interest outlook that

you are expecting?

As we look at the present scenario, the rate of interest is -- for working capital it is running around 6%. And the term loan, it is likely to be somewhere around 10.5%. Look, it is too hard to say the way that the interest rates are hiking up across the globe. So we presume that the current scenario base will continue maybe in a couple of 3 years because if you look at the U.S., there is a likely increase a couple of markets that we are planning to increase. So that is ultimately going to reflect some other markets as well. So keeping all this in view, we expect our rate is likely to continue as far as CCL is concerned, our working cap is at 6% level.

Sir, and our term loan, basically, that would be like INR600 crores of expansion currently and INR420 crores of expansion on future -- INR1,000 crores right, and the rest would be working capital requirement. Is that correct?

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Right, yes, as I told...

And how much have we retiring this term loan, how much do you retire every year?

In the current financial year, there is -- almost we are retiring around INR78 crores is the repayment. And the next financial year, it is likely to be around INR120 crores.

The next question is from the line of Tushar Raghatate from Kamayakya Wealth Management. Sir, just want to understand what would be our value-added in percentage terms of the volume and the realization premium which you might get on that value-added product in percentage terms? That would be helpful.

So value-added is a little broad term. Generally, if I were to convert that value added into, let's say, premium and more specialty coffee, basically between 5% to 10% is our volumes as of now, yes. So these are products which are really innovative, premium and they give us higher margins. Now these higher margins could lie right from 50% to sometimes 100%, 150% higher than the regular margins. It depends on a lot of things.

What is the kind of products? And are we doing -- sometimes these products may go in bulk. Sometimes, they go in small packs. So when they go in bulk, probably we end up earning 50% to 70% higher margins. Sometimes when it goes in small packs, we could end up earning 100% more margin than a regular bulk product. So that's the kind of range that is there. But yes, these are very small, obviously, higher -- highly priced products will have its own niche. So these are small at the moment.

But going forward, yes, this is one focus area that we have been focusing on. The coffee market has been evolving. There is a lot of now queries started happening for specialty coffee, and that's the reason we also set up a mini plant to be able to cater to small quantities. But the fact of the matter is these are smaller quantities as of now. But yes, we are putting a lot of focus to get more and more orders of these kind of coffees.

Sir, my last question, I just wanted to understand like INR100 decrease in the price of a coffee. How much it will have a shift in our EBITDA per kg? That relativity I want to understand...

So coffee prices dropping or increasing does not have any effect on EBITDA per kg we work on cost-plus model. So when we do a contract, we do a contract on today's coffee prices. And if the contract gets materialized, we procure at today's prices, yes? So whether in the case of higher coffee prices or lower coffee prices, our EBITDA per kg remains constant.

The only effect that you will see is that in the top line, probably like last year, on a volume growth of 20%, 21%, we got a value growth of 40% to 43%, which meant that we value -- the 20% to 23% higher value we got for the same volume, and therefore, our value growth started looking much higher. But our EBITDA per kg does not change in any scenario.

Fair enough, sir. Sir, just one question. Sir, what would be the utilization level in the India and Vietnam? And sir, we have been on the capex pre, if we could see it. Sir, what is giving that

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view of -- for the capex, any order book which we have or any concrete orders which you are seeing for the next 1 to 2 years?

Okay. So first part, utilization. If you see the India capacity, it is continue utilized, yes? When we see -- when we say fully utilized, it really means that close to 90%, 95% because there will be blend differences and things like that. So it's fully utilized in India. The Vietnam capacity, the earlier capacity, is fully utilized. The new capacity, which is 16,000 metric tons that we added last March, that current utilization is at 50% levels, yes?

So in the first quarter, we saw 50% utilization. And going forward, we expect similar kind of utilization for the full year for the extended capacity. So that's on the capacity front. The second question that you asked was on -- what was your second question? Sorry, if you could repeat. Hello? I missed your second question. I've answered about the capacity. So what was the second question?

Yes, sir. Sir, actually, we could see that we are on a capex pre. So I just want to understand what is the driver of your ongoing capex and the upcoming capex? Any concrete plan...?

Yes, yes. So drivers are multi-fold. But basically, if I were to put in a crust, it is our demand estimation from the market, which depends on many things. When we -- like, for example, last year, if you would have gone through our con call, we had mentioned that last year, we almost procured 3,000 metric tons of coffee from third-party and supplied to our clients, which meant that there was demand for us to fulfil and we didn't have enough capacity. So reasons like these.

Second is, yes, for example, freeze-dried. Freeze-dried, we would have installed the capacity probably a year later. But then couple of our clients came and they were ready to underwrite some of the capacity. And they said that they are willing to kind of buy freeze-dried right from the word go. So that again, gives -- so it's a combination of factors of our demand estimation. These are sometimes order books.

So for example, we had order books last year. We bought coffee from outside. So we were very sure that the new capacity, at least that 3,000 tons to 4,000 tons, is readily available to be utilized. And sometimes, it is our demand estimation, which is also based on market information, market queries that we get like in the example of freeze-dried when somebody came and told us that we are going to buy. So all of this leads to our decision on capacity expansion. Some of it has looked like that it was happening back to that. But a lot -- some of our capacity expansion was actually on the radar. It was supposed to happen. But unfortunately, COVID happened. During COVID time, everything came to a standstill. Everybody was on a wait and watch. And once COVID got over, we started expanding, and then it all looked like all of it has come together. But this 1 to 2 years of capacity expansion actually, probably things where normal would have got spread into 3, 4 years.

Sir, just one suggestion from my end.

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Please, sorry to interrupt, but may I please request you to rejoin the queue for your follow-up as we have people waiting for their turn. The next question is from the line of Manoj Gori from Equirus Securities.

Sir, probably if I recollect 3 to 4 quarters back in one of the con call, we had a discussion about the return ratios like given that the coffee prices are moving up. So we would be having some

impact on the return ratios. However, today, when I learn -- and probably you had indicated like there would be no impact and probably we don't require any incremental working capital or capital employed given that we would be working on the sourcing part, or probably with client part. However, when I look at today, you're talking about the incremental working capital requirement because of the increase in coffee prices. So can you throw some light on this or correct me if I'm wrong?

So exactly 6 months ago, if you were to read most of the analyst reports on green coffee, you would find that everybody had predicted a fall in green coffee prices. And so did we. But unfortunately, some fund guys took position on coffee. Coffee as a commodity became one commodity where people wanted to play because most of the other commodities of you see, their cycles, they're on a downward spiral.

And therefore, a lot of fund guys took position here and the coffee prices did not come down at all. And that led to -- and at that time, we had thought that if it comes down by \$300, \$400, then we would be in a position where we may not require additional working capital and we could maintain even with our expanded capacity. But unfortunately, what happened is that the coffee prices have kind of stayed at higher levels and haven't come down, putting pressure on working capital requirement as of now.

Right. Right. Sir, my second question would be, so if you look at the EBITDA growth that we just guided, or probably what we are targeting of roughly around 20% EBITDA growth for the next 2 years, however when I look at the new capacities which are coming in seem to be more premium as compared to the spray-dried. So especially when you look at the Vietnam conglomerated coffee, so where we command better margins as compared to India operations, plus next year, we would be coming with freeze-dried capacities as well.

So don't you expect -- and plus, we are focusing on the better value-added product mix. So don't you feel like 20% EBITDA growth, while we are targeting for that 18%, 20% volume growth, like our EBITDA per kg or per ton should improve significantly or at least it should improve, whereas what we are seeing right now is like it would be moving in line with volume growth?

So I'm talking a little bit broadly. If you really dig down into -- dig down details, probably you'll get a sense that there are certain aspects where we will improve our EBITDA. But let me talk in a little broader way. If you see at current levels, there are 2 capacity expansions that we are doing -- 3 capacity expansions. And if you see the first 2 are 16,000 tons and 16,000 tons of spray-dried capacity, so our mix in the total all scheme of things will change.

So we'll be selling more of spread capacity, which means that in an overall level, at consolidated level, the EBITDA as well come down because our freeze-dried proportion,

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which gives us higher EBITDA, will reduce in the next couple of years. It's only in next year -- in the mid of next year when the freeze-dried capacity comes we will start doing -- getting freeze-dried -- we will start getting better EBITDA from freeze-dried. So keeping all of these in mind, there will be pluses. There will be certain minuses. The pluses will happen. Yes, we are focusing on value-added products.

But as I just told you, it's right now very small. So I don't see significant impacts coming in next 2 years, and that is why we gave guidance for 2 years. Subsequent to 2 years, probably when these segments like small packs, like value-added products, when they start growing in higher proportions and have significant basis in our portfolio then we will start seeing bett

er

EBITDA margins. But for couple of years, the EBITDA that we are kind of talking about is -- the growth that we are talking about is led by volume, and we would like to maintain that next 2 years will grow as per volume growth, and we will get around 20% volume growth on EBITDA.

Sir, lastly if I may squeeze in, so as I understand correctly...

I'm so sorry to interrupt, may I please request you to rejoin the queue.

Sure, sure. Yes.

The next question is from the line of Aashish Uppanlawar from InvesQ Investment.

Sir, you mentioned that the tax rate could be around 9% this year and I think 12% around -- beyond '24. So is it going to be sustainably at 20 -- 12%? I guess you have some tax breaks in Vietnam, I guess. So if you could clarify on that, will be helpful.

Yes. So I'll tell you. It would have been 12% this year. Next year also 12%. But because of demerger, we will see a lower tax rate this year, which is close to 9%. Next year we will be closer to 12%, 13%. But a year after that, we will have our India capacity where the new tax rate is around 15%. So as a combination, it will be closer to that number.

But don't hold me first thing that it was 12% and it came to 13.5% or things like that. But a lot will depend on how -- or which plants we are utilizing, where is the utilization higher, where is the utilization lower. All that factor will play up. But next couple of years, yes, you are right. It will be closer to 12% to 14%, not below or beyond that.

Yes. So can we break this up into India what tax rate you will be paying on an ongoing basis? And then in Vietnam, how much it is?

So in Vietnam, as of now, it is completely exempted, till the next announcement comes. It continues the -- corporate income tax is zero.

Okay.

And in India, we have SEZ, we have EOU and the different combinations it goes on the rate.

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Okay, okay. So on a blended basis, we still will be -- have a visibility of, say, 14%, 15% for the next -- beyond '25?

Yes, a couple of -- yes you told that '23, '24 and '24, '25 and it will continue to be 12%.

The next question is from the line of Vivek Ganguly from Nine Rivers Capital.

Historically, what we have seen is that you all had a healthy top line and a very conservative balance sheet. And that was obviously aided by the low cost of borrowing of 3%, 3.5% that you all had. Now going forward, we are going towards a continued growth of robust 20-plus percent or 20%. And the balance sheet where the debt equity is moving towards 1:1 ratio, aided by -- because of tailwinds or headwinds that are there underlying. And where your cost of capital or cost of debt is also moving from this historical 3%, 3.5% to 6% to 7% range.

So I think this is what actually is where all the concern is emanating from. Is that are we -- the fiscal discipline that we had in the past, are we letting go of that? Or if things slip -- are we on a slippery slope if things were not to work out and things were to get a little more risky? That is if you can address this question philosophically, a lot of things would get taken care of either way from my personal perspective.

Yes. So maybe I can answer this question. So fundamentally, this is a question that a lot of people have been asking us directly. So from our side, there is no change in our thinking or our philosophy or our strategy also for that matter. To be very frank, I think everyone's been

tracking the company for quite some time. They've seen that in India, we were already operating at peak capacity for the last couple of years.

In fact, the year that COVID hit that was when we were actually supposed to go in for expansion. But we had to delay that because the whole world was on lockdown. And even during the COVID year, what happened was we managed to have a 10% growth in volumes. And in fact, that w

as a year that we were able to actually penetrate the market even better. So subsequently, once things started easing up, we started focusing on the expansion part. We had to go one expansion after the other.

We initiated some line balancing, then we enhanced the capacities and started growing. And as our volumes started growing as we started supplying to customers, we started adding a lot of new customers as well. For us, if you look at it historically, look at 2008 for instance. In 2008, the whole world was in recession. We were, I think, one of the only companies that grew by almost 40%. So these disruptions that keep taking place once in a while, we've -- actually turned out to be opportunities for us. And at least we look at them as opportunities because that is when customers are willing to look at alternatives.

Now when COVID hit, we've seen the sudden spike where people wanted those alternatives in place. They have realized you can't have overdependencies on any one geography or territory. When the Russia war situation happened, we've seen a complete sea change in how customers think. People who wouldn't have even considered talking to any other alternative vendors because of the relationships that have been in place for years, were forced to start onboarding new suppliers.

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And by virtue of being one of the largest manufacturers in the world, it became that much easier for us to approach these new clients. And that is what is giving us that confidence today that we can continue this volume growth because once we get entry, we are there to stay. Our ability to match customers' blends is also relatively easy because of the R&D team that we have developed at our end. So customers -- people who have never considered alternatives are suddenly surprised that, oh, this company is able to match my existing blend with maybe one try or maximum of two tries.

And not only match, after we get that confidence in place, we're able to offer a wider range of products. We're letting the companies to rethink their own strategies about how to expand further in their areas. So we are forging much stronger partnerships, which is also enabling us to grow.

One of the reasons -- in fact, interestingly, one of the customers that we have, one of our largest customers, we onboarded them and just before onboarding them. They made it very clear. These are our credit terms. Only if you are financially strong enough to offer these credit terms we will even consider you as a supplier. With those particular credit terms, the number of potential suppliers come down from 100 to maybe 4 or 5 in the world, and we are one of them.

So we -- today, in fact, one of our existing shareholders also asked us to explore the option of why don't you consider -- because of your economies of scale and all, why don't you consider getting credit from your own suppliers. Why don't you consider reducing your credit days with your customers? We've explored both these options as well. But what we found, interestingly, is because of the credit rating of the company, we are able to get access to funds at a much lower rate than everybody else. That is also one of the competitive advantages that we have, both in India as well as Vietnam.

We are in this priority sector right now. And there are certain benefits that come out of that, which is why we are actually utilizing our working capital and everything else to the fullest to achieve our objectives. So it's a combination of everything that is enabling us to grow at the pace that we are growing.

As far as this long-term debt is concerned and everything else, as I mentioned earlier, our initial strategy -- our strategy over the years has always been, first, to expand, then stabilize, then expand and then stabilize. The only change that has come about this time is we had to advance our freeze-dried expansion by about 1,

2 years only because we have a customer

coming and saying, "We're willing to give you a commitment in writing for at least 5 years." If that did not happen, we would have postponed this expansion until the stabilization was completed.

So we are in a situation where that debt is a little higher right now. But that confidence level is there that not only can we service this debt, we can also grow at a much faster pace than what we anticipated earlier. In fact, that is one of the reasons why because the B2B space is 100% taken care of at least for the next couple of years, we have that confidence and that flexibility

to focus on the B2C also a little bit more aggressively. We are not like -- one of the questions
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Moderator:

Praveen Jaipuriar:

Moderator: CCL Products (India) Limited

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that one of the shareholders asked earlier is, what is the profitability that we're expecting from the B2C segment and all that? Are we focusing on profitability nght now?

The answer is no. Right now, our intention like what we did in India, our focus is to grow volumes in the B2C space in a sustainable manner. We are not looking at spending ridiculous amounts of money in advertising and pushing the product. Every country that we are introducing our products, there will be a learning curve. So we're planning and doing that slowly and steadily. And our intention is eventually the transition should hopefully take place where we are more of a B2C company than just a B2B company as we were in the past. And this transition also, we are doing with the help of our existing customers in different regions, the several distributors, the people who are changing their entire business model because of us, partners that have been with us for so many years. So all these changes is what is giving us the confidence that we are on the right path with respect to the long-term vision of the company.

Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the management for their closing remarks.

Thank you, everyone, for joining us. I hope we have been able to clarify some of the doubts some of you had. And please feel free to reach out to us separately if you have any queries. You can write it to our -- to Sridevi, and we'll be happy to answer your queries. Thank you so much, and look forward to meeting you again.

Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you, all, for joining. You may now disconnect your lines.

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Call: Jul 2023

CCL PRODUCTS (INDIA) LIMITED

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Date: 21.07.2023

To

The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra – Kurla Complex,
Bandra East, Mumbai – 400051.

Scrip Code: CCL To
The Corporate Relations Department,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Scrip Code: 519600

Dear Sir/Madam,

Subject: Transcript of the Conference Call held to discuss the results of Q1 FY2023-24 as required under Regulation 30 of SEBI (LODR) Regulations, 2015

With reference to the above-mentioned subject, we wish to inform that,

- i) The copy of the Transcript of the Conference call held on 17th July, 2023 to discuss the results of the first quarter of financial year 2023-24 is enclosed herewith.
- ii) The Transcript is also uploaded on the Company's Website and the Web link is, <https://www.cclproducts.com/wp-content/uploads/2023/07/Q1-Earnings-Call-Transcript-2023-24.pdf>
- iii) The List of Management attendees is stated in Transcript.
- iv) No unpublished price sensitive information was discussed in the call.

This is for your information and necessary records.

Regards,
For CCL Products (India) Limited

Sridevi Dasari
Company Secretary & Compliance Officer

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"CCL Products (India) Limited
Q1 FY '24 Earnings Conference Call"
July 17, 2023

MANAGEMENT : MR. CHALLA SRISHANT – MANAGING DIRECTOR –
CCL PRODUCTS (INDIA) LIMITED
M R. PRAVEEN JAIPURIAR – CHIEF EXECUTIVE
OFFICER – CCL PRODUCTS (INDIA) LIMITED
M R. B. MOHAN KRISHNA – EXECUTIVE DIRECTOR –
CCL PRODUCTS (INDIA) LIMITED
M R. V. LAKSHMI NARAYANA – CHIEF FINANCIAL
OFFICER – CCL PRODUCTS (INDIA) LIMITED
M S. SRIDEVI DASARI – COMPANY SECRETARY – CCL
PRODUCTS (INDIA) LIMITED
M R. P.S. RAO – CONSULTANT COMPANY SECRETARY –
CCL PRODUCTS (INDIA) LIMITED

MODERATOR : MR. ABHISHEK NAVALGUND – RESEARCH ANALYST –
NIRMAL BANG EQUITIES PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the CCL Products (India) Limited Q1 FY '24 Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Navalgund from Nirmal Bang Equities. Thank you and over to you, sir.

Abhishek Navalgund: Thank you, Ryan. Hello, everyone. On behalf of Nirmal Bang Institutional Equities, I welcome all the participants to CCL Products India Limited 1Q FY '24 Earnings Conference Call. The management is represented by Mr. Challa Srishant, Managing Director; Mr. Praveen Jaipuriar, CEO; Mr. B. Mohan Krishna, Executive Director; Mr. V. Lakshmi Narayana, CFO; Ms. Sridevi Dasari, Company Secretary; Mr. P.S. Rao, Consultant Company Secretary.

Without further ado, I would like to hand over the call to Praveen sir for his opening comments and then we'll open the floor for questions-and-answers. Thank you and over to you, sir.

Praveen Jaipuriar: Thank you, Abhishek. I welcome you all to this call. Just to give you a small snapshot of the performance in Q1, if you look at the group, the group has achieved a turnover of INR654.93 crores, which is almost 28.5% growth over last year for the first quarter as compared to INR509.28 crores for the corresponding quarter of the previous year.

And the net profit stands at around 60.71 as against 52.74, which is the growth of 15.1%. And the EBITDA is at INR106.6 crores, which is also an increase of 20%. And profit before tax is 69.42 for this quarter. So this is a small snapshot of the performance and I welcome you and I open the floor for questions.

Moderator: Thank you. We will now begin the question-and-answer session. Our first question comes from the line of Mustafa Arif with Nine Rivers Capital. Please go ahead.

Mustafa Arif: Hi, congratulations on your results and thank you for the opportunity. I would just like to know, could you please provide us the capacity and the timeline for your execution on your projects in Krishnampalem and in Tirupati?

Praveen Jaipuriar: Okay. So, just to add a couple of things here. If you know, last year, March, we added the NCL capacity. So from 37,000, 38,000 metric ton annual capacity, we moved to around 55,000 tons. That plant is fully operational now.

Now the next project, which will be spray dried at Tirupati, that is, we are slated to start next year, March, which is like the end of this year. So another 16,000 metric tons will be added at that point of time. And that will take us to around 70,000-71,000 metric tons.

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And subsequently, next financial year, quarter two, which is July-September quarter, we are looking to add another 6,000 metric tons of freeze-dried capacity in Vietnam. And that will probably, at a group level, will take us to around 76,000-77,000 metric tons of capacity, both

spray-dried and freeze-dried included.

Mustafa Arif: Thank you. And also, could you clarify the cost?

Praveen Jaipuriar: So cost, at India, it is around INR400 crores, Yes, the spray-dried cost. And at Vietnam, it will also be a very similar cost, around USD50 million for the freeze-dried capacity.

Moderator: Thank you. Our next question comes from the line of Rakesh Wadhvani with Monarch. Please go ahead.

Rakesh Wadhvani: I just wanted to know the thought process behind the acquisition that we have done. How we are planning to expand the business? What will be the working capital involved or the techniques that the firm will be doing for that business? Tha

t is first of all from myself.

Praveen Jaipuriar: Okay. Your voice was actually breaking in between. But if I have understood right, you ask me about the thought process behind the acquisition. So if you kind of followed us what we did was five, six years ago we started to build our own brand and we launch Continental Coffee in India. After 5 years of operation, we saw that we have been able to reasonably create a brand turnover for us in India invented in our name, and that is when we kind of said that we need to take this forward into our B2C foray, which meant that either we build brands further strengthen our brands in India and launch our brands in other parts of the world, or see if there is some, valuable acquisition that is available. And if that is there, it will help us, strengthen our B2C portfolio and our vision to create brands for ourselves.

And that is when this, acquisition came our way, Percol and Rocket Fuel. So these are brands actually we helped Brian Chapman, who originally started this brand, helped him to create the product profile and launch these brands in the UK market. So there was already a connect from our side as far as these brands were concerned.

And we thought that it will be a very good opportunity for us to enter into a UK market because this brand is already, already present there, it has got certain equity there. So it will be much easier for us to build this brand, rather than, start from the scratch. And that's why we kind of, acquired these brands.

And as of now, we are working with our partners in UK, which is Sucafina, to resurrect this brand, relaunch it. And in another, three to four years time, we are looking to create, probably a INR100 crores portfolio from these brands in UK. So that's the thought process behind the acquisition.

Rakesh Wadhvani: Sir, just wanted to know the revenue from the brand in the last one, two years, what was the revenue and trade they were doing?

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Praveen Jaipuriar: So actually, when we bought, the revenue is close to around INR18 crores to INR20 crores. So that is the revenue that they are doing right now. And as I was telling you, in another three to five years, probably we are looking to scale it up to close to INR100 crores. Let's see how things, pan out for us in the future.

Rakesh Wadhvani: Okay. Just last question from my side, any reason for not taking the Continental Coffee brand that is we sell in domestic market to the international market, because we have already good purchasing here, good advertising, good brand, makes a reason for not taking the Continental brand there?

Praveen Jaipuriar: So, Yes, there's no specific reason, we will take Continental brand to other parts of the world as well. But there are certain markets, the very mature markets, especially the European market, the American markets, their brand building is a very, very tough exercise. You know, it's very, very resource consuming, you have to spend a lot to build a brand from the scratch.

So, we made our options there that how do we take it forward. And, in the long term, probably we could integrate some of these brands into our own brand architecture of Continental. But these are all thought processes that will evolve as we go along, as we see how brands are evolving. But not to say that we don't want to take Continental, we will definitely take Continental as well to a few places outside India as well.

Moderator: Thank you. Our next question comes from the line of Vidit Shah with IIFL Securities. Please go ahead.

Vidit Shah: Hi, thanks for taking my question. My first one was around, the margin profile. We saw about 22% console margins, that's fallen to about 16% in one queue. What's been the key driver? I see that the standalone margins have been somewhat stable of the stand-alone business. So what happened in the substituent that has, sort of driven the mar

gins down?

Praveen Jaipuriar: Nothing much, Vidit. Actually, if you see that we still, like it happened last year also, there was, it looks like the margins have dipped because we are comparing EBITDA to the, as a percentage of top line. But what is happening is in both the years, the coffee prices, they are on a rise and

we are getting around 10% to 15% higher value for a like-to-like volume. So we still are growing volume at around 18%, 20%, which means if you were to see our EBITDA margins per kg of coffee sold remains intact.

However, optically, because the coffee prices have gone up and we work on cost-plus model, it looks like the EBITDA margins as a percentage to top line is coming down. But that's nothing to worry about because what will happen is that when the coffee prices soften or when they go down, you will see opposite trends. You will see that the EBITDA margins to top line will start increasing as well. So it is more because of the coffee price, bean price increasing rather than any efficiency in the operating margins.

Vidit Shah: Got it. And the recently commissioned capacity in Vietnam, what's the utilization that we are currently operating at?

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Praveen Jaipurkar: So I'll just break it down into two parts, Vidit. One is the earlier capacity, which was 13,500 tons to 14,000 tons. That we are operating at optimum. And when I say optimum, it always means around close to 90%, 85% to 95%, let's say, depending on the kind of product that you are doing.

And the new capacity, which is 16,000 tons, that we are operating at 50% capacity as of now.

Vidit Shah: Okay. Got it. And this is likely to go up as the year passes, right?

Praveen Jaipurkar: So, this year we have given a guidance that probably, we will -- for the full year, we'll get to see 50% utilization of the new capacity, Yes. So overall, if you add all of them together, probably we'll be at around, because full of the same, so around 70%-odd of the total capacity at Vietnam, 70% to 75%.

Vidit Shah: Okay. Got it. And the branded business that we have in India, the B2C business, that is about INR 250 crores of revenue in FY '23. With the new acquisitions in UK, does the focus shift towards building that business and this growth profile is likely to slow down in the domestic market? Are we likely to see 30% to 40% growth going forward as well in the domestic business?

Praveen Jaipurkar: Yes. So Vidit, actually, what you said in the second half is right. We are not going to shift any of the focus from one business to the other. So therefore, if you see for the UK business, we have partnered with our long-time partner, Sucafina, who is taking care of a lot of execution for us there. So it's only at a strategic level that we are giving our inputs as of now from here and none, no let up in, push in the domestic business. So that will continue to grow at 30% to 40%. We'll keep driving it as aggressively as we have been.

Vidit Shah: Okay. Any pushback that we've seen from customers, our B2B customers in the UK, given that now we are venturing out in the B2C space out there?

Praveen Jaipurkar: Not really. We are actually making sure that we don't kind of overlap into either product profiles or territory. So that is something we are taking care of. And until now, we haven't seen any pushback.

Vidit Shah: Okay. I will get back to in queue for more. But thanks a lot for these.

Praveen Jaipurkar: Yes. Sure. Thank you.

Moderator: Thank you. Our next question comes from the line of Amar Maurya with AlfAccurate Advisors Private Limited. Please go ahead.

Amar Maurya: So can you help me understand what was the volume growth at the overall level in this quarter?

Praveen Jaipurkar: It's around 18% to 20%.

Amar Maurya: Okay. 18% to 20% volume growth. So that means that your EBITDA per ton would have gone down, right, in that case?

Praveen Jaipurkar: No, not really. Not really.

ally. If you see EBITDA growth is also 20% at an overall level. Yes.

Amar Maurya: No, I'm talking sequential EBITDA. EBITDA per ton.

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Praveen Jaipurkar: No, sequential -- don't see sequential, because there will be variations in quarter-to-quarter. So there would have been certain things in the last quarter, a type of profile send and all that. So that is not really a good thing to see. I would advise that you see it in a little long periods of time because the way the contracts are.

What happens is that sometimes your higher margin contracts are skewed towards the quarter. Sometimes your signal effect makes it getting skewed to certain other quarter. So keeping all that in mind, I think, it's better to see at a long term perspective. And therefore, to negate the seasonal impact and these quarterly impacts, we generally see it Y-on-Y. And if you see that, I think, both volume growth and EBITDA are perfectly in line.

Amar Maurya: Okay. Got that. And secondly, sir, is it like your second quarter in terms of your EBITDA per

ton is the best quarter?

Praveen Jaipurkar: No, we can't say that. Again, as I was telling you just a while away, it will really depend on how the orders are scheduled, which quarter, which kind of in some quarters, suppose I get more of the small pack orders, my EBITDA per kg improves in that quarter or some quarter your freeze diet gets a little more loaded than the other one. So all these things will play a role. So difficult to comment. But generally, because of seasonal impact, quarter 3 and quarter 4 are generally the little bigger quarter than the other quarters.

Amar Maurya: Got that. Thank you, sir. Thank you.

Praveen Jaipurkar: Thank you.

Moderator: Thank you. Our next question comes from the line of Bhavya Sonawala with Samaasa Capital. Please go ahead.

Bhavya Sonawala: Thank you for the opportunity, sir. So just one question. I just want to understand going forward, what kind of opportunity do we have in innovation of new products? I mean, is there some scope for us going forward? Just want to understand on those lines.

Praveen Jaipurkar: So, Yes, Bhavya, we keep on working on a lot of product innovations, a lot of product development. Yes. And we try and keep gauging the market, the trends that are developing in the market. So whether it was freeze diet at some point of time, whether it was instant cold brew that we developed. And now we are looking to kind of see if we can do something in specialty coffee. There is a lot of interest around the globe around specialty coffee, specialty instant coffee. So we are working on a lot of projects with a few clients of ours to develop the specialty coffee. And that is one of the reasons why we had set up the mini plant, the pilot plant in our premises. And that was precisely for this reason that we could do some premium and specialty coffee in small quantities. And as and when the market demands. So a lot of these innovations have been going around. We are doing a lot of work, a lot of details I can't share with you right now. But yes, there is ample and enough work going around all of these.

Bhavya Sonawala: Okay, that was really helpful. Just I remember three years ago, you had mentioned that cold brew can be a decent opportunity. So any thoughts on that?

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Praveen Jaipurkar: Yes, it has been. We have seen a lot of success in instant cold brew. So we developed for one client. Now we are getting orders from many others as well. So that's picking up nice. And as I was mentioning to you right now, we are getting a lot of queries on specialty coffee because all the time in any product category, there is a certain trend of moving up the up the chain. And there's a lot of interest around these kind of coffees.

So we are doing a lot of work on that front as well. Cold brew happens to be that

that innovation

has already happened. It's now more about us trying to push the products, sell the products, create those success stories for a couple of clients and then demonstrate to others that this could be a good product for them as well. So, Yes, for cold brew, instant cold brew, we will be trying to penetrate the market. And at the same time, yes, there are product innovations that are going on.

Bhavya Sonawala: Okay. Understood, sir. Just last question, if I may squeeze in. In the domestic market, we have seen a lot of startups and new age brands come in with in the coffee segment. So trying to understand how do we work with them? Is it kind of that we go to them with special mixes or do they come to us having something in mind and we build something for them? So how does the business development work at an issue stage?

Praveen Jaipurkar: So it happens, both ways. Sometimes what happens is that they will come to us and they would say that they want a certain profile of coffee or they want to do this. They have identified certain segments which they want to work on. So there are times when they will come back to us. And then there are times when sometimes people will come to us and say, they want to launch something. Can we share some product profiles with them or some market understanding? So work both ways. And that's the reason if you see for most of these startup guys, we have been supplying coffee to them and have been the exclusive suppliers to them. So work both ways.

Bhavya Sonawala: Okay, got it, sir. Thank you so much and all the best for the future.

Praveen Jaipurkar: Thank you.

Moderator: Thank you. Our next question comes from the line of Lokesh Maru with Nippon India Mutual Fund. Please go ahead.

Lokesh Maru: Hi. Thank you for the opportunity. Congratulations on a healthy set of volumes growth, sir. Just wanted one thing on what would be our expected depreciation and interest cost for the year? It was like, let's say, depreciation was INR22 crores. So you're assuming INR88 crores for the year and assuming INR60 crores interest cost, is that the right way or may it change?

Lakshmi Narayana: This is Lakshmi Narayana here. The interest cost will be in line with the cost that we incurred for this Q1. It's going to be in a similar way for the remaining three quarters as well.

Lokesh Maru: And the same goes for depreciation?
Lakshmi Narayana: Yes.
Lokesh Maru: Okay. Thank you. That's all from my side.
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Moderator: Thank you. Our next question comes from the line of Kashyap Javeri with Emkay Investment Managers. Please go ahead.

Kashyap Javeri: Yes. Good morning, sir, and congratulations for a great set of numbers. Two questions from my side. One, in the brand acquisitions that we have done, what additional investments are we going to do in terms of any working capital? That's question number one.

And second is, what was the gross debt at the end of 30th of June in light of the fact that our interest cost quarter-on-quarter has also jumped up by about almost 50%?

Praveen Jaipurkar: So I'll just take up the first one and I'll just ask CFO to give you the details for your second part. So on the first part, as far as the investment required, we really won't be requiring any additional working capital investments per se, on the acquisitions because we are looking to -- it's already a running brand. The sales are at around INR18 crores, INR20 crores. So we are looking to kind of break even on that business. At best, maybe a INR1 crore here or there probably could be required, which is insignificant really. So there won't be any additional investment that we'll put into that business. And Yes, I'll ask CFO.

Kashyap Javeri: In a question over there, as we go forward and we look at this inorganic route for the brand business, what's the strategy there? How much is the cap on what we are going to continue to invest there, if there is any?

Praveen Jaipurkar: So, difficult to kind of give you a gap or something like that. But as we have been telling you that we entered into brand building business five, six years ago. And what we believe is that we need to develop this segment, grow aggressively on segment, not only in India, but international markets as well. Now, international market, we had two choices. One is to launch our own brand. And one is to see if there are some valuable acquisitions that is there because in some of the mature markets, brand building is an expensive exercise.

So keeping all this in mind, when this acquisition came our way, we thought it's a good buy for us to start building a brand in the UK market. And that's the reason we went ahead and bought this brand. So that is the whole thought process. We haven't put a number to it that, okay, these are the number of these many acquisitions we'll do or this is the value of acquisitions we'll do. Fundamentally, we were looking to grow organically itself, but since this was a good opportunity that came our way, we thought that it would be a good acquisition that will fit into our scheme of things.

Kashyap Javeri: But can this meaningfully add to our debt? Because, see, we are generating about INR200 crores kind of cash flow here. And our own manufacturing capex requirements are roughly about INR400 crores kind of a number each. So in light of that what could be the strategy?

Praveen Jaipurkar: Very difficult to say that whether I would do an acquisition which will add to a debt right now or not. Because, yes, we will look at the balance sheet, the health of the balance sheet and everything before doing any big acquisition. But I cannot say no to this also because, you know, this debt will be there for, let's say, next three, four years. But let's say next three, four years later if something very worthwhile comes in and our debt positions are eased out by that point of time, there could be a strategy of, you know, doing an acquisition.

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But these are all, you know, these are all things that may come up in the future, difficult to comment right now. Unless and until because, you know, six months or a year ago we didn't even think that we would acquire a brand, but because the value was good and it was not disturbing the balance sheet, it was in line with our vision and therefore we went ahead and bought the brand.

Kashyap Javeri: Sure. And the gross debt number?

Praveen Jaipurkar: Yes. CFO will give you that number. Hello Mr. Lakshmi Narayana, are you able to hear us. Yes you can give the number.

Lakshmi Narayana: Yes, I can hear you now. Coming to the debt issue and at the console level we will be having a working capital debt of almost around INR1000 crores. Around INR600 crores it is going to be in India and INR400 crores it is going to be in subsidiaries that is the working capital side. And coming to the debt component, at the console level it is going to be at INR600 crores. This is what it is going to be on 31st March '24.

Kashyap Javeri: Sorry, this is as of?

Lakshmi Narayana: 31st March '24 end of this financial year.

Kashyap Javeri: But as of today?

Lakshmi Narayana: As of today it will be – we have only INR160 crores is a long-term debt. Around INR200 crores is the long-term debt and around INR750 crores is the working capital.

Kashyap Javeri: Okay. And what would be the inventory number as at the end of the quarter versus about 570...?

Lakshmi Narayana: Yes, inventory number we have almost around INR550 crores.

Kashyap Javeri: Okay. So it's like stable quarter-on-quarter?

Lakshmi Narayana: Yes.

Kashyap Javeri: Okay. Yes, that's it from my side. Thank you so much, sir.

Moderator: Thank you. Our next question comes from the line of Manoj Gori with Equirus Securities. Please go ahead.

Manoj Gori: So, sir, my question here would

be if you look at the healthy volumes that we have been reporting

for a while now. So, in the current quarter probably or probably in FY23 as well what would have been the volume mix with regards to higher wallet share from the older clients? So here when I say older clients probably clients which are associated before 'FY21 and probably what would be the volume mix or probably volume driver by the new client acquisitions?

Praveen Jaipuriar: So, Yes, you know, it's actually a bit of both. So, there has been volume increase because of the fact that we have been able to sell more to our older clients also and probably increase our wallet share in their wallet and we also got new clients. Now, it will be, you know, difficult for me to

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kind of put an exact number to them. But yes, there is a mix of both that has been happening.

There is also, you know, what happens is that it's a continuous process. So, there are lot of new clients that we probably would have developed over the last three, four, five years. So even the volumes with them have grown. So it's kind of, you know, combination of all these three factors that has led to consistent volume growth over the past few quarters.

Manoj Gori: Right. Sir, qualitatively on a softer note, a softer aspect probably that I look at the company. So, obviously when we are saying about like high teens kind of volume guidance probably for a few years now. So, what would be the driver? So, like what's the pipeline with regards to new client acquisitions and probably if you look at what is the scope left from the older clients with regards to higher wallet share because when you look at obviously the coffee market is not growing at such an exponential pace. So, I just want to understand on the softer aspect like the quality of volume that we would be driving in the coming years?

Praveen Jaipuriar: So, okay I'll give you a little broad perspective. If you see the, you're absolutely right the coffee market is growing at a low single digit. And considering the fact that we are growing at a healthy double digit volume growth it really means that we are actually gaining shares in the market. Now, qualitatively what is helping us gain shares in the market as I told you, it's like there is a constant acquisition of new clients. There is a constant ability for us to keep supplying more to our old clients and therefore increase shares.

Now, new clients are also two types. One is that we develop, you know, just let's say within a period of a year, then there are new clients which probably we have developed over the last three, four years. So, all of them add to the volume, but let's say qualitatively one would ask that what is helping us to do this? There are two, three factors which is helping us, you know, gain shares in the market.

One is, of course, because as we have, you know, growing big and as we are adding volumes, of course, you know, economies of scale work in our advantage and therefore, our ability to be very efficient in terms of our cost, that becomes one of the driving factors. The second driving factor is our ability to innovate and be able to give different kinds of products to our clients. So, that is one more ability you would have kind of, you know, followed our policy always maintain that, we construct our factories in such a way.

We have got our R&D, you know, very strong R&D as our backup. So, all these help us to, you know, gain shares in the market. Just to give you a small, you know, this thing set up. Suppose our old clients now obviously a lot of our clients are big into coffee and they do various kinds of coffee products. Now, if they want a new coffee product to be developed for them, for a new market, let's say, CCL becomes a very obvious choice because of our ability to be able to give the kind of product they want, Yes.

So that's why these are some

of the reasons and, of course, our network of our setups across the

globe our marketing associates, all of these, you know, at a combined level play a role, very difficult to say how much percentage one adds to each of these pillars. But yes, as a consolidated

thing when all of these things work, it helps you to get that kind of a working role.
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Manoj Gori: Right, sir. So that was very helpful. My second question would be, so if you look at probably few years back, we were very clear that we don't want to get into international market for branded business. So, probably what led to change of our stance over there and to get into branded business into UK market as of now? And probably would we evaluate other markets as well in the coming years?

Praveen Jaipuriar: So, just to kind of correct the context, we never said that we'll never go into the international market. The reason was that at that point of time we were just beginning to start our own B2C setup. Yes. And, you know, the whole DNA of a B2C setup, the way the brands are to be, you know, handled and the way brand building happens, it's a completely different ballgame. So, we were not sure of ourselves that whether we'll be able to do that thing or not.

So, that is why we were not very clear at that point of time that what route our B2C segment will be. But, you know, five years of operation in the Indian market and we have seen that in these five years, we have become the number three player and we have created a sustainable business here. So that, you know, that led to this thought that if we are doing it in India, why not build our own brands across the globe, considering that we have a fair bit of knowledge what's happening across the globe as far as coffee is concerned.

And that's when we said that okay whether it is our brand that we may launch in some of the countries across the globe or if some good acquisitions that come our way, which Percol came our way and we acquired that, we will take that route. So, Percol came our way and we bought that brand and we thought that UK is a good market where we can create our own brand. Now, coming to your last part of the question that do we have plans to go to other markets? Yes, we are evaluating as of now that which are the other markets that we can go into.

A lot of thought is being put in which are good lucrative markets, which segments we can go. Somebody had asked that, you know, whether it is in conflict with our B2B clients. So, that also we do evaluate that we don't kind of, you know, create an overlap with them, with the already existing brands whom we supply to. So, keeping all of that in mind, we are, you know, evaluating and very soon you'll be seeing that we will be kind of, you know, entering some of the markets across the globe with our brands as well.

Manoj Gori: Sure, sir. One more question, if I may. So on the domestic market, obviously we have done extremely well. Probably we have, like there are n number of efforts that we have taken. So where do we stand currently and probably what are the areas where we need to focus on going forward and probably what would be the target, aspirational target for the branded is probably from FY26, FY27 perspective with regards to sales and EBITDA markets?

Praveen Jaipuriar: You loaded a lot many things into one, but I'll try and answer them quickly. Domestic market, we continue to apply the pressure. So obviously once we have created a small base for ourselves, the next set of things is to penetrate the market even further. So like, for example, today we are presenting in a lakh outlet. We are going to probably go to increase it by 30%-40%, so go to around 1,30,000 to 1,50,000 outlets this year. So that will be, a penetration driving exercise for us.

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We are looking to go into many more market

s. We have been fairly strong in South, but the other zones are still not as strong. So we kind of build the brand in the other zones as well. And as far as, going forward, what it looks like, of course, we are looking to kind of, double this in the next 2-3 years. So let's see how things pan out because, this is such a dynamic situation we are growing.

There are a lot of things that are involved in, brand building right from not only building the brand, but also from a distribution perspective and things like that. So a lot of work is going on. And as we speak, every time we speak something, something new comes up. So there's a lot of action there. We keep updating on that. And as far as EBITDA margins are concerned, we have broken even last year, next 2-3 years because the kind of aggression that we want to build on and the kind of resources that we want to deploy.

We are saying that next 2-3 years also we will keep breaking on the EBITDA and probably not look to milk it right now, but keep investing in brand building. And probably at a later stage when the brand itself is, Rs. 300 to 350 crores, that is when we'll start to re-evaluate saying that now do we start, building EBITDA or we need to, keep investing even more to get aggressive

top lines. So all this is that much more dynamic right now. And we'll take it as we go along.

Manoj Gori: Thanks, sir. So this was very helpful. Thanks a lot and wish you all the best.

Moderator: Thank you. Our next question comes from the line of Akshay Chheda with Canara Robeco Mutual Fund. Please go ahead.

Akshay Chheda: Yes, sir. So thank you for the opportunity. So two questions. So first is that how do you look to ramp up the new facilities that you are going to set up? I mean, the first one is in the Vietnam and the second one in the India. Would it be at the similar pace the ones you have done in the past or would it be a little faster considering the demand drivers and the demand drivers that you spoke in some previous questions? That is the first question. And second is, sir, how is the visibility for the same? So Yes, these are the two questions. Thank you.

Praveen Jaipuriar: So very simple. So first part. So we are not looking at, how fast or how slow we did it in the past. Forward going, we have given the guidance that for next two to three years we are looking to drive volumes by, 18% to 20%. So if you are going to drive volume by 18% to 20%, that means that these capacities will be required. In the next three to four years' time, you will see that these capacities will be probably operating at between 80% to 100%. So that is the whole growth objective. And because of that growth objective, we have put the capacities. So that's our guidance and that is why the backup for the capacities that have come up.

Akshay Chheda: Okay. And so order book visibility, if you can put some light, how are you booked?

Praveen Jaipuriar: Order book visibility was like this. Let's say for, let's say, freeze-dried. Freeze-dried next almost one year or let's say one and a half years. We almost sold out. We are booked fully. Spray-dried, we generally will have varying degrees of visibility. So if you look at next three months, we have 100% visibility. Next six months, we are approximately at 75% visibility.

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And next one year, we are probably at 50% visibility. So that's how on a rolling basis it keeps happening. And that's the kind of visibility we generally see. Sometimes, like when there is a higher demand for a certain product type like a freeze-dried, so we have a better visibility for next one and a half years. But at an overall level, we follow this kind of, we have seen this kind of visibility for ourselves.

Akshay Chheda: So when you say this visibility, so is it a confirmed thing?

Praveen Jaipuriar: Yes. When I say visibility, it is confirmed.

Akshay Chheda: But what happens

if the customer doesn't honor it, sir?

Praveen Jaipuriar: No. So it's all contracted volumes. It is not, casual. These are all well-contracted, documented, and these are not verbal things or something like that. Soft communication. So I don't account for any soft communication when I say my next three months visibility is 100%.

Akshay Chheda: Okay, sir. Thank you, sir. This was helpful.

Moderator: Thank you. Our next question comes from the line of Rohan Gupta with Nuvama. Please go ahead.

Rohan Gupta: Hi, sir. Thank you for the opportunity. Sir, a couple of questions. First is on our volume growth guidance. We are still confident about almost double digit it as much as 18% to 20% volume growth over the next three to four years. And for that, we are adequately building the capacities as well. In the last two to three years, we have seen that definitely in the post-pandemic environment and geopolitical issues with Russia and Brazil losing the market share, all these things have helped in the last two years to three years to gain the volume growth.

But, sir, now the world is normalizing and coming back to the earlier level, to the normalcy with almost the supply chain getting back to the previous level. But we are still building a very solid volume growth. If we look at historically, we have never seen such a volume growth for a longer period of five to six years in a row. So, I just want to understand what has changed in the global environment that is giving us the confidence that we will be continuously able to grow and gain market share globally significantly as far as the volume growth is concerned.

Praveen Jaipuriar: So, just on the first part, probably the geopolitical thing, the COVID thing probably provided some triggers, but they were not the pillars for our volume growth. So, the pillars of the volume growth remains the same as I've been mentioning. It's our economies of scale that work in our favor. So, therefore, it helps you to be competitive in the market. If you see our current volumes, we probably are 8% of the total B2B coffee market.

So, when you are at a single percent market share, you know that and with the kind of abilities that we have, which is about the strength of volume that we have, which builds a lot of economies of scale, the R&D and our ability to give a differentiated coffee and therefore, get that competitive edge in the market, our network that we have built over the past so many years.

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So, all of this put together gave us the confidence that we probably from an 8% market share could easily go to 15% market share. And to fulfill those volume demands of going from 8 to 15, backed on the fact that our competitive edge in the market, which are multifold, we were very confident that we will be able to drive this kind of volume growth in the next at least two to three years.

Rohan Gupta: Sir, we did benefit from the supply restriction from the European market to Russia and gain market there. We also benefited from the Brazil market losing market share because of the unavailability of coffee and lower experience of their coffee in last two years, two and a half years. That has really helped us in India as a country and we do have a sizable market share, 8% also, that makes us among the leading players globally in this supply chain for the coffee market. So, I mean, definitely we are aiming 15% market share.

That is a very ambitious target according to me, but we are not a small player as far as the global market is concerned and market dynamics are concerned. So, that's what I wanted to understand. Is it the customer confidence, customers relying more on us or we getting to offer them a small complete back-to-back supply chain where we are offering them even small pack solutions and all and everything? Is that something changing the business model, which is giving the confidence of al

so coming from the customer also that is going to drive this volume growth?

That actually was my question.

Praveen Jaipuriar: Yes, so absolutely. When I said that our ability to be competitive in the market, the edge that we get, it all actually leads to customer confidence. So, let's say during COVID or during geopolitical tension, that was a trigger, but not everybody who was situated in the safer geographies benefited. Last year, you know that we kind of bought coffee from outside and sold it. So, which means that the other players were having excess capacity, isn't it? In spite of the fact that they were in a similar situation like us because they were in a situation where they could have gained clients. But all of that didn't happen so easily because of the fact that we are able to. Why is the customer confidence very high? The customer confidence is very high because the customer knows that if they have a certain demand, CCL is well poised to commit to that demand and fulfill their demand. So, all these things and why CCL is able to fulfill their demand?

Because they are very competitive in the market, because they will be able to provide the kind of coffee they want. They will be able to provide small pack, large pack in whatever formats you want. So, our ability to deliver anything and everything under the sun gives us that competitive advantage to be able to gain more and more market share.

Rohan Gupta: So, you want to say that definitely COVID and geopolitical tension did trigger some increase in volume growth. But now, because the world and the customers have known our capabilities, the advantage will continue even in the next three to four years in terms of gaining market share?

Praveen Jaipuriar: Yes.

Rohan Gupta: And sir, irrespective of that, we are now getting vocal about getting into global retail markets as well, where I think that definitely we will be having a conflict of interest. You did touch upon on this part a little bit, but definitely there will be conflicts of interest in terms of when we have CCL Products (India) Limited

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a retail ambition. So, despite that, you see that there won't be any re-dialogues or any complaints from our clients because we are getting into the business model of retail as well as globally, not only just in India?

Praveen Jaipuriar: No, I don't think so. I don't think so because I told you that we will be very careful on that front as well. It's not that we are going to tread on somebody's foot or step on them. But Yes, we have our ambition to build our own brands to go into retail and that will continue to focus in a manner that it doesn't conflict with most of our clients.

Rohan Gupta: Sir, just one more thing...

Moderator: Sir, the participant has disconnected his line or has left the question queue. We move on to our next question, which is from the line of Rohan Gupta. Please go ahead. Rohan, are you there?

Since there is no response, we move on to our next question, which is from the line of Vivek Ganguly with Nine Rivers Capital. Please go ahead.

Vivek Ganguly: Thank you for the opportunity. This is regarding the interest and the balance sheet. Historically, you all had an interest rate of about 3%, 3.5%. So what is the interest rate that you all are paying now on the outstanding debt, one? And secondly, what is the total outstanding debt as we speak, Q1? And what will it peak at when the other two new facilities come online? That's all from my side.

Lakshmi Narayana: Gentlemen, regarding the rate of interest, as against the earlier rate of 3%, now we are witnessing that the rate of interest is going up. Presently, we are paying around 8% 6% is the rate of interest

we are paying.

Vivek Ganguly: 6%, okay.

Lakshmi Narayana: Yes. And coming to the debt, as of now, we have a total debt of working capital as well as the compound at the group level, which is around INR1,150 crores. And w

hen we, INR1,150. And

when we complete two facilities, one is in India, which is under WOS and as well, FD facility in Vietnam. The total debt is likely to be around INR2,000 crores.

Vivek Ganguly: 2,000?

Lakshmi Narayana: Yes. Which includes the working capital, INR1,050 crores, and the term loan INR1,000 crores.

Moderator: Thank you. Our next question comes from the line of VP Rajesh with Banyan Capital Advisors. Please go ahead.

VP Rajesh: Hi, thanks for the opportunity. Just a quick follow-up on the INR2,000 crores debt number you mentioned. Is it likely to peak out in fiscal year '25 or even later?

Lakshmi Narayana: Sorry, not able to hear you properly.

VP Rajesh: My question was that just INR2,000 crores of debt, when do you plan to be having this kind of debt? Will it be in fiscal '25 or in fiscal '26?

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Lakshmi Narayana: Yes. In fiscal '24, March '24, it is likely to be working capital plus term loan. It is likely to be around INR1,750 crores. And the year March '25, it will come down with the additional borrowing to our non-profit Vietnam. It is another INR 300 crores. So what I would like to convey is that the 31st March '24, it is around INR1,700 crores. And March '25, it is around INR 2,000 crores.

VP Rajesh: Okay, March '25, it will get to INR2,000 crores. And that would be the peak level of debt that you have indicated to us?

Lakshmi Narayana: That's right.

VP Rajesh: Okay, understood. And then my other question was when both of these capacities are online, let's say 3-4 years down the road, when you have to re-ramp them up, what will be our percentage of retail revenue in the total revenue?

Praveen Jaipurkar: You know, that's a little tight one because we are kind of taking it both separately. On the retail side, we are saying that we are continuing to grow at 30%-40%. Considering that the coffee prices have also been growing and we are aggressively growing on the B2B side as well, the resultant percentage is something difficult to kind of gauge at this point of time.

And also probably not a right matrix at this point of time because it will all depend on how things go forward from here. So that's not a matrix that we are actually internally looking at. What we are looking at is that in both the segments, how can we grow aggressively.

VP Rajesh: Right. But I'm seeing this ballpark. For example, if let's say it was 2013...

Praveen Jaipurkar: You know, if the retail -- suppose in the next three years the coffee prices are on the boil and your B2B itself becomes INR3,000 crores, INR4,000 crores and the retail is INR600 crores, INR700 crores, maybe INR800 crores. So it's still, at let's say 15%-20%. But really will depend, if the coffee prices soften and that 4,000 becomes 3,000 and the retail is at 800.

Because retail is not led by coffee prices. There the pricing is very different. It is more, benchmarked with the competition, your price elasticity in the market and things like that.

Whereas the B2B is completely, dependent on the coffee prices because of the cost-plus model. So, the resultants could be very different in both the scenarios.

VP Rajesh: Understood. Thank you. That was very helpful. My other question was that you were talking about your market share being around 8% or so. So has it been the case that some competitors have, gone bankrupt or moved out of the space? And that's why you are seeing this kind of support growth over the last few years. Can you give a sense of the structure of the industry a bit on the B2B side that will be helpful?

Praveen Jaipurkar: So, Yes. So I think that's not the right thing. The competitors haven't gone bankrupt. But what happens is that we'll have two sets of competitors, isn't it? There are small competitors and the large ones. So small competitors obviously lose out on their ability to service large quantities, their ability to service competitive

ly and their ability to service on a variety of products.

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So that is one thing that helps us give that competitive advantage. And as far as the large competitors are concerned, again, a couple of other things like, our ability to do different types

of products. You know, we have told you quite a number of times that when we construct our facility, we make sure that, a single machine or a single unit can give me many kinds of blends. And therefore, our ability to innovate becomes that much more higher. See, a client comes to us with a need saying that I want a certain type of coffee. If you aren't able to deliver that kind of a blend or that kind of a product to him, his confidence in you will go down. So that is what CCL builds over a period of time, that confidence and trust amongst large customers and even the smaller ones.

Saying that, okay, if I were to go to CCL, these guys are going to help me out with the product.

They will be certainly competitive when the pricing is concerned. And of course, to add to it, the kind of network that we have built over the past 25 years does help us in getting new clients or adding more volumes with the already existing clients. So all of them combined together, kind of helps us give that competitive advantage.

VP Rajesh: Understood. Thank you so much. That was all.

Moderator: Thank you. Our next question comes from the line of Akhil Parekh with Centrum Broking.

Please go ahead.

Akhil Parekh: Hi. Thanks for the opportunity. I just have one question or rather clarification on the debt part.

If I look at last quarter's con call transcripts, right, we have categorically mentioned that our debt position at peak level would be INR1,200 crores. And now we are guiding it for INR 2,000 crores. So what has changed sequentially or on a quarter-on-quarter basis that is leading us to higher debt guidance? That's all from my side.

Praveen Jaipuriar: Yes, is Lakshmi Narayana online? He messaged me saying that he got disconnected. Just can you reconnect with him?

Moderator: I'm trying to call him. Number is not going through. Just give me a moment, sir. For this question, we'll get back to you. I think, Lakshmi Narayana is not able to connect. But we will separately ask Sridevi to connect, separately with him and address your query.

Akhil Parekh: Sure. No worries. Thank you.

Moderator: Ladies and gentlemen, we have the line of Mr. Lakshmi Narayana connected.

Management: Okay. Akhil, you can go ahead.

Akhil Parekh: Yes. No, my question is on the gross debt position, right? Till last quarter, we mentioned that our peak debt levels would be at INR1,200 crores because of the two capacity expansions which we're doing in India and Vietnam. But now, we are guiding for a much higher debt guidance of INR2,000 crores. So, what has changed sequentially in the last three months? That's my question.

Lakshmi Narayana: Actually, if you look at it, 45 million which we are intending to avail funding for our Vietnam operations, which is equivalent to almost INR 300 crores. And the second is that increasing the CCL Products (India) Limited

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working capital. At the new plant and because of the increase in the capacity from up to 30,000 tons, which calls for additional working capital, and also the increase in the working capital in Indian operations, which counts to by March '25, the total debt is likely to reach INR 2,000 crores. That is the reason.

One is almost around INR 400 crores to INR 450 crores is towards working capital. And INR 300 crores is the term loan that is going to be coming in place in 2024-'25, which makes the total debt to reach to INR 2,000 crores.

Akhil Parekh: Okay. But these are the same assumptions we had, right, if last quarter as well. So, it's quite perplexing, actually, why the debt position.

Lakshmi Narayana: No, working capital, we need to count

on the working capital increase, and which is coming up now almost around INR500 crores.

Akhil Parekh: Okay. So, when we reach INR 2,000 crores of debt, what would be the working capital debt and what would be the long-term debt?

Lakshmi Narayana: Yes, it is around INR 1,050 crores. INR 1,000 crores is going to be the long-term debt, and INR 1,000 crores is going to be the working capital at the group level.

Akhil Parekh: Okay. That's all from my side. Thank you.

Moderator: Thank you. Our next question comes from the line of Dhiral with Phillip Capital. Please go ahead.

Dhiral: Yes. Good afternoon, sir. Thanks for the opportunity. So, what was the branded revenue business that we did in Q1 FY '24?

Praveen Jaipuriar: So, in Q1 this year, we did a total business of around INR65 crores, out of which around INR40 crores will be branded business.

Dhiral: Okay. And so, what was the utilization of the domestic facility? Spray-dried and freeze-dried in Q1?

Praveen Jaipuriar: Full.

Dhiral: Okay. So, 85% to 90%.

Praveen Jaipuriar: Yes. When we say fully, actually, close to 90%.

Dhiral: Okay. And sir, lastly, again on the debt part, so at INR 2,000 crores kind of debt, what kind of interest outflow we can consider?

Lakshmi Narayana: On an average, we can take it at 6%.

Dhiral: Okay. So, around INR120 crores.

Lakshmi Narayana: Yes. That's March '25, if you look at it, financial year '25.

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Dhiral: Okay. Got your point, sir. Thank you so much, sir.

Moderator: Thank you. Our next question comes from the line of Nirav Ssavai with Abakkus AMC. Please go ahead.

Nirav Ssavai: Thanks for the opportunity, sir. My question is regarding this gross margin contraction, which we have seen in subsidiary companies. So, what has led to it and how do we see this going forward, particularly on the Vietnam side?

Praveen Jaipuriar: So, again, at the cost of repeating, this is actually not contraction because when we do costless model with around 10% to 15% or so, higher coffee prices leads to higher top line. So, if you see our volume growth is, let's say, 18% to 20%, our top line is 28%. Yes. So, there is at an overall level. So, what happens is that optically as a percentage to top line, your EBITDA margin seems to have dropped.

But if you look at your per kg EBITDA, which is top line growth over EBITDA growth, if you see, both are in line. So, both are close to 20%, which means that EBITDA per kg is the same that we have been getting over the previous periods.

Nirav Ssavai: Okay. But then Indian operations, we don't see a big change. It is more on the Vietnam operations where not gross margin contraction more?

Praveen Jaipuriar: So, again, there will be variations because of the kind of products that you did in a quarter or a kind of sales that you did in a quarter. So, a lot of things goes into it. Very difficult to thread that decode it in the sense that did it happen because of lack of efficiencies or did it happen because of lack of the kind of products that you sold and things like that. But what I would say, and therefore, is that at a consolidated level, at a longer period level, if you were to see our volume growth and our EBITDA growth will be in line, meaning that the efficiencies are on track.

Nirav Ssavai: Got it. That's it from my side. Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question. I would now like to hand the conference over to the management for closing comments.

Praveen Jaipuriar: Thank you, everyone, for joining the call. And thank you, Nirmal Bang, for organizing the call. I look forward to meeting you all after the second quarter. Thank you.

Lakshmi Narayana: Thank you.

Praveen Jaipuriar: And if at all there is any other questions, please, you can reach directly to us, send an email and we'll be happy to address your queries.

Moderator: Thank you. On behalf of

Nirmal Bang Equities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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Date: 10.11.2023

To

The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra – Kurla Complex,
Bandra East, Mumbai – 400051.

Scrip Code: CCL To
The Corporate Relations Department,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Scrip Code: 519600

Dear Sir/Madam,

Subject: Transcript of the Conference Call held to discuss the results of Q2 FY 2023-24
as required under Regulation 30 of SEBI (LODR) Regulations, 2015

With reference to the above-mentioned subject, we wish to inform that,

i) The copy of the Transcript of the Conference call held on Tuesday, 07th November, 2023 to discuss the results of the second quarter of financial year 2023-24 is enclosed herewith.

ii) The Transcript is also uploaded on the Company's Website and the web-link for the same is:

<https://www.cclproducts.com/wp-content/uploads/2023/11/Q2-Earnings-Call-Transcript-2023-24.pdf>

iii) The List of Management attendees is stated in the transcript.

iv) No Unpublished Price Sensitive Information was discussed in the call.

This is for your information and necessary records.

Yours sincerely,
For CCL Products (India) Limited

Sridevi Dasari
Company Secretary & Compliance Officer

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"CCL Products India Limited
Q2 FY2024 Earnings Conference Call"

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Page 2 of 18 Moderator: Good day ladies and gentlemen and a very warm welcome to the CCL Products India Limited Q2 FY2024 Earnings Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Manish Mahawar from Antique Stock Broking Limited. Thank you and over to you sir!

Manish Mahawar : Thank you Yusuf. Good morning, everyone. On behalf of Antique Stock Broking, I welcome all the participants to the Q2 and FY2024 earnings call of CCL Products. From the management we have Mr. Challa Srishant, Managing Director, Mr. B. Mohan Krishna, Executive Director, Mr. Praveen Jaipuriar, CEO, Mr. V Lakshmi Narayana, CFO and Ms. Sridevi Dasari, Company Secretary on the call. Without any delay I would like to hand over the call to Mr. Jaipuriar for opening remark post which we will open the floor for Q&A. Thank you and over to Mr. Jaipuriar.

Praveen Jaipuriar : Thank you Manish for the introduction and I welcome you all to this call. I will just go through the brief summary of the operational performance for the last quarter and the half year and then you can ask your questions. So as far as quarter two performance is concerned, the group has achieved a turn turnover of Rs.607.56 Crores for the second quarter as compared to Rs.506.56 Crores for the corresponding quarter of

the previous year which is almost a 20% growth, and the net profit stands at Rs.60.86 Crores as against Rs.57.79 Crores for the corresponding quarter of the previous year which is approximately 5% growth over the corresponding quarter. The EBITDA is at Rs.110.64 Crores which is a 13% increase over corresponding quarter and profit before tax is Rs.69.7 Crores which is a 5% decline with respect to the corresponding quarter. As far as half yearly figures are concerned, the group has achieved a turnover of Rs.1262.50 Crores for the first half and as far as the growths are concerned it is 24.3% growth and as far as net profit is concerned it stands at 121.57 Crores as against Rs.110.53 Crores for the corresponding half of the previous years. The EBITDA is at Rs.217.32 Crores and profit before taxes is Rs.113.13 Crores. As far as EBITDA is concerned for the first half it is 16% growth over corresponding half for the last year and as I told the profit before tax for the half year is 139.13 Crores so that is a brief summary and I open the floor for questions.

Moderator : Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Rakesh Wadhwani from Monarch AIF. Please proceed.

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Page 3 of 18 Rakesh Wadhwani : Hi team. Thank you for the opportunity. Sir just there was few months back there was an update regarding the breakage of equipment in the Vietnam subsidiary, can you please talk

about the business loss because of the breakage of the equipment?

Praveen Jaipuria : So, there was a breakage in the equipment in the last quarter and for which we had given an intimation. As far as the update is concerned the equipment and the plant is back in running and everything is fine now, now as far as losses are concerned exact losses we will not be able to comment exactly what is the loss right now because the losses are being assessed and because we are speaking to the insurance companies so all that survey and everything is taking place, so once that is done, we will be able to intimate about the exact losses for that breakdown, but yes for a month production losses we experience. So for the expanded capacity almost half of that the total capacity we were not able to operate for one full month so that is the kind of production loss we had which led to topline as well as bottom line loss but exact numbers we will be able to share with you once we have assessed the exact amount of losses.

Rakesh Wadhvani : Okay and sir can you talk about the coffee prices for the quarter like average coffee prices for the quarter?

Praveen Jaipuria : Average coffee prices for the quarter is a very difficult thing to say because as you know our business model is such that we keep buying for our contracts. So there are lot of these coffee prices that we may have which had already been bought quite some time ago. For some spot contracts you would be buying coffee on the spot so that is not probably the right measure for one to see but as far as the coffee prices globally are concerned we all know that coffee prices are still at very high level. We are expecting that once the Vietnam crop comes in which is approximately the same time next month, we will be able to get an idea that how the world coffee prices are or which direction they are moving in and that will give us some sense that how the coffee prices are going to pan out for the next one year.

Rakesh Wadhvani : Okay so one last question from my side sir there were articles a couple of weeks back that there is a coffee crop loss in the Brazil market so just wanted your thoughts on that are we witnessing any client shifting from Brazil to us or we are getting new queries because of that?

Praveen Jaipuria : So I think the news that you are referring to was probably one year old news that is the time when Brazil crops were affected and Brazil coffee prices have g

one up but this year the

Brazil crop has been good and in fact there prices have softened a bit so that phenomena of people out moving from Brazil is not there and we will as I said you a lot will depend on

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Page 4 of 18 how things move once the Vietnam prices come out in the open which will happen after their crop comes in next month.

Rakesh Wadhvani : Okay sir thank you and all the best.

Praveen Jaipuria : Thank you.

Moderator : Thank you. Next question is from the line of Venkat from 3sigma Financials. Please proceed.

Venkat: Thanks for the opportunity. In the last quarter you mentioned that the green coffee price actually determines the liability or the borrowings rather the working capital so can you give a breakup of the working capital versus the long-term borrowing?

V Lakshmi Narayana: Long-term borrowings remain intact because we are availing the borrowings for new projects only at Vietnam and in India as far as the working capital borrowings are concerned as I stated in previous call, the limits are based on the peak level of the green coffee prices that remains intact and any moment a change that can be witnessed once the Vietnam crop keep coming in that is likely to come from December.

Venkat: Sir there is Rs.400 Crores increase in the borrowing so is this due to the price or is there anything else that has contributed to this increase in borrowing?

V Lakshmi Narayana : Increase in borrowing if you look at it as we said a new project is coming up so that is 16,000 tonne capacity facility whereby, we are taking around Rs.320 Crores as a term loan and some of the balancing regarding the GC prices impact there is another 80 to 100 Crores that is what it is reflecting as Rs.400 Crores.

Venkat: Sir we had a shutdown right in Vietnam so what is the capacity utilization in light of this? the total capacity utilization?

Praveen Jaipuria : As far as let say the Vietnam capacity was concerned, we were looking to utilize 50% of the enhanced capacity and almost 100% of the previous capacity, but considering the breakdown and situation that arose in Vietnam, probably that number would be lower for the last quarter but on an annualized basis we will try and maintain that kind of guidance of utilizing 50% capacity for the new line for the full year.

Venkat: So, the company level what is the capacity utilization sir?

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Page 5 of 18 Praveen Jaipuria : As I told you the capacity utilization per se if I were to take the India capacity utilization it is at 100%, Vietnam the previous line or let say the old-line capacity utilization is also almost 100%. Quarter one in Vietnam we had utilized the new facility also 50% but quarter two as I was telling you we are still assessing the losses, the exact production loss that we had but if I were to take an informed guess it would not be 50% of the new capacity but probably will be at around 25, 30% of the new capacity but that will actually we will be able to give a clearer picture once we have done our surveys and assessments and the insurance companies also done the surveys and assessments but going forward as I told you at an aggregate level for the full year we are trying our best to make sure that for the full year for the enhanced capacity we will be able to achieve 50% because we are looking to secure more contracts in quarter three and quarter four so that we can make up for the losses that we had incurred.

Venkat: Sir how do you see the next quarter and the entire year?

Praveen Jaipuria : As I told you know exactly the same way as we were mentioning the next quarter and the entire year we already had the order books full as far as the guidance was concerned which was about 18-20% growth on topline and EBITDA that will remain. The only thing is that for the losses that we incurred last quarter we probably have to book a little more

order so

that we make up for that topline and bottom line losses so the entire year the guidance still remains the same, we will probably end up at 18% to 20% volume growth and the similar levels of operational profit.

Venkat: Thank you very much. I do not have any further questions.

Moderator : Thank you. Next question is from the line of Richa from Equity Masters. Please proceed.

Richa: Thank you for the opportunity, sir. Sir my question was if you could share an update on the domestic performance for the first half and second question is on margin trajectory I know you do not share the absolute margins but it do you see any kind of improvement or inching up I think you had guided that you know over two to three years you would be looking forward to 135 to 140 per kg kind of margin are we on track to achieve that?

Praveen Jaipuria : Okay. First of all, the first question that you asked was about domestic market performance so if I like to see total number, we probably were around Rs.135 Crores, Rs. 140 Crores of total domestic market business out of which approximately 85, 90 Crores was pure brand so we are on track for the brand to close at almost Rs.200 Crores this year and the total business would be around Rs.325 round about that number for the entire year, so we are
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Page 6 of 18 growing at quite a healthy pace but yes going forward we also want to kind of drive some more growth drivers into business and then making plans for getting into more aggressive growths in not only just the second half but also subsequent couple of years that is a little brief on the domestic and the brand business. So on the margin question that was asked, the margin profiles improve so what I was telling is that yes there are certain segments where it will improve for example we are driving more small packs that will help improve the margins, we are trying to sell more specialty coffee that will help improve the margins but having said so we will also see some mix change because we have put the Vietnam capacity the 16,000 metric tons is spray dried capacity where we get lesser margins so what will happen is that this year suppose if you were to utilize 50% of my capacity where the growth will come from will largely come from spray dried so that growth will be driven at lower margins because spray dried will have lower margins so there will be factors which will be pulling up the margin, there are factors which will pull down the margin so when we had commented that some of the margins will improve, probably it was some of the sectional business and not really at an overall group level. Overall group level we have given the guidance for last few quarters we have been always saying that for next couple of years we do not see any improvement or any deterioration in margin, we will maintain the 18, 20% volume growth and 18% to 20% EBITDA growth as of now.

Richa: Okay thank you for the answer and sir my second question is that now that you are putting up India capacities and Vietnam capacity is also planned, so how much time do you expect for these capacities to be utilized at an optimum level, full utilization level how much time does that take?

Praveen Jaipuria : So you know as a thumb rule if you have tracked our capacity enhancement and tracked our empirical data and history you will see that generally what we have been able to do is in the first year we tend to utilize 30, 35% of the capacity, second year is 50, 60% and third year we get to 80, 85% which is very close to the maximum capacity because you actually do not get the maximum rated capacity because of the different blends and things that you make in the coffee plant so therefore that is the broad guidance we maintain but you know if you were to see the Vietnam business, Vietnam capacity expansion so instead of 30, 35% in the first year itself we are able to utilize 50% so that we are ki

nd of that we performing much,
much better but as far as now the next India capacity is concerned that is a thumb rule we will see how things go forward but we know that there is a lot of capacity which we already know that will be utilized because, for example India capacity will be used a lot for domestic market, domestic market itself is growing at as of now 20, 25% we are looking to even kind of push the pedal harder and grow at a higher rate so we know that, that capacity will be required so there will be some capacity utilization but as a thumb rule as I told you
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Page 7 of 18 this is how we have kind of progressed in the past and this is how we are looking forward to progress for the all the new capacities that we looking forward to install.

Richa: Okay. Thank you for the detailed answer so last one last question if I may what would be the effective tax rates over next few years are they likely to be in the same range of some kind of changing?

V Lakshmi Narayana: At the group level it is likely to be around 12% okay.

Richa: Okay that is guidance for next year like until FY2025, FY2026?

V Lakshmi Narayana: The next two years it holds good.

Richa: Okay. Thank you so much sir. That is all from me.

Moderator : Thank you. Next question is from the line of Senthil Manikandan from Ithought PMS. Please go ahead.

Senthil Manikandan : Good morning, sir. Thanks for opportunity, so first in terms of the breakage of equipment at Vietnam so if you can share some insights into does it had already happened in the past or is it because of a new supplier that has happened in the expanded capacity some insights on what has happened?

Praveen Jaipuria : No, I do not think so it is because of the new supplier it has happened once in the past and these are things which are part and parcel of any manufacturing processes that there will be breakdowns, these are not new to us and yes of course it was unexpected but not really new to us. Having said so the reason that we had informed the market because to comply to the regulations that have been put up by SEBI and other government authorities that if there is a material impact that the organization feels that will take place because of these breakdowns one needs to inform so we were over cautious and we wanted to be transparent and that is the reason we informed the market, but it is neither new or it is neither because of any new supplier or anything.

Senthil Manikandan : Great thanks sir. Second question is with respect to the domestic B2C segment so in terms of branding I think we are seeing brands in the local Chennai metros so what could what the broad strategy for the branding part of the B2C segment?

Praveen Jaipuria : So basically the strategy is twofold. What we are doing is we are trying to aggressively gain shares from the existing players and the existing categories where we are trying to grow big,
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Page 8 of 18 we started our operations from South India which is a big coffee market and we are now expanding to other cities across the country so in almost all 10 lakh plus population town we are now have our distribution set up and we are slowly trying to capture the not capture let's say but at least gain some market shares in those areas as well so that is one part of the strategy. The other part is that how do we increase the coffee consumption for which we are trying to introduce newer formats like premix coffee which is because India largely is a tea drinking nation and slowly people are adopting coffee so we wanted to make sure that we are able to offer the consumers a lot more choices and lot more ways to drink coffee and that is why we are very gung-ho about this category of premixes because it helps drive that consumption that much more easily so that is one segment which we are focusing a lot which is a very new segment and

here we are doing a lot of category driving exercises here

it is a new category there are not many players who are playing in the category so here we are promoting amongst youth, the college going guys, the bachelors who probably are looking to not only experiment with coffee but also try various varieties of coffee and that is what we are trying to offer to them. Again coffee it is a food product and food products really have to be driven very differently, you have to drive newer habits so what we do is we engage in a lot of sampling exercise, interaction of the category with the consumer so wherever we get a chance we do a lot of product sampling so that people know interact with the product they get the taste of the product so that is the second part of the strategy that we are taking forward so largely these are the two buckets in which we are operating.

Senthil Manikandan : Great Sir thanks. That is, it from my side.

Moderator : Thank you. Next question is from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta : Hi Sir, good morning and thanks for the opportunity. Sir few questions from my side first if you can give some sense in the current quarter the kind of volume growth and the pricing

either degrowth or increase on Y-o-Y basis.

Praveen Jaipuriar: So current quarter if you see the volume growth was around 10 to 12% and we got a value growth of 20% so current quarter I am talking about the quarter gone by which is Q2 so on 10 to 12% volume growth we got a value growth of 20% which was largely because of the pricing advantage we got. Largely if I were to pinpoint one thing it was because of small packs the leverage we got on pricing.

Rohan Gupta : Okay and volume growth was slightly muted mainly because of the shutdown at Vietnam.

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Page 9 of 18 Praveen Jaipuriar: Yes absolutely. Muted as far as guidance are concerned over 10-12% volume growth in this era itself is quite tough. Against our guidance it got muted because of the breakdown at MCL plant.

Rohan Gupta : Do we see Sir I mean with excess capacities which we have right now over next six months

I mean we will be able to still achieve 18% plus kind of volume growth guidance.

Praveen Jaipuriar: So we are trying very hard because of the excess capacity we have a chance to make up so we are aggressively pitching and making sure that we make up for the losses so only time will tell whatever losses that is lost now in the last quarter we will try and make up through additional volumes but yes that time will tell because right now we are in the process of pitching and seeing what can we make up.

Rohan Gupta : Sir how has been the green coffee prices right now. You said that they have started softening and in next couple of months that Vietnam will be setting up the prices right.

Praveen Jaipuriar: So when I said softening, there was a question asked that if the Brazil prices still very high and are we getting newer customers from Brazil to which I said Brazil crops prices have softened because they had a good crop this year as far as Vietnam prices and Indian prices are concerned, we will get to know next month because that is when the crop for both these markets come and that is when you start seeing that what kind of trends will evolve after the new crop comes so as of now they tend to be on the higher side itself.

Rohan Gupta : So, you think that I mean India and Vietnam will see a price upward revision.

Praveen Jaipuriar: I did not say upward revision. I said that we will see the trend once the new crop comes so it could be upward it could be downward suppose if the market believes that the supply of crops has been terribly low there could be an upward trend but if the other trend happens then there could be a downward trend as well.

Rohan Gupta : So as of now we do not have much clue about it.

Praveen Jaipuriar: Because all the clues anybody had in

this world about coffee prices have got broken in the last two years so all predictions have gone haywire so really difficult to predict as of now what is happening because as you know a lot of fun guys also are playing into, farmers are holding stocks so there are a lot of things that get played into this whole commodity so it is better to wait and watch and see the trends before rather commenting it speculatively.

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Page 10 of 18 Rohan Gupta : Sir another trend which you just mentioned that domestic market coffee consumption is increasing by roughly 20 to 22% and even upward so that is a very positive numbers. I

mean if the industry is growing with that number, I mean that is surprising to see because I do not see that the coffee retailers in India, they are growing with that pace so from where we are getting this, I mean confidence that the growth in the coffee industry is roughly 22%.

Praveen Jaipuriar: Okay I will correct a little bit of this thing when I was talking about domestic market growth it was our growth of 20-25% if you see the domestic market there are two segments that operate like any other market. There is an in-home segment and there is an out of home segment. Now the in home segment which is the segment which is the retail segment that you buy coffee and take home and drink coffee that is not growing at a very high pace that is still very low at around 10% or so, so that is not growing very high the growth that is coming is in the out of home segment so what is happening is that there is a lot of coffee consumption that is happening out of home whether it is cafes or at places of work because what has also happened is now that after COVID everybody's back to their places where a lot of out of home consumption happens that is a segment that is growing very fast, but if you see our play either internationally or in domestic market as of now is largely in home segment so the in home segment category growth is not very high but what we believe is that for us because we are aggressively trying to gain market share we will probably be able to grow at a much, much higher pace than what the category of the market is growing.

Rohan Gupta : Okay so you are saying that 20 22% in your context not the industry context.

Praveen Jaipuriar: Our context yes.

Rohan Gupta : Sir in retail brand sale you are targeting roughly 200 Crores kind of sales for the FY2024. I mean as pure brand seen only so what is this number you are looking over next three to four

years also you are proposing the restructuring with the demerger of the retail business with that context and I mean if you can throw some more light that how you see the retail business going forward in next three to four years and Sir one more thing that last con call you mentioned that you have global ambitions as well to grow your coffee retailing business globally so any strategy formed up there that how much spending we are planning to do in terms of our entry to global markets how much spend we are planning to do over next two to three years.

Praveen Jaipuria: That is a long one but yes, I will just try and keep it crisp and simple. In the domestic market in the next three, four years we are looking to drive aggressive growth anywhere between 25 to 35% which means that probably in at least for the first three years we would

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Page 11 of 18 like to double it from here so that is the kind of ambitions we have and that is what we are aiming for and doing whatever it takes to get to that level so that is what is about the domestic market. As far as international, yes, we have ambition to launch our brand especially considering now that the brand has got some equity in India, we are already getting a lot of queries from markets where Indian diaspora is residing that can we have Continental Coffee here also. In fact even if w

e have not started anything right now we see

lots of instances where our coffee has been imported by some local traders and they have started selling in the local markets so that phenomena started so we felt that it is better that we take it up in a more organized fashion so that is one segment and of course the other segment is segment like UK market where we bought brand from Lofbergs which is Percol, Rocket Fuel so we also want to take that forward and create these segments where you could start seeing 50 to 100 Crores of sales in three, four pockets across the globe. Now as far as what is that we are going to spend see just like domestic market where we have built it step by step and stone by stone that is how we are trying to do in other markets also so our strategy would not be to kind of blast a lot of money in the market and create a lot of hype and then try to get sales, but it will be a step by step sales. We believe that probably in any market that we operate in the first couple of years or let us say by the third year we would like to break even and even in the first couple of years we would not like to lose more than a couple of Crores in trying to build the brand so that is our philosophy and that is how we will take it forward in each of these markets.

Moderator : Thank you. Next question is from the line of Jenish Karia from Antique Stock Broking. Please go ahead.

Jenish Karia : Thank you for the opportunity so first question is with regards to the capex that we are doing so any colour on what India and Vietnam capex and how much of it is funded through debt.

V Lakshmi Narayana: As we stated earlier the Vietnam expansion is taking place at \$50 million out of that 16 million\$ is our contribution 34\$ million is the debt component.

Jenish Karia : And Sir India capex 16,000 capacity.

V Lakshmi Narayana: India it was the facility which we taking up under CCL Food and Beverages the wholly owned subsidiary which show a project outlay of Rs.400 Crores out of that Rs.320 is the debt component Rs.80 Crores is our component it means around Rs.600 Crores is the debt component and the balance amount it is our internal contribution.

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Page 12 of 18 Jenish Karia : And how much cash out flow has been done till date.

V Lakshmi Narayana: We have spent almost around 200 Crores.

Jenish Karia : Combined India and Vietnam both.

V Lakshmi Narayana: Yes together.

Jenish Karia : Okay great Sir secondly if you can just throw some colour on how the small pack mix has improved in this quarter compared to the previous few quarters how has the trend been.

Praveen Jaipuria: So, the trend is improving and in fact if you see the standalone numbers, you will see that the efficiencies have improved and that is largely because of small pack deliveries so it is in the in the positive direction. If I were to give you percentages in the export business almost in the India business, we were actually if you remember couple of quarters ago post COVID the small packs contribution had come down to 17-18% it has now eased back to slightly above 20% and as we are going forward we are kind of constantly pushing more and more small pack and we are likely to get similar kind of trends going forward as well.

Jenish Karia : Okay great and Sir on the geographical mix so how much of our export would be to the Middle East Market and how has our US geographical mix improved over the period of time.

Praveen Jaipuria: Okay let us say US currently is at around 12 to 14% of our sales. Middle East is not very

much it will be less than 10%, Middle East and Africa if I were to combine so it is less than 10% close to maybe 5% or so, so that is there. Europe is almost again 15%. Russia and CIS will be around 20-25% and the balance is Asian markets including the domestic market.

Jenish Karia : Just one last question on the debt that we were guiding last quarter of peak

debt of around

1800-2,000 Crores so the coffee prices still remaining at an elevated level although we are expecting Vietnam price announcements next month so any change in outlook on that side.

Praveen Jaipuria: So just a small correction that Rs.1,800 Crores as not the utilization it was only an approval that we had taken from the board so that we keep our outer limits intact. Utilization if you see for the full year will be close to around Rs.1300-1400 Crores. Once we get to know the coffee prices trends it would change a little bit because the coffee prices go down then I think we will see a reduction in that as well.

Jenish Karia : Okay that is helpful. I will fall back in the queue for more questions. Thank you so much.

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Page 13 of 18 Moderator : Thank you. Next question is from the line of Abhilasha Satale from Quantum AMC. Please go ahead.

Abhilasha Satale : Thank you for giving me opportunity. Sir just the breakup of the capex like how much exactly we will be incurring in this year in 2025 and 2026 if you could just give those numbers and secondly in terms of peak debt because this year, we will be at 1,300 Crores but by the time we complete India capacity how much will our peak debt stand at like what is our target to reach that and what is our deleveraging road map post that.

V Lakshmi Narayana: Indian operations the capex is somewhere around Rs.400 Crores to complete the project which we are going to incur before March whereby we are going to start the operations as well this is Indian operation. Getting into the Vietnam side this project is going to be completed as we stated earlier the mid of next financial year and against the project outlay around 50 million \$ we are going to invest around 30 million \$ during this year till March and balance 20 million \$ we are going to invest into the next financial year so it means the total capex it is somewhere around Rs.650 Crores is going to be at the group level, 700 Crores we are going to invest into the capex at both the facilities.

Abhilasha Satale : Right okay fine and the peak debt level like what would it be like by the time we complete our capex because this year we will reach around Rs.1300 Crores and in 2025-2026.

V Lakshmi Narayana: So, 2024-2025 as we said it will be around Rs.800 Crores and 2025-2026 onward it will keep reducing bit further because the repayments are going to start and from 2025-2026 onwards, we can see the reduction in the overall debt so by March 2025 we are likely to be somewhere around Rs.1800 Crores as we stated in our previous call as well.

Abhilasha Satale : Sure, okay thank you and Sir just last one on the Continental Coffee like how do we see this business as a percentage of revenue or in terms of absolute how do we see this segment of ours over say next three years, five years what is the outlook how much we want to scale there and how do we see the profitability for this business as we scale up.

Praveen Jaipuria: Just in one of the previous queries I answered that. This business probably this year we end at around Rs.200 Crores pure brand business and we are looking to aggressively grow this over the next three years which is almost at a rate of 30-35% so that is what our aim and objective is and as far as margins are concerned see currently we have given a guidance of whatever 18-20% for the group at top line and bottom line keeping that guidance in mind we are going to take decisions at what is the kind of investments that we want to do but broadly speaking see the brand is still at a very nascent stage. We are building the brand.

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Page 14 of 18 There is a long way to go. There are lot of new geographies to be expanded in so we will not shy away from kind of building it further because brand building is something which is a continuous effort it is not that you do it for four year

s and then you stop it so that is going

to happen and especially in the initial years probably one would want to put more resources now that the brand has got established you know that putting that resource will help us in the long run so in the next couple of years at an EBITDA level we are not looking at a lot of growths at EBITDA level, we are trying to press more and more of top line so that is the broad guidance from our side. My guess is that from the third year from now on we will start seeing a lot of contribution at a EBITDA level from this business but as of now we want to continue plowing back whatever the brand ears into building the brand itself.

Abhilasha Satale : Sure, thank you.

Moderator : Thank you. Next question is from the line of Abhishek Navalgund from Nirmal Bang Equities. Please go ahead.

Abhishek Navalgund : Hi sir so just one question that we have restated our numbers for FY2023 also so particularly on the tax front in FY2023 there has been a downward revision in terms of effective tax rate so the question is basically even if we deliver on the EBITDA side in terms of 20% growth this year because of the below EBITDA items like depreciation and interest our earnings growth would be more or less muted this year so just wanted some clarity on what we did in the FY2023 effective tax rate after the restate.

V Lakshmi Narayana: While restating the financials the carry forward losses of our FMCG division which is amounting to almost around 45 Crores that has been set off against profitability then what happens is that we are already under the MAT and due to this restating of the financials our MAT credit has gone up by almost around 17 Crores so resulting even 2023-2024 as well and 2024-2025 also we are likely to be under the MAT.

Abhishek Navalgund : Sure, Sir and you said the effective tax rate going forward will be somewhere close to 12% on blended basis right on consol level.

V Lakshmi Narayana: Yes, that is on consol basis it remains 12%.

Abhishek Navalgund : Sure, and my next question is on capex so I think you have already mentioned this so while we have spent only 2.6 billion so far in 1H we are on track to incur the remaining part right the 650 number which you mentioned so we will see acceleration in the second half there right.

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Page 15 of 18 V Lakshmi Narayana: That is right because as far as Indian implementation of the project is concerned, we receiving all the equipment and likely to be completed by March 2024 so as far as both the projects are concerned, we are on track and definitely we will reach as per the schedule to complete the projects.

Abhishek Navalgund : Sure, and one last one from my side. I mean what sort of outsourcing that you did in this quarter particularly since we had this equipment breakdown so did, we outsource any quantities in second quarter.

Praveen Jaipuria: No Abhishek very little amount here there just some small thing but nothing substantial nothing like what we did last year.

Abhishek Navalgund : Very good thank you. That is, it from my side.

Moderator : Next question is from the line of Jenish Karia from Antique Stock Broking. Please go ahead.

Jenish Karia : Yes, thank you so much for the follow up. One clarification when we announced India capex in first quarter FY2023 we had guided for a total outflow of 320 Crores which would be funded by around 200 Crores of debt now we are saying that the capex is around 400 Crores funded 320 Crores debt so firstly why the capex amount has gone up what has contributed to it and why have we increased our debt mix in the capex funding so these would be the two questions.

V Lakshmi Narayana: No if you look at it there is no increase in our original destination. Initially we stated it is around 50 million\$ for Indian operations and 50 million\$ for Vietnam operations and the schedule of implementation that we have planned for

Indian operations are to be completed

by March 2024 and Vietnam operations are to be completed by mid of next financial year.

India submission are well in order.

Jenish Karia : Because I just going through the transcript there is 320 Crores, but I will take it offline in case there some disconnect from my end.

Moderator : Thank you. Next question is from the line of Richard Dsouza from SBI Mutual Fund. Please go ahead.

Richard Dsouza : Thank you just wanted to ask about China. Last time we believe that we were thinking of sending some consignments or having a tie up with the local partner there so any developments on that front.

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Page 16 of 18 Praveen Jaipuria: Yes, we have had lots of development none on the business as of now because it does take time to see the market and get to the clients. There will be a process of getting the samples right, matching the product expectations and then of course the pricing etc., so yes, a lot of inroads have been made. We have got connected with our local partner there. They have started work on their part so a lot of work on the background is happening but yes it will take a little bit of a time for us to see the results.

Richard Dsouza : Okay so are we tying up with the local partner who has a brand there or how is it.

Praveen Jaipuria: They earlier were into coffee business. They are right now doing a lot of other things like oat milk and all that but they have a lot of connect in the coffee industry so that is what they will be pushing for us.

Richard Dsouza : Okay second part is that worldwide there is a lot of demand for speciality coffee, and I just

wanted to understand how are we placed there and speciality coffee as a percentage of our total volumes what would it be.

Praveen Jaipuriar: So we have replaced very well, last time when we spoke we had spoken about the mini plant and the pilot plant which was set up for the whole purpose of developing speciality coffees we have connected to a lot of clients across the globe, a lot of them have liked our samples and we are in the process, very interestingly I cannot reveal the names right now but even in India we did some features for speciality coffee especially to the high end coffee shops and chains so all that work is happening. As far as the volumes are concerned see the volumes will be very low as of now it is less than maybe 1 or 2% but yes the good thing about this segment is that once we get the first mover advantage to be the preferred supplier of speciality coffee it helps us in the long run and that is what has happened for us in all segments of coffee be freeze dried coffee or microground coffee or let us say the cold brew so all that we were the ones to start it and then over a period of time if the market develops you get the advantage so a lot of work is happening. A lot of clients are being contacted. A lot of positive feedback have happened but yes, the volumes are still very low, but we are okay with that because it is more of a building phase and we all know that even at smaller volumes it will be very high profitably on in terms of profit, it will be high profitable business.

Richard Dsouza : I mean do you have a game plan to take it to about 4 to 5% of your volumes.

Praveen Jaipuriar: Absolutely we are kind of wanting to hit those numbers and yes over a period of time we will see that we will get to that numbers. We have contacted lot many people and they all
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Page 17 of 18 have liked the product, and they are all excited about it and the good part it is not just concentrated to one geography but also it is kind of spread out and we getting inquiries from across so we are very hopeful that this will do well for us.

Richard Dsouza : Okay just a question on innovation front. The last time we heard was about cold brew and after that has there been any further inn

ovation which you could talk about them.

Praveen Jaipuriar: Yes so speciality coffee as we are talking about it that is an innovation that is happening because to deliver that profile of speciality coffee in instant coffee itself was challenging because most of the speciality coffee was supposed to be coming from either RNG or roasted beans but the fact that we have been able to create a product profile, it is almost identical to a freshly brewed coffee itself a pretty big innovation and that is the reason why clients across are being very excited about it and the best part is the coffee chain clients being excited tells you that we have been able to come very close to what all of them wanted, so I think that is an innovation that we are keenly looking forward to.

Richard Dsouza : Okay one more question from me on the brands which we acquired in UK could you share any quarterly numbers for that.

Praveen Jaipuriar: I think what happened we acquired it in first quarter actually and since then last quarter was a lot about transitioning how complicated things are when you are transitioning things from one company to other and especially the kind of complexity that it involved in the sense of supplier and then all the chains to be transitioned so a lot of ground work has happened so not much to share when it comes to number but at an annual level we probably will reach around Rs.12 to 15 Crores of sales but that is okay we actually we are looking to relaunch the product with new product formulations with new packaging with new positioning so a lot of that work is happening and probably this year is not the year when we will be talking lot of numbers but more on the new strategy and how do we want to take it forward and it is only from the next year we will start kind of drive this aggressively once our whole strategy is clear, our whole go to market components are in place and that is when we will try and start driving.

Richard Dsouza : Okay sorry one last question reverting back to the China angle by when do you think you will have some good news to report there, or you would have formalized your plan.

Praveen Jaipuriar: We are also eagerly hoping to start listening to good news from that segment but as and when we start getting some firm commitments from that side, we will keep all of you informed.

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Page 18 of 18 Richard Dsouza : Okay thank you Sir and all the best.

Moderator : Thank you. Ladies and gentlemen that was the last question. I now hand the conference over to the management for the closing comments.

Praveen Jaipuriar: Thank you everyone for joining us. Wishing all of you a very happy festivities and we look forward to meet you again next quarter and thank you Antique for arranging this call.

Moderator : Thank you very much. On behalf of Antique Stock Broking that concludes this conference.

Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2024

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Date: 09.02.2024

To

The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra – Kurla Complex,
Bandra East, Mumbai – 400051.

Scrip Code: CCL To
The Corporate Relations Department,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Scrip Code: 519600

Dear Sir/Madam,

Subject: Transcript of the Conference Call held to discuss the results of Q3 FY 2023-24
as required under Regulation 30 of SEBI (LODR) Regulations, 2015

With reference to the above-mentioned subject, we wish to inform that,

i) The copy of the Transcript of the Conference call held on Tuesday, 06th February, 2024 to discuss the results of the third quarter of financial year 2023-24 is enclosed herewith.

ii) The Transcript is also uploaded on the Company's Website and the web-link for the same is:

<https://www.cclproducts.com/wp-content/uploads/2024/02/Q3-Earnings-Call-Transcript-2023-24.pdf>

iii) The List of Management attendees is stated in the transcript.

iv) No Unpublished Price Sensitive Information was discussed in the call.

This is for your information and necessary records.

Yours sincerely,
For CCL Products (India) Limited

Sridevi Dasari
Company Secretary & Compliance Officer

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"CCL Products India Limited Q3 FY24 Earnings
Conference Call"

February 06, 2024

MANAGEMENT : MR. MR. CHALLA SRISHANT – MANAGING DIRECTOR,
MR. PRAVEEN JAIPURIAR – CHIEF EXECUTIVE
OFFICER
MR. B MOHAN KRISHNA – EXECUTIVE DIRECTOR
MR. V LAKSHMI NARAYANA – CHIEF FINANCIAL
OFFICER
MS. SRIDEVI DASARI – COMPANY SECRETARY
MR. P. S. RAO – CONSULTANT COMPANY SECRETARY
MODERATOR : MR. MR. ABHISHEK NAVALGUND – NIRMAL BANG
EQUITIES PRIVATE LIMITED

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Moderator: Ladies and Gentlemen, Good day and welcome to the CCL Products India Limited Q3 FY24 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that the conference is being recorded.

I now hand the conference over to Mr. Abhishek Navalgund from Nirmal Bang Equities. Thank you and over to you, sir.

Abhishek Navalgund: Thank you Manuja. Hello everyone. On behalf of Nirmal Bang Institutional Equities, I welcome all the participants to CCL Products India Limited 3Q FY24 Earnings Conference Call.

The management is represented by Mr. Challa Srishant – Managing Director, Mr. Praveen Jaipuriar – CEO, Mr. B Mohan Krishna – Executive Director, Mr. V Lakshmi Narayana – CFO, Ms. Ms. Sridevi Dasari – Company Secretary and Mr. P. S. Rao – Consultant Company Secretary.

Without further ado I would like to hand over the call to Praveen Sir for his opening comments and then we will open the floor for question and answer. Thank you and over to you, sir.

Praveen Jaipuriar: Thanks Abhishek. Good morning everyone and wish you all a Very Happy 2024. As far as the performance of the Group is concerned, the Group has achieved a turnover of Rs. 664.48 crores for the third quarter of '23-24 as compared to Rs. 535.3 crores for the corresponding quarter in the previous year and the net profit stands at Rs. 63.29 crores as against 73.06 crores for the corresponding quarter of the previous year. The EBITDA is Rs. 112 crores and the profit before tax is rupees 66.69 crores.

As far as the 9 months YTD performance is concerned, the year-to-date turnover has been 1926.98 crores as compared to Rs. 1551.13 crores last year and the EBITDA for the 9-month period this year stands at Rs. 329.38 crores as against Rs. 287.64 crores for '22-23. The PBT for the 9-month period stands at Rs. 205.82 crores as compared to Rs. 210 crores last year and the net profit for the 9-month period stands at 184 crores which is as compared to last year is Rs. 183.59 crores.

There are two updates which I would like to give to you:

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In this quarter during the last 10 days of the month in December we faced the issues pertaining to Red Sea which meant that a lot of containers which were ready to be shipped could not be shipped because the liners were not taking containers because of the Red sea issue that led to deferment of sales from December to January, the quantity was almost 800 metric tons which is reflecting in the balance sheet and since most of you wouldn't have it, that is probably you wouldn't have noticed it.

But that's one issue that we faced which impacted the performance in the last month and also there is an update on the insurance that we have claimed for the breakdown in the Vietnam unit and we have filed the insurance with the insurance company and as we had informed earlier it's

almost 5% of the bottom line and as far as the claim is concerned if we get the claim this year then it gets reflected otherwise we will wait for the claim to come and then we'll accordingly inform all of you.

So, that is the update from our side, and I open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Kashyap Javeri from Emkay Investment Managers Limited. Please go ahead.

Kashyap Javeri: So, a couple of questions from my side. One you mentioned about roughly about 800 tons of material which could not be shipped that roughly probably translate to about 40 odd crores of turnover?

Praveen Ja

ipurari: Yes around 45 crores, 48 crores of turnover.

Kashyap Javeri: Adjusted for gross margin the full amount would have impacted our EBITDA number also?

Praveen Jaipurari: Absolutely.

Kashyap Javeri: Second is on in the last quarter when this breakdown of equipment happened what we had highlighted is that some pushover of volume from Quarter 2 to Quarter 3. Now even if I adjust for this about 800 tons that pushover of that volume ideally should have helped us achieve a fairly strong volume growth in this quarter which is probably not visible. So, what explains that?

Praveen Jaipurari: So, there was no pushover from Quarter 2 to Quarter 3. If you remember what we had explained in the last quarter because of the breakdown in Vietnam we had said that we would try and kind of be a little more aggressive in this quarter to make up for the volume as much as possible. So, there wasn't.

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So, if you see this quarter you will see that we are at around 14% volume growth and if this 800 tons would have come this would have gone up to approximately 20%, 21% and we could have made up a little bit in this quarter, but there were back-to-back issues that happened in both the quarters otherwise things would have been better as far as numbers are concerned.

But having said so, even in spite of the Red Sea issue we did manage a 14% volume growth and we expect all of that to get translated in quarter 4 and hopefully as far as the top line guidance is concerned there won't be any change in terms of our growth trajectory.

Probably yes this 5% of profit loss that we probably where got impacted because of the breakdown that could lead to certain kind of a profit re-guidance, but that will again depend on the claims etcetera. So, broadly the guidance remains the same. Yes, this impact we will be able to know only by the end of the quarter.

Kashyap Javeri: And connected question is that let's say this Red Sea problem persists and we have to use a different route who bears the expenses?

Praveen Jaipurari: So, we generally have two kinds of contracts. So, for the FOB contract the buyer bears the expense. There are certain contracts and approximately 30% of our contracts are CIF contracts.

So, of course that expenses will be borne by us and that in fact could lead to a little bit of compression in the EBITDA margins.

Kashyap Javeri: And some bookkeeping question can you give the gross debt as well as the inventory receivable and payable numbers for the quarter can you share that?

V. Lakshmi Narayana: The debt as of now has increased to around 1,300 crores and the receivables are around 60 days and the payables are 15 days.

Kashyap Javeri: And including this additional inventory of about, let's say, 40 crores, 50 crores what would be the inventory number?

V. Lakshmi Narayana: Inventory it was almost around these two routes if we take it around 130 crores.

Kashyap Javeri: Additional versus previous quarter?

V. Lakshmi Narayana: Total as on 31st December which would have been less by selling it off that 800 tons which is maybe around 35 crores less we might have ended around 102 crores.

Kashyap Javeri: 102 days right?

V. Lakshmi Narayana 102 crores by selling it off another 800 tons which we are supposed to dispatch.

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Kashyap Javeri: Sorry I'm getting a bit confused. So, can you give me exact inventory number on balance sheet as on 31st of December?

V. Lakshmi Narayana: On finished goods it was 135 crores.

Kashyap Javeri: And other inventory raw material as well as finished goods?

V. Lakshmi Narayana Raw material we have almost around 400 crores at Group level.

Moderator: Thank you very much. The next question is from the line of Amol Rao from Kitara Capital Private Limited. Please go ahead.

Amol Rao: Sir just I mean couple of questions on the outward freight side now as t

he previous participant

asked that we might incur some additional expenses for the freight for our CIF contracts. Does the export time also elongate. So, should that reflect a little bit in our receivables also because I want to take a longer route, right?

Praveen Jaipuriar: So, it's around 4 days or 5 days. It's not really needle changing yes, but there will be a little bit of a delay. So, 5 days of more delay if they go through the Cape of Good Hope that could impact a little bit, but these are little impacts we're not showing at a larger level things will change drastically for us.

Amol Rao: And sir another question which is has a larger scope, there's no deferral of demand the demand remains intact it's just meeting that demand that is taking little longer from our side?

Praveen Jaipuriar: Yes there isn't any issue with the demand and the demand remains intact and it looks like there is in fact a more pent-up demand which is getting reflected in the coffee prices as well. So, we are not seeing any sort of issue with the demand side being more of our supply constraints that we had been internally otherwise demand is intact.

Amol Rao: Sir, if I may just squeeze in one more question. So, the last time we spoke in December I mean you alluded to coffee prices being at 3-decade highs I mean what's the sense you're getting on the Vietnam crop, are the prices still elevated in anticipation of the poor rains or I mean anything you are seeing on that, anything that you could help us?

Praveen Jaipuriar: So, in fact, this is the time we last for the coffee prices have gone up quite a bit. It is almost at an all time high and unexpectedly high because nobody expected these kinds of prices. So, yes there are two things. One is as we spoke earlier the demand remains robust. So, there is a huge demand of coffee which remains intact, but yes there are issues in terms of supplies because of

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probably poor output of the crop or at least there is a perception that there are poor output and there are fund guys playing into this.

The coffee farmers are wanting to hold stocks because everybody is more of a upward trajectory mode. So, all that is leading to high coffee prices, future outlook all our outlook has gone wrong for the last 2 years. So, very difficult to predict which way it would turnaround. Probably it's a trigger to turn things around. But as of now in the short term we don't see any sort of price indication that which side it will go, looks like it will remain at these levels for some time.

Amol Rao: And in the middle of all this chaos our business model remains intact that is we book the coffee back-to-back when we get?

Praveen Jaipuriar: Yes there is no change in our business model. We kind of book back-to-back and we don't kind of buy coffee unless, until we have orders.

Amol Rao: Sir on the expansion side are we on track with our expansion in India which is basically going to come in probably in October, November of this year?

Praveen Jaipuriar: No India expansion is not in October or November it will be in March. So, that is that is on track. The Vietnam of expansion was July, September quarter that is also on track. So, we are on track for both the expansions.

Moderator: Thank you very much. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: I have a few questions you mentioned that 14% volume growth. Can you break that growth for India and Vietnam and the second question is that if you could talk something about India branded business and the institutional part of the business and modern trade so maybe segmental what kind of growth you have seen in demand?

Praveen Jaipuriar: So, first of all answering your first question India volume growths impact be declined because if you remember last year we were doing third party buying and all that and also had t

o hit the

deferment that happened at the end of the month.

So, there was almost a 10 odd percent decline and Vietnam capacity is almost at a 40%, 50% upside because of the new capacity and the aggressive selling that we are doing. So, this is the breakup of these two segments. As far as India domestic business is concerned, India's domestic business for the 9 months we almost did run approximately 230 crores to 235 crores out of which the branded business itself is approximately 145 crores. If you remember for the last year we had done full year of 150 crores of branded mix and we were able to touch in 9 months projection

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wise this year we are we are looking to touch the 200 crores mark for the brand alone and 320 crores or so for the full domestic business.

As far as channel growth I think most of the channels are growing at the same momentum the brands currently are on a 40%, 50% kind of a growth moment after a bit of correction in quarter 1, Quarter 2 and we are seeing this kind of momentum happening from all the channels both all

GPMT as well as e-commerce. So, yes, it's been an all-around growth for us.

Shirish Pardeshi: I think last time you mentioned that our touch points is somewhere around 1.2 lakh and 80% is residing in South. So, date as of December how it is planning out?

Praveen Jaipuriar: Every quarter we kind of add around 2,000, 3000 outlets that we are continuing to do and we are now kind of last time we had given an update that we are now aggressively trying to expand in other parts of the geography beyond South.

So, as of now today in almost all 10 lakh plus population town we have our distributors set up so that expansion we are taking and we are building on some of the other brands. So, in South we sell continental extra. We are building special in other parts of the country. So, all that is happening and it's an even all-around kind of growth happening.

So, in the South we are trying to penetrate deeper. So, we are now probably touching almost all towns above 50,000 population. So, that's been our strategy go deeper in South and kind of expand to key geographies in north and key towns because in other parts of India coffee where we are doing phenomena so that that expansion is an ongoing process, and we are taking it now.

Shirish Pardeshi: My second last question on the UK acquisition lock down, any update at this time which is you can quantify how it is panning out?

Praveen Jaipuriar: In terms of numbers, in fact we know there was a period of changeover and which happens in any acquisition. So, from July onwards we started taking things on to us and then we started reworking on the product packaging and all the promotions with our UK partners and we took around 4 months, 5 months to kind of stitch everything together.

We are now good to relaunch March end with our new packaging, new product and new strategy at all stores in the UK. So, this year numbers will not be much it will be approximately 15 crores or so, but then after March we launch, we'll be able to update that how the relaunch has been appreciated in the market going forward, but yes a lot of work happened during this interim time in terms of relaunching the whole proposition.

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Shirish Pardeshi: My last question on margin front we have been able to hold on between 40%, 41% gross margin while the EBITDA has been a little on the lower side. So, in the medium term what are the pain points which where do you think, I mean, you touched upon the coffee still looking inflationary, but is there any margin room for growth for us and how we should look at the next day margin?

Praveen Jaipuriar: So, like last time we pointed out that there is no apparent or very this thing a reasonable kind of deviation that we are looking at margins because there are 2 factors, 3 factors or 4 fac

tors that
we play up.

One is definitely the product mix. So, if you would have seen our product needs for the current expansion and the expansion which is coming in India will be on the Spray-Dried side and Spray-Dried you earn a little less margin than the Freeze-Dried side then what will happen is next year September onwards October onwards the Freeze-Dried capacity will come so that will improve the margin.

On the other side, we are also trying to focus a lot more on small packs which help us give better margins, we are looking at specialty coffee which will help us. So, there are a lot of factors which are going to play around, there's some factors which will pull up the margins, some factors which will bring down the margin.

So, on a overall consolidated levels we don't see much of a change in the margin that is going to happen in the near future, but yes going forward once things get stabilized, once your mixes gets stabilized, once some of our initiatives regarding small packs, specialty coffee they all start coming into play then we probably will start seeing improvement in margins as well.

Moderator: Thank you very much. Next question is from the line of Akshay Chheda from Canara Robeco Mutual Fund. Please go ahead.

Akshay Chheda: Sir two questions. Sir first question is sir you said that 14% volume growth, but EBITDA growth is only 10%. So, what explains the 4% gap because ideally we keep guiding that the EBITDA and the volume growth should go in hand in hand?

Praveen Jaipuriar: So, Akshay actually it's EBITDA growth is if I'm not wrong around 11% and it's 14%. So, there has been a 3% drop as I mentioned a while ago the 3% drop is because in our volume we did the aggressive selling at Vietnam because not every product fetches you the same kind of margin. So, what we did was in because we wanted to fill capacities and make up for the losses that we had in Quarter 2 we did some low margins contract as well in Vietnam which led to a little bit of a squeeze in margin which you can see in terms of 2% to 3%.

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But in the overall scheme of things if you see YTD there isn't much of a difference. We are

actually there is 12% to 13% growth in volumes and 15% growth in EBITDA. So, we are probably at a YTD level we are intact and as I always have said that at a quarterly level these mix changes and all that could come into play and therefore you may see some variations, but on an annual basis our guidance remains intact, volume growth and the EBITDA growth will be always in line.

Akshay Chheda: So, second question is sir if we see the second and the third quarter at least the EBITDA growth was around 13% and 10%, but on the annual guidance does that 18%, 20% volume growth still hold through or we'll have to curtail that to some extent because at least the second and third quarter we are lagging a little bit?

Praveen Jaipuriar: Yes, we are lagging, but Akshay couple of things. One is that volume grows we are pretty confident that we'll be able to get to that 18%, 20%. In terms of EBITDA because of that loss in Quarter 2 at Vietnam and subsequently when we are trying to cover up obviously as you're seeing in Quarter 3 there is a little stress on margins because we want to aggressively cover the top line. So, there could be a certain drop because we may not get the insurance claim this year. It may happen later, but probably if we were to get that insurance claim that guidance of 18%, 20% remains intact both for volume as well as for EBITDA.

Moderator: Thank you very much. The next question is from the line of Abhilasha Satale from Quantum AMC. Please go ahead.

Abhilasha Satale: So, I have one question in terms of working capital so can you just throw some light what the impact of Red Sea issue on our overall working capital in the near-term is? You can just give approx the numbers in terms of how much you're seeing

g the impact and secondly as our Vietnam capacity stabilizes what kind of working capital outlook we are seeing for that because in the last 7 or 2 years we've seen some increase in working capital maybe because of the different issues, but as we stabilize all our capacities what are the working capital days what we will be comfortable with this is my first question.

V. Lakshmi Narayana: If you look at it the kind of revenue growth and the volume of the production that is happening we have aligned EBITDA enhancement of the working capital facility in India by 200 crore and thereby now the earlier the 400 crores working capital loan it is likely to increase to 600 crores in India and regarding the non-coffee Vietnam wherein the new capacity has come into operation.

Earlier we have almost around 15 million USD working capital export. Now it is going up to almost around 45 million which we have necessary arrangements have been taking place. As a CCL Products India Limited
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whole if you look at it the working capital is likely to be from earlier 600 crores which has gone up to 1,000 crores.

Abhilasha Satale: Are we taking any measure to bring it down? Either this facility stabilizes so over 2 years or so maybe in percentage of revenue and all where would we like to or what is the target to stabilize our working capital at?

V. Lakshmi Narayana: So, now we are at the peak level it is likely to go up another 200 crores maximum by next year, but post that free cash flows are going to be available then we keep reducing it.

Abhilasha Satale: And my second question is what is our burn on branded segment in 9 months FY24 and can you give some road map towards profitability for the segments?

Praveen Jaipuriar: Can you just repeat your voice it's not very clear.

Abhilasha Satale: Is it better now?

Praveen Jaipuriar: Yes little better.

Abhilasha Satale: So, my second question is like how much is burn on branded segment in 9 months FY24 and can you give some road map towards profitability for the branded segment?

Praveen Jaipuriar: So, first and foremost there is no burn there because last year itself we had indicated that we have broken even and probably from this year we will be at 5%, 6% EBITDA levels which will keep increasing as we go along, but yes the fundamental principle here will be that we will try and invest as much as possible back into the brand because we really don't kind of want to slow down the momentum at this stage when the brand has got that momentum and has getting into that threshold levels of being a fairly largest brand.

This year we are looking to end the year at just the brand segment at Rs. 200 crores. So, that's a very, very big milestone because there are not many brands who kind of achieve this kind of a milestone in this short period. So, we really want to keep up the momentum, keep investing back into the brand, but yes 5%, 6% of EBITDA is definitely there right now and we will see how we can improve it, but with this thing that we really want to right now be invested in brand building.

Abhilasha Satale: I appreciate it, but I think at PAT level we would still be burning if I'm not wrong?

Praveen Jaipuriar: So, there isn't much of this being PBT. The brand demerger has happened. So, there aren't any loans to be serviced or it's not asset depreciation or anything. So, there is not much of difference between an EBITDA levels and net PBT level.

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So, except for the vending machines that we buy, we probably have a little bit of a depreciation and interest, but those are very less in numbers. So, there won't be much of say the EBITDA levels will be at around let's say 5%, 6% the PBT could be at around 2%, 3% and PAT will not be getting impacted so much. So, therefore there isn't any burn even at the PAT level also.

Moderator: Thank you very much. The next question

is from the line of Ankit Kanodia from SmartSync Investment Advisory Services. Please go ahead.

Ankit Kanodia: My first question is related to the tax outgo. So, suddenly we have seen a very big drop in taxation this quarter. Can you throw some light on that?

V. Lakshmi Narayana: So, here if you look at it standalone we are falling under MAT because of the carry forward MAT Credit the effective tax rate in India is working out 7.7% to 7.8% and as you know that in right now it is the tax free corporate tax is completely exempted thereby you could see that drop in the overall effective tax rate and as we informed earlier also the effective tax rate at Group level is around 12%.

Moderator: Thank you very much. The next question is from the line of Senthil Manikandan K from ithought PMS. Please go ahead.

Senthil Manikandan: My first question is on the vending machine business. So, if you can just share what's the broad strategy we gained over the next 3 years to 5 years in building this business in the domestic market?

Praveen Jaipuria: So, vending business we approximately today have 4,000 vending machines that are operational across the country, and we are looking to build aggressively. See it's a tricky business as well because vending machines everybody in the market wants you to put without any cost and then they might end up also buying from somebody else once they get machine because obviously there will be local players and traders who probably offer at a very dirt-cheap rate and things like that.

So, that is why we have been very careful on this front not to go overboard. Today we are making sure that it's a self-sustaining model in 6 to 7 months most of our vending machines kind of payback for themselves. So, keeping all this in mind with the new approach we are looking to scale it up, but in a more sustainable manner. In terms of the business that it will generate of course we're looking to build up a business out of vending itself to 100 crore kind of a business in the next 3 years to 5 years today it could be around 20 crores, 25 crores or so, but yes that that's been our plan and that's been our strategy as far as vending is concerned.

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In fact last time we had also kind of apprised all of you that there is this whole out of home consumption that we want to tap into and drive this whole out of own consumption a lot more deeper and there are certain experiments that we have been doing. We have been opening kiosks, we are about to open some cafes as well and do the proof of concept of penetration driving as far as the cafe concept is concerned. So, all that work is happening as far as the out of home consumption is to be given.

Senthil Manikandan: Second is a related question on the domestic market in terms of our presence in the coffee retail things. So, off late we have seen that a lot of startups like they have coffee or they're making a good presence in the market, so what's our presence and strategy in this line of business?

Praveen Jaipuria: I'll just give you a brief this thing background. As far as all the coffee startups today if you see the India ecosystem as far as coffee is concerned probably a large part of it is driven by us. So, a lot of these coffee D2C brands and these startups you see whether it is brand or whether it is the chains we are doing a lot of back-end work with them to drive because our whole concept has been that how could we derive lot more coffee consumption in this tea drinking country. So, that's one.

Second is in terms of our presence if you see our presence far outweighs all the brands in fact together. Most of these D2C brands are probably in the range of 25 crores or so and we are probably will be reaching 200 crores this physical. So, you can kind of compare the kind of presence we have.

So, if you come to South of India and if you start going to retail outlet y

ou'll see that our presence

has a very strong number 3 brand in most of the retail outlet and there are certain pockets where we are seen as the number 2 brand. So, that is the kind of presence and visibility that we have been able to achieve.

Yes, the next milestone would be to get this kind of presence and visibility in the North, East

and West markets as well for which the work has started. There are a lot of outlets where we are now fairly visible in these zones as well. So, that's a brief outlook of our presence in the retail market.

Moderator: Thank you very much. The next question is from the line of V. P Rajesh from Banyan Capital. Please go ahead.

V. P. Rajesh: Just a clarification when you're talking about 200 crore of brand revenues this year, does that include the vending machine business also or if not then why?

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Praveen Jaipuriar: It includes branding business because all the vending machines is a branded these things, we all sell under another brand so that is part of the brand. Bulk and private label is outside this.

V. P. Rajesh: And out of 200 how much will the vending machine business be by the end of the year?

Praveen Jaipuriar: Approximately 20 crores, 25 crores would be that the rest of it would be products.

V. P. Rajesh: And then in terms of the produce, as you were describing that you are either number 2 or number 3 in rest of the southern part of the country. So, my question is that how is the competitor, the leader or the number two player reacting on the ground to your surgeons in those particular markets, are they trying to dislodge you by discounting or what's going on if you can just give some commentary on that?

Praveen Jaipuriar: We are fighting against the top two multinationals or not the country, but of the globe and obviously there this thing would be to very to be aggressive. They hate to lose market shares, but what we are doing is we are constantly focusing on lot on consumer offtake because once the offtake starts happening it becomes really difficult for you to be even if you are very aggressive in terms of doing channel discounts and maybe consumer discounts once you are building loyalty for your consumers what happens is that that ability for your competition to kind of bring you down that much reduces.

So, that is why we're doing a lot of activities in terms of building consumer loyalty. We are doing a lot of ATL activity combined with a lot of sampling that we do on ground which is making a huge consumer base for us. In fact, one of our largest selling packs will be 200 gram Packs which is the not the largest selling pack of the category.

So, that that gives us an indication that we are building a very strong consumer base and that is helping us lot of on the competitive pressures that that may be coming from the competition, but yes competition has been reactive, they are doing a lot of things, but yes consumer is the thing that we are focusing on and we think that we are doing the right thing as long as the consumers are picking up your brand, I don't think so any of the pressures would kind of work.

V. P. Rajesh: And then just a quick follow up on the online side how would you rank yourself and who are the sort of what is the market share that you would ascribe to ourselves vis-a-vis these large players or other D2C brands that you were talking about earlier?

Praveen Jaipuriar: No come again on which side did you say online site?

V. P. Rajesh: On the online channels?

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Praveen Jaipuriar: So, of course, online channels again we are very sustainable on that. Today, if you see the online channel. There are two sets of products that sell. There is one set of product which sell because there is an offline equity that is getting built for the brand. So, that if you see the large players and including us whi

ch is Nestle, Unilever and continental I can count it now in the same basket.

Our online sales are largely dependent on the offline equity that we are building, but if you see the D2C brands their online sales are largely from the huge amount of money that they have to spend online itself.

So, therefore you'll see it is becoming a very, very tough for each of these brands to sustain the online sales itself and if you were to kind of search for the ROC data for some of these D2C brands you will yourself see the kind of losses these brands end up making.

So, anyways I don't want to go into that site, but that's been our strength. We have been very strong on online, but the good part is that I spend Rs. 1 to get Rs. 3 revenue in on online, whereas most of the D2C brands if you see the D2C ecosystem, their ratios have been upward of 1 which means that the probability it really gets reduced. So, that's been our strategy.

We are very focused online. Today almost 10% of our sales which is approximately out of 200 crores, 20 crores to 25 crores is coming online which is equivalent to some of the large D2C players who are much talked about in the market, but yes the only difference is that we don't know Tom talking about it and the second thing is that we are building it very sustainably.

V. P. Rajesh: Just one follow up. Do you have any market share data on the online side like where would you stack up on top 5 and top 6 players?

Praveen Jaipuria: Very difficult to visit online market share data, but our sense is that from whatever talks that we do with the category managers of the online space we probably would be close to around somewhere my sense is that 8% to 10% could be our share in the online space that we are into.

Moderator: Thank you very much. The next question is from the line of Bhargav from Ambit Asset Management. Please go ahead.

Bhargav: My first question is, is it possible to share what is the gross margin and advertising spend in the branding business?

Praveen Jaipuria: On a broad level so the domestic market if we look at it as a whole it's approximately 30%. The brands would be 5% to 7% higher and our advertising to sales spends is roughly around 8% to 10% as of now. So, that is the ratio on the advertising spends.

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Bhargav: And as you scale up your branded business is there a plan to sort of separately list also that entity because essentially now that it is part of the B2B business, it will not get fully valued, but once scalable is there a plan and if there is a plan at what level would you be looking to execute that plan?

Praveen Jaipuria: So, as of now we want to kind of in fact it was under separate subsidiary which we kind of demerged it back to the parent company because the leverages are much better for us to drive when you are doing it from the parent company. So, we really want to go very, very strong on this segment kind of build this segment over a period of time. As a vision for the company, we have already kind of earmarked that CCL going forward next 5 years, 10 years, 15 years so it should kind of transform itself into a true blue FMCG company with a lot of brands getting launched and lot of brands getting sold. So, that's our visions and we want to kind of translate this vision from the parent company itself. So, that will be a strategy. So, in the short and medium term I don't see any such kind of effort from our side.

Bhargav: And so in terms of debt we have a debt of about 1000 crores on the balance sheet when do you plan to become debt free?

Praveen Jaipuria: It will take around 3 years or 4 years from now to completely become debt free, but it's a little hypothetical question because as we move along, as the growths are coming we really don't know when the next expansion is going to come, but if we suppose we were not to expand and there is no new CAPEX that is going to come

on our way, it will be by 28 or 29 which is our 4 years

of let's say 4 years from now we should be debt free.

Bhargav: And sir lastly what would be the share of China in our overall revenue pie, and you think that number can initially grow from here on?

Praveen Jaipuria: Very negligible right now, very minute quantities we sell right now, but last time we had indicated to you that we are kind of partnering with one of our old associates and we are building that market.

So, that market right now is in the seeding phase. So, right now there aren't any significant volumes that are coming, but we expect these things to pick up as we move along and we will keep you updated as the volumes pick up from that geography.

Moderator: Thank you very much. The next question is from the line of Dhruv Bakhai from RSPN Ventures Private Limited. Please go ahead.

Dhruv Bakhai: So, can you throw some light on quarter-on-quarter and year-on-year figures of EBITDA per ton and the overall capacities utilization that you have been able to achieve?

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Praveen Jaipuria: I am not able to hear you clearly. Can you just repeat?

Dhruv Bakhai: Quarter-on-quarter and year-on-year figures for EBITDA per ton and the overall capacity utilization that you have been able to achieve?

Praveen Jaipuria: EBITDA per ton remains exactly the same as before. There is a little drop in Quarter 3 because we were selling a little aggressively, but as we had explained earlier that the Spray-Dried EBITDA per ton is approximately 9,200 and the Freeze-Dried is around 130 to 135. So, that remains intact. As far as capacity utilization is concerned the India capacity is fully utilized and when we say utilized obviously it won't be 100% of the rated capacity is generally at closer to 90% or so because of the changeovers because of the kind of blend that you are doing.

So, India capacity is fully utilized. Vietnam is also last quarter we did the optimum utilization of the capacity it's a new capacity, there are certain line balancing and all that that is pending, but barring that we did optimize fully the Vietnam capacity as well.

Dhruv Bakhai: So, one more question what are your CAPEX plan for financial year 25 and 26 financially?

Praveen Jaipuria: There is no new CAPEX that is there. We already we have announced CAPEX there is a 50 million CAPEX in Vietnam and another which is the Freeze-Dried facility which is already on

and when I say on the setting up the plant is on, it will be operational from next financial year Quarter 2 and the India facility the Spray-Dried 16,000 tons that's also close to \$50 million CAPEX so that is also ongoing project and by this yearend by March end we should be operational.

Moderator: Thank you very much. The next question is from the line of Rohan Gupta from Nuvama Wealth and Investment Limited. Please go ahead.

Rohan Gupta: Sir, couple of questions from my side. First is on the pressure which we have faced on Vietnam with the aggressive pricing you mentioned which has impacted our margins. It was just a one off or we see that in our focus on driving the capacity utilization at Vietnam plant to full utilization we may keep on seeing this kind of margin pressure even going ahead as well that is one.

And second sir across the globally which are the markets you see that US and Europe are still facing pressure where we are not able to push the materials significantly.

Praveen Jaipuria: So, first thing is like yes there is a bit of margin drop because of our aggressive setting. One off is terminology may not be exactly right, but yes it is very short term because once you start building clients and when you start building businesses after you have done or fulfill your CCL Products India Limited

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capacity or optimize your capacity then you can start kind of improving on your margins because the more t

he utilization I get into my pricing becomes even better because my overheads and all that gets distributed through a larger volume.

It's a short-term thing definitely the margins will catch up. If you see the YTD numbers the margins are completely intact it's only in this quarter that we saw a little bit of stress then coming to which markets have been a challenge. I don't see that any markets have been a challenge for us. It's more that we don't have the capacity, or we didn't have the capacity to expand to some of the markets. We would have ideally expanded America, North America is doing well for us, Africa small packs we are doing well, Europe we are doing well even Russia and CIS countries we are doing well.

So, I don't see any and as we discussed and I updated you are far East which is including China we are seeding the seeds right now and hopefully we'll start seeing the volumes coming there, but it was never a question of a demand of our or our ability it's more of our capacity issues that led to not touching some of these markets, but we are okay to kind of good to go once the capacity is now there.

Rohan Gupta: Second question is on our margins instead you mentioned roughly 90 to 100 and Freeze-Dried roughly 130 to 135. I think that we were earlier focusing on with our small packs division doing very well. We were looking at \$1.5, \$2 margins on a overall basis of the company, so when you think that we will be reaching those I mean \$1.5 to \$2 kind of margins on overall company basis?

Praveen Jaipuria: We will actually the exact timing is very difficult because a lot of work is going on small packs, what happened is that if you see the pre COVID time, our small pack ratios really increased to almost 24%, 25% then COVID happened, and these small packs really declined and then we focused more on bulk pack.

It was almost work starting from scratch post COVID. So, now we are back to approximately 18%, 20% of small packs as we speak. Once we get into a level of around 30% or so, then we start seeing the real value flowing into the P&L, but as I was telling you a few minutes ago is that in the near short term and in the medium term there are other things which are also playing up. So, what is happening is that sprayed dried capacity is going up. The mix is changing. So, we are selling more of sprayed dried which has lower margins.

Once the Freeze-Dried comes then that margins will again start improving. So, there will be certain pluses, there will be certain minuses that will play up and therefore with the short term, we don't see much of a much of an improvement in margins per say, but what we are definitely seeing is that because of our aggressive top line and volume growth the driving of EBITDA numbers will be through this volume growth and then subsequently when the next phase comes

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we will start driving improvement in margins and then you will see a lot more improvement in margins and then we'll see how it goes because the next couple of years we are very, very focused and we will drive all our EBITDA profit through higher volume growth.

Rohan Gupta: So, sir commissioning of this Spray-Dried by end of this year will probably pull down a margin a little bit, but then once again Freeze-Dried commissioning in FY25 may pull up the margin, but for next 2 years at least we are going to see the volume led growth on the rather than any margin expansion?

Praveen Jaipuriar: Absolutely.

Rohan Gupta: Sir, just coming on the domestic business if you can just share some number that the retail sales if I missed it out, but the retail sales number from the different channels in the current quarter and the 9 months?

Praveen Jaipuriar: So, basically 9 months I'll share because that will give you a better picture. So, almost the domestic business in the 9 months is 230 crores to 235 crores out of which 140 crores is a

pproximately the retail the branded business and we are looking to end the year the domestic business at around 320 odd crores and the brand business will be around 200 crores. So, that is the yearly outlook for the brand business.

Rohan Gupta: Sir any idea if you can just share that in our retail brand at 200 crore, what kind of market share we may have at that number?

Praveen Jaipuriar: Right now we are very small. So, when Nelson picks it up there are errors and all that picking up, but if I see our market share in the South market which is like 65%, 70% of the coffee market because that's the data we buy. So, I can share a bit of that with you is approximately 3.5% and at an at an All-India level if I were to translate this because I don't have the numbers. So, it could be around 2.5%, but definitely there are pockets where we have done really well. So, our market share in let's say in AP, Telangana would be closer to 8% to 10% Karnataka would be around 5%, 6%, Tamil Nadu would be around 3%, 4%. So, that's a little brief on our market share.

Rohan Gupta: And just one last bit and I may come back in the follow up for the question. You mentioned that on your debt number that if you don't go for any further CAPEX from here excluding this \$50 plus \$50 million commissioning over next 8 months to 9 months if you don't go then you are going to repay. I mean, if the company will be debt free in next 4 years. So, that doesn't include the growth which you will be doing with the volume led and the working capital requirement or that includes that and including the working capital would be debt-free?

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Praveen Jaipuriar: No obviously term loan long term debt is concerned it is completely debt free by 29 with the schedule of repayment and working capital also we have some ease in working at as well because the free cash flows are going to flow into it.

Rohan Gupta: So, even you are saying that in actually from the current growth plans you can be debt free including working capital I mean short term, long term both?

Praveen Jaipuriar: It's not debt-free. There is some easiness there from the present level. So, we are definitely going to be debt-free on account of long term.

Moderator: Thank you very much. The next question is from the line of Rakesh Wadhwani from Monarch AIF. Please go ahead.

Rakesh Wadhwani: Sir one question with respect to the standalone business we witness some volume decline in queue for Q3, but there's a gross profit increase any reason for that?

Praveen Jaipuriar: There were some better margin business that happened in this quarter. There were a bit of more of small packs that led to kind of better efficiencies therefore that drop in profit is not there in spite of drop in volume.

Rakesh Wadhwani: Sir again that EBITDA margin has come, EBITDA growth has come is it because of the shift or delay in the packaging shipping because the gross profit has been grown by 17% and the EBITDA growth is only negative so is it because products were manufactured, but they couldn't be shipped, is that understanding correct?

Praveen Jaipuriar: As I mentioned in my opening remarks that there was approximately 800 tons of product which we could not ship because of the Red Sea issue and in during the end week of December unfortunately the Red Sea issue happened and at a time when the quarter was ending. So, that led to loss in business so that that impacted our P&L.

Rakesh Wadhwani: One last question from my side sir regarding the debt, so you mentioned if there is no expansion plans in the coming year or for the next 1 years, 2 years then with that long term debt that will be zero by FY28 or FY25, but just wonder if we expand also the number amount of cash flow that will be the generating will be sufficient for us to fund the CAPEX on that. It's my understanding correct.

Praveen Jaipuriar: Very difficult to commen

t right now because there are working capital there will be working capital debt and things like that. So, volume will increase. So, we'll have to see the situation at this point of time, and we are expanding that will that debt get service through our internal cash flow approvals or not.

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Rakesh Wadhvani: The reason I am saying because now the coffee prices are at the peak there in the 2 year, 3 years cycle the pricing will also come down in the coming year, may not be knowing FY25, FY26, but they will surely come down my understanding, so that's why I'm asking that?

Praveen Jaipuria: Yes absolutely so if the coffee prices and all that they calm down significantly then the situation will change free cash flows will be far higher. Far higher in the sense it would be sufficient to not only kind of ease the working capital requirement, but also kind of fund some CAPEX also. So, yes, absolutely you are right. If that happens therefore the reason we are not commenting is because we really don't know how the prices are going to kind of pan out in the next 2 years, 3 years. Really, at that moment how things are we'll determine how are we going to fund the CAPEX if at all we decide to.

Moderator: The next question is from the line of Kashyap Javeri from Emkay Investment Managers. Please go ahead.

Kashyap Javeri: Question pertaining to your debt the interest cost has gone up from about 11 crores to 23 crores, 24 crores in last four quarters. One question is how much is cost of borrowing risen by and the connected question is that you know much of this borrowing would be for our expansion also is how much of even further cap interest cost has been capitalized in last 12 months or so?

Praveen Jaipuria: So, if you look at Vietnam the expanded capacity has been completed in March 2023, thereby the loan of 20 million which we have taken for that facility the interest has been accounted for in this current financial year that is one of the reasons increasing the rate of interest, the absolute value of the interest.

And the second is if you could see that the increase in the total overall working capital borrowing has also increased with the volume of the business that is gone up number two. Number three is the rate of increase also is changing as we all know that it's all most of the export borrowing are in linked with so far, so far is not yet eased out and because of these three reasons there is an increase in the overall interest cost.

Kashyap Javeri: And how much is capitalized this year?

Praveen Jaipuria: This year is nothing because the capacity has been completed last year itself with this year is totally accounted in the revenue.

Moderator: Thank you very much. The next question is from the line of V.P Rajesh from Banyan Capital. Please go ahead.

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V. P. Rajesh: Just this 200 crore domestic business that we were talking about in the next let's say 5 years, where do you think this business could be?

Praveen Jaipuria: We are trying to aggressively grow the business last time on an analyze level for the next 3 years, 4 years, 5 years we're looking anywhere 30%, 40% growth maybe even more. So, that's the kind of trajectory we want to maintain. So, with that this thing you're looking to kind of double every 2 years or so from here on, but definitely as you go along once the basis get build, you're getting bigger.

The kind of growth that you are having now also becomes challenging to maintain, but yes, we will be 200 crores this year. We'd like to double it in the next 2 years or so. So, that's the that's the kind of trajectory we would like to maintain, but this is very difficult to put. I always say that these are very challenging questions itself because it's a very nascent business for us.

Come to think of it we probably were never into FMCG business 5

years ago. So, a company

which has gone into FMCG business and has kind of a changed this kind of scale itself has been a great trajectory and the kind of things that we are wanting to do we did explain not only products, we're trying to expand geographies, we want to see that can we launch it in some other parts of the world per call we acquired, we're looking to get into retail.

So, there's lots happening. So, really of course some of it will work, some of it may not work we'll have to change track and trajectory. So, all that will happen. So, to get to a number is something which is very difficult to say, but can we get to a momentum and keep driving this momentum so that we kind of see these kind of aggressive growth.

Yes we are committed towards that and not only in terms of our intent, but also in terms of resources that is why I keep saying that next couple of years we are not intending to improve on EBITDA margins that we brands earn, but plough back everything back into the brand to grow this business.

V. P. Rajesh: And just last question on the B2B side do you potentially see yourself acquiring some other converters out there globally or the idea is always to put your capacities and growth through that route over the next 2 years, 3 years because while your Greenfield capacities are coming up?

Praveen Jaipuria: It's a little the same question it's an what kind of a question because acquiring capacity is not an issue. There are offers that keep coming our way, but if you remember when we talk about our competitive edge in the market. One of the biggest edge that we that we kind of enjoy is our ability to do different kinds of blends, different kinds of products and if you have noticed we

have always said that we build our capacity to our advantage in a way that it is very customizable.
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While there are offers, we really don't want to acquire a setup which is very fixated in terms of its output and then diminishes our ability to be that much more nimble footed in the market.

Also, the position matters a lot that are we in a zone which helps us to kind of so today one of our other advantages are that we can import coffee from anywhere and export anywhere. So, those things kind of help to our advantage and therefore we would like to maintain that advantage.

So, therefore it's like if and but if something right comes our way and we are looking to kind of it fits into our scheme of things we won't be averse to it, but going the way we have gone till now it looks like the principle would be to kind of build our own capacities going forward.

Moderator: Thank you very much. In the interest of time, that will be the last question. I would now like to hand the conference over to management for closing comments.

Praveen Jaipuria: Thank you all for attending the conference and we'll look forward to meet you again in the next quarter and thank Nirmal Bang for arranging this conference. Thank you everyone.

Moderator: On behalf of Nirmal Bang Equities that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2024

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Date: 09.02.2024

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Dear Sir/Madam,

Subject: Transcript of the Conference Call held to discuss the results of Q3 FY 2023-24
as required under Regulation 30 of SEBI (LODR) Regulations, 2015

With reference to the above-mentioned subject, we wish to inform that,

i) The copy of the Transcript of the Conference call held on Tuesday, 06th February, 2024 to discuss the results of the third quarter of financial year 2023-24 is enclosed herewith.

ii) The Transcript is also uploaded on the Company's Website and the web-link for the same is:

<https://www.cclproducts.com/wp-content/uploads/2024/02/Q3-Earnings-Call-Transcript-2023-24.pdf>

iii) The List of Management attendees is stated in the transcript.

iv) No Unpublished Price Sensitive Information was discussed in the call.

This is for your information and necessary records.

Yours sincerely,
For CCL Products (India) Limited

Sridevi Dasari
Company Secretary & Compliance Officer

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"CCL Products India Limited Q3 FY24 Earnings
Conference Call"

February 06, 2024

MANAGEMENT : MR. MR. CHALLA SRISHANT – MANAGING DIRECTOR,
MR. PRAVEEN JAIPURIAR – CHIEF EXECUTIVE
OFFICER
MR. B MOHAN KRISHNA – EXECUTIVE DIRECTOR
MR. V LAKSHMI NARAYANA – CHIEF FINANCIAL
OFFICER
MS. SRIDEVI DASARI – COMPANY SECRETARY
MR. P. S. RAO – CONSULTANT COMPANY SECRETARY
MODERATOR : MR. MR. ABHISHEK NAVALGUND – NIRMAL BANG
EQUITIES PRIVATE LIMITED

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Moderator: Ladies and Gentlemen, Good day and welcome to the CCL Products India Limited Q3 FY24 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that the conference is being recorded.

I now hand the conference over to Mr. Abhishek Navalgund from Nirmal Bang Equities. Thank you and over to you, sir.

Abhishek Navalgund: Thank you Manuja. Hello everyone. On behalf of Nirmal Bang Institutional Equities, I welcome all the participants to CCL Products India Limited 3Q FY24 Earnings Conference Call.

The management is represented by Mr. Challa Srishant – Managing Director, Mr. Praveen Jaipuriar – CEO, Mr. B Mohan Krishna – Executive Director, Mr. V Lakshmi Narayana – CFO, Ms. Ms. Sridevi Dasari – Company Secretary and Mr. P. S. Rao – Consultant Company Secretary.

Without further ado I would like to hand over the call to Praveen Sir for his opening comments and then we will open the floor for question and answer. Thank you and over to you, sir.

Praveen Jaipuriar: Thanks Abhishek. Good morning everyone and wish you all a Very Happy 2024.

As far as the performance of the Group is concerned, the Group has achieved a turnover of Rs. 664.48 crores for the third quarter of '23-24 as compared to Rs. 535.3 crores for the corresponding quarter in the previous year and the net profit stands at Rs. 63.29 crores as against 73.06 crores for the corresponding quarter of the previous year. The EBITDA is Rs. 112 crores and the profit before tax is rupees 66.69 crores.

As far as the 9 months YTD performance is concerned, the year-to-date turnover has been 1926.98 crores as compared to Rs. 1551.13 crores last year and the EBITDA for the 9-month period this year stands at Rs. 329.38 crores as against Rs. 287.64 crores for '22-23. The PBT for the 9-month period stands at Rs. 205.82 crores as compared to Rs. 210 crores last year and the net profit for the 9-month period stands at 184 crores which is as compared to last year is Rs. 183.59 crores.

There are two updates which I would like to give to you:

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In this quarter during the last 10 days of the month in December we faced the issues pertaining to Red Sea which meant that a lot of containers which were ready to be shipped could not be shipped because the liners were not taking containers because of the Red sea issue that led to deferment of sales from December to January, the quantity was almost 800 metric tons which is reflecting in the balance sheet and since most of you wouldn't have it, that is probably you wouldn't have noticed it.

But that's one issue that we faced which impacted the performance in the last month and also there is an update on the insurance that we have claimed for the breakdown in the Vietnam unit

and we have filed the insurance with the insurance company and as we had informed earlier it's almost 5% of the bottom line and as far as the claim is concerned if we get the claim this year then it gets reflected otherwise we will wait for the claim to come and then we'll accordingly inform all of you.

So, that is the update from our side, and I open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Kashyap Javeri from Emkay Investment Managers Limited. Please go ahead.

Kashyap Javeri: So, a couple of questions from my side. One you mentioned about roughly about 800 tons of material which could not be shipped that roughly probably translate to about 40 odd crores of turnover?

Praveen Ja

ipurari: Yes around 45 crores, 48 crores of turnover.

Kashyap Javeri: Adjusted for gross margin the full amount would have impacted our EBITDA number also?

Praveen Jaipurari: Absolutely.

Kashyap Javeri: Second is on in the last quarter when this breakdown of equipment happened what we had highlighted is that some pushover of volume from Quarter 2 to Quarter 3. Now even if I adjust for this about 800 tons that pushover of that volume ideally should have helped us achieve a fairly strong volume growth in this quarter which is probably not visible. So, what explains that?

Praveen Jaipurari: So, there was no pushover from Quarter 2 to Quarter 3. If you remember what we had explained in the last quarter because of the breakdown in Vietnam we had said that we would try and kind of be a little more aggressive in this quarter to make up for the volume as much as possible. So, there wasn't.

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So, if you see this quarter you will see that we are at around 14% volume growth and if this 800 tons would have come this would have gone up to approximately 20%, 21% and we could have made up a little bit in this quarter, but there were back-to-back issues that happened in both the quarters otherwise things would have been better as far as numbers are concerned.

But having said so, even in spite of the Red Sea issue we did manage a 14% volume growth and we expect all of that to get translated in quarter 4 and hopefully as far as the top line guidance is concerned there won't be any change in terms of our growth trajectory.

Probably yes this 5% of profit loss that we probably where got impacted because of the breakdown that could lead to certain kind of a profit re-guidance, but that will again depend on the claims etcetera. So, broadly the guidance remains the same. Yes, this impact we will be able to know only by the end of the quarter.

Kashyap Javeri: And connected question is that let's say this Red Sea problem persists and we have to use a different route who bears the expenses?

Praveen Jaipurari: So, we generally have two kinds of contracts. So, for the FOB contract the buyer bears the expense. There are certain contracts and approximately 30% of our contracts are CIF contracts.

So, of course that expenses will be borne by us and that in fact could lead to a little bit of compression in the EBITDA margins.

Kashyap Javeri: And some bookkeeping question can you give the gross debt as well as the inventory receivable and payable numbers for the quarter can you share that?

V. Lakshmi Narayana: The debt as of now has increased to around 1,300 crores and the receivables are around 60 days and the payables are 15 days.

Kashyap Javeri: And including this additional inventory of about, let's say, 40 crores, 50 crores what would be the inventory number?

V. Lakshmi Narayana: Inventory it was almost around these two routes if we take it around 130 crores.

Kashyap Javeri: Additional versus previous quarter?

V. Lakshmi Narayana: Total as on 31st December which would have been less by selling it off that 800 tons which is maybe around 35 crores less we might have ended around 102 crores.

Kashyap Javeri: 102 days right?

V. Lakshmi Narayana 102 crores by selling it off another 800 tons which we are supposed to dispatch.

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Kashyap Javeri: Sorry I'm getting a bit confused. So, can you give me exact inventory number on balance sheet as on 31st of December?

V. Lakshmi Narayana: On finished goods it was 135 crores.

Kashyap Javeri: And other inventory raw material as well as finished goods?

V. Lakshmi Narayana Raw material we have almost around 400 crores at Group level.

Moderator: Thank you very much. The next question is from the line of Amol Rao from Kitara Capital Private Limited. Please go ahead.

Amol Rao: Sir just I mean couple of questions on the outward freight side now as t

he previous participant

asked that we might incur some additional expenses for the freight for our CIF contracts. Does the export time also elongate. So, should that reflect a little bit in our receivables also because I want to take a longer route, right?

Praveen Jaipuriar: So, it's around 4 days or 5 days. It's not really needle changing yes, but there will be a little bit of a delay. So, 5 days of more delay if they go through the Cape of Good Hope that could impact a little bit, but these are little impacts we're not showing at a larger level things will change drastically for us.

Amol Rao: And sir another question which is has a larger scope, there's no deferral of demand the demand remains intact it's just meeting that demand that is taking little longer from our side?

Praveen Jaipuriar: Yes there isn't any issue with the demand and the demand remains intact and it looks like there is in fact a more pent-up demand which is getting reflected in the coffee prices as well. So, we are not seeing any sort of issue with the demand side being more of our supply constraints that we had been internally otherwise demand is intact.

Amol Rao: Sir, if I may just squeeze in one more question. So, the last time we spoke in December I mean you alluded to coffee prices being at 3-decade highs I mean what's the sense you're getting on the Vietnam crop, are the prices still elevated in anticipation of the poor rains or I mean anything you are seeing on that, anything that you could help us?

Praveen Jaipuriar: So, in fact, this is the time we last for the coffee prices have gone up quite a bit. It is almost at an all time high and unexpectedly high because nobody expected these kinds of prices. So, yes there are two things. One is as we spoke earlier the demand remains robust. So, there is a huge demand of coffee which remains intact, but yes there are issues in terms of supplies because of CCL Products India Limited

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probably poor output of the crop or at least there is a perception that there are poor output and there are fund guys playing into this.

The coffee farmers are wanting to hold stocks because everybody is more of a upward trajectory mode. So, all that is leading to high coffee prices, future outlook all our outlook has gone wrong for the last 2 years. So, very difficult to predict which way it would turnaround. Probably it's a trigger to turn things around. But as of now in the short term we don't see any sort of price indication that which side it will go, looks like it will remain at these levels for some time.

Amol Rao: And in the middle of all this chaos our business model remains intact that is we book the coffee back-to-back when we get?

Praveen Jaipuriar: Yes there is no change in our business model. We kind of book back-to-back and we don't kind of buy coffee unless, until we have orders.

Amol Rao: Sir on the expansion side are we on track with our expansion in India which is basically going to come in probably in October, November of this year?

Praveen Jaipuriar: No India expansion is not in October or November it will be in March. So, that is that is on track. The Vietnam of expansion was July, September quarter that is also on track. So, we are on track for both the expansions.

Moderator: Thank you very much. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: I have a few questions you mentioned that 14% volume growth. Can you break that growth for India and Vietnam and the second question is that if you could talk something about India branded business and the institutional part of the business and modern trade so maybe segmental what kind of growth you have seen in demand?

Praveen Jaipuriar: So, first of all answering your first question India volume growths impact be declined because if you remember last year we were doing third party buying and all that and also had t

o hit the

deferment that happened at the end of the month.

So, there was almost a 10 odd percent decline and Vietnam capacity is almost at a 40%, 50% upside because of the new capacity and the aggressive selling that we are doing. So, this is the breakup of these two segments. As far as India domestic business is concerned, India's domestic business for the 9 months we almost did run approximately 230 crores to 235 crores out of which the branded business itself is approximately 145 crores. If you remember for the last year we had done full year of 150 crores of branded mix and we were able to touch in 9 months projection CCL Products India Limited

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wise this year we are we are looking to touch the 200 crores mark for the brand alone and 320 crores or so for the full domestic business.

As far as channel growth I think most of the channels are growing at the same momentum the brands currently are on a 40%, 50% kind of a growth moment after a bit of correction in quarter 1, Quarter 2 and we are seeing this kind of momentum happening from all the channels both all GPMT as well as e-commerce. So, yes, it's been an all-around growth for us.

Shirish Pardeshi: I think last time you mentioned that our touch points is somewhere around 1.2 lakh and 80% is residing in South. So, date as of December how it is planning out?

Praveen Jaipurkar: Every quarter we kind of add around 2,000, 3000 outlets that we are continuing to do and we are now kind of last time we had given an update that we are now aggressively trying to expand in other parts of the geography beyond South.

So, as of now today in almost all 10 lakh plus population town we have our distributors set up so that expansion we are taking and we are building on some of the other brands. So, in South we sell continental extra. We are building special in other parts of the country. So, all that is happening and it's an even all-around kind of growth happening.

So, in the South we are trying to penetrate deeper. So, we are now probably touching almost all towns above 50,000 population. So, that's been our strategy go deeper in South and kind of expand to key geographies in north and key towns because in other parts of India coffee where we are doing phenomena so that that expansion is an ongoing process, and we are taking it now.

Shirish Pardeshi: My second last question on the UK acquisition lock down, any update at this time which is you can quantify how it is panning out?

Praveen Jaipurkar: In terms of numbers, in fact we know there was a period of changeover and which happens in any acquisition. So, from July onwards we started taking things on to us and then we started reworking on the product packaging and all the promotions with our UK partners and we took around 4 months, 5 months to kind of stitch everything together.

We are now good to relaunch March end with our new packaging, new product and new strategy at all stores in the UK. So, this year numbers will not be much it will be approximately 15 crores or so, but then after March we launch, we'll be able to update that how the relaunch has been appreciated in the market going forward, but yes a lot of work happened during this interim time in terms of relaunching the whole proposition.

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Shirish Pardeshi: My last question on margin front we have been able to hold on between 40%, 41% gross margin while the EBITDA has been a little on the lower side. So, in the medium term what are the pain points which where do you think, I mean, you touched upon the coffee still looking inflationary, but is there any margin room for growth for us and how we should look at the next day margin?

Praveen Jaipurkar: So, like last time we pointed out that there is no apparent or very this thing a reasonable kind of deviation that we are looking at margins because there are 2 factors, 3 factors or 4 fac

tors that

we play up.

One is definitely the product mix. So, if you would have seen our product needs for the current expansion and the expansion which is coming in India will be on the Spray-Dried side and Spray-Dried you earn a little less margin than the Freeze-Dried side then what will happen is next year September onwards October onwards the Freeze-Dried capacity will come so that will improve the margin.

On the other side, we are also trying to focus a lot more on small packs which help us give better margins, we are looking at specialty coffee which will help us. So, there are a lot of factors which are going to play around, there's some factors which will pull up the margins, some factors which will bring down the margin.

So, on a overall consolidated levels we don't see much of a change in the margin that is going to happen in the near future, but yes going forward once things get stabilized, once your mixes gets stabilized, once some of our initiatives regarding small packs, specialty coffee they all start coming into play then we probably will start seeing improvement in margins as well.

Moderator: Thank you very much. Next question is from the line of Akshay Chheda from Canara Robeco Mutual Fund. Please go ahead.

Akshay Chheda: Sir two questions. Sir first question is sir you said that 14% volume growth, but EBITDA growth is only 10%. So, what explains the 4% gap because ideally we keep guiding that the EBITDA and the volume growth should go in hand in hand?

Praveen Jaipurkar: So, Akshay actually it's EBITDA growth is if I'm not wrong around 11% and it's 14%. So, there has been a 3% drop as I mentioned a while ago the 3% drop is because in our volume we did the aggressive selling at Vietnam because not every product fetches you the same kind of margin.

So, what we did was in because we wanted to fill capacities and make up for the losses that we had in Quarter 2 we did some low margins contract as well in Vietnam which led to a little bit of a squeeze in margin which you can see in terms of 2% to 3%.

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But in the overall scheme of things if you see YTD there isn't much of a difference. We are actually there is 12% to 13% growth in volumes and 15% growth in EBITDA. So, we are probably at a YTD level we are intact and as I always have said that at a quarterly level these mix changes and all that could come into play and therefore you may see some variations, but on an annual basis our guidance remains intact, volume growth and the EBITDA growth will be always in line.

Akshay Chheda: So, second question is sir if we see the second and the third quarter at least the EBITDA growth was around 13% and 10%, but on the annual guidance does that 18%, 20% volume growth still hold through or we'll have to curtail that to some extent because at least the second and third quarter we are lagging a little bit?

Praveen Jaipuriar: Yes, we are lagging, but Akshay couple of things. One is that volume grows we are pretty confident that we'll be able to get to that 18%, 20%. In terms of EBITDA because of that loss in Quarter 2 at Vietnam and subsequently when we are trying to cover up obviously as you're seeing in Quarter 3 there is a little stress on margins because we want to aggressively cover the top line. So, there could be a certain drop because we may not get the insurance claim this year. It may happen later, but probably if we were to get that insurance claim that guidance of 18%, 20% remains intact both for volume as well as for EBITDA.

Moderator: Thank you very much. The next question is from the line of Abhilasha Satale from Quantum AMC. Please go ahead.

Abhilasha Satale: So, I have one question in terms of working capital so can you just throw some light what the impact of Red Sea issue on our overall working capital in the near-term is? You can just give approx the numbers in terms of how much you're seeing

g the impact and secondly as our Vietnam capacity stabilizes what kind of working capital outlook we are seeing for that because in the last 7 or 2 years we've seen some increase in working capital maybe because of the different issues, but as we stabilize all our capacities what are the working capital days what we will be comfortable with this is my first question.

V. Lakshmi Narayana: If you look at it the kind of revenue growth and the volume of the production that is happening we have aligned EBITDA enhancement of the working capital facility in India by 200 crore and thereby now the earlier the 400 crores working capital loan it is likely to increase to 600 crores in India and regarding the non-coffee Vietnam wherein the new capacity has come into operation.

Earlier we have almost around 15 million USD working capital export. Now it is going up to almost around 45 million which we have necessary arrangements have been taking place. As a CCL Products India Limited
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whole if you look at it the working capital is likely to be from earlier 600 crores which has gone up to 1,000 crores.

Abhilasha Satale: Are we taking any measure to bring it down? Either this facility stabilizes so over 2 years or so maybe in percentage of revenue and all where would we like to or what is the target to stabilize our working capital at?

V. Lakshmi Narayana: So, now we are at the peak level it is likely to go up another 200 crores maximum by next year, but post that free cash flows are going to be available then we keep reducing it.

Abhilasha Satale: And my second question is what is our burn on branded segment in 9 months FY24 and can you give some road map towards profitability for the segments?

Praveen Jaipuriar: Can you just repeat your voice it's not very clear.

Abhilasha Satale: Is it better now?

Praveen Jaipuriar: Yes little better.

Abhilasha Satale: So, my second question is like how much is burn on branded segment in 9 months FY24 and can you give some road map towards profitability for the branded segment?

Praveen Jaipuriar: So, first and foremost there is no burn there because last year itself we had indicated that we have broken even and probably from this year we will be at 5%, 6% EBITDA levels which will keep increasing as we go along, but yes the fundamental principle here will be that we will try and invest as much as possible back into the brand because we really don't kind of want to slow down the momentum at this stage when the brand has got that momentum and has getting into that threshold levels of being a fairly largest brand.

This year we are looking to end the year at just the brand segment at Rs. 200 crores. So, that's a very, very big milestone because there are not many brands who kind of achieve this kind of a milestone in this short period. So, we really want to keep up the momentum, keep investing back into the brand, but yes 5%, 6% of EBITDA is definitely there right now and we will see how we can improve it, but with this thing that we really want to right now be invested in brand building.

Abhilasha Satale: I appreciate it, but I think at PAT level we would still be burning if I'm not wrong?

Praveen Jaipuria: So, there isn't much of this being PBT. The brand demerger has happened. So, there aren't any loans to be serviced or it's not asset depreciation or anything. So, there is not much of difference between an EBITDA levels and net PBT level.

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So, except for the vending machines that we buy, we probably have a little bit of a depreciation and interest, but those are very less in numbers. So, there won't be much of say the EBITDA levels will be at around let's say 5%, 6% the PBT could be at around 2%, 3% and PAT will not be getting impacted so much. So, therefore there isn't any burn even at the PAT level also.

Moderator: Thank you very much. The next question

is from the line of Ankit Kanodia from SmartSync Investment Advisory Services. Please go ahead.

Ankit Kanodia: My first question is related to the tax outgo. So, suddenly we have seen a very big drop in taxation this quarter. Can you throw some light on that?

V. Lakshmi Narayana: So, here if you look at it standalone we are falling under MAT because of the carry forward MAT Credit the effective tax rate in India is working out 7.7% to 7.8% and as you know that in right now it is the tax free corporate tax is completely exempted thereby you could see that drop in the overall effective tax rate and as we informed earlier also the effective tax rate at Group level is around 12%.

Moderator: Thank you very much. The next question is from the line of Senthil Manikandan K from ithought PMS. Please go ahead.

Senthil Manikandan: My first question is on the vending machine business. So, if you can just share what's the broad strategy we gained over the next 3 years to 5 years in building this business in the domestic market?

Praveen Jaipuria: So, vending business we approximately today have 4,000 vending machines that are operational across the country, and we are looking to build aggressively. See it's a tricky business as well because vending machines everybody in the market wants you to put without any cost and then they might end up also buying from somebody else once they get machine because obviously there will be local players and traders who probably offer at a very dirt-cheap rate and things like that.

So, that is why we have been very careful on this front not to go overboard. Today we are making sure that it's a self-sustaining model in 6 to 7 months most of our vending machines kind of payback for themselves. So, keeping all this in mind with the new approach we are looking to scale it up, but in a more sustainable manner. In terms of the business that it will generate of course we're looking to build up a business out of vending itself to 100 crore kind of a business in the next 3 years to 5 years today it could be around 20 crores, 25 crores or so, but yes that that's been our plan and that's been our strategy as far as vending is concerned.

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In fact last time we had also kind of apprised all of you that there is this whole out of home consumption that we want to tap into and drive this whole out of own consumption a lot more deeper and there are certain experiments that we have been doing. We have been opening kiosks, we are about to open some cafes as well and do the proof of concept of penetration driving as far as the cafe concept is concerned. So, all that work is happening as far as the out of home consumption is to be given.

Senthil Manikandan: Second is a related question on the domestic market in terms of our presence in the coffee retail things. So, off late we have seen that a lot of startups like they have coffee or they're making a good presence in the market, so what's our presence and strategy in this line of business?

Praveen Jaipuria: I'll just give you a brief this thing background. As far as all the coffee startups today if you see the India ecosystem as far as coffee is concerned probably a large part of it is driven by us. So, a lot of these coffee D2C brands and these startups you see whether it is brand or whether it is the chains we are doing a lot of back-end work with them to drive because our whole concept has been that how could we derive lot more coffee consumption in this tea drinking country. So, that's one.

Second is in terms of our presence if you see our presence far outweighs all the brands in fact together. Most of these D2C brands are probably in the range of 25 crores or so and we are probably will be reaching 200 crores this physical. So, you can kind of compare the kind of presence we have.

So, if you come to South of India and if you start going to retail outlet y

ou'll see that our presence

has a very strong number 3 brand in most of the retail outlet and there are certain pockets where

we are seen as the number 2 brand. So, that is the kind of presence and visibility that we have been able to achieve.

Yes, the next milestone would be to get this kind of presence and visibility in the North, East and West markets as well for which the work has started. There are a lot of outlets where we are now fairly visible in these zones as well. So, that's a brief outlook of our presence in the retail market.

Moderator: Thank you very much. The next question is from the line of V. P Rajesh from Banyan Capital. Please go ahead.

V. P. Rajesh: Just a clarification when you're talking about 200 crore of brand revenues this year, does that include the vending machine business also or if not then why?

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Praveen Jaipuriar: It includes branding business because all the vending machines is a branded these things, we all sell under another brand so that is part of the brand. Bulk and private label is outside this.

V. P. Rajesh: And out of 200 how much will the vending machine business be by the end of the year?

Praveen Jaipuriar: Approximately 20 crores, 25 crores would be that the rest of it would be products.

V. P. Rajesh: And then in terms of the produce, as you were describing that you are either number 2 or number 3 in rest of the southern part of the country. So, my question is that how is the competitor, the leader or the number two player reacting on the ground to your surgeons in those particular markets, are they trying to dislodge you by discounting or what's going on if you can just give some commentary on that?

Praveen Jaipuriar: We are fighting against the top two multinationals or not the country, but of the globe and obviously there this thing would be to very to be aggressive. They hate to lose market shares, but what we are doing is we are constantly focusing on lot on consumer offtake because once the offtake starts happening it becomes really difficult for you to be even if you are very aggressive in terms of doing channel discounts and maybe consumer discounts once you are building loyalty for your consumers what happens is that that ability for your competition to kind of bring you down that much reduces.

So, that is why we're doing a lot of activities in terms of building consumer loyalty. We are doing a lot of ATL activity combined with a lot of sampling that we do on ground which is making a huge consumer base for us. In fact, one of our largest selling packs will be 200 gram Packs which is the not the largest selling pack of the category.

So, that that gives us an indication that we are building a very strong consumer base and that is helping us lot of on the competitive pressures that that may be coming from the competition, but yes competition has been reactive, they are doing a lot of things, but yes consumer is the thing that we are focusing on and we think that we are doing the right thing as long as the consumers are picking up your brand, I don't think so any of the pressures would kind of work.

V. P. Rajesh: And then just a quick follow up on the online side how would you rank yourself and who are the sort of what is the market share that you would ascribe to ourselves vis-a-vis these large players or other D2C brands that you were talking about earlier?

Praveen Jaipuriar: No come again on which side did you say online site?

V. P. Rajesh: On the online channels?

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Praveen Jaipuriar: So, of course, online channels again we are very sustainable on that. Today, if you see the online channel. There are two sets of products that sell. There is one set of product which sell because there is an offline equity that is getting built for the brand. So, that if you see the large players and including us whi

ch is Nestle, Unilever and continental I can count it now in the same basket.

Our online sales are largely dependent on the offline equity that we are building, but if you see the D2C brands their online sales are largely from the huge amount of money that they have to spend online itself.

So, therefore you'll see it is becoming a very, very tough for each of these brands to sustain the online sales itself and if you were to kind of search for the ROC data for some of these D2C brands you will yourself see the kind of losses these brands end up making.

So, anyways I don't want to go into that site, but that's been our strength. We have been very strong on online, but the good part is that I spend Rs. 1 to get Rs. 3 revenue in on online, whereas most of the D2C brands if you see the D2C ecosystem, their ratios have been upward of 1 which means that the probability it really gets reduced. So, that's been our strategy.

We are very focused online. Today almost 10% of our sales which is approximately out of 200 crores, 20 crores to 25 crores is coming online which is equivalent to some of the large D2C players who are much talked about in the market, but yes the only difference is that we don't

know Tom talking about it and the second thing is that we are building it very sustainably.

V. P. Rajesh: Just one follow up. Do you have any market share data on the online side like where would you stack up on top 5 and top 6 players?

Praveen Jaipuria: Very difficult to visit online market share data, but our sense is that from whatever talks that we do with the category managers of the online space we probably would be close to around somewhere my sense is that 8% to 10% could be our share in the online space that we are into.

Moderator: Thank you very much. The next question is from the line of Bhargav from Ambit Asset Management. Please go ahead.

Bhargav: My first question is, is it possible to share what is the gross margin and advertising spend in the branding business?

Praveen Jaipuria: On a broad level so the domestic market if we look at it as a whole it's approximately 30%. The brands would be 5% to 7% higher and our advertising to sales spends is roughly around 8% to 10% as of now. So, that is the ratio on the advertising spends.

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Bhargav: And as you scale up your branded business is there a plan to sort of separately list also that entity because essentially now that it is part of the B2B business, it will not get fully valued, but once scalable is there a plan and if there is a plan at what level would you be looking to execute that plan?

Praveen Jaipuria: So, as of now we want to kind of in fact it was under separate subsidiary which we kind of demerged it back to the parent company because the leverages are much better for us to drive when you are doing it from the parent company. So, we really want to go very, very strong on this segment kind of build this segment over a period of time. As a vision for the company, we have already kind of earmarked that CCL going forward next 5 years, 10 years, 15 years so it should kind of transform itself into a true blue FMCG company with a lot of brands getting launched and lot of brands getting sold. So, that's our visions and we want to kind of translate this vision from the parent company itself. So, that will be a strategy. So, in the short and medium term I don't see any such kind of effort from our side.

Bhargav: And so in terms of debt we have a debt of about 1000 crores on the balance sheet when do you plan to become debt free?

Praveen Jaipuria: It will take around 3 years or 4 years from now to completely become debt free, but it's a little hypothetical question because as we move along, as the growths are coming we really don't know when the next expansion is going to come, but if we suppose we were not to expand and there is no new CAPEX that is going to com

e our way, it will by 28 or 29 which is our 4 years

of let's say 4 years from now we should be debt free.

Bhargav: And sir lastly what would be the share of China in our overall revenue pie, and you think that number can initially grow from here on?

Praveen Jaipuria: Very negligible right now, very minute quantities we sell right now, but last time we had indicated to you that we are kind of partnering with one of our old associates and we are building that market.

So, that market right now is in the seeding phase. So, right now there aren't any significant volumes that are coming, but we expect these things to pick up as we move along and we will keep you updated as the volumes pick up from that geography.

Moderator: Thank you very much. The next question is from the line of Dhruv Bakhai from RSPN Ventures Private Limited. Please go ahead.

Dhruv Bakhai: So, can you throw some light on quarter-on-quarter and year-on-year figures of EBITDA per ton and the overall capacities utilization that you have been able to achieve?

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Praveen Jaipuria: I am not able to hear you clearly. Can you just repeat?

Dhruv Bakhai: Quarter-on-quarter and year-on-year figures for EBITDA per ton and the overall capacity utilization that you have been able to achieve?

Praveen Jaipuria: EBITDA per ton remains exactly the same as before. There is a little drop in Quarter 3 because we were selling a little aggressively, but as we had explained earlier that the Spray-Dried EBITDA per ton is approximately 9,200 and the Freeze-Dried is around 130 to 135. So, that remains intact. As far as capacity utilization is concerned the India capacity is fully utilized and when we say utilized obviously it won't be 100% of the rated capacity is generally at closer to 90% or so because of the changeovers because of the kind of blend that you are doing.

So, India capacity is fully utilized. Vietnam is also last quarter we did the optimum utilization of the capacity it's a new capacity, there are certain line balancing and all that that is pending, but barring that we did optimize fully the Vietnam capacity as well.

Dhruv Bakhai: So, one more question what are your CAPEX plan for financial year 25 and 26 financially?

Praveen Jaipuriar: There is no new CAPEX that is there. We already we have announced CAPEX there is a 50 million CAPEX in Vietnam and another which is the Freeze-Dried facility which is already on and when I say on the setting up the plant is on, it will be operational from next financial year Quarter 2 and the India facility the Spray-Dried 16,000 tons that's also close to \$50 million CAPEX so that is also ongoing project and by this yearend by March end we should be operational.

Moderator: Thank you very much. The next question is from the line of Rohan Gupta from Nuvama Wealth and Investment Limited. Please go ahead.

Rohan Gupta: Sir, couple of questions from my side. First is on the pressure which we have faced on Vietnam with the aggressive pricing you mentioned which has impacted our margins. It was just a one off or we see that in our focus on driving the capacity utilization at Vietnam plant to full utilization we may keep on seeing this kind of margin pressure even going ahead as well that is one.

And second sir across the globally which are the markets you see that US and Europe are still facing pressure where we are not able to push the materials significantly.

Praveen Jaipuriar: So, first thing is like yes there is a bit of margin drop because of our aggressive setting. One off is terminology may not be exactly right, but yes it is very short term because once you start building clients and when you start building businesses after you have done or fulfill your CCL Products India Limited
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capacity or optimize your capacity then you can start kind of improving on your margins because the more t

he utilization I get into my pricing becomes even better because my overheads and all that gets distributed through a larger volume.

It's a short-term thing definitely the margins will catch up. If you see the YTD numbers the margins are completely intact it's only in this quarter that we saw a little bit of stress then coming to which markets have been a challenge. I don't see that any markets have been a challenge for us. It's more that we don't have the capacity, or we didn't have the capacity to expand to some of the markets. We would have ideally expanded America, North America is doing well for us, Africa small packs we are doing well, Europe we are doing well even Russia and CIS countries we are doing well.

So, I don't see any and as we discussed and I updated you are far East which is including China we are seeding the seeds right now and hopefully we'll start seeing the volumes coming there, but it was never a question of a demand of our or our ability it's more of our capacity issues that led to not touching some of these markets, but we are okay to kind of good to go once the capacity is now there.

Rohan Gupta: Second question is on our margins instead you mentioned roughly 90 to 100 and Freeze-Dried roughly 130 to 135. I think that we were earlier focusing on with our small packs division doing very well. We were looking at \$1.5, \$2 margins on a overall basis of the company, so when you think that we will be reaching those I mean \$1.5 to \$2 kind of margins on overall company basis?

Praveen Jaipuriar: We will actually the exact timing is very difficult because a lot of work is going on small packs, what happened is that if you see the pre COVID time, our small pack ratios really increased to almost 24%, 25% then COVID happened, and these small packs really declined and then we focused more on bulk pack.

It was almost work starting from scratch post COVID. So, now we are back to approximately 18%, 20% of small packs as we speak. Once we get into a level of around 30% or so, then we start seeing the real value flowing into the P&L, but as I was telling you a few minutes ago is that in the near short term and in the medium term there are other things which are also playing up. So, what is happening is that sprayed dried capacity is going up. The mix is changing. So, we are selling more of sprayed dried which has lower margins.

Once the Freeze-Dried comes then that margins will again start improving. So, there will be certain pluses, there will be certain minuses that will play up and therefore with the short term, we don't see much of a much of an improvement in margins per say, but what we are definitely seeing is that because of our aggressive top line and volume growth the driving of EBITDA numbers will be through this volume growth and then subsequently when the next phase comes CCL Products India Limited
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we will start driving improvement in margins and then you will see a lot more improvement in margins and then we'll see how it goes because the next couple of years we are very, very focused and we will drive all our EBITDA profit through higher volume growth.

Rohan Gupta: So, sir commissioning of this Spray-Dried by end of this year will probably pull down a margin

a little bit, but then once again Freeze-Dried commissioning in FY25 may pull up the margin, but for next 2 years at least we are going to see the volume led growth on the rather than any margin expansion?

Praveen Jaipuria: Absolutely.

Rohan Gupta: Sir, just coming on the domestic business if you can just share some number that the retail sales if I missed it out, but the retail sales number from the different channels in the current quarter and the 9 months?

Praveen Jaipuria: So, basically 9 months I'll share because that will give you a better picture. So, almost the domestic business in the 9 months is 230 crores to 235 crores out of which 140 crores is

a

approximately the retail the branded business and we are looking to end the year the domestic business at around 320 odd crores and the brand business will be around 200 crores. So, that is the yearly outlook for the brand business.

Rohan Gupta: Sir any idea if you can just share that in our retail brand at 200 crore, what kind of market share we may have at that number?

Praveen Jaipuria: Right now we are very small. So, when Nelson picks it up there are errors and all that picking up, but if I see our market share in the South market which is like 65%, 70% of the coffee market because that's the data we buy. So, I can share a bit of that with you is approximately 3.5% and at an All-India level if I were to translate this because I don't have the numbers. So, it could be around 2.5%, but definitely there are pockets where we have done really well. So, our market share in let's say in AP, Telangana would be closer to 8% to 10% Karnataka would be around 5%, 6%, Tamil Nadu would be around 3%, 4%. So, that's a little brief on our market share.

Rohan Gupta: And just one last bit and I may come back in the follow up for the question. You mentioned that on your debt number that if you don't go for any further CAPEX from here excluding this \$50 plus \$50 million commissioning over next 8 months to 9 months if you don't go then you are going to repay. I mean, if the company will be debt free in next 4 years. So, that doesn't include the growth which you will be doing with the volume led and the working capital requirement or that includes that and including the working capital would be debt-free?

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Praveen Jaipuria: No obviously term loan long term debt is concerned it is completely debt free by 29 with the schedule of repayment and working capital also we have some ease in working at as well because the free cash flows are going to flow into it.

Rohan Gupta: So, even you are saying that in actually from the current growth plans you can be debt free including working capital I mean short term, long term both?

Praveen Jaipuria: It's not debt-free. There is some easiness there from the present level. So, we are definitely going to be debt-free on account of long term.

Moderator: Thank you very much. The next question is from the line of Rakesh Wadhvani from Monarch AIF. Please go ahead.

Rakesh Wadhvani: Sir one question with respect to the standalone business we witness some volume decline in queue for Q3, but there's a gross profit increase any reason for that?

Praveen Jaipuria: There were some better margin business that happened in this quarter. There were a bit of more of small packs that led to kind of better efficiencies therefore that drop in profit is not there in spite of drop in volume.

Rakesh Wadhvani: Sir again that EBITDA margin has come, EBITDA growth has come is it because of the shift or delay in the packaging shipping because the gross profit has been grown by 17% and the EBITDA growth is only negative so is it because products were manufactured, but they couldn't be shipped, is that understanding correct?

Praveen Jaipuria: As I mentioned in my opening remarks that there was approximately 800 tons of product which we could not ship because of the Red Sea issue and in during the end week of December unfortunately the Red Sea issue happened and at a time when the quarter was ending. So, that led to loss in business so that that impacted our P&L.

Rakesh Wadhvani: One last question from my side sir regarding the debt, so you mentioned if there is no expansion plans in the coming year or for the next 1 years, 2 years then with that long term debt that will be zero by FY28 or FY25, but just wonder if we expand also the number amount of cash flow that will be the generating will be sufficient for us to fund the CAPEX on that. It's my understanding correct.

Praveen Jaipuria: Very difficult to commen

t right now because there are working capital there will be working capital debt and things like that. So, volume will increase. So, we'll have to see the situation at this point of time, and we are expanding that will that debt get service through our internal cash flow approvals or not.

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Rakesh Wadhvani: The reason I am saying because now the coffee prices are at the peak there in the 2 year, 3 years cycle the pricing will also come down in the coming year, may not be knowing FY25, FY26, but they will surely come down my understanding, so that's why I'm asking that?

Praveen Jaipuriar: Yes absolutely so if the coffee prices and all that they calm down significantly then the situation will change free cash flows will be far higher. Far higher in the sense it would be sufficient to not only kind of ease the working capital requirement, but also kind of fund some CAPEX also.

So, yes, absolutely you are right. If that happens therefore the reason we are not commenting is because we really don't know how the prices are going to kind of pan out in the next 2 years, 3 years. Really, at that moment how things are we'll determine how are we going to fund the CAPEX if at all we decide to.

Moderator: The next question is from the line of Kashyap Javeri from Emkay Investment Managers. Please go ahead.

Kashyap Javeri: Question pertaining to your debt the interest cost has gone up from about 11 crores to 23 crores, 24 crores in last four quarters. One question is how much is cost of borrowing risen by and the connected question is that you know much of this borrowing would be for our expansion also is how much of even further cap interest cost has been capitalized in last 12 months or so?

Praveen Jaipuriar: So, if you look at Vietnam the expanded capacity has been completed in March 2023, thereby the loan of 20 million which we have taken for that facility the interest has been accounted for in this current financial year that is one of the reasons increasing the rate of interest, the absolute value of the interest.

And the second is if you could see that the increase in the total overall working capital borrowing has also increased with the volume of the business that is gone up number two. Number three is the rate of increase also is changing as we all know that it's all most of the export borrowing are in linked with so far, so far is not yet eased out and because of these three reasons there is an increase in the overall interest cost.

Kashyap Javeri: And how much is capitalized this year?

Praveen Jaipuriar: This year is nothing because the capacity has been completed last year itself with this year is totally accounted in the revenue.

Moderator: Thank you very much. The next question is from the line of V.P Rajesh from Banyan Capital. Please go ahead.

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V. P. Rajesh: Just this 200 crore domestic business that we were talking about in the next let's say 5 years, where do you think this business could be?

Praveen Jaipuriar: We are trying to aggressively grow the business last time on an analyze level for the next 3 years, 4 years, 5 years we're looking anywhere 30%, 40% growth maybe even more. So, that's the kind of trajectory we want to maintain. So, with that this thing you're looking to kind of double every 2 years or so from here on, but definitely as you go along once the basis get build, you're getting bigger.

The kind of growth that you are having now also becomes challenging to maintain, but yes, we will be 200 crores this year. We'd like to double it in the next 2 years or so. So, that's the that's the kind of trajectory we would like to maintain, but this is very difficult to put. I always say that these are very challenging questions itself because it's a very nascent business for us.

Come to think of it we probably were never into FMCG business 5

years ago. So, a company

which has gone into FMCG business and has kind of a changed this kind of scale itself has been a great trajectory and the kind of things that we are wanting to do we did explain not only products, we're trying to expand geographies, we want to see that can we launch it in some other parts of the world per call we acquired, we're looking to get into retail.

So, there's lots happening. So, really of course some of it will work, some of it may not work we'll have to change track and trajectory. So, all that will happen. So, to get to a number is something which is very difficult to say, but can we get to a momentum and keep driving this momentum so that we kind of see these kind of aggressive growth.

Yes we are committed towards that and not only in terms of our intent, but also in terms of resources that is why I keep saying that next couple of years we are not intending to improve on EBITDA margins that we brands earn, but plough back everything back into the brand to grow this business.

V. P. Rajesh: And just last question on the B2B side do you potentially see yourself acquiring some other converters out there globally or the idea is always to put your capacities and growth through that route over the next 2 years, 3 years because while your Greenfield capacities are coming up?

Praveen Jaipuriar: It's a little the same question it's an what kind of a question because acquiring capacity is not an

issue. There are offers that keep coming our way, but if you remember when we talk about our competitive edge in the market. One of the biggest edge that we that we kind of enjoy is our ability to do different kinds of blends, different kinds of products and if you have noticed we have always said that we build our capacity to our advantage in a way that it is very customizable.

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While there are offers, we really don't want to acquire a setup which is very fixated in terms of its output and then diminishes our ability to be that much more nimble footed in the market.

Also, the position matters a lot that are we in a zone which helps us to kind of so today one of our other advantages are that we can import coffee from anywhere and export anywhere. So, those things kind of help to our advantage and therefore we would like to maintain that advantage.

So, therefore it's like if and but if something right comes our way and we are looking to kind of it fits into our scheme of things we won't be averse to it, but going the way we have gone till now it looks like the principle would be to kind of build our own capacities going forward.

Moderator: Thank you very much. In the interest of time, that will be the last question. I would now like to hand the conference over to management for closing comments.

Praveen Jaipuria: Thank you all for attending the conference and we'll look forward to meet you again in the next quarter and thank Nirmal Bang for arranging this conference. Thank you everyone.

Moderator: On behalf of Nirmal Bang Equities that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

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Date: 17.05.2024

To

The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra – Kurla Complex,
Bandra East, Mumbai – 400051.

Scrip Code: CCL To
The Corporate Relations Department,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Scrip Code: 519600

Dear Sir/Madam,

Subject: Transcript of the Conference Call held to discuss the results of Q4 FY 2023-24
as required under Regulation 30 of SEBI (LODR) Regulations, 2015

With reference to the above-mentioned subject, we wish to inform that,

i) The copy of the Transcript of the Conference call held on Monday, 13th May, 2024 to discuss the results of the fourth quarter of the financial year 2023-24 is enclosed herewith.

ii) The Transcript is also uploaded on the Company's Website and the web-link for the same is:

<https://www.cclproducts.com/wp-content/uploads/2024/05/Q4-Earnings-Call-Transcript-2023-24-1.pdf>

iii) The List of Management attendees is stated in the transcript.

iv) No Unpublished Price Sensitive Information was discussed in the call.

This is for your information and necessary records.

Yours sincerely,
For CCL Products (India) Limited

Sridevi Dasari
Company Secretary & Compliance Officer

"CCL Products (India) Limited
Q4 FY '24 Earnings Conference Call"
May 13, 2024

MANAGEMENT : MR. CHALLA SRISHANT – MANAGING DIRECTOR –
CCL PRODUCTS (INDIA) LIMITED
M R. B. MOHAN KRISHNA – EXECUTIVE DIRECTOR –
CCL PRODUCTS (INDIA) LIMITED
M R. PRAVEEN JAIPURIAR – CHIEF EXECUTIVE
OFFICER – CCL PRODUCTS (INDIA) LIMITED
M R. V. LAKSHMI NARAYANA – CHIEF FINANCIAL
OFFICER – CCL PRODUCTS (INDIA) LIMITED
M S. SRIDEVI DASARI – COMPANY SECRETARY –
CCL PRODUCTS (INDIA) LIMITED
M R. P. S. RAO – CONSULTANT COMPANY
SECRETARY – CCL PRODUCTS (INDIA) LIMITED

MODERATOR : MR. ABHISHEK NAVALGUND – NIRMAL BANG
EQUITIES

CCL Products (India) Limited
May 13, 2024

Moderator: Ladies and gentlemen, good day, and welcome to CCL Products (India) Limited Q4 FY '24 Results Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Navalgund from Nirmal Bang Equities.

Thank you, and over to you, sir.

Abhishek Navalgund: Thank you, Manav. Hello, everyone. On behalf of Nirmal Bang Institutional Equity, I welcome all the participants to CCL Products (India) Limited 4Q FY '24 Earnings Conference Call. The management is represented by Mr. Challa Srishant, Managing Director; Mr. Praveen Jaipuriar, CEO; Mr. B. Mohan Krishna, Executive Director; Mr. V. Lakshmi Narayana, CFO; Ms. Sridevi Dasari, Company Secretary; and Mr. P.S. Rao, Consultant, Company Secretary. Without further ado, I would like to hand over the call to Praveen sir for his opening comments post which we will open the floor for Q&A. Thank you, and over to you, sir.

Praveen Jaipuriar: Thank you, Abhishek, and thank you, Nirmal Bang, for hosting us for this call. Good morning, ladies and gentlemen. I welcome you all to the conference call of CCL Products (India) Limited for the annual and quarter 4 results pertaining to '23-'24.

Despite headwinds of volatility in coffee prices and geopolitical issues, the company posted strong results and achieved a turnover of INR2,653.7 crores, which is a growth of 28% over last year. EBITDA achieved was INR451.3 crores as against INR403.1 crores last year, thereby achieving a double-digit growth of 12%. The PBT stood at INR276 crores as against INR305 crores of last year largely due to higher interest costs and depreciation. The PAT stood at INR250 crores as against INR283.96 crores last year.

Coming to the Q4 numbers, the group achieved a turnover of INR726.72 crores as compared to INR520.08 crores for the corresponding quarter of the previous year and the EBITDA stands at INR122.24 crores as against INR115.47 crores for the previous corresponding quarter. The PBT stood at INR70.42 crores and the PAT stood at INR65.22 crores. The domestic performance continued its strong performance and achieved a turnover of INR320 crores gross sales as against INR250 crores last year. Out of this, approximately INR210 crores was pure branded business and the rest was bulk and private label.

The acquisition of Percol finished in the month of July '23. Thereafter contracts with all the retailers were negotiated and renegotiated. The relaunch with new packaging, graphic design and product formulation is taking place this month. And also the supply of products from third

party -- which was earlier from the third party has now moved to us. And we are now poised to invest in the brand and see it grow.

The new facility at F&B started operations in the month of March '24. The other project of FD at Vietnam is on schedule, and we should start commercial operations by September, October '24.

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I now open the floor for questions.

Moderator: Thank you very much. We will now begin with the question-and-answer session. We have our first question from the line of Akansha Gupta from Solidarity Investment Managers.

Akansha Gupta: Sir, my first question is that, what has been the volume growth for this year?

Praveen Jaipuriar: So if you see the -- at the group level, the EBITDA growth was around 12%, and our volume growth was approximately 14% for the full year.

Akansha Gupta: Okay, sir. And if I remember, previously, you have guided for a volume growth of 18% to 20%. So why is the volume growth this year 14% instead -- as against the guidance of 18%?

Praveen Jaipuriar: Yes. So if you remember, in quarter 2, we had a breakdown at our NCL unit, which led to lower production there. And subsequently, therefore, which could not be translated to sales, so we lost sales there. We had hoped that we would make up for the sales in the subsequent quarters of quarter 3 and quarter 4, but unfortunately, because of so much of volatility in the prices, the customer acquisition and gaining new volumes became a challenge. So we could not make up for that volume that we lost in quarter 2, and that is the reason we could not achieve 18%, instead of which we achieved 14%.

Akansha Gupta: Okay, sir. And just 1 more question. In the previous con calls, you have also mentioned that the volume growth would be 18% to 20% for the next 3, 4 years. However, when I look at the previous last 7 years, 10 years or even 5 years, the volume growth has been closer to 10%. So could you provide a little bit more granularity as to where this 18% to 20% volume growth would come from?

Praveen Jaipuriar: So actually, in most of the calls, we have kind of addressed this. The reason is basically just before COVID, the demand was there, and we had planned our expansion. But unfortunately, during COVID time, we could not go ahead for our expansion.

And what we felt was that all we were seeing B2B business and especially bulk and the private label business, they take a certain amount of gestation period wherein you sow the market -- you sow the seeds in the market, you approach the clients. And over a period of time, they all fructify. And we could actually from our strategy see that in the future, we would be -- if we are aggressive, we are likely to get 18% to 20% growth.

And that's the reason we went ahead for our volume expansion and things like that. So that is the whole reason our new thing of -- associating with our partners, we said that we have -- we are increasing our business in North America through ground up. We are trying to make inroads into the Eastern Asian markets in China through our old associates and all that. So therefore, we were very aggressive in our approach. We went for expansion. And that's the reason, let's say, even if the CAGR was 10% to 12% over the last 8, 10 years, we have been expecting more of an 18%, 20% going forward.

Moderator: We have our next question from the line of Rakesh Wadhvani from Monarch AIF.

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Rakesh Wadhvani: Sir, coming to the first question. Sir, if you look at quarterly numbers in this quarter, the gross profit growth is around 15%. Just wanted to know in the last quarter, we said around INR45 crores of revenue got deferred in the Q4 because of the Red Sea issue. So in this quarter, the volume growth is sub-10% or 9%. Any reason for that?

Praveen Jaipuriar: No, there's no reason. Yes, it got postponed. But come to think of it, the reason that I mentioned that in quarter 4, the customer acquisition was a little tough because of the coffee prices. I'm sure a lot of you would be tracking the coffee prices. It went to all-time high and unprecedented levels so much so that these levels were never ever seen in the market and it continues to be on the boil as of now.

So basically, what happens is that at these kind of prices, the customers also become a little tentative. They don't want to go for long-term contracts. They are less committed. They almost work on fumes saying that whatever inventory I have, I'll try and work on that in this hope that in the near future, the prices could soften.

So all of these lead to very difficult times in terms of gaining new volumes. And that is the reason in quarter 4, we could not gain as much volume as we had earlier thought of. But things

look much brighter now. The coffee prices seems to be softening now. The Brazil crop is on the way

, and so is Indonesian crop and the Ugandan crop. So we are very hopeful that things will soon settle down in terms of prices. And that's when our ability to drive more and more volumes will become much, much easier.

Rakesh Wadhvani: Second question, sir, with respect to other expenses, in this quarter, other expenses, there is a sharp increase in other expenses. Any reason for that?

Praveen Jaipuria: Largely, a lot of small pack volumes had increased, including the domestic volumes because that is increasing a lot and all the domestic volumes is largely small packs. And also in the exports business, our proportion of small packs has increased. So that led to higher other costs where secondary packaging is included as the cost.

Rakesh Wadhvani: And sir, just one broader -- over a longer period question. In the past coffee prices, if I look at last 5 or 10 years horizon, coffee prices have remained in the range of USD 2 to USD 2.5 on an average. And during that time, we were making INR90 to INR100 per kg EBITDA on the spray dried side and INR120 to INR130 EBITDA per kg on the freeze dried coffee side. That has remained there.

And because of that, we were able to maintain a ROC at 17%, 18% and ROE of 20% around. That has remained. But now the coffee prices have increased from \$2 to \$2.5 to \$3 to \$3.5. In fact, it has reached \$4 also. So is there any potential for us to increase our per kg rate here because otherwise, are ROC and ROE will come down significantly because of increasing coffee prices?

Praveen Jaipuria: So actually, it's a double-edge sword, you know what? So when the coffee prices are at high, what happens is that at the consumer level, there is a little bit of a down trading, isn't it?

Because everybody wants to go for smaller packs, cheaper version and things like that. And that is the reason if you see when the coffee prices were at lower levels, INR2,000 to CCL Products (India) Limited

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INR2,500, as you mentioned, that time the demand for things like freeze dried went up significantly. But as and when the coffee prices started to inch up, we saw that the demand for spray dried started to increase because there was a certain bit of down-trading that happens at the consumer level.

So although we would want to increase our per kilo EBITDA levels, but a lot of it is dependent on the market forces as well. So that's the double edge sword that we have -- one is faced with. But having said so, yes, from our side, there is a lot of attempt to make sure that we keep increasing our per kilo EBITDA, whether it is trying to enter into specialty coffee segments or driving more small pack volumes. All these are endeavors to make sure that we keep up our EBITDA levels.

And that is the reason, in fact, in such high volatile state of coffee prices being at such high levels, if you see our per kilo EBITDA levels is still maintained, which itself is a big achievement in itself because at such high prices, it is becoming very, very difficult to maintain that kind of an EBITDA margins. But we have successfully been able to do so.

So yes, the effort is there. But unfortunately, because of the current situation, things have become a little more challenging. But having said so, we are very hopeful that these are untenable prices because at these prices, what will happen is that consumption will ultimately start getting affected, especially the out-of-home consumption. And that's when if the consumption starts getting affected, ultimately, the supply and demand would kind of normalize, and we are hoping that the coffee prices will quickly come back to the old levels.

Rakesh Wadhvani: Sir, 1 last question from my side. Is it possible if we are not able to increase the EBITDA perspective from us -- okay. I'll come back in the queue.

Moderator: We have our next question from the line of Jenish Karia from Antique Stock Broking.

Jenish Karia: The first questi

on is with regards to the quarterly capacity utilization in Vietnam and India facility, if you can just give that breakup?

Praveen Jaipuria: So in India, it is almost 100% barring the new SMB because it started somewhere in mid-March, so that doesn't come into question. So in India, we almost utilized fully. And Vietnam the total, meaning, the new capacity included, we are almost at around 65% to 70%.

Jenish Karia: Okay. Great. Sir, secondly, was there any impact with regards to delayed shipment or deferment of customer revenue because of the Red Sea in fourth quarter?

Praveen Jaipuria: No, no, there wasn't any.

Jenish Karia: Okay. And how much of the sales in the fourth quarter would have been because of the third quarter sales being deferred to fourth quarter as the last quarter there was some disturbance?

Praveen Jaipuria: Yes, there is some benefit that we got in terms of top line. That is why you see that in quarter

4, the top line was INR726 crores as compared to INR520 crores of last year, which is almost 40% growth. So there we got a benefit in terms of top line growth in the quarter 4.

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Jenish Karia: Okay. Great. And sir, next is on your branded and domestic business. Any guidance for the next 3 to 5 years, where do we see this business going in terms of revenue and profitability?

And what is our market share in India and overseas for the branded business?

Praveen Jaipuriar: So the guidance remains same. We are aggressively driving it and investing whatever profits we are earning, the margins are improving there. The branded players increased. As I told you, out of INR320 crores India sales, the brand sales is now at INR210 crores and we are looking to drive that aggressively in the range of anything around 30% to 40%.

So that is what we are looking to drive the growth at, although the category is not growing at that level, so which means that we will aggressively gain market share. As we have informed you earlier that we have been focusing a lot in South India, which is the coffee hub for the Indian coffee consumption. There, we are now very close to 4%, 4.5% market share, and we now are firmly established as the #3 player in the Indian market. We are now taking the brand to other geographies as well, and we are getting very aggressive there as well. So that's the plan for the domestic-branded market.

The international-branded market, we are very, very miniscule. We haven't even launched our brands into any other countries. So there is no point talking about market share there. Percol is very small in UK right now, probably less than 1% market share. But yes, as I told in my opening remarks, we now have got the things right. We have got it relisted with the retailers, with the new packaging, graphics and new product. And now that the product is being manufactured here, we are looking to invest in that brand and grow it substantially in the UK market.

And then we are also, at the same time, evaluating if some of those brands, which we bought, which is Percol and Rocket Fuel, where if we can take them into some other geographies as well. So that's the plan for our B2C business in the rest of India, outside India as far as it is concerned.

Jenish Karia: Okay. Great. Sir, just 1 follow-up on the previous reply that you had given to the earlier participant. You mentioned that the freeze dried coffee, high coffee price environment, the demand is somewhat reduced. And you are putting freeze dried capacity in second half of FY '25. So if the coffee price don't correct and remain at an elevated level, do we see this CapEx getting deferred by 6 months or a year? Or will you still commercialize the plant on time?

Praveen Jaipuriar: No, we will commercialize on time because if you remember last time also, see, one of the reasons the freeze dried capacity is coming at the last is because freeze dried capacity, as you

ightly pointed out, it's a more expensive capacity. We need to be very sure whether the volumes are there or not. And that's the reason we took some time.

Only after we got a lot of assurances and underwriting from some of our key clients that they are ready to buy coffee. We went ahead and set up this plant. So I don't think it is going to effect our volumes or our ability to sell. But what I was talking about is the general market scenarios when coffee prices go up, how does the market start behaving.

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And because the question was about per capita EBITDA, the thing is that after 2 years ago, from there on, the first 16,000 additions is also spray dried which earns lower EBITDA than freeze dried. So I was wanting to tell that maybe for this year and next year, we are not looking to substantially or increase our EBITDA per kg. But yes, the efforts are on. Thereafter, we will see that EBITDA per kg will automatically start increasing because of our efforts in small packs, specialty coffee, more high-end coffee, the new freeze dried coming after September. So all that will start playing up for us.

Moderator: We have our next question from the line of Kashyap Javeri from Emkay Investment Managers.

Kashyap Javeri: I have a question on our debt. I joined the call a little late, so I don't know whether this has been discussed, but at about INR620 crores, our debt has gone up almost 3x in the last 3 years to generate an EBIT number or PBT number, let's say, for example, versus INR230 crores in '21 to just about INR280 crores now. So incrementally to generate the profits, the component of debt has gone up threefold.

Now out of this almost about INR1,100 crores increase in debt, we have invested almost about INR600 crores to INR700 crores in working capital. I understand that this is also because

coffee prices have gone up meaningfully. But what are our plans to control this part of the overall capital employed so that INR1,600 crores debt probably at least doesn't go up from here?

V. Lakshmi Narayana: Generally, if you look at it, we have taken up the 2 new projects, wherein we are availing the funding from the banks, almost around INR650 crores. Out of that, around INR450 crores, which we have drawn in this year, which is the part of INR620 crores. And the current financial also, there is an amount of almost around INR200 crores we are yet to draw for this Indian F&B business as well as the FD. So another INR200 crores on account of term loan is likely to increase somewhere.

Coming to the working capital. So as you might be seeing that we are going to give the guidance to the next financial year '24-'25. The working capital utilization also keeping in view of my free cash flow availability in the -- from the operations this year, there is a likely amount of increase may be there on account of working capital.

So this is relating to 2 aspects. One is about the kind of earnings that we are going to generate, the free cash flow that we are going to generate. And as well the green coffee prices how going to be rolled out. So keeping these 2 factors in view, the working capital movement is going to be there. So we really can't say that INR620 is going to remain at the same level. It is likely to increase because as I told you, the volume value is going to be increased.

Kashyap Javeri: I understand that, sir, but the question is that the debt is generating probably a top line, but not commensurating profits. So when you sort of talk about free cash flows, ideally with such an expanded capacity, at least investments in working capital plus, let's say, term loans for the expansion.

So let's put the numbers in perspective. So our operating cash flow even this year, if I look at your full year cash flow statement that you have given for the full year, it's versus an EBITDA

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of almost about on consolidated basis about INR440 crores. The operating cash is significantly lower number. So either we control this with some tightening of our inventory because then otherwise, the incremental capital to profit ratio will continue to deteriorate.

V. Lakshmi Narayana: No. Actually, the volume of the green coffee stock that we are going to maintain at the similar level. But the only factor which is going to come in place is about the value of the green coffee prices. As I told you that as long as we expect some sort of reduction takes place from the existing level of GC prices, which definitely is going to reflect in our working capital utilization as well thereby.

Kashyap Javeri: Okay. My -- the other question is on the issue of Red Sea. In terms of transportation, what part of our total top line, the impact of freight is on us?

V. Lakshmi Narayana: Actually, if you look at this current financial year, as explained by Praveen, in other expenses, the price charges have no impact. Till December, till LC issue, because everything is under control, only for the intermittent period of almost around 45 days to 60 days in December, and partly in January, there is an impact. But now everything is softened, there is no much. And also, what we are doing is we are shifting from CNF to FOB. So -- which is not going to reflect in our other expenses, the logistics cost increasing, there is nothing is there.

Kashyap Javeri: And as of today, how much of -- what percentage of our revenue we don't have FOB?

Praveen Jaipuriar: Kashyap, approximately 70% to 75% of our sales are FOB sales.

Kashyap Javeri: Is FOB sale. So about 25% is where the impact...

Praveen Jaipuriar: 25% is, yes, that impact could have.

Kashyap Javeri: Whenever, let's say, there is an issue, then that's the portion of the revenue that gets impacted. And I missed on the number of retail revenues that you spoke about in the domestic market, if you can repeat that number.

Praveen Jaipuriar: Yes. So out of INR320 crores of domestic sales, INR210 crores is the retail sales. And just one more thing, Kashyap, I just want to add what CFO was talking about to your query about working capital, absolutely, you are right that working capital requirements have gone up largely because of our volume growth and the value of coffee prices. And it's been our endeavor to make sure that we kind of keep it in control.

And as you rightly said, one of the ways is to do very tighter inventory management at our end. But sometimes, at this kind of inflationary trends, we also don't want to -- want the smaller suppliers to default on the contract and things like that. So we end up making sure or ensuring that the coffee comes to us. And sometimes, it becomes a little challenging to be on a just-in-time inventory.

But having said so, also on the interest cost, we are working out 2, 3 models where we could optimize our interest cost outflow by making sure that we are optimizing our borrowings

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between our entities because we have got an India entity, we have got Vietnam entity, we have got a Swiss entity.

And in the Swiss entity and the Vietnam entity, the cost of capital is much lower than what it is there in India right now. So we're also trying to optimize a lot of them so that we save on a lot of interest outflow that will help our cash flows and our profits, thereby leading to better cash flow in terms of inventory management and working capital management.

Kashyap Javeri: Sure. Can I just squeeze in one more question on this CapEx side, if that's okay?

Praveen Jaipuriar: Right. Please do so.

Kashyap Javeri: Sure, sure. Sir, just one last question. So on INR1,600 crores of debt, let's say, our EBITDA number is about INR445 crores, which implies about 4x debt-to-EBITDA ratio. Now in case coffee prices don't sort of cool down, maybe they remain where they are and giv

en our debt-to-

EBITDA ratio, in future, can that impact our expansion decisions at all?

Praveen Jaipuriar: So as far as expansion is concerned, we have rapidly expanded and we are good for '27-'28. So next 2, 3 years, we probably are not thinking anything on the expansion side. So that's not a primary thing on our head. The primary thing is that how quickly can we scale up our sales so that we get more and more sales and help improve our profitability.

And as far as coffee prices, yes, I know for the last 2, 3 quarters, we have been kind of saying that from the next quarter, it should soften up. But we -- at least in this quarter, we can confidently say because the signs are there, the Brazilian coffee prices have already softened by almost \$600 to \$800 per metric ton, which is a good sign because this is pre-harvest prices. Generally, just before pre-harvest, the price because the availability is low, the prices generally go up, but the fact that pre-harvest prices have come down is a good indicator that post-harvest the prices should soften up. And also the Indonesian and the Ugandan crop, they are also on the way. So we are very hopeful that things will settle down, and there won't be an additional burden on our side.

Moderator: We have our next question from the line of Alok Shah from SKEGEN Management Advisors. Please go ahead.

Alok Shah: Sir, firstly, a data question. Would it be possible to share the volume growth split between India and Vietnam business?

Praveen Jaipuriar: So generally, we don't deep dive into volume. These are very sensitive information as far as competitive sensitiveness is concerned. So we generally talk about our volumes at an overall group level. Yes. And as I shared to you, we did achieve a 14% volume growth over last year. So that's something that we can share. A little more detail in terms of where the growths are coming and where things are this thing, we can do out in a one-to-one call to whatever extent we can.

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Alok Shah: Sure, sure. The second question was on the Vietnam business. So if you look at the gross margin profile in the Vietnam business, it seems to have gotten impacted much before what we saw in the India business. So any specific reason that you will allude to for the same for the Vietnam business?

Praveen Jaipuriar: No, it's not any specific reason. The only reason one could attribute is that, as I was telling you, it's correlated to the coffee bean prices. What happens is that you start selling more of base coffee in this kind of a scenario where people are, also clients are looking to cost optimize. Everybody is looking to -- because everything cannot be passed on to the consumers. So in each of the value chain there people are looking and pushing for optimization. And that's the time when you start looking for a much baser product so that, that can be offered.

Very simple logic. In any consumers industry, when the prices really go up the roof, the base segment products, they start selling more, whether it is FMCG product like a toothpaste or a shampoo or it is a coffee. So that's the reason what happens is that your proportion of base products or a base price products increase, that leads to a little squeeze in the overall margins as one can see.

Alok Shah: Got it, got it. So just a follow-up then in that case. So EBITDA per kg, say, for the domestic business would still be in the range of about INR85, [inaudible 0:30:17] and for the Vietnam would be in the range of INR125, INR130-odd?

Praveen Jaipuriar: No, I think Vietnam, it was a little lower at INR110 or INR115, if I'm not wrong.

Alok Shah: INR110, INR115, okay. Okay. Sure, sure. And just lastly, since we are doing this CapEx. And what I understand is that typically, you would have contracts for at least 6 to 9 months'

visibility. But I hear that in the current times, the contract durations are getting shorter.

r. So in

that environment, how do you see the business panning out, especially on the top line growth? Because while you retain 18% to 20%, but the moment the business has little short-term contracts, the visibility actually gets haywire, right? So why do we still think that 18% to 20% is achievable?

Praveen Jaipuriar: Absolutely. You're absolutely bang on. The only good thing for us is that if you see the consumption and I'm talking about the end consumption. So the good point is that there has been no reduction in the consumption for coffee. So that's a very heartening sight. People aren't drinking less of coffee because of higher prices. And the other good thing is that we are mostly catering to the in-home segment because we do instant coffee and instant coffee is largely consumed in home. So in-home consumption, we are not seeing any impact across the globe. So that's one good thing.

Now coming to the clients. The only thing that clients now do is that instead of very long-term contracts, they kind of hold their positions and say that, okay, let me do very short-term contracts because nobody wants to overcome it in this hope that if the coffee prices come down, it will adversely impact them.

So that's the only thing. So the reason why we are still very confident, yes, you're absolutely right, the market has been very volatile. So it's very, very difficult to very -- earlier, till last

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year, we could very, very confidently say that we are going to get 18%, 20% growth because we had 9 months to 12 months visibility, as you rightly pointed out. However, here, the visibilities have shortened to maybe 4 to 5 months.

So maybe that kind of confidence is not there. But on the other hand, if the coffee consumption is intact, and with our kind of economies of scale and with our kind of ability to do the products that we can, we still are confident that, yes, the contracts would be short term but we still would be seeing a decent amount of growth.

Moderator: We have our next question from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: So I have 1 broad question on volume. Would you be able to share what is the FDC and SDC split for FY '24? And if you can give specific volume for India and international?

Praveen Jaipuriar: So as I mentioned in my last this thing, we don't break up volumes to that granularity. Yes. All that we can say is that the volume growth has been 14%. So that's what I can share at this point of time with you.

Shirish Pardeshi: And the split between FDC and...

Praveen Jaipuriar: Yes, similar. The answer is same because of our competitive sensitivity, we don't share to that granularity because one would lead to other and I'll be forced to share very, very granular numbers with you.

Shirish Pardeshi: Got it. Can you split at least quarter 4 volume growth, what has come? Because there is a deferment of shipment, which has happened, 800 metric tonnes. So I'm looking at the quarter 4 volume growth for our company. And so if you take out this 800 metric ton, what is the volume growth? So like-for-like?

Praveen Jaipuriar: Yes. So quarter 4 volume growth is also on the similar level. In fact, it would be a couple of percentage lower only. And that is primarily because while we got this deferment, but as we were expecting that we would be able to sell more and more volumes, that did not happen because of these high coffee prices and the noncommittal by the -- non-commitment by the clients to kind of buy at these prices. So that's the reason we could not get much higher volume growths as we would have anticipated.

Shirish Pardeshi: Okay. My second question is on FY '25 performance. What kind of growth aspiration in terms of volume value? Because now you mentioned in the beginning that coffee prices are expected to soften. So if the volume is going to be in your aspirational range of 20% plu

s and if you

need to reach that ballpark of 20% EBITDA margin, what are the growth levers you have for FY '25?

Praveen Jaipuriar: Okay. Talking about, first of all, value, see value is dependent on the coffee prices and what average base prices we sold this year and what average because there is a longevity of contract.

There's a lot of things that play out. So therefore, let's not focus a lot on the value growth because that's a resultant number that comes up.

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Coming to volume growth, wherein our EBITDA is dependent on, that is something that, as I was telling in my last answer, that till last year, we were very confident of saying that 18%, 20% because that's the kind of visibility we had in terms of our, say, order numbers. Considering the current situation, the order numbers are not very long term-ish. We are good for next 4, 5 months. But beyond that, there is a little bit of tentativeness from the client side. They're all waiting for the new crops to come and see where the volumes go. So that's the tentativeness that is there in the market. But having said so, because the coffee consumption is intact, we are not seeing any sort of a demand contraction. So therefore, we are, on one side, we are a little tentative saying that what could this number could be, whether this will be 10% or 12%, on the other side, we are confident that because the volumes are also, let's say, the demand is intact, we still will be able to do that 18%, 20%. So yes, there is a range that we are now looking at that if the conditions remain very tough and then the guys are very, very tentative, then we may not be very sure. But on the other side, if the consumption is intact, we are very confident that we keep maintaining that number. Now what are the levers? The levers are not very different. The levers are same. There is a certain competitive edge that we bring to the table, which is in terms of economies of scale or our ability to do various products or our ability to reach out to the various corners and nooks and corners of the globe. So those levers remain in tact. And that's the reason our confidence comes that, come what may, we'll be able to do good business.

Shirish Pardeshi: Okay. My last question on the new businesses. Sir, last quarter, you mentioned that you have about 4,000 vending machines and about 25% -- INR25 crores revenue. So in INR210 crores, domestic business -- INR320 crores domestic business, what would be the vending machine business? And where do we stand? That's one part. And second, in terms of distribution, south, we had about close to 125,000, 130,000. What would be at closing coverage in India, I mean including south and west?

Praveen Jaipurkar: So first, coming to vending business. Vending business is a branded business because it is there with the Continental brand. So it is almost part of this INR210 crores. And the numbers don't change because that time also I had projected that out of INR210 crores, probably INR20 crores, INR25 crores will be vending business. So that continues.

We are aggressively driving that. But yes, we are also making sure that, that growth is driven profitably because it's also a challenging segment wherein you have to keep a track that the guys who -- where you install vending business, they end up buying the product also from you because there is a tendency from all the admin guys and the purchase guys to lower down their cost and they end up buying some other parties even if the machine is yours and things like that.

So keeping that in mind, we have evolved a model which is far more stronger in terms of tying it up. But what it means is that we now are not in a very -- in a big hurry to keep putting up vending machines wherever somebody asks for us. There is a proper contract and things like that, that we enter into. So that's about the vending machine business. The -- as far a

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distribution is concerned, only in general trade, which is the kirana stores, we are now at CCL Products (India) Limited

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1,10,000 outlets total, out of which approximately 85,000 outlets would be only in South India. Rest of 25,000 is divided into Northeast and West, where the large chunk is in North and West. East is relatively weak as of now. But understandably so because East is also a very weak coffee market.

And we have another approximately 700 to 800 modern retail stores where we are present in. Online space is also doing well for us. Now we are present in almost all platforms. Earlier, there were certain platforms, which are very strong in North like Blinkit and all where we are driving very aggressively. We have got into an annual contract with them, and we are driving a very aggressive growth there as well. So that's a little brief on the domestic market.

Shirish Pardeshi: So one follow-up. On alternate channel, what would be the contribution for FY '24?

Praveen Jaipurkar: Which channel?

Shirish Pardeshi: Alternate, modern trade and e-commerce?

Praveen Jaipurkar: So if you add both of them, modern trade, e-commerce and quick commerce, all of them would contribute to 35% of our business.

Shirish Pardeshi: Okay. Wonderful. And this would have grown high double digit?

Praveen Jaipurkar: Sorry?

Shirish Pardeshi: This would have grown on a Y-o-Y high double digit or more

Praveen Jaipurkar: Yes, yes, high double digit. The whole branded business itself grew by almost 40% last year. And we are looking to drive similar growth this year as well.

Shirish Pardeshi: Okay. Maybe this question you can answer...

Moderator: Sorry to interrupt, sir. May we request you to rejoin...

Shirish Pardeshi: I'm done. Just one last on the insurance update, if you can share or maybe you can cover later.

Praveen Jaipuriar: Sorry, just in 1 line, I'll answer this. There's no -- process is still going on. So we haven't got the money. We are still waiting for them to complete their process, and then we'll see. As soon as we get the firm answer, we'll let you guys now.

Moderator: We have our next question from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Sir, my first question is that the outlook, which you shared on green coffee prices likely to come down, sir, historically, in last 2 to 3 years, we have seen benefit coming towards from the Brazilian markets under pressure -- putting the pressure on Arabica consumption and the lower exports, while the Vietnam market have gained because of the high production of green coffee there.

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Sir, current estimates and the forecast indicates that the Brazilian production this year is likely to go up, while the Vietnam may phase out kind of scenario. Do you see that this is going to have a negative impact on our blended realization or pressure on margins further because of the Brazilian market and the dealers there further dominating the market, how it used to be 3 to 5 years back?

Praveen Jaipuriar: Not really. One of the advantages that we have is that we can import from anywhere. So there is no reason why we can't buy from Brazil. In fact, to give you a little insight, we have our channels connect in all of these coffee growing places. So our main advantage is that we can buy from anywhere wherever we think that the coffee prices are at its best. So it doesn't put us at any disadvantage. And therefore, we don't see any margin contraction. Suppose it happens like this that the Vietnamese coffee prices still are at the high and the Brazilian coffee prices drops down, so we'll be happy to buy from Brazil as well.

Rohan Gupta: No, sir, because we have gained a lot of market share in the last 2 to 3 years because Russia was, I mean, earlier was a big buyer from Brazil and...

Praveen Jaipuriar: Absolutely. So again, as I have told many of the things that

it is not just a linear thing that just

because Brazil becomes noncompetitive, we gain market share. It's also the other thing that we bring to table because it is not very, very simple. The other fact is that, at current volumes, we probably are the most competent company which brings a lot of economies to scale. So to match our kind of economies of scale and prices, becomes very, very difficult for other people. The third thing is that selling is a lot about you having your feet and legs on the ground as I've told this many number of times that the kind of associations and the kind of associates we now have at all the nooks and corners of the globe, that network also helps us gain that kind of an advantage.

So today, we have all the legs and feet, eyes and ears on the ground, we know what is happening in each of the market, where the demand is likely to go, what is the kind of consumption patterns that are evolving. So all of this, it's a combination of all of these competitive edges that we bring to the table. And therefore, we are not very worried about the fact that if the Brazilian coffee prices have come down, I'll lose back shares to the Brazilian guys.

Rohan Gupta: Sir, second question is, generally, sir, in terms of margins, we see improvement when the when there is a rising price scenario in the industry. However, we are expecting that the green coffee prices will fall. Definitely, that may lead to, I mean, some boost to consumption. But in general, a lower prices or falling price scenario may have an impact or negative impact on our overall working capital and short-term impact on inventories and also how we are gearing up for managing that change, I mean, which we are expecting in a falling RM prices?

Praveen Jaipuriar: So first question, only if the raw material prices are constant and you increase prices, your margin will improve. But we work on a pass-on model, which is a cost-plus model that whatever the price is, we keep a certain amount of per kilo margin, and that's the price we quote. So therefore, in any of the scenario, risen prices and lowering of prices, we don't see any

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margin impact on our business. The only impact that we see is that at lower prices, the commitment becomes long term. At higher prices, the commitment becomes a little short term from the client side. So that's one.

Second is that, in fact, as far as the question comes of managing our working capital and our

inventory, we'll be very happy if the prices come down because everything becomes that much more easier. Now how does it become easier? On the working capital side, of course, I have to spend less to store the same amount of coffee.

And also in terms of my supplies, I can hold less stocks because in a lowering price, I am very, very confident that there won't be any defaults or any delays. In the rising prices, I'm a little worried that there could be certain default from small people, so that I would like to hold more stock with me rather than keep it at their place. So all that challenges are there when the prices are rising. So in fact, the situation will improve dramatically for us if the prices were to fall.

Rohan Gupta: Okay. Sir, just next question, if I'm allowed to. We are talking about definitely in the next 4 to 6 months, with the expected decline in prices, especially emerging from Brazil and all. So we are not confident about volume growth. Though consumption is not impacted, but you also guided that maybe in the near term, the volume growth can even 10% to 12% as well. So this is basically because the customers are not giving new commitment? Or you see that there is still, I mean, not enough room for pushing this kind of inventories in the market or you don't want to push the inventories in the market because of the volatility in prices?

Praveen Jaipuria: So largely because of the customer is not giving a l

ong-term commitment. Not beyond that,

because if everybody becomes a little more tentative at this point of time, and nobody is giving you long-term contracts. So in fact, 2 years ago, when the coffee prices were at INR2,000 levels, we used to get even 2-year contracts that, okay, for the next 2 years, they used to give us orders and we would supply.

But that situation has changed because of the high prices, even they as a customer wouldn't want to commit for so long because nobody is sure of the coffee prices, which way it is going to go, how much is it going to rise or fall. So that is the reason we are saying that it's only -- it's not that the confidence is low, but the kind of commitment that we use to upfront give last year or last to last year because we had visibility till 9 to 12 months is a little iffy right now. That's it.

Moderator: We have our next question from the line of Lokesh Manik from Vallum Capital.

Lokesh Manik: Praveen, just a couple of questions. One was a clarification. We've seen a correction in gross margins from last year about 35% to 41% this year. Do you attribute this completely to the product mix change that you mentioned, that less of freeze dried, more of spray dried? And there are other factors as well?

Praveen Jaipuria: So 2 things. One is, I don't know if you are referring to margins as a percentage of sales. That drops because of the coffee prices going up. So it's actually a virtual drop. So therefore, we generally urge everyone to see at -- in connection to the volume, which means that EBITDA per kilo. That hasn't dropped for us.

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Yes. There is a little bit of a proportion change in terms of higher FD volumes but that we have been able to overcome through selling more of small packs and other little, better profit business. So our per kg EBITDA hasn't come down much there, maybe INR2, INR3 or INR5 here or there. That's it.

Lokesh Manik: Understood. My second question is on the working capital debt. So of the INR77 crores of interest cost, how much will be attributed to short-term borrowing and how much will be long-term? Roughly, if you can share that.

And just a follow-up on that is, you mentioned your strategy one time is to hold on to stocks so that small suppliers don't default. Do you see yourselves passing on this cost of inventory going forward? Is this something that you prebooked in terms of net interest costs in terms of holding the inventory? Is this a write-off for this year? Or do you see this getting priced into your contracts in the following years?

Praveen Jaipuria: So your voice is not very clear, but I'll try and whatever I could hear, I will try and answer your this thing. Out of the INR1,600 crores debt approximately INR600 crores is long-term debt and INR1,000 crores is working capital. Now working capital is highly dependent on the green coffee purchases that we do.

It will depend on the volume of business growth or volume of business next year and also the coffee prices. So let's say, on a stagnant price basis, if you are looking at a 15% or a 10% or a 20% volume growth, the working capital will increase accordingly. And the rest of the increase would be coming in because of coffee prices or decrease if the prices were to go down.

In terms of our inventory management, as I was telling a little while earlier, it will a lot depend on the trend of the coffee prices. If the trend starts going down, then your ability to hold lower inventory will be there but it becomes opposite in an opposite scenario of increasing prices. So that is there.

We are also trying to optimize our outflow in terms of our interest cost because of working capital, because of we have 3 entities in India, Vietnam and in Switzerland and of course, outside India, the cost of borrowing is much lesser than the India borrowing. So we are seeing that how we could restructure our working c

apital requirement so that we pay less and less of interest.

So that's something that we are actively doing. But yes, there is a certain level of inventory that we have to hold because it's a large operations now of almost it will become 76,000 metric tonnes. So there is no way that we could avoid holding inventory, and therefore, our working capital requirement will remain.

Lokesh Manik: Praveen, my question is that, can you pass on this cost of inventory holding of this year to the next year, to the forward year contracts?

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Praveen Jaipuria: No, I don't think so we can pass on. No, no, we can't pass on from this year to next year because if we have held inventory, we have held inventory and that cost is our cost. So we have to pay interest on that.

Moderator: We have our next question from the line of Bhargav from Ambit Asset Management.

Bhargav: Yes. Sir, on this branded business in India, my first question is that at what turnover can we expect the business to start generating double-digit EBITDA margin?

Praveen Jaipuria: So we already last year, we were at around 7%, 8% EBITDA margin. So we are very close to double digits. But that's not yet something that we are actively looking at because we have just scratched the surface. We are very small when it -- when we compare ourselves to the large players in the market. There's so many things that we need to do.

And we had always -- we were very aware of this fact, and that's the reason from very start we had given the guidance that for long years, we'll keep investing in the brand because investing in the brand is a long-term phenomenon. It's not that you invest for 4, 5 years and then you kind of back off because the moment you start backing off, not only your ability to grow becomes lesser but also your brand equity starts dipping.

So there is a certain amount of investment that the brand will keep or the brand will require. So we will keep doing that. So that's something that we are not very aggressively looking at. We have given group guidance, that will remain. But on the branded side, our guidance has been more on top line, which is to keep growing at 30%, 40% year-on-year and see that how much of leverage we can take by investing back the profit that we are generating from the brand.

Bhargav: Okay. And sir, now that we've added significant capacity on our OEM side of the business. In the next 3 to 4 years, do we see any significant change in terms of our international mix as far as the country revenue is concerned?

Praveen Jaipuria: So it could change because we are looking to making inroads into newer markets. There are certain markets where we haven't been very strong. We had capacity constraints, so we never kind of marketed our products very aggressively there. So there is a certain amount of new markets that we are opening.

So obviously, the proportion will change. But having said so, what will happen is that the markets where we have very high bases like the CIS countries, we may grow a little less. And because of the low basis in some of the other markets, the growth will be higher and they will start increasing their proportions.

So yes, definitely we are looking for the kind of change in proportion in the next few years.

Also in terms of our product profile, the proportions will change. We are looking to drive more of small packs. We are looking to drive more specialty scope premium coffees. So a lot of it will change, it's an ever evolving market and category and we will keep trying to make sure that we also evolve with the market and with the customer needs.

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Bhargav: And lastly, sir, in this hyperinflationary environment, is it fair to say that our performance would have significantly improved vis-a-vis our competition? I know it's very difficult to track that metric, but given y

our market intelligence, is it right to say that?

Praveen Jaipuria: Absolutely. I think without taking names, if you were to see the results of all our compatriots and all our peer group, you will see that our performance has been significantly, significantly better than most of them. So with very good reason I use most and not all of them is because

there are certain data even I don't know. But with a fair bit of confidence, I can say that we have been an outlier amongst this kind of environment.

Moderator: We have our next question from the line of Akhil Parekh from B&K Securities.

Akhil Parekh: My first question is, are we seeing any opportunities of inorganic growth, given that the coffee prices have increased so sharply? I'm assuming that the smaller players will feel more pressure than what we are seeing in terms of working capital and debt position. So are we seeing any sellers out in the industry? That's my first question.

Praveen Jaipurkar: Yes, Akhil, you know it, how the industry works. There will be fallouts because of such kind of a situation. If the situation is becoming tough for us, you can imagine what would be happening to the smaller guys. And without diverging much details, every other day we get a proposal from somewhere across the globe. But yes, we have to evaluate everything on merit and our requirements. We already have expanded a lot. So really can't say with authority that what's going to happen in the future. But you are absolutely right, the situation is like that.

Akhil Parekh: Sure. And just 2 questions. Just to clarify, when you are saying the current capacity of 76,000 tonnes, which we'll have after the NDC capacity expansion vehicle, that is enough for us to drive the growth till FY '27 at least, right?

Praveen Jaipurkar: Yes, yes, yes, absolutely.

Akhil Parekh: Okay. And lastly on the short-term debt position you mentioned if the coffee prices remain same at current level, the increase in short-term debt will be exactly in proportion to the volume. Is that understanding correct?

Praveen Jaipurkar: Yes, yes, absolutely.

Moderator: We have our next question from the line of Devanshu Sampat from Avendus Wealth.

Devanshu Sampat: I have two questions. Just first one is would it be right to say that your buyers or the inventory at your -- at the retailer is probably lower than average, and if so, if you have that information, can you help quantify it? That is one. And can you also give us some updates on business development in U.S. and China, any new contracts, new wins?

Praveen Jaipurkar: So the first question is about retailers, you're talking about our B2B business?

Devanshu Sampat: Yes, sir. Yes, sir.

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Praveen Jaipurkar: Yes. Very difficult because there is no syndicated data that tells you that what kind of inventory they're holding. It's mostly market intelligence that we get and therefore, we are commenting what we are commenting. So difficult to quantify. But yes, we know that they all are at very, very thin levels.

Everybody is managing as much as possible, literally working on fumes and running the business like that because the kind of price increases and every day, there used to be a \$100, \$200 increase at some point of time, not very far ago. So therefore, people are not willing to commit. So that's what we can say. Second question you asked was about -- sorry, can you just repeat your second question?

Devanshu Sampat: Major business developments in the US and China?

Praveen Jaipurkar: Yes, yes, business developments. So business development, yes, U.S. is an ongoing process. We are now pretty much growing at a very, very decent pace there. So that development is happening. We are acquiring new clients through our associates there. So that is there. And the last time we spoke about our association with our earlier partners whom we are connecting to make inroads into the

Eastern Asian markets like China, Taiwan, etcetera. So

that work is also starting. As you know, B2B takes a little time because you have to -- there'll be a market seeding. You'll have to go to all the clients, present them your samples. So it's a little iterated process till they find you suitable for supply. But again, a lot of work has happened already. We are in midst of lots of talks with clients. And soon, we are expecting to see volumes coming from that front as well. So a lot of work is happening on the new business development front.

Moderator: We have the next question from the line of Omkar Arora from Eraya Capital.

Omkar Arora: Most of my questions have been answered. Just 1 question I would like to ask. Are we concerned about the debt level because we are almost there at the peak debt that we expected at the start of last FY?

Praveen Jaipurkar: So frankly speaking, we're not very concerned. The only reason is that, see, our working capital debt is against confirmed orders. So it is not that I'm using working capital or taking working capital debt to hold inventory or to produce something, which I don't know where will I sell.

So because it is at least confirmed orders, we are not worried on that front. It's mostly people outside actually are more worried than what we are. So we're not really worried. Yes, it does show up a little bit of a stress on our balance sheet and all, but that's something that is part of

our business. That is how our business operates. So therefore, I don't see any cause of worry on that front.

Omkar Arora: And any update on the capacity expansion that we could undergo ahead?

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Praveen Jaipurkar: Yes, I gave an update. The update is that all our capacity, except the Vietnam freeze dried capacity is up and running. And the Vietnam freeze dried capacity will be up and running by the month of September and October, and that will complete our current expansion process, and we'll be at around 77,000 metric tonnes capacity at that point of time.

Moderator: Ladies and gentlemen, that would be the last question for today due to time constraints. I now hand the conference over to the management for closing comments.

Praveen Jaipurkar: Thank you, everyone, for joining us, and thank you, Nirmal Bang for hosting us. We look forward to meet all of you again in the next quarter. Thank you.

Moderator: Thank you. On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

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Date: 14.08.2024

To

The Listing Department,
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Scrip Code: CCL To

The Corporate Relations Department,
BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai – 400001.

Scrip Code: 519600

Dear Sir/Madam,

Subject: Transcript of the Conference Call held to discuss the results of Q 1 FY 2024 -25

as required under Regulation 30 of SEBI (LODR) Regulations, 2015

With reference to the above -mentioned subject, we wish to inform that,

i) The copy of the Transcript of the Conference call held on Thursday , 08th August , 2024 to discuss the results of the first quarter of the financial year 2024-25 is enclosed herewith.

ii) The Transcript is also uploaded on the Company's Website and the web -link for the same is:

[https://www.cclproducts.com/wp-content/uploads/2024/08/Q1 -Earnings -Call-Transcript -2024-25.pdf](https://www.cclproducts.com/wp-content/uploads/2024/08/Q1-Earnings-Call-Transcript-2024-25.pdf)

iii) The List of Management attendees is stated in the transcript.

iv) No Unpublished Price Sensitive Information was discussed in the call.

This is for your information and necessary records.

Yours sincerely,

For CCL Products (India) Limited

Sridevi Dasari

Company Secretary & Compliance Officer

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"CCL Products (India) Limited Q1 FY25 Earnings
Conference Call"

August 08, 2024

MANAGEMENT : MR. CHALLA SRISHANT – MANAGING DIRECTOR, MR.

PRAVEEN JAIPURIAR – CHIEF EXECUTIVE OFFICER

MR. B MOHAN KRISHNA – EXECUTIVE DIRECTOR

MR. V LAKSHMI NARAYANA – CHIEF FINANCIAL
OFFICER

MS. SRIDEVI DASARI – COMPANY SECRETARY

MODERATOR : MR. ABHISHEK NAVALGUND – NIRMAL BANG
EQUITIES PRIVATE LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to the CCL Products (India) Limited Q1 FY '25 Conference Call hosted by Nirmal Bang Equities Limited.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Navalgund from Nirmal Bang Equities. Thank you, and over to you, sir.

Abhishek Navalgund : Thank you, Shlok. Hello, everyone.

On behalf of Nirmal Bang Institutional Equities, I welcome all the participants to CCL Products (India) Limited 1Q FY '25 Earnings Conference Call.

The Management is represented by Mr. Challa Srishant – Managing Director; Mr. Praveen Jaipuria – CEO; Mr. B. Mohan Krishna – Executive Director; Mr. V. Lakshmi Narayana – CFO; and Ms. Sridevi Dasari – Company Secretary.

Without further ado, I would like to hand over the call to Praveen, sir, for his "Opening Comments," post which we will open the floor for Q&A. Thank you, and over to you, sir.

Jaipuria Praveen : Thank you, Abhishek. I welcome you all to this Conference Call.

I will briefly summarize the Quarter 1 Performance for all of you, and then we can open the floor for questions.

The Group has achieved a turnover of Rs. 773 crores for the 1st Quarter as compared to Rs. 654.9 crores for the corresponding quarter of the previous year. This is 18% growth. The net profit stands at Rs. 71.4 crores, as against Rs. 60.71 crores for the corresponding quarter of previous year, which is also an 18% growth. The EBITDA is Rs. 131.6 crores, and the profit before tax is Rs. 87.18 crores. The EBITDA growth when compared to a similar quarter of the previous year is 23% and the PBT growth is around 25.5%.

The domestic market continued its strong performance and achieved a gross turnover of Rs. 90.5 crores, out of which the brand sales were approximately Rs. 65 crores and balance Rs. 30 crore was bulk and private label.

We have almost completed and started the launch for the Percol in new packaging and the new product. The new product is available on the shelves, and we are now closely monitoring it.

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Subsequently, we are now putting marketing activities behind it, and we are looking forward to building the brand in the UP market. So, that's a broad and a brief summary of the Results.

I open the floor for questions now.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rakesh Wadhvani from Monarch AIF. Please go ahead.

Rakesh Wadhvani: Sir, first question with regard to the other expenses as well as the depreciation, we have witnessed a very minor growth or the increase in the other expenses as well as the depreciation has come down. Any reason for that? So, whereas the revenue and the volume has increased by 15%-16%, whereas the other expenses have remained constant. Any one of the reasons? As well as depreciation, which was Rs. 31 crores last year have come to Rs. 23 crores.

Lakshmi Narayana : This is Lakshmi Narayana here. Depreciation in quarter 4 of the last year, we have revised our earlier depreciation policy towards the vending machines. As against depreciation of the life period of 10 years, we have reduced it to 3 years, and it's mainly provisioned for Rs. 8.16 crores, which is the additional depreciation, which causes the reduction from Q1.

Rakesh Wadhvani: Sir, second question with respect to the debt. Can you please tell us the amount of gross debt at the end of Q1? And bifurcation of that, what is the debt for the working capital and debt for the CAPEX?

Lakshmi Na

rayana: Essentially the increase in debt from March '24 from Rs. 1,620 cores to Rs. 1,885 crores is clearly an account of the increase in working capital. So, it has gone up from Rs. 1,000 crores to Rs. 1,200 crores towards the working capital debt increase.

Rakesh Wadhvani: So, just reconfirming the point, Rs. 1,200 crores is the gross debt. Can you just bifurcate the debt for the working capital as well as the CAPEX?

Lakshmi Narayana: No, Rs. 1,200 crore is the working capital debt and Rs. 675 crore is the term loan debt. Total on 30th June, it was Rs. 1,885 crores as against, earlier working capital debt of Rs. 1,000 crores and almost around Rs. 700 crores, which is around Rs. 1,620 crores. So, Rs. 1,620 crores of 31st March '24 has gone up to Rs. 1,885 crores.

Rakesh Wadhvani : Sir, 1 last question from my side. Sir, can you talk about the volume growth in this particular quarter? And how are the clients that the retailers across the globe, have they started taking the coffee inventory back? Because in the last con-call, we talked about that the global retailers are running on a very thin inventory levels because the coffee prices had increased. Any update on

that.

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Jaipuriar Praveen : Rakesh, I will answer the second one, first. No, there hasn't been an increase in the inventory that the clients are building up because still the coffee prices are at pretty high levels. So, that phenomenon hasn't started yet. So, that's one. The second thing you asked about is volume growth. We are experiencing last quarter around 15% to 16% volume growth, which is in line with the guidance that we have been giving. Despite headwinds, we were able to maintain this kind of growths.

Moderator : The next question is from the line of Aashish Upganlawar from InvesQ PMS. Please go ahead.

Aashish Upganlawar : Sir, I just wanted to understand your thought process on how the scenario for coffee price is shaping up, I mean, regarding the crop situation around the world, the demand side and, etc.?

Jaipuriar Praveen : This one is a little tough. As we had discussed in the last con call as well, things have been very volatile and therefore, the predictability of coffee prices has become very, very difficult. So, what has happened is that Brazil, and last time we had discussed that Brazil seems to be having good crops, it had a good crop, but simultaneously, there were news, and the market suggested that Vietnam had El Nino effect and they had certain crop shortages. So, the prices continue to be very high in Vietnam, which meant that any correction that was probably expected or, let's say, a good correction did not happen, so there was a correction in Brazil, but the prices remained high because the availability and the prices in Vietnam were pretty high. So, net-net, things haven't improved drastically.

And to add to the complexities, there has been volatility around. So, that's the situation right now. And as we have been saying, most of the predictions for all the market pundits have gone wrong. So, we really don't want to kind of give a prediction that how the prices will pan out. But having said so, as we have always maintained, some of the trigger points are generally the harvesting season. So, the next harvesting season for Vietnam and the other countries like India also will happen now in November-December. So, that's the point of time. Then we will see how things pan out. But that's the situation right now as far as coffee prices are concerned.

Aashish Upganlawar : So, the next point to watch out would be probably in November.

Jaipuriar Praveen : Yes, and December. Yes

Moderator : The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi : Two, three questions. Can you break down the volume India and Vietnam? And the second question is if you can break the spray-dried and FDC volumes?

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Jaipuriar Praveen : So, Shirish, I will give you a little broad idea. But let's say, that India, of course, will be closer to 9%, 10%, then the Vietnam will be a little higher because that's where the capacities were added last year and that's the capacity that is working. So, that is the gross this thing. Just give me a second, I will tell you the consol level, what you see behind this. So, let's say I don't spell out the exact numbers, so 25% of the total volumes will be spray-dried volumes.

Shirish Pardeshi : Second one follow-up on this. What is the capacity utilization in India and Vietnam at this time?

Jaipuriar Praveen : See, India was minus with food and beverages. So, food and beverages, although we started in March, but there the utilization, a lot of the stabilization is happening. So, while there is a certain sales that is happening, but the capacity utilization is not very high. So, it will not be more than 5% to 10% of the capacity. Rest of the capacity, we were running almost full. And Vietnam would be the earlier line. The first line is running at full capacity. The second one probably at around 50% of the capacity.

Shirish Pardeshi : And do you spell out some idea on the India branded and domestic business, how it is panning out, what number we have got in Quarter 1?

Jaipuriar Praveen : Yes. So, in my brief, as I mentioned, the India business was approximately Rs. 95 crores. And this is growing at an overall level of around 40% right now. And out of this, the branded business is Rs. 65 crores, and that business is growing, branded and the retail business, that is growing at around almost 45% to 50%. So, that's a little brief. The plans are going well. We are expanding the distribution network. We are also expanding most of the channels right from trade to e-commerce. We are now getting pretty strong on quick commerce. So, yes, on all fronts, we are trying to be best and see how we can keep driving this kind of aggressive growth.

Shirish Pardeshi : Do you think this year, we will be higher of close to about Rs. 300 crores, what target we were estimating? The reason why I am asking because we have had a lot of activation on ground. So, maybe if you can help me to get better quality to understand what kind of vending machines we are putting and what is the distribution at this point of time?

Jaipuriar Praveen : Yes. So, yes, 300 is the number that we are looking at, which will mean that almost 50% growth

over last year. So, that's a number that we are aiming, and this is only for retail. At an overall level, the India business should cross Rs. 400 crores. And yes, there is a lot of ground activation we are doing, both on the demand generation side and the distribution side. And while we do so, there is always, as you know, in FMCG business, it will be an evolution of the distribution as well. So, last time we spoke about how we are not only strengthening distribution in terms of number but also in terms of quality, and it's a better-quality distribution network when I say so, which means that the quality of distributors and the strength of distributors is also increasing by the day. And hopefully, in India, our direct distribution should touch 1,30,000 outlets. And we

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are also hoping to drive a lot of indirect distribution through wholesale, which means that we probably, in effect, will be touching around 150,000 outlets. So, that's the plan on distribution, and we continue to press upon the demand generation activities right from ATL to BTL. So, all that is happening. We are trying to see are there any other subsegments that we could enter. And yes, so all that work is happening.

Shirish Pardeshi : That's really helpful. Just the last question on the margin. Though prices are elevated and we have seen gross margin has declined and also it had

the effect on the EBITDA, could you spell

out if the long-term contracts are now getting revived at the higher price? Or what is it that we should look forward for next 2, 3 quarters? How will the margin pan out?

Jaipuriar Praveen : So, I will just correct the understanding a little bit here. The margins never contracted. Optically, it gets contracted because we would work on a per kilo EBITDA margin, which means that if the coffee prices go up, in relation to top line, the margins may look depleted, but that's not the case. Our per kilo or let's say, per tonnage margins are intact. And that's the guidance we always give that our EBITDA growth will be in line with our volume growth. This quarter, what has happened is that if you are seeing around 23%, 24% EBITDA growth and our margin growth is 15%, 16%, there has been a little expansion because this quarter, we had certain contracts, which were a little higher value contract and more margin contract. So, we saw the benefit of that. And therefore, you will see a margin improvement or, let's say, per kilo margin improvement that we witnessed in this quarter.

Now coming back to this question that are the long-term contracts getting revived? As of now, we are not seeing so much of revival of long-term contracts because coffee prices are still high. But yes, it seems that, as it happens in any commodities, once the commodity sees a peak pricing, there is a period of confusion and then things start settling down. So, we are seeing those kind of settlements happening, and we are now seeing some revival, but I would not be too committal about this fact that revival has happened. So, we will wait for 1 or 2 more quarters to see how things pan out.

Moderator : The next question is from the line of Akhil Parekh from B&K Securities. Please go ahead.

Akhil Parekh : Praveen, sir, my first question is on the coffee prices. If I look Y-o-Y, it has almost gone up by 60%, Robusta coffee prices. While Q-o-Q, it has gone up by 25%. And at the same time, you are saying our volumes have grown by 15%, 16% on a Y-o-Y basis, while sales growth is at 18%. So, is it like you have seen a cut in the pricing in this quarter, 1Q, as the product has deteriorated?

Jaipuriar Praveen : So, Akhil, there is no cut in pricing and all that. You know our model, we do back-to-back. So, a lot of this quarter's contract is actually contracts which we had done previously. So, it will be

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unfair to compare with current prices. So, while the current prices would have gone up by 30%, 40%, maybe 50%, 60%, but that really is not the right indicator because the contract that we delivered is probably, let's say, last year's pricing contract. So, in effect, there may be a lag of 1, 1.5 years also that may come into play. So, that is why that comparison is not a right comparison, I would say.

Akhil Parekh : Do we maintain the volume growth guidance of 15% to 16% for this year?

Jaipuriar Praveen : If you remember, last quarter, we had given a little broader guidance this time considering the volatility in prices, we said 10% to 20%, landed at 15%, but we would like to guard ourselves and say that we will still maintain 10% to 20%. I would not be committal at this point of time because, as I was telling you earlier also long-term contract revival is not strongly back. Most of the clients are into hand to mouth kind of a situation. So, the orders are really coming not in the long term, but in a very, very short-term manner. So, we don't have so much visibility for me to be committal about it. We maintain the guidance of 10% to 20% as of now.

Akhil Parekh : And on the EBITDA per kg, sir, do you still maintain 110 per kg kind of guidance for the next 2 years? Or do you see a change because existing capacity is going to come now on stream in

Vietnam. So, can we expect improvement on that sir?

Jaipuria Praveen : Again, not r

eally because as we have been telling you there are a lot of things that play out. This quarter, we got some improvement largely because of high-value contracts, and there are more small packs that we did, but coming quarters, there are some volume contracts, some low-margin businesses that will come our way. So, we would like to maintain the guidance that most of our EBITDA growths will be driven by volume growth and not really by margin improvement after maybe 1.5 years or 2 years-or-so, I think that's the time we will start improving the margin profile as such. And again, it's not an overnight thing. We have always told that we are working towards it, small packs, more of branded business, more of high specialty coffee. So, all that will happen gradually, but the visible effect, you'll start seeing more like in the, say, 1.5, 2 years.

Akhil Parekh : Okay. And how much would be small packs, sir, as a percentage of total units?

Jaipuria Praveen : So, broadly, it is at 20%, Akhil. But yes, there has been an improvement because small packs is also our own brand business. So, overall, the small pack contribution is improving, still at a 20%, 25% level, but yes, we are seeing improvement on this front.

Moderator : The next question is from the line of Rahul Maheshwary from Ambit Asset Management. Please go ahead.

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Rahul Maheshwary : Just had 1 question, can you give some color on the clients addition that has been taking place?

What kind of clients addition in terms of the wallet share that has been taking place from the existing clients? And just adjacent to that, the U.S., as a geography, was running at 8,000 to 10,000 per ton. Where that as a market has been reached for us? These are my 2 questions.

Jaipuria Praveen : So, this one is quite granular thing that you asked. Probably, we will have to go a little deeper here. I am not sure that I will give you a lot of color on this. But yes, see, that's the endeavor that keeps happening. We are wanting to increase the wallet share with our client. And I have always maintained that that's not just the only thing that we grow on. There are things like new client addition. It's a leaking bucket. There always will be new clients, and there will be clients who would be dropping off from the roster as well. So, all these things are happening. The net effect is what you are seeing as growth numbers. So, there are certain clients where we have increased our wallet share. There are certain clients where we have probably decreased our wallet share as well. It's a continuous process. I think it's more like, when I say leaking bucket, my entry should be more than my exit. So, that's the endeavor that we all work upon.

Rahul Maheshwary : Praveen, but just can you give some qualitative that how the value-added share has gone up? I am not talking in just 1 quarter basis. But if you can give us some direction that earlier, it was in low single digit where it has reached and where you aspire to go in terms of wallet share that would be very helpful?

Jaipuria Praveen : Right. I will tell you. So, first, I will talk about wallet share and then I break it up for you in terms of value-added products, yes? So, wallet share, generally, a client will also, because they also derisk their business, so they will not let suppliers wallet share go beyond, let's say, 35%, 40%, yes. So, there are clients where we are working on the highest levels of 35%, 40% of wallet share. There are a lot of clients where we are only at, let's say, 5%, 10% of the wallet share. So, our endeavor is to kind of get into more of a 20%, 25% wallet share for those clients. As I told you, we are always on a lookout of new clients. So, that's the endeavor on the wallet share aspect. Now coming to value addition, let's say, there are 2 types of things which are value addition for us. One is the value-added coffee, which could be s

pecialty coffee and the second thing is the

small pack where we earn more margins. So, these are things which will help us improve our margin structure. We are encouraged to keep hiking the proportions for them. Just to give a little example and I am giving a longer period example because then it gives you an idea where we were and where we are going to. Let's say, 4, 5 years, our small pack contribution goes in the single digits, probably 5% to 10%, now it has reached 20% to 25%. So, that explains the effort that we have put in to make sure that we do more and more of small packs and that's the reason we had put a facility which is helping us do more and more small packs for our clients. Coming to specialized coffee, three, four years ago, it was maybe not even 1% of our portfolio. Today, it is more than 5% of our portfolio. And sometimes, you also have a combination of specialty

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coffee being packed in a small pack so that is the sweetest spot for us because that gives you the best margin. So, we are doing some of those stuff as well. So, yes, that's in brief what our endeavors are and how our models are working.

Rahul Maheshwary : Also, can you give some highlight on, I don't want specific names but the number of customers that are being added or what you aspire in any per annum basis? Because generally, it takes, as you mentioned, 2 to 3 years to crack a particular customer. So, any pipeline or anything which you want to give direction that would be helpful?

Jaipuria Praveen : So, on a very, very broad basis, in any year, we would add 10 to 15 new clients. There will be 4 to 5 clients who drop-off also, but these are not permanent drop-offs. These are drop-offs, could be temporary, but that's the kind of thing that we maintain. And adding clients is not the only aspect because I could go ahead today and offer some cheap prices and add 50 clients, that's something that we can do any time. But what we want to do is add qualitative clients, which are of high quality. This does not necessarily mean that I only want client with high-margin business, but it means that clients who are going to stay with us long term, who have got some standing in the market. Clients are looking to build brands for themselves because mostly the clients who are building it for their brands are much more stickier business than traders. So, these are the things that we keep in mind when we are onboarding clients and that's been our endeavor.

Rahul Maheshwary : And your view on U.S., how the capacity is? It was an earlier question only.

Jaipuria Praveen : Yes. So, I think there's some confusion. It was not 8,000 to 10,000 that we have ever spoken about. It's 4,000 to 5,000 and that is growing by healthy rate of 15% volume year-on-year. The U.S. market is also challenging. What happens is that right now, the Brazilian prices are much lower than Vietnamese prices. There was a timing when things were inverted. At that time, we had a little more advantage. So, driving volumes was easier. But today it's that much more tougher to drive volumes there because Brazilian suppliers are having an edge. While they may not have much of a procurement edge because we can also procure from there, but they do have logistical edge that they have on us. So, these are difficult times for us to penetrate more than what we have penetrated. But yes, the endeavor is to keep going on nibbling away and seeing that are there any avenues of growth that we can embark upon.

Moderator : The next question is from the line of Akul Broachwala from Avendus Investment Managers. Please go ahead.

Akul Broachwala : First is on, as you mentioned in your opening comments that this quarter kind of reflects the pent-up demand that was kind of there since many quarters. So, do you think that at least the near-term pent-up demand is kind of already catered to and now customers will only pro

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wait for prices to go down further?

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Jaipuria Praveen : Yes. No, so I think it's not a pent-up demand. I think what we should see it like this, this is more near-term demand. So, what is happening is that most of the customers or clients are wanting to feed their near-term demand and are not committal about long-term contracts. And the reason is exactly the coffee prices because the coffee prices are at high, everybody wants to wait and watch because everybody is hoping and this hope has been there for the last 1.5 years, because when the coffee prices reached 2,500 levels, people thought that this is the peak. Then it did not stop there, it went to 3,000, 3,500, 4,000. So, what is happening is that at every interval, people are expecting that there will be a correction and therefore, what they do is that they only give commitment for their short-term needs. And that's what is happening right now. And that's seeing the market scenario. Now when this will invert. We really don't know because see, at this point also, everybody is expecting that at some point the coffee prices will correct. So, people are in a wait-and-watch mode still. So, let us see how things pan out in the future.

Akul Broachwala : And like in terms of the debt, so are we already at the peak debt level like of this Rs. 1,865 crores or do you still expect, based on your volume growth, the debt to further inch-up even from these levels?

Jaipuria Praveen : So, if we continue the current volume growth, even at current static prices, the debt level will go up, there is no doubt about that. So, we are looking to end the year at around Rs. 2,200 crores from Rs. 1,800 crores. But let's say, if the prices do drop after November, December, then this could come down by a couple of hundred crores.

Akul Broachwala : And in the previous call, you did mention that you were looking to refinance that at probably lower cost. So, has that already been through or maybe you are still evaluating that?

Jaipuria Praveen : No, so we are still under review. There is a lot of background working that has to be done. So, we are constantly reviewing it because what is happening is that the interest rate scenario across the world is changing by the minute. So, while we speak, there should be a certain interest advantage you may get in some country, but the next day, you see things inverting and we are seeing how the world market is behaving. So, that's been an added challenge to kind of take a call on that. So, we are still working on that and nothing as of now is firmed up.

Akul Broachwala : And just finally, some bookkeeping questions. This depreciation for 1Q, like do you expect this kind of number to now be the quarterly run rate for the coming quarters or there will be some more volatility?

Jaipuria Praveen : We are working hard towards it, but I maintain the guidance of 10% to 20%, and we will stay with that because as I told you, the long-term contracts are a little difficult to come by, they're still short term, so we will talk quarter-on-quarter. And yes, the endeavor would be to maintain this kind of a run rate, but yes, I will still not give a firm guidance of this run rate.

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Akul Broachwala : Okay. And the tax rate for the full year?

Jaipuria Praveen : Sorry, did you ask tax rate?

Akul Broachwala : Yes. I just wanted to check your guidance for tax rate for the full year.

Jaipuria Praveen : 13% to 14%, I think, at a consol level.

Moderator : The next question is from the line of Parth Agarwal from Bastion Research. Please go ahead.

Parth Agarwal : My first question is that since we have already launched coffee brands in Europe, so I just wanted to understand what is our strategy to gain the market share in that region?

Jaipuria Praveen : So, we have launched it in the U.K. market. Now the strateg

y is very simple. This brand that we

had bought there, Percol, has been known as a brand which cares for the environment. It was for the environment friendly, audience who cares for the environment certified coffee and things like that. So, we are building upon that proposition. So, right now, what has happened is that U.K. market is largely modern retail. So, our endeavor is to get it listed because what had happened in the past 3, 4 years, this brand had got delisted from a lot of chains. So, our first endeavor is to make sure that we get the listings. The first proof of pudding would be that in the stores that we are listed, once the offtake improves, then it gives us strength to go to other chains and say that look here. things are improving upon us. And that will happen because of our efforts that we are doing both ATL and BTL. So, we are looking to do social media awareness building, some localized activity, awareness building, which will help us gain traction for the brand. We are also looking to tap into some of the newer formats there. So, there are things like coffee bags and all that, which are gaining traction as a format in the markets like U.K. So, we have already launched the Percol formats in coffee bags. That is something that we are also looking to push forward. So, all of this, we are trying to do to make sure that we gain the momentum that this brand had a few years ago.

Parth Agarwal : All the manufacturing that is happening for this brand is from India, right? And we export it from here?

Jaipuria Praveen : All the instant coffee is happening from India. All the roast and ground, like I talked about, the coffee bags and all, which is roast and ground format, which we are doing third-party manufacturing in the U.K. itself.

Parth Agarwal : And sir, can you help me understand the Swiss subsidiary business? So, I understand that it's an agglomeration plant and that we have positioned it as an agglomeration plant in Swiss. But what is the purpose of it solving there and why can't we directly export it from India or Vietnam?

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Jaipuria Praveen : Sir, various purposes it solves. The biggest purpose that it solves, it helps us to be nimble footed in the market because if you see Europe, there are very small countries, there are a lot of small clients who are there, who want coffee. Their demands could be immediate in nature. And when you are trying to fulfill those kind of demand, it becomes very difficult to export from India and fulfill those demands. So, these kind of arrangements help us service these demands and grow our business. And these are very profitable business because these come from chain of supermarkets, these could come from small brand owners. And these businesses, while they are small in nature, they aggregate into a good profitable business. So, that's the reason it helps us to be there in Switzerland.

Parth Agarwal : And the current capacity there is 300 metric tons for agglomeration, right?

Jaipuria Praveen : That's only an agglomeration capacity. So, anyway, that's not a processing unit. So, anyway, the base product goes from India only. And depending on the clients' requirement, if somebody requires an agglomerated product, we agglomerate and give it there.

Parth Agarwal : And just 1 final question, sir. I understand Continental Coffee Private Limited, wholly owned subsidiary, is into food and beverage business. Can you just detail-out what exactly this business does currently?

Jaipuria Praveen : So, basically, what we did was last year, if you remember, we demerged the back-end business back to the parent company. And we said that, that entity will be only used for our retail endeavor. So, we already were running our Continental Coffee kiosks at certain places like Metro station and a couple of them at colleges. Now we have evolved that format, and we are going ahead with a full-

fledged cafe. We just opened a couple of them in the last month at Hyderabad. We will do a POC. If we feel that that concept is working for us, then we will kind of look forward to expand it. How will we expand it, where would the capital come from and all that questions we will answer once we understand the proof of concept.

Moderator : The next question is from the line of Bhargav from Ambit Asset Management. Please go ahead.

Bhargav Buddhadev : Sir, any comments on market share, given that we managed a 15% volume growth in a tough market?

Jaipuria Praveen : This one is a tough one because generally market split, there's no syndicated data that comes telling you what is the global market share that you have and the capacities on a regular basis are getting added, get deleted and things like that. But when we triangulate our data, we had said that when we were at 44,000 or, let's say, around 40,000 metric tons, we probably were at around 6%, 7% market share in the world B2B market, the addressable B2B market. And then we said since the market is growing by 2%, 3%, and we probably are looking to grow at 17%, 18% at CCL Products (India) Limited
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the CAGR level for next 3, 4 years, our destination was that we probably will end up at around 12%, 13% by '27-'28. So, that's the scenario right now. But these, again, you'll have to take these numbers with a pinch of salt because these are all triangulated data and not any syndicated data that we have to refer.

Bhargav Buddhadev : Sir, on the share of freeze-dried you mentioned 25%. So, can this increase post your 5,000 ton capacity getting added in the second half?

Jaipuria Praveen : Probably not. There are 2 things. In terms of capacity-wise, that 6,000 tons is added, we also got an India spray-dried capacity of 15,000 tons, which is not added. So, probably, it remains in the same proportion. But while I say so this is on the capacity front. A lot will also depend on the market demand front. So, let's say, the demand for freeze dried increases, then probably the proportions could increase. But it is difficult to comment just because of the capacity, I don't think so that should be the driver for our big number.

Bhargav Buddhadev : And in terms of price hikes, is it fair to say from 2Q onwards, we will have taken price hike as well compared to 1Q?

Jaipuria Praveen : So, our price hikes are generally related to the green coffee prices because we work on cost plus model. So, it will really depend on the green coffee prices, how they move and that will actually determine price hikes for us.

Bhargav Buddhadev : And last question is on the profitability for the branded business, is it possible to share?

Jaipuria Praveen : No. So, yes, of course. Last time itself, we said that we had broken even, and we probably will be looking to get to a 7% to 8% EBITDA margins for the branded business.

Bhargav Buddhadev : In this year?

Jaipuria Praveen : This year, yes.

Moderator : The next question is from the line of Devanshu Sampat from Avendus Capital Private Limited. Please go ahead.

Anirudh: This is Anirudh here and Devanshu. I have 2 questions. One is as far as EUDR compliance is concerned, could you tell us what proportion of the coffee that you are getting would be compliant? And is that a risk as far as continuity is concerned post December? And is there a chance that these regulations may also be pushed back if some color can be provided? And the second one is that in terms of timeline of the new capacity start-up in Vietnam, we are on track on September, October. I just wanted to clarify that.

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Jaipuria Praveen : So, yes, we are on track. September, October, we should be up and running. That's on the capacity. On the EUDR, I think there are 3, 4 angles to it. One is that green coffee, which is generally shade grown and is grown in the jungles

and all that, they are fully compliant with

EUDR. The second thing is this is largely for the commodity itself, green coffee. Instant Coffee does not kind of come under this ambit. So, I don't think as of now, there is no risk that we see on this track.

Anirudh: Just 1 follow-up question, sorry, 1 more data point, actually. What would be your current cost of debt, more importantly, the incremental working capital that is what is the average cost currently, please?

Lakshmi Narayana : So, till June, it was around 6.5% average cost of funds towards the working capital, and it is likely to go up to 8.25% from this quarter.

Anirudh: Sorry, you said 8.25%?

Lakshmi Narayana : 8.25% is the current cost of funds towards working capital, that is from July onwards.

Anirudh: So, from July onwards, it is 8.25% on the entire working capital debt of Rs. 1,200-odd crores?

Lakshmi Narayana : Yes, you are right.

Anirudh: And this Rs. 1,200 crore is benchmark to, when you mentioned that this debt could go up a little bit towards the end of the year, this is assuming coffee prices remaining at about 4,000 or at what level broadly?

Lakshmi Narayana : It is somewhere around 3,600 to 4,200.

Moderator : The next question is from the line of Disha Giria from Ashika Institutional Equities. Please go ahead.

Disha Giria : I just wanted to understand more about the branded business in India. So, you did mention that there was a 40% to 50% increase in the branded revenue and what would be the volume growth for the same? The coffee prices are volatile, for the B2B business, we have a cost-plus model, but how do you see it in the B2C business?

Jaipuriar Praveen : Yes. So, 2 things. One is that you asked about volume growth, which is approximately 30%-or-so that we are achieving for the retail branded business in India. And coming to the second part, how FMCG works. There are different pricing things. Here, we can't work on cost-plus.

Generally, because we are a fighter, we are a competitor to the largest player, we maintain a pricing index of the market. So, that's how we increase prices, and we have seen 30%-or-so price

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increases. But again, there are a lot of challenges here because you can't increase prices on every pack. There are certain packs which are more price elastic, so you can increase more prices there.

There are certain small packs and the very small packs, like the coinage pack as we call them.

There, price increases are very difficult. So, we work on driving more and more efficiencies to keep or maintain the margins there. That's how the pricing decisions are happening in the retail B2B business.

Disha Giria : So, the Continental brand is, I believe, cater to more to the Southern part of India, where I think they are ranked second or third. So, do you plan to expand this brand within India further?

Jaipuriar Praveen : Yes, absolutely. So, you are right, we started with South India. A lot of our efforts are here. We have gained quite a bit of traction here. And now we are expanding to other parts of India as well.

So, in fact, the work has already started both in terms of driving distribution and also generating demand. So, there are key markets. In the rest of India, it is a far more our green product than what it is in South India. In South India, the penetrations are much higher. So, we are looking to penetrate first the 5 lakh-plus population town. And those towns where we feel that the coffee consumption is higher than the others. So, a lot of work has already started, both in terms of building and distribution expansion. Today, as we speak, we already are covering approximately 1,000 1,200 outlets in metro towns like Delhi, Mumbai and 500, 600 outlets each in the second-tier towns like Lucknow or Chandigarh, Indore, Pune, so that's how we are expanding the rest of India.

Moderator : The next question is from the line of Lokesh

h Manik from Vallum Capital. Please go ahead.

Lokesh Manik : My question was on the inventory days, which have historically hovered around 90 to 120 days, which has shot up to about 180 days for the past 2 years. And this is having an implication on the interest cost, which has shot up significantly. So, any comments on how we are planning to manage this inventory and bring it back down to 120 days given that we are not compensated by the end consumer for the days that we are holding the inventory in our contract prices?

Jaipuriar Praveen : A couple of things here. A lot of our inventory management is dependent on the market scenario.

And why do I say so because if you see in the last few quarters, our buying from sources like Brazil has increased because there the prices are lower than the Vietnamese coffee prices. So, which means that it adds to the logistics timeline. And therefore, inventory or let's say, the working capital cycle goes up. Now you are right, it adds to the pressure of finances in terms of interest cost and all that. But having said so, this is our model. So, in the sense because I am getting it at a lower price from Brazil, I am able to earn margins, and I am able to sell as well.

So, that is something which is probably unavoidable.

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The only thing that I would like to mention here is that all this inventory buildup or let's say even if the increases are happening, it is for confirmed contracts. So, all the working capital that we utilize, not a single penny is utilized for inventory buildup. So, these are all confirmed contracts. Yes, it adds to the pressure, but on the other hand, it also adds to my operating margins as well. So, whether you see it from this angle or that angle, it actually works out to be the same because if I were to kind of squeeze the payment cycles and all that, I would end up having lower margins. So, I think net-net, that's a balance that we try to maintain.

Now when do we see these improving? Of course, since our operations are here in India and Vietnam, we see this improving if some coffee prices soften. So, that is something that we would

expect to happen by Q4 or so. So, until then, we will have to stay put with these kind of working capital cycles.

Lokesh Manik : Fair enough, Praveen. But our contract durations are reducing. Like you mentioned earlier, we are not getting long-term contracts. So, if this is the scenario, then shouldn't we see a fall in the working capital cycle because your buying is linked to the contract that you received on the day of the raw material purchases?

Jaipuria Praveen : Not really because even if I get long-term contracts and I buy coffee, I don't keep the inventory with me. I mean I bought today, but the dispatches are staggered. So, that's how the markets work. So, I don't necessarily build more or less inventories because of the short terms or long-term contracts.

Moderator : The next question is from the line of Bhavya Sonawala from Samaasa Capital. Please go ahead.

Bhavya Sonawala : So, just a few questions. In our current Continental Coffee portfolio, just wanted to understand, do you see any new product addition going ahead or will we keep it the same and kind of focus on increasing distribution?

Jaipuria Praveen : So, right now, we are focused largely on distribution because if you see our share among handlers, that's pretty much higher than the average shares in the market, which means that there is a demand which I need to fulfill. So, the distribution expansion is our key focus right now, and we will keep building on it. The thing is that if you see our portfolio, we probably have a portfolio which is larger than the leaders in the market. So, we have always been accused of not giving enough focus on some of these brands. So, we will rather keep focusing on the brands that we already have. So, I don't see a major addition right

now. But yes, on the background, we keep working on things we are seeing if there are some trends emerging that we could capture in the future, especially in the premium segment, in the specialty coffee segment. So, we are keeping a watch doing some product development and concept development. Let's see how they pan out, but nothing in the immediate future.

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Bhavya Sonawala : Makes sense. Just last question. On your overall business, is it possible to give kind of a breakup based on volume in the top 3 or top 5 geographies that we supply to, if that's possible?

Jaipuria Praveen : Yes. So, I will give you a broad indication. Let's say, out of our total business approximately, everything put together, 40% comes from the Asian markets and then around 20% to 25% from East European markets. There will be another 15%-or-so from the West European and the U.K. market, another 10% to 15% from the U.S. market and the balance is spread between South America, Africa and Australia, New Zealand. So, we are pretty well spread out in terms of geographies.

Bhavya Sonawala : And just a follow-up. If I were to ask you in the last 3 to 5 years, has there been a particular geography that you have seen growth kind of surpass other geographies?

Jaipuria Praveen : It's not surpassed. Yes, there are geographies like North American geography, we have seen a growth. We used to be very small there. Now we are substantially big there. So, that's a geography that has done well for us. We are already very good at Eastern European countries. We are now looking forward to see, if we could strengthen our presence in the East Asian. Southeast Asia, India, we are very strong, but we are wanting to build our strength in the far East Asian countries. So, this is how is the geographies for us.

Moderator : The next question is from the line of Omkar Arora from Erya Capital. Please go ahead.

Omkar Arora : Sir, my only question is coffee prices have been in an upward trajectory for a long time now. So, do we see smaller players shutting shop in this case? Does the company see this as an opportunity for consolidation in space, especially at a time when we are increasing our capacity by so much?

Jaipuria Praveen : Actually, yes, at an overall level, very specifically, I will not have a huge indication on this. But generally, it happens. Whenever the commodity prices are at such high levels, there will be consolidation because it becomes so difficult. All of us are stressed about our balance sheet come to think about the smaller player, so they find it even more difficult. And we are seeing certain things. In these scenarios, we also start getting calls for acquisitions and mergers for smaller players. So, there is a trend that is seen. And sometimes, it does work as an advantage for the larger players.

And we are seeing this trend. It should happen not just because of higher coffee prices, but because of this case and the economies of scales that set in, the larger players will get consolidated over a period of time. Apart from that, there is also a trend that 20 years ago, you would have seen that the brand owners and the manufacturers were the same guys. Now, there's so much of segregation that has started to happen. Brand owners are getting separated from the manufacturers. So, all that will lead to aggregation and that should help larger companies. So,

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yes, you are right, that's the trend we are seeing. But how much of that has happened, difficult to comment.

Moderator : The next question is from the line of Richa from Equitymaster. Please go ahead.

Richa Agarwal : Sir, my question is when we are planning to set up FDC capacity in Vietnam, I think the commentary was that there was committed capacities, there was high demand. So, has that scenario changed? And does it change your outlook for

what the ramp-up and offtake would be

like? And what is the CAPEX likely to be incurred this year? And the related question is what is your delta between realization and margin for FDC and spray-dried coffee?

Jaipuriar Praveen : So, I will just answer the first question, and I will ask CFO to answer the CAPEX question that you asked. So, yes, there is a certain amount of underwriting that happens in certain cases, and that helps us decide our capacity. So, that scenario hasn't changed. So, that remains intact, and there is no change in outlook on that front.

Lakshmi Narayana : No. Total schedule is about 50 million, total implementation of the project cost. And this predominantly, as part of the loan, has been revised in last financial year itself. And we have incurred almost around 47 million so far, and the balance amount is going to be incurred in another couple of months. And by September end, we are going to complete the project and start operations.

Richa Agarwal : And sir, can you also comment about the delta in realization and margin for FDC and spray-dried?

Jaipuriar Praveen : There is no delta realization. The freeze-dried margins, as we have told earlier, is approximately 30%, 40% higher than the spray-dried margins. That will remain intact. Now how does the proportion change as a Group, we will have to see because if the proportions change from here, then probably at a Group level, we will see better margins. But if the proportion remains intact and our sense is that it will remain intact, because build capacity in freeze dried. We have built the capacities in Spray Dried as well. So, I don't see much of a change in them that is going to happen. So, our overall margin guidance remains the same for the next couple of years.

Richa Agarwal : And sir, once we are done with this CAPEX, we will have around 75,000 tons to 76,000 ton kind of capacity. What is the maintenance CAPEX likely to look like?

Jaipuriar Praveen : So, maintenance, there will be spares and maintenance that is there, which comes as a regular expenses. I don't see a significant mix there for maintenance that is going to happen.

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August 08, 2024

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Moderator : The next question is from the line of Romit Nagpal from Terrapolis Asset Private Limited. Please go ahead.

Romit Nagpal : Just wanted to check, there's been a lower depreciation this quarter compared to the previous quarter. Any particular reason for that?

Jaipuriar Praveen : No. So, actually, this is not lower depreciation. The previous quarter was abnormally high because we had changed the life cycle of our vending machine when the domestic business were merged into the parent company. So, from a 10-year, we went to 3-year, which led to Rs. 8 crores of higher depreciation last quarter. So, if you see previous quarters, it will be very similar to this quarter.

Romit Nagpal : Given that we work on a cost-plus model, and I have been tracking the company for years and given the current quarter that's gone by assuming some fluctuations because you mentioned earlier regarding short-term demand and not really long-term contracts, does the PBT in the range of Rs. 320 crores to Rs. 350 crores for the year sound reasonable?

Jaipuriar Praveen : PBT of Rs. 320 crores to Rs. 350 crores sound reasonable as of now. But yes, we will build up on that. Probably next quarter, we will have a little better picture because things are still volatile.

Romit Nagpal : Given that the tax rate has moved up, what tax rate should we assume for the year?

Jaipuriar Praveen : At a consol level, around 13.5%, 14%.

Romit Nagpal : And you had a 20% increase in top line. How much of this is driven by increased volumes?

Jaipuriar Praveen : Around 15% in volumes.

Moderator : Ladies and gentlemen, due to time constraints, this was the last question for today's conference call. I would now like to hand the conference over to the management for c

losing comments.

Jaipuriar Praveen : Thank you all for joining the conference with us. We look forward to interacting again in the next quarter. Thank you all. And thank you, Abhishek and Nirmal Bang for moderating this call.

Thank you.

Moderator : Thank you, sir. On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

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Date: 12.11.2024

To

The Listing Department,

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor, Plot No. C/1,

G Block, Bandra – Kurla Complex,

Bandra East, Mumbai – 400051.

Scrip Code: CCL To

The Corporate Relations Department,

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai – 400001.

Scrip Code: 519600

Dear Sir/Madam,

Subject: Transcript of the Conference Call held to discuss the results of Q2 FY 2024-25

as required under Regulation 30 of SEBI (LODR) Regulations, 2015.

With reference to the above-mentioned subject, we wish to inform that,

i) The copy of the Transcript of the Conference call held on Wednesday, 06th November, 2024 to discuss the results of the second quarter of the financial year 2024-25 is enclosed herewith.

ii) The Transcript is also uploaded on the Company's Website and the web-link for the same is:

<https://www.cclproducts.com/wp-content/uploads/2024/11/Q2-Earnings-Call-Transcript-2024-25.pdf>

iii) The List of Management attendees is stated in the transcript.

iv) No Unpublished Price Sensitive Information was discussed in the call.

This is for your information and necessary records.

Yours sincerely,

For CCL Products (India) Limited

Sridevi Dasari

Company Secretary & Compliance Officer

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"CCL Products (India) Limited

Q2 FY '25 Earnings Conference Call"

November 06, 2024

MANAGEMENT : MR. CHALLA SRISHANT – MANAGING DIRECTOR –

CCL PRODUCTS (INDIA) LIMITED

M R. PRAVEEN JAIPURIAR – CHIEF EXECUTIVE

OFFICER – CCL PRODUCTS (INDIA) LIMITED

M R. B. MOHAN KRISHNA – EXECUTIVE DIRECTOR –

CCL PRODUCTS (INDIA) LIMITED

M R. V. LAKSHMI NARAYANA – CHIEF FINANCIAL

OFFICER – CCL PRODUCTS (INDIA) LIMITED

M S. SRIDEVI DASARI – COMPANY SECRETARY – CCL

PRODUCTS (INDIA) LIMITED

MODERATOR : MR. ABHISHEK NAVALGUND – NIRMAL BANG

EQUITIES

CCL Products (India) Limited

November 06, 2024

Moderator: Ladies and gentlemen, good day and welcome to the CCL Products (India) Limited Q2 FY '25 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Navalgund from Nirmal Bang Equities. Thank you, and over to you, sir.

Abhishek Navalgund: Thank you, Dev. Hello, everyone. On behalf of Nirmal Bang Institutional Equities, I welcome all the participants to CCL Products (India) Limited 2Q FY '25 earnings conference call. The management is represented by Mr. Challa Srishant, Managing Director; Mr. Praveen Jaipurkar, CEO; Mr. B. Mohan Krishna, Executive Director; Mr. V. Lakshmi Narayana, CFO; and Ms. Sridevi Dasari, Company Secretary.

Without further ado, I would like to hand over the call to Praveen sir, for his opening comments, post which we'll open the floor for Q&A. Thank you and over to you, sir.

Praveen Jaipurkar: Thank you, Abhishek and thank you for arranging this call. I welcome you all to this conference call and wishing you all very happy festivities. Now I will quickly read out our results and then post which we can open the floor for questions. So the group has achieved a turnover of INR738.2 crores for the second quarter of '24-'25, as compared to INR607.57 crores for the same corresponding quarter last year, which is almost a 21.5% increase. And the net profit stands at around at INR73.95 crores against INR60.86 crores for the same period last year, which is again almost a 21.5% increase. The EBITDA is at INR137.6 crores, almost a 24.3% increase over last year same period and the profit before tax is INR87.3 crores.

At the least -- as far as the half yearly figure goes, the group has achieved a turnover out of INR1,511.49 crores for the full half as compared to INR1,262.5 crores for the corresponding half, which is almost 20% growth and the net profit stands at INR145.4 crores as against INR121 crores for the corresponding half of this year, which is almost again, 19.6% growth. And the EBITDA is at INR269.2 crores almost a 24% growth and profit before tax is INR174.49 crores. The domestic business also showed strong growth momentum and it achieved a gross turnover of INR200 crores in the first half, almost INR105 crores in the quarter 2, out of which the branded sales in the first half was INR135 crores and almost INR70 crores in quarter 2. So that's a brief of our performance for quarter 2 and H1.

I now invite you all for questions.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Jenish Karia from Antique Stock Broking. Please go ahead.

Jenish Karia: Sir, firstly, if you can just help us with the capacity utilization for the quarter and volume growth, that would be great.

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Praveen Jaipurkar: Also, without going into very details of volume, which is what -- that we not share. But if you back calculate, we always have maintained that the volume growth are generally in line with the operational profit growth, which is EBITDA growth. However, if I were to give you a little color on this, the volume growth -- the EBITDA growth is largely due to volume and some bit of better margin business that we did. So the volume growth this time has been closer to high single digit or closer to 10% or so. And the EBITDA growth, if you see, it is closer to 21%- 22%. So that's the -- that's the thing.

In terms of capacity utilization, it remains very similar to last quarter. We

are already set capacity

which was already there and we're almost utilizing 100%. The new capacity probably is that at lows of, let's say, the F&B capacity in India would be closer to 10% to 12% utilization. The extended capacity that we had put in Vietnam, the line 2, which made it to 30,000, that will be closer to around the new line. The earlier line is in full capacity, the new line could be at around 40% to 50% utilization. So that's on the utilization and the volume growth and the EBITDA growth.

Jenish Karia: Sure. And what is the target for the year, like 10% was the growth for this year in terms of volume, 16% was in the last quarter. So for full year, what is the kind of volume growth we are expecting?

Praveen Jaipurkar: So considering the market scenario, we have told you that last couple of quarters, around 3,4 quarters, considering that there is so much of volatility in green coffee prices, the contracts have been very, very short term. So we are maintaining that guidance of 10% to 20%. We don't want to change that at this point of time. And that's how the trajectory looks like for the balance of

the year.

Jenish Karia: Sure. Sir, next is on the capex. So Vietnam FDC line. When do we expect it to commercialize? And any future capex plans for India or on the SDC side in FY '26, so?

Praveen Jaipuriar: So no capex plan. We are already good on capacity for the next 3, 4 years. It's only after that, we will figure out whether we need more capacity expansion. So no new capex. The Vietnam FD, we are right now in the trial phases. As you know, whenever we put up a line, a lot of trials, certification, blend matching, all that work happens. So hopefully, we're looking to kind of do all of that, complete all of that by this quarter. And subsequently, we can look forward to commercialize and start selling from that unit.

Jenish Karia: And sir, just 1 book keeping question. Sir, the India line had commercialized in FY '24 fourth quarter, right?

Praveen Jaipuriar: Right.

Jenish Karia: And it was around INR400 crores of capex.

Praveen Jaipuriar: Right.

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Jenish Karia: So why is the capital work in progress as on second half at around INR730 crores, the Vietnam capex -- pending capex is only \$50 million. Then why is the capital work in progress so high as on second half?

Lakshmi Narayana: No. It is a total meeting around INR400 to 300 -- sorry, INR400 crores is in India and almost around INR375 crores in Vietnam, which is total around INR775 crores. So against which some of the equipment -- flag end equipment, which are not efficient to us. And also some of the admin block and all, all those expenditure is still going on, which are not really relevant to the operations -- production operations, is still going up. That is the reason why you could see that around INR750 crores is the CWIP that we are seeing it.

Jenish Karia: So INR400 crores pertains to India but India, we have already commercialized. So have got capitalized by now. If you could just reiterate, I didn't get why is that the INR400 crores still in CWIP if the plant has commercialized?

Lakshmi Narayana: No. Because if you see that when it is in trial operations, we can't capitalize. Once we have done with that, trial operations are done and when we move on to the full about to declare the commercial operation date, that is the time that we go for capitalization.

Jenish Karia: Okay. So by end of FY '25, can we expect -- sorry, by end of FY '26, can we expect INR2,600 crores of gross block? Is that understanding correct?

Praveen Jaipuriar: Yes. Yes, you are right. It will be there, INR800 crores gross box is going to be increased at consol level.

Jenish Karia: Sure, perfect. I just push in 1 last question. If you can just share your outlook on coffee prices. How is it moving? How do we expect it to go in the next 6 months? And that would be the last question.

estion from my end.

Praveen Jaipuriar: So, coffee prices, again, as we have been telling for the last couple of quarters, it's become very difficult to predict. Because most of the predictions per se have been not holding true. But our sense is that you would have seen last couple of months, there has been some softening across and the Vietnam crop is slated to arrive in December. So only after that arrives, we'll get a little sense that what are the table levels that it'll settle at.

So, we'll be able to give a better picture but looks like that it may not increase much from here. Probably it'll either stay at this level or soften up a little bit and stay there for some time till we start getting both good crops from Brazil and Vietnam, where it could then again soften up. But right now, it looks like it will hold up at these levels for some time.

Jenish Karia: Sure, that's helpful. Do you expect when it softens, it goes back to \$2,000, \$2,500 levels or by softening in \$3,000, \$3,500 levels?

Praveen Jaipuriar: No, sir, right now, none of them. So right now, when I'm -- been talking about softening, we're saying that from \$4,500 or \$4,400, maybe at around \$4,000 levels. It could go to \$3,800 levels, it could soften up. But \$2,000 levels, I don't see it settling at that price any time in near future or

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mid future. It's only maybe in long term, if there is some oversupplies and all, that. it may come down, unlikely, unlikely that it goes down to that level.

Moderator: The next question is from the line of Akul Broachwala from Avendus Investment Managers. Please go ahead.

Akul Broachwala: So just wanted your thoughts around the volume growth that you are kind of witnessing. First

of all, like, is it driven by spot orders? Or are you actually seeing some sort of buildup in the order book over and about 3, 4 months? Is that the case that's happening?

Praveen Jaipuria: Yes. So in fact, even most of our -- if you were to see our profile generally from the past, most of our things are long-term contracts or a lot of our this thing was the execution in these quarters, last couple of quarters have been result of the earlier long-term contracts that we have been getting. Yes, there is a mix of spot orders but a lot of transactional or, let's say, opportunistic sales is something that we have purposefully not been concentrating much on considering the fact that there is a strong amount of competitiveness that is getting built around -- there are a lot of resilient players who are offering coffee because the Brazilian crop was good. They have had the advantage when it comes to the opportunistic buys in the bought on the pyramid sale. So that's something that we are purposefully not concentrated and not got into that price war or so. And that's the reason the volume growths are a little lesser than what it used to be around 4, 5 quarters ago. But at the same time, because we are concentrating on better margin business and more brand owners and more small packs, our margin pipes seem to have improved and that is the reason why we've got such good EBITDA results. So that's the situation right now. After December, when the prices settled down a bit, there are a little bit of forward indication that how the prices settle down. And then that's the time we probably will be getting a lot of long-term contracts. That is our expectation as of now.

We'll be able to give you more firm confirmations maybe in the next quarter that how the prices pan out and how did we pan out in terms of our ability to get more long-term contracts. But yes, as of now, the market does remain volatile. There are ups and downs, which is making people also wait and watch. But come to think of it, we have been able to kind of be pretty good on both top line and bottom line, considering that in most of the calls, you would have heard us saying that a large chunk

of our business is with our established clients, long-term partners, although they may be giving us short-term contracts but these are people who have been with us for a long time. So that story continues and that narrative continues.

Akul Broachwala: Understood. And like for the new capacity that we have, what sort of plan are we kind of targeting? Like are we approaching new geographies, new set of customers? Or basically, are we just trying to again look back into our existing set of customers and probably gain further wallet share? So some understanding around the new capacity that we have, how we are planning to tie those capacities over the next 2, 3 years?

Praveen Jaipuria: Yes. So we are actually doing both of it. One is with our existing customers, we are looking at entering into more long-term contracts, how can we make sure -- because last time also, people have also learned a lesson because the coffee prices have been rising. They haven't come down.

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A lot of people lost out because they didn't go for long-term contracts. So this time, we are telling them that the situation probably once they see a little stability, they should go for long-term contracts. So we are also helping them get that confidence. So hopefully, we'll be getting a lot more long-term and large volume contracts in the near future.

Having said so, we are also very aggressively looking at new markets. We had already indicated that we are targeting new geographies like China and all that. Our efforts are continuing in that direction. And we already started seeing green shoots emerging, some volumes have started coming in and we are hopeful to build those volumes going forward. So the capacity utilization will be a combination of both the factors, driving the existing customers and building new customers and geographies as well.

Akul Broachwala: Got it. And just final bit on my side. So as you were mentioning that there has been some competition from Brazil as well. So given that robusta coffee prices have been at this level for a while now, do you expect that there is some sort of down trading happening with Arabica as well because of such kind of pricing scenario that's there?

Praveen Jaipuria: There could be, there are because what happens is that -- so let's not use this word down trading because generally, Arabica was up trading all the time. As such considering that the prices of both of them have kind of shot up. And generally, for a short period of time, you could see a little bit of an up and down in relation to each other. But what happens is that over a period of time, both of them or the table increases for both of them because there is a certain amount of replaceability that does come in. So while there could be a lag, the table for both of them moves in a similar direction. So there may not be a down trading.

But yes, the thing is that sometimes geographically, when you see, 2 years ago when Vietnam was very competitive against Brazil there were shifts towards that kind of a crop. And vice versa could have happened and has happened to an extent when now Brazilian crop is much more competitive. So these cyclical things do keep on happening.

We are, as a business, geared up for all of that considering and we have all -- we have told you

this before as well. We also have the ability to buy from any geography that we can, just that there is a little bit of a lag in logistics that could be there. But considering our freedom to buy from wherever we are, we are pretty confident to keep driving good results in the future also.

Moderator: The next question is from the line of Rakesh from Nine Rivers Capital. Please go ahead.

Rakesh: Sir, first question with respect to the growth total in EBITDA. So this quarter, growth in EBITDA is 24% over the last quarter same time. And you alluded the volume growth was around 10% to 11% in thi

s quarter. So the remaining growth has come due to operating leverage?

Praveen Jaipuria: So as I told earlier as an answer to one of the earlier questions, we have concentrated more on more profitable clients, the clients who are brand owners, clients who are more looking for better coffee blends and things like that. So it is more of a shift towards more of these better coffee or let's say, high-margin coffee rather than anything else. Considering that some of the other geographies have become more competitive, we purposefully we're not too keen to take the low-margin contracts because over

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a long period of time, it erodes margin for us, if you were to downgrade the prices.

So that's something we always have maintained that 20%, 25% of our volumes at all the times, opportunistic volumes where traders and these coffee buyers are buying who're looking for the low-margin, low-value coffee. So that is the reason why you see or why you have seen a good margin improvement or margin profile improvement this quarter.

Rakesh: Sir, with respect to the debt, you have a gross debt of INR1,974 crores. Can you bifurcate the debt for the working capital and the capex?

Lakshmi Narayana: So around INR1,300 crores will be the working capital and the balance will be capex.

Rakesh: Okay. And the last question from my side. With respect to the global coffee prices, there are a couple of publications have come up with the articles or the thesis on the coffee prices. They are alluding that coffee prices are not going to come down for at least next 1, 2 years because of the global -- because of the environmental changes happening, the crop production has come down in Brazil as well as in Vietnam that has led by the -- Vietnam also as few farmers shifted from coffee to other fruits, which are more profitable. So your thoughts on that, do you believe -- I know you alluded in your previous answer that the coffee prices are not going to go up. Do you think the coffee prices are going to come down in the next 1 year or it will remain here?

Praveen Jaipuria: So considering the interest around this commodity basically from various quarters, there are lots of news that keeps coming. So I don't particularly -- I mean, just 3 years ago, probably Brazil did experience a little bit of a contraction in their output. But last year, we have seen very good output coming from Brazil, even the next year, indications are good because the flowering has been good. There has been indications that probably Vietnam crop could be affected. But really, it's difficult to gauge the on-ground situation because multiple kinds of news that comes in.

It's only when the crop comes in, the flow of the crop comes in the market, one is able to gauge the situation. But considering that, what has happened is that everything boils down to the end consumption, yes. So most of the times, if you see most of the commodity play, when the prices go up very high, the consumption tends to get detected and therefore, it leads to a cyclical drop as well, as we have seen it in other commodities like edible oils or pulses, when you see very high prices, there is a consumption impact.

And then what happens is that in the next cycle, it also comes down. But interestingly, it's good news and bad news because the coffee consumption at the end consumer, we haven't seen much of an impact globally. So globally, this -- we all know that this category is pretty sticky. So what it means is that there has been no consumption drop. And everything, therefore, boils down to mostly supply. And if the supply is effective then we see these changes.

So yes, for the next 1 year or so, I don't personally see much of a reduction. I see that the coffee prices could hold at the levels that they are at maybe a couple of hundred dollars here or there. But yes, the key thing for us is that, as long as there i

s stability, we feel more comfortable because then the customers are also a little more less anxious and they are ready to give more long-term contracts. So that's my view as of now.

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Rakesh: One last question if I may. Sir, what -- with respect of the B2C business that is Continental Coffee, we have seen company has done lots of branding promotion in the Hyderabad market,

sponsoring a few malls or opening new stores in the Hyderabad market. So just wanted to understand what is the kind of advertising we are doing for the business. And how the profitability is going on in this business? EBITDA and PAT, if you can talk about like how is the profitability shaping up in this business?

Praveen Jaipuriar: Yes. So first and foremost, yes, you are seeing a lot of visibility for the brand. And just not for the Hyderabad market. We're also doing a lot in other markets as well and we are now, as the season approaches, we'll do a lot of that in non-South market as well. So we are continuing to drive the brand because the brand is in a growth momentum.

You have seen the results of all other companies. Most of them have seen muted results. But amidst that, our growth momentum continues to be very good. We're almost value-wise, close to 50% growth has happened in the first half itself, which is a very good momentum that we are in. And therefore, we want to keep investing that into the brand so that the brand can achieve a sizable chunk of the branded business category of coffee in India.

So that's been our plan. While the profitability continues to improve, we probably last year ended with around 5%-6% EBITDA margin, which will improve this year. But the guiding principle has been that we will keep investing back into the brand as much as possible. Right now, we don't want to make it considering the momentum that it is into.

Moderator: The next question is from the line of Yash from Stallion Asset. Please go ahead.

Yash: So I'm just a bit new to your company. So I wanted to understand that is there a large margin differential between short-term contracts and long-term contracts?

Praveen Jaipuriar: I don't think so that's the way to define it because the better way to define is that -- there could be margin difference in the type of coffee and the value additions that we do. So for example, bulk-based, spray-dried coffee could be lowest in the ladder. But let's say, if I were to back this coffee in a small pack, then I could be running 20%, 30% more margin on to it. Suppose this spray dried becomes aggro then I may add another 4%, 5% I can get margin. Similarly, if it is freeze dried, we all know is freeze dried anywhere earns anything between 32% to 50% margin higher than the spray dried.

So it's -- a lot of factors determine this thing. There are times when even in the short-term contracts, we end up earning good margins because people are in desperate need of coffee. But the other way round is also true because short-term contracts are a lot of times are opportunistic contracts. People are looking for quick buys and opportunistic buys and whoever gives them very good rates, they'll probably end up buying from them. So it's a combination of -- I don't think so a generic rule could apply here. But a more generic rule, as I told you, is the type of coffee and the value additions that we are able to get or give determines the margin profile of ours.

Yash: Right. Correct. So I mean one of the things that I -- just from a market perspective is that a lot of the consumer-facing, consumer-oriented businesses normally they trade at a very high

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valuation multiples. And one of the issues with our business is that the ROCEs has been, average about 15-odd percent for the past few years, right? And if margin is not the lever to improve ROCE, the only lever you will have i

n your asset turns. So is then just from a management

perspective, are there any sort of levers that you have to improve the ROCEs going ahead?

Praveen Jaipuriar: Yes. So if you were to track our ROCEs for a longish period of time, you'll see patterns emerging.

Whenever we end up doing capacity expansion, which -- wherein we deploy a good amount of capexs, you will see that during those cycles, the RCs ROCEs come down and they probably peak when we are closer to higher capacity utilization. So that's the cycle and considering that we are a B2B company, the nature of our business is to supply coffee to the end clients.

It will always mean that we probably will be a little more capex heavy during cycles. So that is the trend that is going to continue. But having said so, that's our business model. And we are -- that's how we have built our business. But the good thing about the business, the B2B business is that unlike some of the other B2B businesses, this is pretty sticky in nature.

It's quite close, although valuation-wise and in terms of perception, we probably get clubbed with B2B companies and their kind of multiples and all. But if you see our -- client profile, the way we have built -- also we are a B2B company, we have been instrumental in building blends and brands for the clients. And therefore, what it means is that it's just not supplying coffee but we are long-term partners to them.

We have people who have been sticking with us for the last 30 years or so. So there is a relatively high sense of stickiness that is there in spite of us into B2B. Having said so, we also do realize that when you have your own brands, they give you larger or the higher terminal value for your business, which means that you get much better multiples. And keeping all of that in mind, we also have started building our own B2C vertical.

Right now, it looks small when you compare it with our B2B business. But come to think of it in good 5-6 years' time, we have -- last year, we ended the branded business at INR200 crores. And this year, we probably will be closing at around INR300 crores which is a very significant buildup for our B2C segment because even most of the fancy -- we don't talk about this too much but most of the fancy B2C companies who kind of talk a lot about themselves also are not able to scale in the kind of way we have done it.

So -- and going forward, we are looking to build this up further. We are investing back. We are now very confident that we will be able to build the B2C vertical aggressively. And progressively, going forward, we'll see that we'll build a block, which will be much higher terminal value and the brand multiples that you can get on a brand. So that's our thought from our end. It's not that we want to replace one set of things with others. But the fact is that, yes, we have very strong B2B verticals. We have built a very strong business, very sticky clientele. And at the same time, we are building a lot on the retail part of the B2C side and this will help us realize much better potential going forward.

Moderator: The next question is from the line of Kunal Ochiramani from Kitara Capital.

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Kunal Ochiramani: So there were -- in early September, 2 back, there was a typhoon in Vietnam and some drought-like situation in Brazil. So I just had a question on supply side as there are so many global challenges, how does this help CCL and to what extent? And how prolonged this benefit was obtained by CCL?

Praveen Jaipuriar: So there will be global challenges. They're not going to go away and the climatic changes are here to stay. We all know and it is just not coffee. We have seen that there has been cyclical disruptions in most of the commodities. Coffee is not this thing, is not insulated from these. So there are news, there will be news that there will be droughts, there will be cyclones, there'll

I be

frost, there'll be El Nino effect, all that is there. And that's the reason we have seen such spiralling high prices in coffee and the volatile prices that have crept in.

So that's something that is here to stay. As far as CCL is concerned, we do -- our business model is such that we do cost-plus pricing, which really doesn't affect our margins or our business. As long as the consumption is good and I told in to -- as an answer to one of the questions, that the good news is that we haven't seen much of an impact in consumption. So the consumption remains intact, people are still drinking coffee.

And that means that there will be demand of coffee. Yes, these fluctuations create a little bit of an anxiety in the market, a little bit of tentativeness in the market from the buyers because nobody wants to lose after buying at high prices. So therefore, what we have said is that in times of these, what happens is that there is a little bit of tentativeness that builds on our side also because the customers are not willing to commit for long term.

But come to think of it, we have seen these cycles many number of times. We have seen recession, we have seen war, COVID. And if you see our performance, they have all been during these trying times also, it's -- we have been able to manage all of this very well. The day we see some impact in consumption pattern, that's the time when we will be a little worried. But as of now, we're not too worried on that front in terms of fluctuating prices.

Kunal Ochiramani: My question was, do we benefit? So I guess...

Praveen Jaipuriar: We don't benefit. We don't benefit. Because we do cost-plus pricing, so we don't benefit of any -- because we don't do speculative buying, so we don't benefit. The day we take an order, we buy the coffee. So whether it is at a high price or a low price, we really don't benefit out of this.

Kunal Ochiramani: So does it benefit in terms of volume, if not the price?

Praveen Jaipuriar: Volume is a result of a little more stability in the coffee prices. So volumes will come, as long as there is stability in the market, the volumes will come. Yes, we sometimes benefit because we are situated in India and in Vietnam. Let's say, if the Indian -- Vietnamese coffee price or the Indonesian coffee prices are much more competitive than say, Brazilian coffee, then what would happen is that we would end up benefiting. Last 2 years ago, when the cost situation had come in Brazil and the Brazil coffee prices are higher, then we did benefit at that point of time.

And that's the reason at that point of time, we were pretty close to 20% volume growth and we continued that for many, many quarters. So yes, in that sense, we benefit. But largely at an

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overall level, at a long-term perspective, we really don't benefit or not benefit because of these fluctuating prices.

Moderator: The next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead.

Lokesh Manik: My first question was on the interest expense. By when do we expect this to taper off? It's been on an increasing trend for a while now. So any strategy on that front, either in terms of new product introduction to pass on the cost to the customer? Just some light on that.

Praveen Jaipuriar: No. As you know that, that sort of interest is related to the projects that is already in capital work in progress and it is going to be get capitalized number, number one. Number two is that when the new two facilities are going to be onboarded maybe in the fourth quarter, that's where actually the interest element is also going to be reduced further because the volume of the business is going to be increased further. And we will not see the impact of the interest element when the higher is the volume of the operations.

Lokesh Manik: Understood. My second question was on the blend. As per my last understanding, it was at

around 250, we had a portfolio of 250 blends. So has that increased over the years, in the last few years?

Praveen Jaipuriar: So whenever we -- so actually not 250. If you were to look at our library, we are probably close to 1,000 blends, yes. But this is all because every time a new customer would come to us we would end up developing a new blend for him because everybody wants a new blend or a new type of coffee to be launched, nobody wants to do a 100% me too product. So that's the reason. And sometimes we also have to -- we keep doing our R&D depending on where the coffee prices are more competitive or which is more advantageous to us.

We also end up doing a lot of R&D to make sure that the same output could be delivered with different types of coffee as input, yes. So that makes -- and therefore, we end up in a situation where we're probably having so many blends. So every time a new customer comes, it's an ongoing process. We keep doing this all the time for both the reasons. So it's an ongoing process and we keep developing new blends all the time.

Lokesh Manik: Okay. Last, it's not a question, just an update, if you can throw some light on the smaller pilot projects like the F&B side or the 2-in-1 in Europe or the cold brew in the U.S. So -- or any other projects that I'm missing out on, where are we, at what stage are we and how are we scaling? These 3, 4 areas, if you can throw some light on, it will be great.

Praveen Jaipuriar: Okay. So let me start with the U.K. acquisitions, Percol, it's been -- we just completed most of our transition 3, 4 months ago, wherein we took over from the previous company, Lofbergs. So acquisitions do take a lot of time and energy in terms of various kinds of transition, whether it is compliance or statutory or ownership and therefore, thereafter listing in the various modern retail and all that. So all that we have completed. And the good news is that we have started slowly relisting in many of the chains in U.K. where we had lost out in the last few years. So that's a process that is going on. We are now looking to drive more and more sales there.

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We have started doing some ATL activities there. Last month, we did some outdoor visibility for Percol in U.K. So the brand building also has started there. So that looks well on track on what we had planned to do with Percol. And once we stabilize in U.K. and we believe that the growth momentum is back, we will see how we can expand it to other geographies in and around U.K. as well. So that's a little update on Percol. As far as cold brew and that is concerned, we continue to do good business there. The volumes are increasing there. So that is there. We're also developing other blends for other people A lot of work keeps happening. So these are some of the other smaller initiatives that we had -- or we have taken and that's a little update on that side.

Lokesh Manik: So F&B, F&B, if you can just throw some light on F&B, whether it is domestic or exports?

Praveen Jaipuriar: No, you're talking about F&B as in the plant?

Lokesh Manik: Plant-based product.

Praveen Jaipuriar: Yes. So that's -- see, we only have launched it in Indian market. Again, that category, if you see in very nascent stages, most of the guys have been trying to figure out what is the right mix that will help elevate that category because this is a very new concept, especially in a country like India. So we continue to do a little business there. We are also targeting a lot of HoReCa segment because you know that food first establishes itself a lot outside of our homes before you have seen how Chinese food or even some -- for that matter in developing economies, even coffee, the trend is that first, it happens outside home and then it comes inside home.

So we are targeting a lot of hotels where we have done a lot of

deals. But even if those hotels, it

remains to be a niche segment. We are also expanding our portfolio that how can we infuse protein in day-to-day snacks. So that's something that we are working on. Hopefully, we'll be out with a lot of new variants going forward. So that's the update on F&B. Once we have got

some volumes going for us, then we will see if we want to enter into some of the other markets abroad. But right now, our focus will India only.

Moderator: The next question is from the line of Akhil Parekh from B&K Securities. Please go ahead.

Akhil Parekh: Congratulations on a very strong set of numbers. My question on the domestic business, on the branded business, have we taken price cuts in the last couple of weeks? Because if I recollect sometime around September, we had hiked the prices by 20-odd percent. But now at least on Amazon, I see the product prices have been slashed or back to previous levels.

Praveen Jaipuria: So sorry, I didn't get the second half. The first half I'll try and answer, Akhil, is that, no, we haven't taken any price cuts. In fact, there has been more price increases than price cuts. Yes, there are certain SKUs where price increases are a little difficult, like the price point SKUs of INR5, INR10, INR2. So that's something that we cannot take price increases on. And I didn't get the second part of your question.

Akhil Parekh: Yes. So this is regarding the 200-gram packs, which we get on Amazon. There the prices had increased from INR360 to some INR440. But now if I look at it, it has gone back from INR450 to INR360.

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Praveen Jaipuria: No. So what happens is that there are times when you run, especially during festive times and all that, there will be a very heightened level of promotions that need to be run on these channels. And you know how competitive these channels are sometimes a lot of -- during especially festive times, Diwali time and Dusshera time, these channels, Flipkart, Amazon, most of them drive a lot of festive sales through deep discounts. So we also end up doing it. But it's not price cuts. These are for a few days during festive times, you'll see certain price cuts that is happening. But there has been MRP increases all the time because of the coffee prices.

Akhil Parekh: And just a clarification of the domestic business sales that you highlighted in the opening remarks. If you can please reiterate how much we did in first half and how much we did in second quarter and same for the branded sales also.

Praveen Jaipuria: So like, for example, second quarter, we did around INR105 crores of business in domestic, out of which INR70 crores would be pure branded business, which means in the first half, we have closed around INR135 crores, INR140 crores of branded business and INR200 crores of the domestic sales. And for the year, we are looking to -- for the branded business close to INR300 crores. We'll see how this quarter and next quarter goes because the first half momentum was pretty good. We are almost like 50% growth over last year. So that's a good set of numbers that we got and we are continuing to build the brand from various angles in the domestic market.

Akhil Parekh: Sure. And how are we doing in terms of the retail touch points? If I recollect, we have reached around 1.5 lakh touch points, what is the target for, say, next 1 or 2 years?

Praveen Jaipuria: Retail point of view -- outlets. Okay. Yes, so we are right now, directly by this end of this year, we probably will be -- this is only general trade. We will be directly servicing around 130,000 or so number of outlets. You add another 5,000, 6,000 of modern trade. And then, of course, there are these other things like we target, like the tea shops and all that, which we take it as a separate segment. So that will be another 3,000, 4,000 touch points. And then, of course, there are other platfo

rms like the quick commerce and the modern, in fact, e-commerce and all that.

So yes, that's the number in terms of our distribution. We are looking forward to drive deeper distribution in South because now in the cities, we are doing pretty well.

Now we need to drive into other Tier 2 and Tier 3 towns. So that's the task and challenge that we have taken. And in the non-South, we are now continuing to drive a lot of our distribution in the main cities. But we are keeping it restricted because that's something that we will not be able to do a very widespread distribution, where the depth of distribution will matter for us because, again, those towns coffee consumption is also concentrated and a lot of consumption is now happening through quick commerce and e-commerce. So that's something that we'll keep focusing on.

Moderator: The next question is from the line of Akansha Gupta from Solidarity Investment Managers. Please go ahead.

Akansha Gupta: Yes. So in the last couple of con calls, we have always maintained that our EBITDA growth will be largely driven by the volume growth and there won't be much margin improvement on that front. So how do I look at the EBITDA growth of this quarter of 25%, 27% -- 25% odd because

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this contains some volume growth and some margin expansion as well. Yes. So is it because of

high-value contracts in this particular quarter and you expect it to normalize over the year? Or is it that we are seeing some growth in the EBITDA per kg as well structurally? So yes, could you just throw some color on that, that how should we look at the EBITDA per kg and the margin expansion over here?

Praveen Jaipuriar: So Akansha, what we do is, when we give guidance generally these are long-term guidances. There will be certain fluctuations in the quarters, in each quarter. So let me clarify 2, 3 things. One is first and foremost is that, yes, considering that the market has become very competitive, considering the various supply challenges that has crept in and that's what I explained in my few answers before. Because of that, we ended up doing more value contracts and better value contracts, more brand owners and all that.

So that has helped us. There is also an element of RoDTEP, which is approximately INR5 crores to INR6 crores of RoDTEP, which is a substitution of MEIS that we used to get. So if you see, if I combine all of them, volume growth, better value contracts, more brand owners seeking -- coming in and this RoDTEP. All of that put together has helped us improve our margin this quarter.

Akansha Gupta: And do you think over the year, it will normalize to the 110 EBITDA per kg level or would this be a good base going forward as well?

Praveen Jaipuriar: No. So Akansha, I told you like last time also and most of our con calls, we say that because it also depends on many things, it's just not 1 angle. The other thing that it depends on is the mix of our products. So considering that there could be more -- so suppose, let's say, I start doing a lot more volume going forward and I start getting into long-term contracts, which I spoke about and these are spray dried and all that, then what will happen is that my margins will slightly come down. So it may not be at the levels that it is today. And that's the reason we have always on a long-term guided that probably for 2 years, when we spoke last time, that for next 1.5, 2 years, we are looking at a similar margin profile.

I don't want to kind of pre-empt and say that it will be better, although we are trying all the time to better our margins every day because not only through better contracts, more high-value products, more small packs, premiumization of coffee, building some efficiencies in our operations. So all that work is always happening. But sometimes it's very difficult because the mixes could change. I could be doing more of spray dried

. That could at an overall level being down my EBITDA per kilo.

And that's the reason we have given this guidance that it will be a more or less stable for the next 1 to 2 years. And thereafter, probably when we are utilizing our current expanded capacity to almost 50%, 60% levels, that's the time when we start building more efficiencies and getting into more high value contract because these will stabilize and then I will get better margins.

Moderator: The next question is from the line of Aashish Uppanlawar from InvesQ PMS. Please go ahead.

Aashish Uppanlawar: So most of the questions have been -- answers have already been given. So sir, on the raw material scenario, what basically I understand is that the crop has not been good in Brazil,

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Vietnam this year also. And prices probably -- would you say that those have been -- have peaked now? I mean, or is there any other disruption that is there or maybe some other event that one needs to track around there?

Praveen Jaipuriar: So my sense is that it has peaked. It has softened a little bit in the last month or so. And it should stay at these levels is my personal sense, yes. We will keep getting these news that things are not good, there's climate issues and all that. But largely, I have a feeling that they should stay at this level. And I'm looking forward to certain stability after -- not the price reduction but at least stability creeping in after December.

Aashish Uppanlawar: Okay. And -- but that doesn't maybe solve the issues on the working capital that we have with the elevated coffee prices, maybe helps the P&L as such in terms of profit growth somewhere. So is there any other lever because I think in the initial part of the call, you said that some value addition has helped in terms of per kg realization of the EBITDA for us. Are there any other mitigation measures to elevate the profitability so that the ROCE is actually improved because working capital, it all depends on coffee prices, actually.

Praveen Jaipuriar: Yes. So we are actually working on a lot of fronts, just not higher-value contracts, as I told. But also other things like can I do more small packs, can I do more -- can I build more efficiencies in operations and things like that. But considering that the coffee prices are going to remain at this level, there is not much change that I'm going -- or I'm foreseeing in the near future as far as working capital is concerned.

But the good part is that and which is what we have always maintained that all our working capital is for contracted business. These are not for inventory building. So I only buy coffee that I have contracted a business or finalized the business. So that is why we're not overly worried.

Yes, the things will look much, much better if the coffee prices were to soften.

Aashish Uppanlawar: Okay. And what is the percentage of softening you would have seen in terms of price drop lately? Is it material or is it...

Praveen Jaipuria: We don't see much of a drop. See, actually, what happens if you see long-term cycles of supply chain of coffee, the 2 big segments, which is the South American and the Southeast Asian segment, both of them in years when they get good crops, then we see that there will be a softening of prices. But as long as one of them keep reporting climate vagaries and therefore, short supplies, the prices tend to be on a higher side. Having said so, coffee is also 1 crop unlike most of the other commodities where the harvest cycles are low, most of the agri commodities you will see 6 months to 9 months of agri cycle. Coffee has 3 to 4 years because once you sow a proper plant, it starts flowering after 3 to 4 years.

So it seems that -- and we have seen 2 years of price hikes. We have got certain reports that there has been acreage increase and all that in certain parts of Brazil and Vietnam. And therefore, what

happens is that post 3 years, again, you will start seeing some more supplies and therefore, things will start softening up. And that's the reason I really don't want to comment on any short-term or midterm prices. I don't see it softening very, very much. Yes, a couple of hundred dollars here or there could be the variation. In the long term, yes, because of these changes, we would expect
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that there will be a certain amount of softening. But again, nothing to comment and can't be definitive about it.

Moderator: The next question is from the line of Deepak from Sundaram Mutual Fund. Please go ahead.

Deepak: Sir, my first question is regarding the capacity. So you earlier pointed out that the Indian capacity is going through some trial runs. I just wanted to understand the 16,000-ton capacity and the new freeze-dried capacity of Vietnam. In which quarter do we plan to kind of commercialize it? And once we commercialize it, how much time does it take for us to achieve peak utilization level?

Praveen Jaipuria: So Vietnam freeze dried will be next quarter only because trials take a lot of time. There are certifications, trials, matching of blend, all that thing happens. So the business starts coming in subsequent quarter only. And generally, our capacity utilization plan is that at least for the freeze dried because we have good orders and all that, first year could be anywhere around, generally, first year, our thumb rule is 30% -- 30% to 35% but we could be looking at 40% or 45% in the first year of the freeze-dried capacity.

Coming back to India, the India plant should start operations maybe a month from now because all that trial and most of it is now over the certifications are also on their way. And as soon as they come this quarter onwards, we'll start seeing, by the end of this quarter, utilization starts happening. And again, the thumb rule will be 30%, 60%, 80%. So that's the thumb rule for 3 years that we've build around. Generally, you will get a peak capacity of 85% to 90% against the rated capacity because of the blend and the changes and the CIPs that you do.

Deepak: And sir, the utilization level you're talking about, it will be similar for both freeze dried as well as spray dried, right, that 85% to 90%?

Praveen Jaipuria: At maximum yes, maximum is what happens.

Deepak: Okay. And sir, second question would be more related to bookkeeping. So when I was looking at your other expenses, in Q4, it was around INR150 crores. Now this quarter, it is sequentially declining. Right now it is at INR116 crores. And the primary, it was driven by your stand-alone business, right, the Indian business. So I just want to understand, I mean do we expect this number to go down? Or was Q4 an aberration and now it is more at a normalized level?

Praveen Jaipuria: So okay, some of it is the other expenses, if you see, a little bit of it is because of forex differences, the currency fluctuation. So there are some gains here. So probably, you will see something in between what you have seen earlier and what we are at now. Not very dramatic changes, it won't be like the extreme of that and the low of this.

Deepak: Okay. So we would see an Y-o-Y growth but not at extreme of what we saw in Q4.

Praveen Jaipuria: Correct. Right.

Moderator: The next question is from the line of Richa from Equitymaster. Please go ahead.

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Richa: Sir, I think in the earlier call, you had mentioned that earlier the tie-up that used to happen for 6 to 8 months has come 2 to 3 months because of high coffee prices. Let's say, if the Vietnam crop harvest is not good. So I mean, like you said, there is perhaps there will be some visibility on

the stability and not volatility. So do you have any sense from clients that they would be willing to increase the contract length or this tie-up

period duration? Or is it likely to stay in 2 to 3 months range even if the prices are where they are?

Praveen Jaipuria: So as I told earlier, I think after December, once the picture is clear, I'm hoping that a lot of clients will now revert back to long term because the general consensus that has built around the globe is that there won't be significant softening from here, unless until some other forces kick in and there is something new that we come across. But considering the current situation, there won't be huge softening.

So therefore, we are expecting that post December, January, we should start seeing a little longer term. I won't say that it will go back to 9 months, 1 year, 1.5 years but a little longer term than what we are seeing right now could come back. But we'll have to wait and watch and see how things pan out. If it remains to be as volatile as it is right now, then the situation could continue.

Richa: Okay. And sir, my second question is, like you said, there are 2 major regions, South America and Southeast Asia. So I know that you can source it from anywhere but at a practical level considering that you also cater to blends and there could be some shift in the blends based on where you are sourcing from, how difficult and cost is right, you can be, if these differences in both the regions grows up.

Praveen Jaipuria: So yes, it is a little more challenging because the guys sitting in Brazil have an access to the crops very quickly. We do have to import and therefore, it means that it'll add to the logistics time. But generally, if you see most of the times and that's the reason I was talking about blends. We have that expertise to make sure that we create an output from different things, different types of coffee. And we do maintain inventory because there is -- it's a rolling business for us. So there are inventory. So we can turn it around very quickly. But yes, I can't deny that it is a little more challenging to get the green beans from Brazil.

But it's not that we don't do it. We often do it and we currently are also doing, which means that, yes, technically, we are at a little disadvantage in terms of the logistics time but we are not at a fairly very strong disadvantage like the Brazilian guys would be if Vietnam were to soften because they don't allow import of coffee. But we are not saddled with those kind of problems.

Richa: Okay. And sir, what is the current cost of debt? And do you expect it to increase or moderate going forward?

Praveen Jaipuria: Since we now completed all the projects. And going forward, the free cash flows are going to get added to the operations and definitely, it is going to reduce further.

Richa: Okay. But in percentage terms, like I think you -- in the earlier call, you said it's likely to go up to 8% from perhaps 6%. So where is it currently?

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Praveen Jaipuria: No. Currently, it's also the same price. As we know that RBI did not change any rate profile in their monetary policy. So unless the rates are being softened from the RBI end, we don't see that any reduction in the rate of interests are concerned.

Moderator: Next question is from the line of Tushar Raghatate from Kamakhya Wealth Management. Please go ahead.

Tushar Raghatate: Regarding B2C business, you have started a pilot project in Hyderabad for a coffee chain. What are your thoughts on opening it Pan-India? And how do you see your B2C business in the next 5 years in terms of percentage contribution to the revenue?

Praveen Jaipuria: So okay. First, the cafes, we just opened a couple of them, two cafes and 1 kiosk kind of a thing, which is a grab-and-go kind of a thing in Hyderabad. So right now, we don't intend to expand very quickly. We want to see because we had already indicated that we want to understand which model is working for us.

And what is the kind of profile that we want to

build for the cafe. So we will keep building this.

And once we are convinced that, yes, this is a model that is going to work in the future, that's the time we'll think of expansion. So that's the update on that front. As far as B2C business, you are saying 5 years down the line, what is -- what will be the percentage of B2B business. I don't think so that is -- that's the right way to look at it because that's not what we are looking at.

The reason being is that we are driving the B2B business equally aggressively considering that our market shares are still single digit in the global market, in the B2B setup. We are very confident that we will be able to drive aggressively that business as well.

And here in the B2C segment also, we are driving very aggressively. So yes, it is being driven faster than the B2B business. But very difficult to comment at what percentage it will be out of that. What we are seeing on a stand-alone basis, I told you that this year, we probably -- the brand business would be close to INR300 crores, we probably will be looking to double it in

maybe 3 years' time or maybe 3.5 years' time or 4 years' time. So that's the plan that we have right now.

We are taking it step by step, never ever even when we started, while we gave a certain indication, we were not very -- we just don't want to commit to some numbers and then say that how do we do that. But we want to take it step by step and that's what has worked for us. So right now, the going is good and we can -- want to continue to drive the momentum.

Tushar Raghatate: I wanted to understand the operating leverage part. So to the capacity post recent expansion, what sort of revenue you can achieve considering -- I also understand the product mix is also in this equation. If you considered the average product mix over the years, which you have seen, so what would be the max revenue potential of the capacities post the recent expansion?

Praveen Jaipuriar: So last year, like we were around 37,000 tons and we took all these expansion, which would have meant that we would have gone to 75,000 to 77,000 metric tons. So you can see the volume is double. I don't want to comment on the price because price is depend -- the value or the top line is dependent on the coffee prices because we do cost-plus model. So what it means is that

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we were looking to double the capacity in 4, 5 years' time. So that is what we will -- the trajectory will stay up on and resultant what will be the top line will all depend on the coffee prices.

Tushar Raghatate: So sir, what would be the revenue potential, I'm asking?

Praveen Jaipuriar: No, so that's what I'm saying. The revenue potential is dependent on the coffee prices because our model is cost-plus model. So I told you we were at 37,000 tons last year when we started -- when the new capacities came in. And we had given a guidance that we probably will be looking at 15%, 20% volume growth, which means that in 4 years' time or maybe 4.5, 5 years' time, we probably will double the capacity, which means that we'll be closer to 70,000 metric tons in 4 years, counting last year.

So that is our potential and that is when we will see how do we want to -- do we want to take up further expansion and all that. Value, I can't comment because, let's say, tomorrow, the coffee prices that would drop to \$2,000 level the value could be very different than what it is at \$4,000 level.

Tushar Raghatate: Sir, my last question, sir, if you consider the value-added segment, the freeze dried and the flavored coffee in percentage terms in B2B, what would be the quantity?

Praveen Jaipuriar: So we don't do a flavored coffee in B2B segment, yes. Flavored coffee is a very small segment, not only across the globe but in India also. And if I were to take a freeze dried, it will be around 25% of our capacity.

Tushar Raghatate: And other valu

e-added coffees like the -- then leaving aside the freeze dried, there is also some value added, if I'm not mistaken?

Praveen Jaipuriar: Yes, yes. So it depends like, let's say, if I would take the super -- the top of the pyramid, which is the 5%, that will be the premium coffees and the value-added coffee, which gives us a higher margin profile and the premium profile to us. So that will be another 5% to 7% of our total business.

Tushar Raghatate: Okay. So more or less 30%, 40% is value-add if my understanding is correct.

Praveen Jaipuriar: Yes, if you add the freeze dried. Yes, if you consider freeze dried. But lot of times freeze dried is considered also as a base product in markets like Russia and all that and that becomes the base product. So yes, it really depends on which lens you're looking at from.

Moderator: The next question is from the line of Anirudh Gangahar from Avendus Wealth Management.

Please go ahead.

Anirudh Gangahar: Two questions from my side. Firstly, there was some insurance coverage money for the capacity that was lost earlier. Has that been received? If you can just help clarify that. And second question was the EU deforestation regulation. Any update on the implementation and preparedness that is required from our side for anything in terms of sales to the European nations.

Those are the two questions.

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Praveen Jaipuriar: Yes. Relating to the issue, as you know that they will take a good amount of time. And our request towards the business interruption loss has been put forth which we have placed with them, it is under process. Definitely, it will take some more time. And coming to deforestation issue, so EUDR, we all know that it has been postponed as of now for 1 year because it requires -- it's a -- while the intent is right, the whole implementation has its own challenges because of the certification and all that you have to get.

The first indication is that the commodities are part of it. When I say commodities, it means green coffee. The value addition that you do and then when you make it instant coffee, that probably the final product may not be part of it as of now. But having said so, we are working with our suppliers, the growers, the associations, to make sure that these are all complied because it's more of an industry challenge rather than a particular challenge for a corporate. So, we are working for that. And as and when it comes, we should be ready for that.

Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of our Q&A session. I would now like to hand the conference over to the management for closing comments.

Praveen Jaipuria: Thank you all for joining us and thank you, Nirmal Bang, for arranging this call. And once again, I wish you all happy festivities and best of luck. Thank you.

Moderator: Thank you. On behalf of Nirmal Bang Equities, that concludes this conference. Thanks for joining us and you may now disconnect your lines.

Call: Feb 2025

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Date: 10.02.2025

To

The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra – Kurla Complex,
Bandra East, Mumbai – 400051.

Scrip Code: CCL To
The Corporate Relations Department,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Scrip Code: 519600

Dear Sir/Madam,

Subject: Transcript of the Conference Call held to discuss the results of Q3 FY 2024-25
as required under Regulation 30 of SEBI (LODR) Regulations, 2015.

With reference to the above-mentioned subject, we wish to inform that,

i) The copy of the Transcript of the Conference call held on Thursday, 06th February, 2025 to discuss the results of the third quarter and nine months ended for the financial year 2024-25 is enclosed herewith.

ii) The Transcript is also uploaded on the Company's Website and the web-link for the same is:

<https://www.cclproducts.com/wp-content/uploads/2025/02/Q3-Earnings-Call-Transcript-2024-25.pdf>

iii) The List of Management attendees is stated in the transcript.

iv) No Unpublished Price Sensitive Information was shared/discussed in the call.

This is for your information and necessary records.

Yours sincerely,
For CCL Products (India) Limited

Sridevi Dasari
Company Secretary & Compliance Officer

CCL Products (India) Limited Q3FY25 Earnings
Conference Call"

February 06, 2025

MANAGEMENT : MR. CHALLA SRISHANT – MANAGING DIRECTOR , CCL
PRODUCTS (INDIA) LIMITED
MR. PRAVEEN JAIPURIAR – CHIEF EXECUTIVE OFFICER, CCL
PRODUCTS (INDIA) LIMITED
MR. B. MOHAN KRISHNA – EXECUTIVE DIRECTOR , CCL
PRODUCTS (INDIA) LIMITED
MR. V. LAKSHMI NARAYANA – CHIEF FINANCIAL OFFICER,
CCL PRODUCTS (INDIA) LIMITED
MS. SRIDEVI DASARI – COMPANY SECRETARY , CCL
PRODUCTS (INDIA) LIMITED
MODERATOR : M R. MANISH MAHAWAR – ANTIQUE STOCK BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Conference Call of CCL Products (India) hosted by Antique Stock Broking Limited.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manish Mahawar from Antique Stock Broking Limited.

Thank you, and over to you, sir.

Manish Mahawar: Thank you. On behalf of Antique Stock Broking, a warm welcome to all the participants on 3Q FY25 Earnings Call of CCL Products.

From the management, we have Mr. Challa Srishant – Managing Director; Mr. B. Mohan Krishna, Executive Director; Mr. Praveen Jaipuriar – CEO; Mr. V. Lakshmi Narayana – CFO; and Ms. Sridevi Dasari – Company Secretary on the call.

Without further ado, I would like to hand over the call to Mr. Jaipuriar for the Opening Remarks.

Post which, we will open the floor for Q&A. Thank you, and over to you, Mr. Jaipuriar.

Praveen Jaipuriar: Yes, thank you, Manish. I welcome you all to the Earnings Call for the October-December Quarter.

The supply chain headwinds continue to pose challenge on the business front. You all know green coffee prices have remained volatile and have been rising. Despite the challenging environment, CCL Group has been able to perform well, achieving a turnover of Rs. 758.4 crores for the third quarter as compared to Rs. 664.48 crores for the corresponding quarter of the previous year, thereby registering a 14.13% growth.

The EBITDA stands at Rs. 127.22 crores, registering a 13.53% increase with respect to the corresponding quarter and the profit before tax is Rs. 71.87 crores, registering a 7.77% growth with respect to the corresponding quarter.

The net profit after tax remains flat at Rs. 63 crores, as against 63.2 crores for the corresponding quarter of the previous year, largely owing to our SEZ operations, 50% of the profit of which has now come under tax bracket and higher deferred tax.

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As far as the YTD figures are concerned, the Group has achieved a turnover of Rs. 2,269.9 crores as compared to Rs. 1926.98 crores for the corresponding nine months period for the previous year, registering a growth of 17.8%.

The EBITDA is at Rs. 396.46 crores, registering a 20.37% increase with respect to the corresponding nine-month period. And profit before tax is 246.37 crores, registering a 19.7% increase with respect to the corresponding nine-month period. And the net profit after tax stands at Rs. 208.47 crores as against Rs. 184.85 crores for the corresponding nine months period for the previous year, thereby registering a 12.77% growth over last year.

The domestic business performance continues to be robust and has achieved a gross turnover of Rs. 330 crores till now YTD and out of which the brand contribution is nearly 220 crores. For the quarter, the domestic business did a business of 130 crores, out of which brand was approximately 90 crores.

So, this was in brief, the performance review. I now open the floor for questions.

Moderator: Thank you, sir. We will now begin with the question-and-answer session. Anyone who wishes to ask a question may press "*" and "1" on their touchstone telephone. If you wish to remove yourself from the question queue, you may press "*" and "2". Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question comes from the line of Charisha from Venture Growth Partner LLP. Please go ahead.

Charisha: Yes, hello. I wanted to

ask one thing, like because we see that coffee growth is in single digits for the future, so where do we see, as a company 5-6 years down the line for both B2C and B2B segment?

Praveen Jaipuria: Can you just repeat? There is a lot of background noise that is coming. You are not really very clear.

Charisha: Okay. I was telling like because the coffee growth is in single digits in India and across the globe, so how do we see as a company in 5 to 6 years down the line, where do we stand for both B2B and B2C segment?

Praveen Jaipuria: Okay. So, let me just tell you while the coffee growth has been low single digit, but if you see our strategy, it has been both for B2B and B2C, our market shares are really low single digits.

Yes, for B2B we probably globally are at 7-8% market share and in domestic market, the B2C is 3 to 4% market share all-India, which means that we have very good ample room for growth

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by taking market share. So, we as of now, are really not bothered about the segment growing or not.

Having said so, the next 4-5 years we will be aggressively driving market share growth, which will mean that we will attain a much larger growth than what the category is growing at. So, that's for the next four, five years. And, you know, even beyond that, we have a belief that economies like, you know, China and India, which have been largely tea drinking economies are now converting to coffee. And we know that these are the two economies, not just for coffee, but for many other segments will be driving growth for the next couple of decades. So, we are seeing that even the coffee growth will be driven by these two economies. And that's the time we will probably ride the, you know, category growth once we have attained sizable market shares in both the segments.

Charisha: Got it, sir. I also wanted to ask, like, because in B2B segment, we have a cost-plus pricing model, so we do not have so much pressure with the volatility of coffee prices. But in B2C segment, can we have fairly good margin, I mean, more than what we have usually? Because now the coffee price is growing.

Praveen Jaipuria: Yes, absolutely. Yes. So, absolutely, that's the whole idea in the long run that the B2C should help us earn more margins. Of course, these coffee prices, if you see, if you track for last two, three decades, there are cycles when the coffee prices go up, but definitely they also come down.

In B2C also, there is a, you know, we do take price increases, although with a lag effect, not like B2B where you can do immediately. But we do have an option of taking price increases there as well. But having said so, we are confident that over a long period of time, definitely the B2C segment, the branded segment will help us gain more margins than the B2B setup.

Charisha: Got it. And by which financial year...

Moderator: I am sorry to interrupt you, Charisha.

Charisha: Sure.

Moderator: I would request you to rejoin the queue if you have any further questions.

Charisha: Sure.

Moderator: So, we can get more participants, and thank you. A reminder to participants, please restrict yourselves to two questions, and if you have any further questions, you may rejoin the queue.

The next question comes from the line of Abneesh Roy from Nuvama. Please go ahead.

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Abneesh Roy: Yes, thanks for the opportunity. My first question is on the B2C comment which you made. So, wanted to understand how much price hike has happened and how much more is needed? We do understand you are a marginal player there. So, ultimately, the top two national players have to take hike, but if you could comment on how much inflation is still left yet to be covered?

Praveen Jaipuriar: So, yes, Abneesh, you are right, we probably are not the leaders. And therefore, you know, as a pricing policy,

we tend to follow the increases that the leaders are taking. And that too, you know, you know the category because the large part of the category also comes from LUPs, which means that, you know, the price increase is a little difficult there, especially in the sachet segment and all.

Having said so, in the larger packs, we already have taken almost 30 to 40% price increases in the last 1, 1.5 years, and I think another 10 to 15% lag is still left, but we will wait and watch for the leaders that how do they take this forward and accordingly we will formulate our price increases as strategy.

Abneesh Roy: Thanks. two follow-ups there. One is, till when the new crop we will have to wait and so then we can expect deflation? Second is, for you, how much is sachet? And have you taken any grammage cut there? I do understand grammage cut is very difficult because overall experience for the customer gets impacted, but if you could tell us any grammage cut you have taken and how much is the percentage of the total mix in the LUPs?

Praveen Jaipuriar: Okay. So, let me take the first question first which is like when is the crop expected? So, at least in India, the crop is started pouring in, but this year we don't see that the prices will drop because Indian coffee prices will also follow global trends. Globally, even after Vietnam crop has started to pour in and has started to come, we haven't seen any price reduction this time. So, probably we will have to wait for, you know, other crops to come in, which is Brazilian crop in May-June. That's the time we will see how the trend goes, but as of now the prices are not, you know, softening. Now that's the answer to the first question.

The second question is as far as LUPs are concerned, almost today our 30 to 35% of our sales come from LUPs which is still reasonable considering that, you know, some of the leaders, their sales are almost 50 to 60% of their sales are LUPs. There have been grammages cut over a period of time, not very much because, you know, there is a certain cup of coffee that you have to deliver with one LUP. So, we don't have a lot of leeway to cut grammages, but yes, there has been 10 to 15% grammage cut that has happened in LUPs in the last 1, 1.5 years.

Abneesh Roy: Understood. That's all from my side. Thank you.

Praveen Jaipuriar: Thank you.

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Moderator: The next question comes from the line of Parth Agrawal from Bastion Research. Please go ahead.

Parth Agrawal: Hi. Thank you for the opportunity. Can you help me with the volume growth for the quarter on a Y-o-Y basis?

Praveen Jaipuriar: So, volume growth, if you see this quarter has been marginal around 3 to 4% or so, and the YTD if you see the first quarter, we were around 13-14%, the second quarter was around 9-10%. So, we are on a YTD basis close to close to 10% of volume growth. Yes.

Parth Agrawal: Got it. And secondly, sir, if I look at your margin sequential basis compared to Q2 FY '25, gross margins have been pretty stable or rather have increased, but when it comes to EBITDA margin, they have slightly declined. So, any reason for that? Is it because you have ramped up the new facility or there is some other reason?

Praveen Jaipuriar: So, if you see the standalone figures, there has been a little bit of a decline from Quarter 2, but probably would increase from last year. Now that this decline from Quarter 2 is largely because, you know, is because of some of the variations that have happened. We also have started the new factory where in some products were made for inter-company transfers and all that. So, that led to a little bit of strain there, but these are not substantial in nature.

As far as, you know, the margins are concerned, in fact, if you were to look at a broader level, there has been improvement in margin in spite of, you know, the volume growths being closer to 10%

at a YTD basis. You will see the EBITDA growth has been largely 20%. Yes.

Also, you know, margins are really weak. When we tell people, we tell the margin should be looked at from a volume perspective, not at a value perspective because value is because of our cost-plus model, whenever the green prices coffee is increasing, the margins optically will look that they are coming down, but actually they are not. On a per Kg basis, in fact, we have improved our margins.

Parth Agrawal: Got it. And sir, is there the new facility went live now? I think it was expected by December.

Praveen Jaipuriar: Which facility you are talking about?

Parth Agrawal: The 7,000 metric ton that was expected in December.

Praveen Jaipurkar: This quarter we will commission that capacity.

Parth Agrawal: Okay, got it.

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Praveen Jaipurkar: So, we are still doing the trials. There are some, you know, adjustments, and balancing and stabilization that needs to be done. So, instead of December, probably this quarter, we will be stabilizing that and starting the operations.

Parth Agrawal: Got it. Just a last question from my side. So, the B2C...

Moderator: Parth, I would request you to rejoin the queue, please. Yes, those were your two questions. Thank you.

Parth Agrawal: Thank you. Thank you so much.

Moderator: The next question comes from the line of Chaitanya Sharma from TradeWalk Research LLP.

Please go ahead.

Chaitanya Sharma: Yes, my question is how the rising prices impact the demand of robusta coffee and chicory blends in India, especially if you see in the HoReCa sector and among consumers, and if you could also shed some light on what's your sales percentage in North India as compared to South India and which are your dominating markets?

Praveen Jaipurkar: Okay. So, you know, the price increase actually affects all of the segments because the coffee component is pretty large, even if there is a chicory mix there. In the institutional, in the HoReCa segment, they are a little more aggressive because none of the buyers would like to increase their end costing to the customer or the consumer. So, pressures are there on the pricing front. Nobody likes higher prices.

But having said so, it's been a challenge and this is a challenge for any category if you see when the commodity prices rise, taking up price increases do pose a challenge, but one has to live with it. We are also very carefully calibrating our price increases, making sure that we strike a right balance between generating enough volumes and not to lose volumes because of prices. But yes, pressures are always there when prices are higher.

Coming to your next question, which is about how is our B2C divided in terms of zones and all that. So, you know, as of now, almost 65 to 70% of our sales still come from South, but that's how the category is also constructed. Probably we are a little ahead of the category by 5 to 10% when it comes to contributions. But that is because in the initial 4-5 years, we were very focused in the southern markets. We were very keen to make sure that we are able to have a strong foothold here and then, you know, spread our wings as we play.

So, our contribution from the other markets, which is beyond South, has been now constantly increasing. Just to give you a picture, two years ago, our contribution used to be 80-85% from

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the South, which is now at 70%, which means that the other zones are also growing. We are also expanding distribution. Selectively, we don't want to be all over the place, but yes, selectively in other zones also. And we are very fast picking on, you know, spaces like quick commerce and e-commerce, which we feel is a very efficient delivery and distribution model in non-South markets, where we may not have a very expansive distribution.

Chaitanya Sh

arma: Thank you very much, sir. Just one more follow-up question, if I can ask.

Praveen Jaipurkar: Yes, please.

Chaitanya Sharma: Yes. So, what's the kind of trend you are seeing in the experimental coffee that you have, be that flavored coffee or decaf coffee, what kind of trends are you seeing there?

Praveen Jaipurkar: So, we are seeing quite exciting trends. You know, generally, if you see in any food category, a lot of these trends get built up out of form. And what is happening is that you can see the amount of cafes that are coming up around all of us. And these are serving a lot of experiential and experimental coffees. And that's how when people, you know, get used to these kinds of coffees, then they start consuming at home also.

We have seen a fair bit of pickup in segments like flavored coffee and some of the higher end coffees even in home. And that's the trend we are observing. And these are good trends because for any food category to expand, you need a lot of experimental trends to emerge so that a lot more usage of the category can be driven. So, Yes, that's our view. I think it will grow further from here.

Chaitanya Sharma: And does it in some way also act as an entry product for people to get into the coffee consuming category?

Praveen Jaipurkar: Absolutely. Because, you know, people who are, let's say, if you talk about people who are largely tea drinkers, for them to enter a regular coffee category may be a little difficult because

they are not used to the palate. But if you were to serve them flavored coffee or some more, you know, different coffee, probably those become a lot more affable and more palatable for them to drink. So, I think, yes, these do help in, you know, expanding the category and getting more people inside the category.

Chaitanya Sharma: Right. Thank you very much. I will join the queue for follow up questions.

Praveen Jaipuriar: Thank you.

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Moderator: Thank you. The next question comes from the line of Prolin Nandu from Edelweiss Public Alternatives. Please go ahead.

Prolin Nandu: Yes. Hi, sir. Thank you for taking my question. A couple of questions from my side. First is, you know, while you talked about you have a very low market share in global as well as in domestic market, and you want to increase your focus on gaining market share, but what has been your historical experience as to when do you gain market share? Do you gain market share in a rising coffee environment market where, you know, there is a temptation to always down trade, right? Or do you gain more market share in a stable to a declining coffee price trend kind of a market?

So, can you give some color as to whether is this the right time where, you know, what we have seen is that new crop coming in is also not leading to coffee price decline. So, is this the right time to probably, you know, gain market share? And also, what are the efforts that you are going to do differently versus what you have done in the past to, you know, gain this market share?

Praveen Jaipuriar: So, Yes, I think pretty, you know, relevant question. Let me tell you that, you know, we haven't experienced market share gains, you know, either in a rising price scenario or in a falling price scenario.

If you see our efforts for the last 30 years, most of our market share gains have come because of the innovation that we probably bring to the table. If you remember 2006, we put up our freeze dried plant, which was first in India. That time, we had envisaged that as a category, freeze dried will do well. And we kind of entered that category, helping our customers to launch those products in their relevant market.

Similarly, many other products like, you know, fresh coffee, infused soluble coffee, or whether it is a specialty coffee or a different blend. So, I would say a lot of our, you know, market share gains

have been because of the innovation because mostly we look forward to partner with our clients and help them grow in their respective markets, and it's just not a transactional relationship. So, that has been our strategy to gain market share.

Now coming to the question that what are we going to do more to gain more market share from here, it's like this that we are trying to do a matrix of growth wherein we are also looking at some of the geographies where we have not been very strong in geographies like South America or let's say, Far East Asia. These are some of the geographies we are now wanting to enter with a different strategy altogether. So, that's something that we will focus on.

We are also focusing on a lot of product innovations in the current setup. We are looking to heighten our game in specialty coffee segments. We are seeing these trends coming up in the CCL Products (India) Limited

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market. So, as I told you earlier that we are very focused on making sure that how do we come up with new innovations helping us to grow our market share.

So, that will be the strategy going forward. We will continue with our strategy because rising prices and falling prices are something which are not in our hand. And therefore, we don't see much of an advantage because sometimes you may probably play a rate game, but that doesn't serve you well in the long run. So, that's how we will keep growing.

Prolin Nandu: Sure, that's clear. Thank you for that. A second question would be on your domestic B2C, right, branded business where, correct me if I am wrong, you had a target of, let's say, 300 crores in B2C and then 100 in institution, so total 400 crores. So, can you help us understand where are we on our targets? And again, what are the kind of market share gains that we are witnessing, some qualitative color on how you are doing in offline and online? So, just wanted to understand your branded B2C and B2B India piece.

Praveen Jaipuriar: Yes. So, in India piece, you know, it continues to grow at a very healthy space of around 40%, out of which B2C is growing at 50%. You are right, we had guided that this year we will end the total domestic business above 400 crores. We are likely to be there 430-440 crores, out of which the B2C will be 300 crores. So, we are well on track to achieve that. Nine months we already have done the B2C at 220 crores, so that is pretty much there. So, we are growing well, and we are going all across.

We are gaining market shares in every quarter. And, you know, like I was telling earlier that in South now going forward, our strategy will be to penetrate market. Our share among handlers are almost twice as much or thrice as much as my market share, so which tells us that distribution expansion will be the key to growth in the southern markets.

In the North, East, and West, we are looking to do selective distribution. Coffee anyway, as of now, is a very urban phenomenon and concentrated in large towns. So, we have already set up our distribution network there, and we are fast expanding there. And we are looking forward to drive a lot of quick commerce and e-commerce sales in these regions.

Today, we are doing very well on most of the quick commerce. Very strong, meaning much stronger number three players than what we are in general trade. So, that's a very, very encouraging sign. In all the modern trade, we are very, very good on our shares and much, much above than our national average. So, again, these things have been, we have been doing really well.

Recently, Reliance came up to award us and reward us with one of the best growing categories in their whole FMCG portfolio. So, you know, these are signs and signals that we are achieving.

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The brand is seeing these days, which is a very remarkable journey for us as well as the branded business i

s concerned. So, we keep growing at the same momentum, and try and push as much as possible and as much as we can.

Prolin Nandu: Great. Thank you so much. I will come back in the queue. Thank you for this.

Moderator: Thank you. Next question comes from the line of Shirish Pardeshi from Motilal Oswal. Please go ahead.

Shirish Pardeshi: Hey, hi, Praveen, Srishant. Good morning. Thanks for the opportunity. Just two quick question. In the international B2B and domestic B2B, what kind of conversation is happening at this point of time? And I am asking this question primarily because the coffee prices will remain elevated for some time. So, in terms of demand, in terms of offtake, in terms of their visibility on the ordering, maybe if you can add some color on this.

Praveen Jaipurkar: So, hi, Shirish. The conversation still remains very anxious. Nobody is wanting to commit long-term, but we had told this last time as well, that we are also keeping a very close eye on the ground that what is happening. And we did predict last time that things are not looking to soften up much. And that's the narrative we are discussing with our clients. We are telling them that it is better for each one of them to commit to a long-term contract because things are not looking to kind of, you know, erratically or suddenly come down. And that's the reason if you see some of our client portfolios and our mix have been towards long-term.

So, that's the kind of conversations we are trying to drive with the clients, but still the market still remains short-sighted as of now. People are still a little wary to commit long-term, especially the transactional clients, because these are probably traders and all that who are doing business very opportunistically. So, these people are always on a wait-and-watch mode.

And therefore, our narrative has been with the long-term players, the brand owners, the private label, guys with whom we are also giving them a guidance that looks like in the short run it's not going to kind of soften. So, therefore, trying to get into more long-term contracts. So, that's been a narrative from our side. But having said so, the overall environment still remains short-sighted and full of anxiety.

Shirish Pardeshi: Okay, that's helpful. And my second question is, in terms of domestic 330 crore or 220 crore, what you have done, specifically, if you can share what is the channel mix in terms of quick commerce, retail, general trade, modern trade, and what are the growth rates you would have achieved probably in nine months?

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Praveen Jaipurkar: So, in 9 months, Shirish, we are almost 40 plus growth at the overall level, out of which the brand piece is growing at 50%. Yes. So, if you remember last year, we had done 200 crores. And this year we have given the guidance and which we are well on track to achieve 300 crores on just the branded side. So, that means that we would have achieved a 50% growth.

As far as the mix is concerned, almost 50 to 60% of our sales still coming from the general and the regular trade. We are getting a very good listing from quick commerce and e-commerce, which is now almost 20%. 25% is from modern trade. So, that's been the mix for us, right. And as we expand more and more in the North, East, and West, I have a feeling that our contribution of modern trade and quick commerce and e-commerce will probably increase from here.

Shirish Pardeshi: And growth rates and maybe follow up here, what is the distribution as of December you are holding?

Praveen Jaipuriar: So, growth, I told you, we are growing at 50%. As far as the distribution is concerned, we probably...

Shirish Pardeshi: Channel wise. Channel wise.

Praveen Jaipuriar: So, Channel wise, I think, I will not, meaning I don't have the ready numbers right now. I will share it separately on the channel wise growth. But just to give

you a flavor, my growth rates in

quick commerce will be the best followed by modern trade and followed by general trade. Yes.

That is because general trade bases are high. We are already a little more entrenched in the South markets. And in the North, East and West, we are probably driving modern trade and e-commerce and quick commerce much aggressively than the general trade so that the growth rates in general trade would be lower than e-commerce and quick commerce and modern trade.

So, that's on the growth front.

The next one you asked was about...

Shirish Pardeshi: Distribution.

Praveen Jaipuriar: Distribution, yes. So, we are probably now at around 1,20,000 direct distributed outlets and around, which is general trade, and we are around 3,500 outlets we are covered in modern trade.

So, that's our total distribution. And of course, in quick commerce, we are at almost 90%, we are present in the 90% of their dark stores. So, that's pretty good in terms of our distribution, because obviously that's an easier distribution metrics to achieve. But that's the figure on the distribution front.

Shirish Pardeshi: Thank you, Praveen, and all the best.

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Praveen Jaipuriar: Thank you.

Moderator: The next question comes from the line of Natraj Shankar from DSP Mutual Funds. Please go ahead.

Natraj Shankar: Hi, morning. Just a couple of questions. One is on the earlier...

Moderator: Sorry to interrupt, Natraj. Could you please be a little louder? Thank you.

Natraj Shankar: Is it better?

Praveen Jaipuriar: Yes.

Natraj Shankar: Yes. I just wanted to ask with respect to working capital and the conversations around working capital with your B2B business, has it improved given the fact that the working capital remains very high on behalf of clients? Are they willing to change their terms a little bit given the circumstances of coffee prices? And that's one. And two, can I have a debt number at the end of December?

Praveen Jaipuriar: So, you know, working capital, yes, it remains high because of, it's almost 1,200 crores as we speak. It remains high because of the high coffee prices. Now, as far as terms and condition is concerned, I don't think so probably anyone is in the position to pass on these, because at high prices, you know, there is pressure on each point in the value chain.

So, there is pressure on consumer who is the end consumer of coffee to the brands, to the suppliers, to the packers, to the manufacturers. So, there is pressure all around. It's not easy to pass on everything because then, you become really non-competitive in the market. And that's one of the reasons we have not been so aggressive on the volumes is because while we are able to pass on something, the market is probably not ready to take on everything that we want to pass on.

So, the things haven't changed because the pricing pressures are there all across. It is just not us who is facing the pricing pressures. We just spoke in the B2C segment, how difficult it is to increase prices because consumers then start dropping off the category. So, I think there is a balance that has to be maintained, which is what we are trying to do.

And I told you the debt numbers, 1,200 crores of working capital. Long-term debt is around 790 to 800 crores as of now. Total is around 2,000 crores of debt.

Natraj Shankar: And what are the guard rails here, as we, let's say, if this remains elevated for the next year, what kind of guard rails that you would have to ensure that the balance sheet doesn't go beyond a

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certain point or cash flows doesn't impact while you continue to grow, not taking the eye on that?

Praveen Jaipuriar: So, we are working on a lot of things. We are working to see that how can we kind of keep the interest rates as low as possible. If you see our interest ra

tes for the global, for the group is almost

5.25%, which is much lower than what the environment is offering you. We are making sure

that we finance it.

We have operations in India, Switzerland and Vietnam, which means that we are also trying to juggle in a way so that our financing rates remain as low as possible. So, these are the things we are doing, and it's like an everyday exercise for us to see that how can we keep this in control. As far as managing it, as I told you, we are also trying to do two things. One is that on the procurement front, I told you that we have been kind of making sure that we have our presence at the ground so that we could procure at the most efficient rates and so that the working capital requirements are in check.

And secondly also, you know, as I told you, we are making sure that we are juggling the requirement in such a way that our outflow or the percentage financing cost remains as low as possible.

So, these are the things we are doing to keep a check on the balance sheet, and we should hopefully be on track because even this year, we had guided a higher interest outflow, but we probably will end up maybe 5 to 10 crores lower than what we had guided.

Natraj Shankar: How does a rupee depreciation impact positively?

Moderator: Sorry to interrupt, Natraj. I would request you to rejoin the queue.

Natraj Shankar: Sorry, yes.

Praveen Jaipuriar: See, we import and export in dollars. So, for 60 to 70% of our value, it doesn't impact much. For 30%, yes, there are certain advantages we get at certain times. But yes, those are not substantial in nature and therefore we don't kind of bet on that to give us any advantage or disadvantage.

Natraj Shankar: Thanks. All the best.

Moderator: Thank you. The next question comes from the line of Kashyap Javeri from Emkay Investment Managers. Please go ahead.

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Kashyap Javeri: Just one clarification. You mentioned that working capital at the end of this quarter was about 1,200 crores, and you said the gross debt was about 2,000 crores.

Praveen Jaipuriar: Right.

Kashyap Javeri: Does that mean that versus September and March last year, we have seen at least a decent about 10-20 days improvement in working capital number?

Praveen Jaipuriar: From last year?

Kashyap Javeri: Even from September, if I look at, let's say, September 24 number, your working capital at the end of September 24 was roughly about 1,300 and something crores, which now is about 1,200 crores. If I look at March, even in fact, March was almost about 1,200 crores, so which is like a flattish number.

Praveen Jaipuriar: Yes, so it was mostly flat, I think 40 to 50 crores of variation was there, not much. I don't think so these are substantially strategic. Strategically, there is anything that has changed more because of a little bit of a variation from quarter to quarter. Sometimes what happens is that when you are procuring coffee from far off source, logistic time and all that could tilt the numbers a little bit here and there, but there is no strategic shifts in the numbers between the quarter. That is what I see.

Kashyap Javeri: Okay. Yes. Yes, thank you so much. Rest of the questions have been answered actually.

Moderator: Thank you so much. The next question comes from the line of Sumit Sardar from Compound Everyday Capital. Please go ahead.

Sumit Sardar: Yes, hi, sir. Hope I am audible. I have just one question around the domestic branded business.

The leader has indicated that they had taken price increases and plan to take more price hike.

And you also guided that you also taken me 30, 40% price hikes in past one year. But this is also a period when domestic incomes and demands are under pressure.

So, maybe customers of maybe leader brands might be open, most open to try reasonably priced alternatives like us. So, how are we planning to play

this? Get aggressive, you know, maintain

or maybe increase the discount versus leaders and get aggressive on distribution to garner market share aggressively or stay focused on maintaining that spread versus leaders?

Praveen Jaipuriar: Yes, so, I think again, as I told in my previous comments is that we also will try and strike a balance. Now again, if you see the category construct, it's pretty complicated. So, there is a category of single serves that are there. Their price increases are meaning you can't take price

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increases for a Rs. 2 or a Rs. 5 sachet. And maybe you can take a little bit of a grammage reduction, but not beyond the point. So, those are places where we will, and we are also growing.

Our distribution is growing. If you see the first leg of our distribution was probably the A class outlets were more of large pack sales. Now once we are trying to increase the penetration to B

and C, we probably will have to be aggressive on some of these small packs where price for some of these will be there.

Now coming to the rest of the category, which is the large bottles and the large pouches and the large pack and the rest of India market, there we will also take price increases because we also have to balance the margins.

One thing is good about the category as of now, let's say good and bad. So, the good part is that it's still in the rest of the country beyond the South. It is still concentrated to the upper strata of the income class which means that you have a better price elasticity there wherein, you know, some of the other categories where commodity prices when they go up, you fairly have a lot of price inelasticity. So, that's the thing which will help us balance it out.

We are also looking to enter some of the premium segments. Probably this quarter we will be entering into couple of other, you know, higher end segments, which will also help us maintain that balance between penetration and being aggressive and also at the same time maintain the margins.

Sumit Sardar: Understood. Just if I can squeeze in one more. Can you share a bit on your kiosks? I think you started a few kiosks. Any new additions? How has been the response?

Praveen Jaipurkar: No, not really. We have guided last time also that we have started three kiosks in, not kiosks, these are three, you know, quick service outlets by the name "Contico" in Hyderabad. We are still building it up. These are very initial days. Retail is a little, you know, it's not so easy to kind of scale it up very quickly because first we want to be very sure of the proof of concept.

So, we are working on that. We are seeing how this thing grows. As of now, we are not looking to add anything. As and when we have established the proof of concept, and that's the time we will see that how do we want to expand it and what is the model that we will want to follow on this.

Sumit Sardar: Thank you, and all the best.

Praveen Jaipurkar: Thank you.

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Moderator: The next question comes from the line of Deepak from Sundaram Mutual Funds. Please go ahead.

Deepak: Yes, sir. So, sir, I heard that this quarter our Y-o-Y growth rate in volumes was 3%, right?

Praveen Jaipurkar: 3% to 4%, yes.

Deepak: Just want to understand the past, you know, several times we have guided that 15% on an average is what we want to do around 3%. So, you know, where is the negative surprise coming from?

Is it from the Indian operations or is it from the Vietnam operation? If you could please provide a split between volume growth between India and Vietnam's operation?

Praveen Jaipurkar: Okay, so, I think, you know, I will not be able to provide you the exact split in terms of volumes because that's not we share openly. However, I will give you a color that, you know, you asked about that we had given a guid

ance of 15% or so. Is this quarter 3% or 4%? Is it an aberration or are we seeing a long-term trend here?

So, you know, if you see while for the last three, four years, we have been guiding a 15% or so plus volume growth, at the start of the year, considering the volatility in the market, the high prices, we had indicated that this time our guidance will be between 10 to 20%. If you see the first two quarters, we were, you know, pretty much in line with our guidance.

This quarter has been a little aberration, and the aberration comes from the fact that, at both places, India and Vietnam, there has been some volume, you know, growth reduction, not volume reduction, growth reduction. And that has come largely because as I was telling you, we have not been so aggressive in the 20% or 25% of our volume comes from transactional business, the opportunistic business, the low margin volume builder business.

That's something that we probably could not be as aggressive at this point of time. Considering the market scenario, you all know that the world has a lot of excess capacity and there in these trying times, there will be people who will be probably racing to the bottom as far as rate is concerned.

That's not what we want to do as philosophically, you know, the company, we have always concentrated on long-term contracts, building partnership long-term, going to the end customers, building more value-based contracts, and which are, you know, margin plus for us. And that's the reason, even with 3-4% volume growth, you will see that EBITDA growths are pretty much in line 13-14%. So, that's the guidance we will maintain.

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In the long run, we are looking for 15% kind of a growth. Yes, there will be a quarter here or

there where there could be some aberrations, but as of now, we are only seeing these as aberrations rather than a long-term trend.

Deepak: Okay. Thank you for an elaborate answer. I was not asking for the volume number. I was asking for the growth number Y-o-Y between Indian and Vietnam operations.

Praveen Jaipurkar: Yes. So, India growth was a little flattish because the new capacity has just come in line. So, India growth was around 5-6%. The Vietnam growths were quite flat. And Vietnam, we do a lot of these, you know, low margin customers and opportunistic sales and all that. So, that was a little flattish this quarter.

Deepak: Okay. And sir, one final question. So, as we have discussed that in several past calls also, that 15% volume growth that we aim for, let's assume that we don't deliver those volumes in FY '26 and FY '27 next two to three years. So, at current beans prices, what could be our peak debt level?

Praveen Jaipurkar: Suppose we don't increase the prices, see, at these levels, we had indicated that this year end the peak debt could be around 2,200. But going forward, I think now all the capacities are in place. All our capexes are in place. There won't be any, you know, addition as far as long-term debts are concerned. And every year, probably 150 to 200 crores, we will start repaying as well. So, I don't see the peak debt levels going beyond 2,200 crores in the next year or the year after that also. In fact, it should start reducing because we will be repaying it.

Deepak: And this is despite you are saying, let's say, 10 to 15% volume growth and coffee beans prices.

Praveen Jaipurkar: No, no, this I said, you said that, you know, if there is no volume growth, there will be reduction. Even if there is a 15% volume growth, probably it may remain at the same level.

Deepak: Okay, thank you.

Praveen Jaipurkar: But we will have to take it up, you know, every quarter, we probably will have to re-guide you on this depending on how prices are panning out. But I don't see in the long term more stresses coming or addition in the peak debt levels.

Deepak: Okay. Thank you so much, sir.

Moderator: Thank you. The next question comes from the line of Senthil Manikandan from ithought PMS. Please go ahead.

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Senthil Manikandan: Good morning, sir. Thanks for the opportunity. Sir, first question is on the sales side. So, I understand that we follow the cost-plus model, but this time we have sort of 14% revenue growth with 3 to 4% volume growth, but year-on-year coffee price has gone up like upwards of 50 to 60%. So, how to look at this number, sir?

Praveen Jaipurkar: So, you know, if you see, a large portion of our contracts are also long term. So, while the coffee prices would have gone up we probably are buying coffee. Buy could have been done 6 months, 12 months prior also. Yes. So, therefore, it gets averaged out. So, there are quarters you would have seen there is 20-30% growth. There are quarters you will see lesser growth in terms of price.

So, that really is a combination of how far away did we do the contract and what contract we now do. That also explains because, you know, much of the opportunistic buying are very short term. Yes. And if you see, that's the volume we are not kind of got which has also explains that these are a lot of these volumes are coming from long-term contracts. So, we may not see such price spikes in the portfolio.

Senthil Manikandan: Got it, sir. So, in that sense it makes us more competitive in the market in terms of pricing.

Praveen Jaipurkar: Yes, it has to be competitive, you know, at these prices. Whenever the prices are high, you will see that there will be more desperation in market. People will be out to fill volumes. There were people who will sell it even in negative margins because they need to run the plant. So, I think it's been a very, very tough scenario for the whole industry globally. And that's the reason when I started my commentary, I did say that despite these challenging environment, the performance has been pretty good.

Senthil Manikandan: Got it, sir. Thanks, sir. Thank you.

Moderator: Thank you. The next question comes from the line of Richa from Equitymaster. Please go ahead.

Richa: Thank you for the opportunity, sir. Sir, my question is, let's assume the coffee prices do not come down. And my understanding is that for FDC, the demand is a bit elastic, and maybe the customers will also get used to a high coffee price environment. For FY '26, considering the new capacity also coming in, what would be a conservative growth or volume growth estimate that you could share? Because 10 to 20 is quite broad, but with the new capacity coming in, do you think we could do 15% at least?

Praveen Jaipurkar: So, we could actually, but really will depend on the couple of next quarters. We are trying our best to kind of, but you know, while we are being aggressive in the market, what we are focusing more is on the long-term contracts, building better clients. And that is why if you see, even if

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the guidance of 10 to 20%, you could see it as a broad. The other way to see it is that I would say that it's pretty specific because considering the kind of volatility that is present in the market, this is quite a specific guidance that we have given.

The second thing is that, you know, the guidance, if you see ultimately what we have always maintained that our volume growth and our EBITDA, the operational profit growth, will be in line. So, in spite of getting a 10% or so volume growth YTD, our EBITDA growth is 20%, which means that we have concentrated more on, you know, better margin contracts, which has helped us to deliver these kinds of good operational profit numbers.

Going forward, I think we will have to wait and see that how do we drive the business forward. Having said so, I am not wanting to say that there is any let up in our aggressiveness in the market to get a volume

growth of 15%. You are right. We have got new capacities added. We would also like to fill it as quickly as possible.

So, depending on how things are coming out, see what is happening. The Vietnam Coffee is now coming. Every day we are seeing fluctuations. We have to wait and watch where does it settle down to, what is the concerning point is that does it put pressure on consumption. As long as the consumption is intact, I think things should settle down and probably should not impact our long-term growth guidance of 15%. So, that we are committed.

Again, as the market has become short-sighted, so has we. So, therefore, giving a very long-term predictions that we used to, let's say, two years ago, has become a little challenging for all of us as well.

Richa: Okay. And sir, as a new client comes in, do you expect your employee and other expenses to shoot up as well or is this with the trial production, is this already factored in the cost of higher staff quarter expense?

Praveen Jaipuria: In the consol for this quarter that is already factored in India. There could be a little increase in Vietnam, but Vietnam was, as we had told you, it wasn't a Greenfield project. It was a Brownfield project, which meant that a lot of utility manpower and other common space manpower will be same. It's only the variable manpower in our country. And these are pretty much automated factories, automated lines. These don't require very heavy manpower. So, I don't see significant variations from the current numbers.

Richa: And sir, what would be the effective tax rate for the...

Moderator: Sorry to interrupt, Richa.

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Richa: Okay. Fine.

Moderator: Couple you please rejoin the queue for more questions? Thank you.

Richa: Okay.

Moderator: The next question comes from the line of Aashish Urganlawar from InvesQ PMS. Please go ahead.

Aashish Urganlawar: Yes, thank you for this. Sir, so, from the commentary so far in the call, what I could understand is that supply maybe which was constrained with the crop coming in, it could be a bit better. At the same time, the customer demand is not at all ample despite the prices. And the industry is willing to take whatever it takes to fill up the capacities despite the stress on the balance sheet and profitability.

So, for this now to break, do you not think that the demand has to drop for the prices to react, and then things get sorted, or some players have to take a call that profitability can't be sacrificed on the bottom line? Because in our case also, the volume and EBITDA growth has been fine, but the problem has been the interest cost because of the working capital and the CAPEX that we have done. So, how do you read the situation? Will it be sorted by supply or the demand crashing?

Praveen Jaipuria: So, I have a feeling that it will be sorted by supply, not the demand crash. Because a lot of economies are, you know, the upcoming economies were consuming more coffee. So, I have a feeling that and let's say good part or bad part, a lot of coffee consumption is happening in the affluent economies like America and the Europe. So, I don't see them dropping a lot of consumption. So, I don't think so this price drop will happen because of demand drop. It will happen due to supply increases.

Now let me give you a color. For last year also, the Brazil supply was good. This year also the crop has been good. That is the report we are getting from the ground. And we are also seeing that, during last time also when the Brazil crop came, there was a little bit of a swing at that point of time. So, back-to-back, good crops will lead to more softening. That's the common knowledge.

Also, if you see the coffee crop, unlike most of the commodities, most of the commodities, what happens is that the supply and demand, they get corrected because either the demand will come down or the supply bec

ause the crop cycles are low. If you see most of the commodities, the crop cycles are six to nine months. But unfortunately for coffee, the crop cycle is 3.5 years. So, CCL Products (India) Limited
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after the crop has been sown, after 3.5 years, it starts flowering and giving the cherries. So, the prices have started to increase 1.5, 2 years ago.

And we have a feeling, and not only feeling, but a lot of ground reports says that there has been an increase in acreage. So, it looks like that all this acreage will come into flowering and harvesting 1.5 years from now. So, a good crop of Brazil coming in June, July, and the next year oversupply happening due to the new crop giving new flowering and new this thing, I think that's the time when we will start coming down. So, yes, frankly speaking, it has to be the supply flow that will soften the prices, not really the demand crash.

Aashish Uppanlawar: Okay. And lastly, given the scenario then till now our growth on the EBITDA has been driven by largely volume growth because margins have been under stress. So, now you are saying that volumes also you are taking tactical calls because of the pressures, industry-wide pressures. So, what is the rate of growth that one should expect because then that was the only driver of EBITDA growth probably for us?

Praveen Jaipuriar: Yes, so while it was the driver for EBITDA, if you have seen the last three, four years, trajectory, you are absolutely right. The EBITDA did grow exactly as much as volume grew.

Now this year, while there are challenges on the price front and therefore the volumes have been a little tighter to drive, what we have made sure is that the EBITDA still grows in that 15 to 20% range. And that is because we have been focusing a lot more on the long-term contracts, the private label contracts, the higher margin contracts. So, even while we have to take a tactical call or we have taken a tactical call to not be so aggressive on the volume because of the price, we have successfully maintained the EBITDA growth at 15 to 20%.

So, we are very confident of maintaining this EBITDA growth of 15 to 20% till we are back into the volume growth of 15 to 20%, which then will again drive EBITDA at the same level. So, I don't see any drop in our performance as far as our EBITDA are concerned.

Aashish Uppanlawar: So, just to confirm this, EBITDA growth will be around 15 odd percent.

Moderator: Sorry to interrupt, Aashish.

Aashish Uppanlawar: And Yes, just I am taking confirmation. 15 odd percent EBITDA growth and since volumes are not increasing and we don't want to inflate our balance sheet further on working capital, our bottom line can grow at a better rate probably if your interest parts would remain the same.

Praveen Jaipuriar: Absolutely. Absolutely.

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Aashish Uppanlawar: Thank you so much.

Moderator: The next question comes from the line of Vignesh Iyer from Sequent Investments. Please go ahead. Vignesh, please go ahead, and please unmute your line in case if muted.

Vignesh Iyer: Yes. Thank you for the opportunity. So, my first question is on, you know, understanding our mix of modern trade and general trade. The idea being, since the coffee prices have been increasing and there is pressure as in we cannot increase the prices very much, how are we seeing this mix of modern trade versus general trade considering on modern trade side, you know, you experience a comparatively lesser margin versus general trade? Or is it a different scenario for us when it comes to quick-commerce, e-commerce for that?

Praveen Jaipuriar: So, you know, it's a little different than industry standard. You are absolutely right, the industry, for industry the modern trade and the e-commerce, the margin is quite lower than the general trade. But for us it has been quite a, not quite but at l

east a significantly different story than what the industry practices are. And I will tell you why.

It is basically because even if you see, modern trade and the quick commerce and the e-commerce that we have developed, we have created actually, you know, our demand creation has not been only focused on the quick commerce and the modern trade and the e-commerce, yes. So, a lot of our demand generation happened offline, which is the traditional methods of demand generation, which has helped us a lot in e-commerce, quick-commerce and modern trade.

Now what has happened is that most of the growths in modern trade, quick commerce and e-commerce are led by this and therefore, you know, things like my, let's say, spends-to-sales ratio

is almost one-third of the industry standards, yes. And therefore, we earn equally good margins in modern trade and quick commerce.

In fact, to give you this thing, when we began our journey six years ago, the modern trade teams were not ready to keep us because they were not sure of our optics and all that, but what we didn't do, which most of the other people do, is that, push listing through higher payouts and higher amounts being spent on displays and things like that.

What we started doing is, we started building the brand offline and through general trade, and we took it step by step. So, for example, in 2019, we had to, you know, when we started with Reliance, it was just 10 stores in Hyderabad. Yes, that is what they said that they said they are not very confident, and they will only do 10 stores. But we didn't want to kind of overspread ourselves and overspread by paying money.

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So, we took it from 10 to 20 to 30, and 1.5 years ago is the same Reliance who came back to us and said that, you know, we want to expand to all stores of our network across the country. Yes. And therefore, what happened is that the buying power, the purchasing this thing or the driving thing was not with Reliance but was with us, and that was pretty much possible because of the traditional ways of marketing and sales that we started with in general trade.

So, therefore, our general trade model actually has helped us to earn equally good margins. So, even going forward, as we expand more in modern trade and the e-com and the quick-com, I don't see our margins coming down.

Vignesh Iyer: Okay. So, if I just could understand it, did I understand it right? I mean, on a deep discounting model, are the e-com or the quick-commerce taking it on their side for our product?

Praveen Jaipurkar: Yes. So, a lot of it, they do it for themselves as well. There is a certain partnership model that we enter into. We also have been pretty this thing that beyond the point, we don't deep discount.

There are days and times when they kind of push it harder by putting in money from their side.

But we have made a model wherein we kind of, you know, beyond the point, don't deep discount.

And a lot of our demand is being generated because of the work that we are doing outside. So, they also have no option, but to keep us, you know, even like a platform like Blinkit, which is very strong in North actually has, or is wanting to take our products so much so that they told us that since we want to grow our network in South, we would want to use and considering Continental Coffee is doing well in South, we would want to use Continental Coffee to drive our network.

So, actually it's been a very fair play between us and the quick commerce and the modern trade platforms. Yes, it is difficult. I won't say that it's been easy. Still the pricing talks and all that are pretty, pretty aggressive from both sides, but at least we have been not, you know, being made to kind of succumb to all their demands. We have been able to hold our foot ourselves also making sure that our margins don't get affected.

Vignesh Iyer: Okay. So, si

r, one question on my side is on the gross total, total gross block side of 800 crores at a consolidated level, has the entire block been capitalized now?

Praveen Jaipurkar: No, partly it has been capitalized. We have two projects. One is in India and the other one is in Vietnam. The Indian part is capitalized and around 400 crores, and the Vietnam part is likely to be commercialized during this quarter, and maybe the end of the quarter, it is going to be capitalized.

Vignesh Iyer: Oh, okay, sir. Got it. Got it, sir. Thank you for the detailed explanation, and all the best, sir.

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Praveen Jaipurkar: Thank you.

Moderator: The next question comes from the line of Rakesh from Nine Rivers Capital. Please go ahead.

Rakesh: Hello. Thank you for opportunity. Am I audible?

Praveen Jaipurkar: Yes, you are audible. Just be a little louder. Little disturbance is there.

Rakesh: Okay. Sure, sir. Thank you very much. Sir, one question with respect to the coffee prices. We have seen this industry like coffee manufacturing industry is very fragmented industry. There are few players like CCL which is the top player, top manufacturing players. But I want to understand because the coffee prices are higher from the last 15 months, have you witnessed the customer which are buying from the small players, have they come to you, they come to you that they want to do business with you rather than going with the smaller players which are struggling with high coffee prices?

Praveen Jaipurkar: Yes, we have actually, I may not directly correlate with some of these new players which are coming. They were buying from small players and they have come to us because, you know, as I told you, we also have been concentrating with the larger buyers, more brand owners and long-

term buyers. And generally, people who buy from small time players are the transactional ones. So, I cannot really for sure say that I bought from smaller players.

But there has been another trend that we have been noticing that we generally, you know, over a quarter, we will get a couple of two, three, you know, proposals for taking over manufacturing units of smaller players, which probably has an indication that the smaller players would be finding it even more difficult to manage the working capital and the operations of their plant. So, that is a sense that we are getting. But if you ask me, have you got more people or buyers from smaller players? I don't think so I can definitely say an yes to that.

Rakesh: Okay. Sir, second question with respect to CAPEX, CAPEX for the F26 and F27, if you can talk.

Praveen Jaipuriar: About the CAPEX?

Rakesh: Yes.

Praveen Jaipuriar: I don't think so we will have any CAPEX in next year. We are done with our CAPEX for the next three years or so because most of our capacity building is over now. We are good to grow for the next three years. So, I don't think so we will have any more capexes.

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Rakesh: So, continuing on that part, if there is low CAPEX or very maintenance CAPEX, only maintenance CAPEX and the coffee prices remain same, we can do a larger chunk of payment towards debt. Is that understanding correct?

Praveen Jaipuriar: Yes, absolutely. So, I think that's the sweetest spot that we can get into because going forward every year, as I told you, 150 to 200 crores of debt retirement will happen. And if the coffee prices will come down, this is a double benefit that we will get. So, then things will probably get vastly rosy for all of us.

Rakesh: Sir, just one last clarification on the next part.

Moderator: Sorry to interrupt Rakesh. Those were your two questions.

Rakesh: Sure. Thank you.

Moderator: Ladies and gentlemen, I would now like to hand the conference over to the management for the final comments.

Praveen Jaipuriar: Yes. Thank you. Th

ank you team for arranging the call. Thank you, Manish. And I thank all the participants. Wishing you all a very Happy New Year, and we look forward to meet you in the next quarter.

Moderator: Thank you. Ladies and gentlemen, on behalf of Antique Stock Broking Limited, that concludes this conference. You may now disconnect your lines.

Call: May 2025

CCL PRODUCTS (INDIA) LIMITED

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Date: 09.05.2025

To

The Listing Department,

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor, Plot No. C/1,

G Block, Bandra – Kurla Complex,

Bandra East, Mumbai – 400051.

Scrip Code: CCL To

The Corporate Relations Department,

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai – 400001.

Scrip Code: 519600

Dear Sir/Madam,

Subject: Transcript of the Conference Call held to discuss the financial results of Q4 FY 2024-25 as required under Regulation 30 of SEBI (LODR) Regulations, 2015.

With reference to the above-mentioned subject, we wish to inform that,

i) The copy of the Transcript of the Conference call held on Tuesday, 06th May, 2025 to discuss the results of the fourth quarter of the financial year 2024-25 is enclosed herewith.

ii) The Transcript is also uploaded on the Company's Website and the web-link for the same is:

<https://www.cclproducts.com/wp-content/uploads/2025/05/Q4.pdf>

iii) The List of Management attendees is stated in the transcript.

iv) No Unpublished Price Sensitive Information was discussed in the call.

This is for your information and necessary records.

Yours sincerely,

For CCL Products (India) Limited

Sridevi Dasari

Company Secretary & Compliance Officer

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"CCL Products (India) Limited

Q4 and FY25 Earnings Conference Call"

May 06, 2025

MANAGEMENT : M R. CHALLA SRISHANT – MANAGING DIRECTOR –

C CL PRODUCTS (INDIA) LIMITED

M R. B. MOHAN KRISHNA – EXECUTIVE DIRECTOR –

C CL PRODUCTS (INDIA) LIMITED

M R. PRAVEEN JAIPURIAR – CHIEF EXECUTIVE

OFFICER – CCL PRODUCTS (INDIA) LIMITED

M R. CHAITHANYA AGASTHYARAJU -- CHIEF

FINANCIAL OFFICER – CCL PRODUCTS (INDIA)

LIMITED

M S. SRIDEVI DASARI – COMPANY SECRETARY –

C CL PRODUCTS (INDIA) LIMITED

MODERATOR : M R. MANISH MAHAWAR – ANTIQUE STOCK BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Earnings Conference Call

of CCL Products (India) Limited, hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manish Mahawar from Antique Stock Broking Limited.

Thank you, and over to you, sir.

Manish Mahawar: Thank you. On behalf of Antique Stock Broking, warm welcome to all the participants on the 4Q FY25 Earning's Call of CCL Products. From the management, we have Mr. Challa Srishant, Managing Director; Mr. B. Mohan Krishna, Executive Director; Mr. Praveen Jaipuriar, CEO;

Mr. Chaithanya Agasthyaraju, CFO; Ms. Sridevi Dasari, Company Secretary on the call.

Without any delay, I would like to hand over the call to Mr. Jaipuriar for opening remarks, post which we will open the floor for Q&A. Thank you, and over to Praveen.

Praveen Jaipuriar: Yes. Thank you, Manish. Good morning, everyone. Let me now give you a brief overview of our performance for the quarter and the year gone by. The group has achieved a turnover of INR 839.65 crores for the fourth quarter of '24, '25 as compared to INR 730.87 crores for the corresponding quarter of the previous year, and the net profit stands at INR 101.87 crores, as against INR 65.22 crores for the corresponding quarter. The EBITDA is INR 167.09 crores and the profit before tax is INR 105.88 crores.

Coming to the full year performance, the group has achieved a turnover of INR 3,114.2 crores, which is a milestone number of crossing INR 3,000 crores that the group has achieved as compared to INR 2,660.02 crores for the corresponding previous quarter. And the net profit stands at INR 310.34 crores, as against INR 250 crores for the corresponding previous year. The EBITDA stands at INR 563.55 crores and the profit before tax is INR 352.25 crores.

Coming on to the domestic business, the business achieved a gross turnover of INR 440 crores, out of which the brand sales were approximately INR 300 crores. And we are looking to drive similar and aggressive growth in the coming quarters and year. We also have completed the expansion at Ngon Coffee Company Limited, our subsidiary in Vietnam.

I now open the floor for questions. Moderator: Thank you very much. We will now begin with the question-and-answer session. The first

question is from the line of Charisha Shyam Sukha from Venture Growth Partner.

Charisha Shyam Sukha: I would like to know like our future growth, present and future growth, which will be coming from domestic and how much will be coming from international markets? And what would be the drivers, let's say, domestic markets, coffee penetration increasing year-on-year?

Praveen Jaipuriar: I couldn't hear you properly, but what I understand is that you're trying to ask us that will our future growth come from domestic market or exports market? Is that true?

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Charisha Shyam Sukha: Yes, that is the first question.

Praveen Jaipuriar: Yes. And what was the second one, if you could repeat because your line was very disturbed.

Charisha Shyam Sukha: Yes. So second question is like how do you see the coffee penetration increasing year-on-year in both domestic and international markets?

Praveen Jaipuriar: Okay. So coming to your first question, you see we are not, it's not that we are dependent on one vertical for growth. We are driving aggressive growth on both the verticals, which is the exports, B2B and private label and also domestic. Domestic also includes our own brand and

B2B and

private label. So we are treating each vertical, as growth driver for us, and we have strategies to make sure that the growth are you know, all around growth rather than depending on one vertical or the other vertical.

The second question is about the profit penetration that you are asking about. You see, if you see the world into and if you were to divide the world into 2 parts, the more developed economies like the European economies and the American economies, we don't see much of category penetration being driven here because these economies are mature economies and coffee is very well penetrated here.

Every single individual drinks coffee. But yes, in developing economies like India, China, Middle East, here and these economies have been largely, you know, non-coffee drinking economies. Here we see that the category will be getting penetrated over a period of time, and these are the economies we foresee that will be driving coffee consumptions in the coming decades.

Charisha Shyam Sukha: But could you please tell me like how or how much would be the CAGR growth year-on-year in these developing markets? And also, the bifurcation between our domestic and international market?

Praveen Jaipuriar: So I told you, if you see the numbers out of the total turnover that we achieved, which was close to INR 3,000 crores, approximately the domestic market is contributing to INR 440 crores, INR

430 crores. So that's the bifurcation between these two markets.

As far as CAGR figures are concerned for the company, we have already and have been giving a guidance that our profitability, because that's a metric that we want all of us to kind of concentrate on that will kind of grow between 15% to 20% year-on-year basis. Yes, there will be fluctuations here or there, but at a long-term-ish levels. If you were to see, we have given a guidance to grow between these levels.

Now, yes, there will be higher growths driven by certain segments, which are smaller as of now, like the domestic branded segments will continue or continue to drive growth at a higher levels.

So these are certain colors to the various verticals that we are operating in. What are the growth expectations from these verticals?

And I don't know if you were to also wanting to understand the category growth, as I told you earlier, the mature economy is like and these are category not our growths. The mature

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economies like Europe and US, they are fairly flattened out as far as growth are concerned. But yes, economies like developing economies like India and China, will be driving as far as the category is concerned looks like, they'll be driving double-digit growth for the coming years.

Charisha Shyam Sukha: So you mean to say that our growth in international markets would be coming from China and Middle East particularly?

Praveen Jaipuria: No, I think we're getting a little muddled up here. Our growth, yes it will come from China, Middle East, but we are also, see while the categories are stagnant in markets like Europe and America, we are also looking to make sure that, our growths continue to come from these places because here we would look forward to gain market share.

So there our growth will be driven by market share and in some of the economies our growth will be driven by the category growth itself. So yes, it will be a mix of strategies in various markets that we are looking to operate.

Charisha Shyam Sukha: One last thing. Last time we were much focused on the rising coffee prices. So, do you see that see that tension gone, or is it still continuing?

Praveen Jaipuria: No. So the tension is still there. So, in fact, when we say focus, focus was not there. What we always maintain. See, we are a cost-plus company and being a cost-plus company, there is literally no tension on coffee prices. What we want is that the coffee prices to be stable at what

ever levels they are.

So our tension was more from choppy, fluctuations that were there in coffee, weak coffee prices.

They still continue we hope and even then, while the coffee prices were choppy, the only concern that we kind of have is that, is it leading to any consumption drops.

As long as the consumptions are holding up, we are good to go. Because as long as people are drinking coffee, we are fine with it at whatever level they are, the coffee prices are. The only thing is that, when the coffee prices are choppy, the clients become a little more short sighted.

They say that they would not want to go for long-term contracts. Because if they were to go for long-term contracts, if the coffee prices were to fall, they would feel pressures on their margins.

So the contracts become smaller. So that pressure still remains. The coffee prices are still high and they're still choppy as of now.

But we are seeing some signs of stability in the last 2 - 3 months. The coffee prices have kind of been stable as of now and now the Brazil crop is around the corner, we will get to know more about how things fare when the crop comes in, the flow of crop comes in, we'll get to see that how things are shaping up. So we probably will be better off after a month or so to understand, how the coffee prices have been shaping up.

Charisha Shyam Sukha: In B2B, we have cost-plus model, but in B2C, will we be able to penetrate because of the coffee price increasing?

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Praveen Jaipuria: Yes. So we also, in B2C also, if you see, we take price increases, especially on the larger packs.

Yes, the smaller packs become a little challenging. But again, we do a lot of internal exercise of making sure that we drive optimization at different level, redoing the blends, etc., to make sure that our profitability is maintained. So, and B2C also, we are very small right now. So we are continuing to drive aggressive growth there as well. And we are maintaining margins on that vertical as well.

Moderator: Ma'am, we request you to rejoin the queue for follow-up questions. The next question is from the line of Digant Haria from GreenEdge Wealth.

Digant Haria: Sir, I was invested in tracking your company in the last decade. At that point of time, we used to have working capital as a percentage of sales would be around 30% - 35%. We were more or less a debt-free company, maybe INR 200 crores, IN R 300 crores of debt. I did not track it for the last 3 - 4 years, but I have recently restarted it.

So sir, just wanted to know that what has led to this situation, where working capital has gone up to 45% of our revenue consistently for the last 4 years, plus we have reached a borrowing figure of close to INR 1,800 crores, INR 1,900 crores. Is it just the coffee price cycle? Or is it that in the B2B coffee segment, we have become 7% - 8 % of the entire world market, and now

we are finding it difficult to maintain those economics. Sir, any highlight on this would be great.

Praveen Jaipuria: So yes, a couple of things here. Yes. So I'm sure I don't exactly, you said last decade, but last decade also, there would have been fluctuations. So I really don't know which exact period you would have seen us as debt-free. But the fact of the matter is that '15 to '20, right. Yes. So if you say '15 to '20, the coffee prices at that time was \$1,000, yes. So let's say, even if I even plug in 10% - 15% of volume growth also, my debt should not have gone to the levels that it has gone now.

The single most contributing reason has been the prices. So from that \$1,000 that used to be there in between '15 to '20, it is now \$5,000, yes. For the same amount of coffee itself, I will have to, I'll have to kind of spend 5 times more money. So if you compare with that, then you will see that the debt levels haven't increased 5 times. So that's the single more contributing factors.

I don't think

so it is because we have reached 7% - 8% that we are finding it difficult for more, to get more customers. That's not the reason why our debts have increased. So that is there. And suddenly, with coffee prices at the levels that they are today and with the shortages that are being cited all across, it suddenly becomes a seller's market, as far as the commodity trader.

So when it is a seller market, then what happens is that your payment cycles also get a little bit squeezed because you have to procure coffee then and there and make sure that you secure that coffee.

So for that purpose also, your, so suppose the situation was opposite today, what happens is that if I'm buying coffee from an aggregator or a farmer, I would and in a rising coffee prices, I would like to secure it then and there versus a situation, where, which is opposite when the coffee prices

slide, what will happen is that I'll be in a different scenario, where I could say that, yes, I'll buy

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your coffee now, but pay you in future, he'll be very happy about it, yes, because he's getting a rate, which is higher, which he knows in the future is going to go down.

So all of these factors have added to the stress on working capital. And the working capital out of INR 1,800 crores would be around INR 1,150 crores or something like that. The rest is long-term loans. And these long-term loans is for capacity expansion, which is necessary, and you said that you have tracked it. So every 6 - 7 years, we would see that our investment in capacity expansion goes up, which leads to higher debt levels at that point of time.

But in that cycle, let's say, from next 3 - 4 years from now, you'll see the debt levels again coming back and sliding back to the low levels because not only our repayment of long-term debts would have happened, but also if, say, we get aided by lower coffee prices, it will have a double impact on our loan profile with a lower holding cost for the green coffee that we are holding. So yes, these are the reasons for increased debt.

But overtly, as I've been telling a lot many times that the working capital debt for us mostly is for confirmed contract. So again, that's not a cause of worry because it's not that we are speculatively buying coffee or increasing inventory, and because of that, my working capital is going up.

Digant Haria: My second question then would be that if the coffee prices remain stable for 1 or 2 years, maybe our working capital naturally comes down because the markets will be more accepting of these slightly shorter payment cycles. Is that a correct assumption?

Praveen Jaipuria: Yes, yes, absolutely. So not only stability, you're right. Even that is why in my previous answer, I was mentioning that stability is very important for us because then what happens is that your cycles become longer, your selling cycle becomes longer, you get longer term contracts. The moment you get longer-term contracts, you also plan your value and the supply chain management much more efficiently. So all of this will add up to this thing.

And it is but natural that maybe now or 6 months later, see one crop comes now, which is the Indonesian and the Brazilian crop and one the other set of crop comes in December time. So one of these times you know and while we have been saying this for last, we had said this for last year as well, this did not happen. But I'm sure there will be times when the supply will get regularized and we'll see softening of prices as well.

Digant Haria: Okay. Okay. And last question, if I can squeeze, like in the last decade, we always used to say

that we gain market share via putting better blends and delivering coffee on time. The same has been the story for the last 4 - 5 years as well, like how much have we innovated on the number of blends and number of new markets? Any such color if you can give, that will be the last thing

from my side.

Praveen Jaipuriar: Yes. No, absolutely. I think there is multiple approaches to our growth trajectory. Yes, we gained share, market share through innovations and through more better blends and things like that.

That continues to be our forte. And that is why we keep getting newer clients as well. And it's kind of probably since you said that you have restarted following, maybe you haven't heard us for last 2 - 3 years.

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But then you would have realized that there are a lot of new markets, new products that we have launched, things like instant cold brew or microground coffee or a new blend. All of these have been our ability to keep gaining market share and drive penetrations in markets, where we are not so strong. So this will continue from our side. We'll keep doing this all the time.

New blends, I don't have the numbers right now, but probably in between '15, '20, when you were tracking, we would have had maybe 500 - 600 blends in our library. Today, we have 1,000. So that probably speaks of the fact that every day is a day when we kind of develop something new for some client or the other.

Moderator: The next question is from the line of Lokesh Maru from Nippon India Mutual Fund.

Lokesh Maru: Congratulations on excellent set of numbers this quarter. A few questions from my side. One is, as you know, if and all, if coffee prices go down from here, do you think our end clients will maybe wait out a few quarters or a few months to let the coffee prices bottom out and that could be a quarter or 2 maybe for us of some volatility in volumes?

Praveen Jaipuriar: So thanks, Lokesh. And it will all depend on how much because ultimately, our end clients are also serving consumers and customers. So they will have to maintain certain stock levels to make sure that they don't run out of stock. So I don't think so people will wait to bottom out because bottom out is something that nobody knows where it will bottom out. So that's a thing. Yes, they may continue to work on a razor thin inventory levels, which they are anyways currently working on. So that trend may be there. But yes, I don't think so beyond the point, they can delay their orders.

Lokesh Maru: So the same trend that we are seeing 10% - 15% growth during this time, you think given the category is sticky, this will continue, maybe it won't fall off basically.

Praveen Jaipuriar: Yes. This won't fall off. Yes.

Lokesh Maru: Another question on tariff differential. If at all, there is a 10% tariff, let's say, so is it, does it give way to Brazil or does it give way to local manufacturers in U.S. to gain some bit market share?

Praveen Jaipuriar: So U.S. doesn't have a lot of local manufacturers. They either depend on Mexico, Brazil or Asian countries like India and Vietnam. So I don't think so they have any internal edge over the other countries. Now coming to other countries, I think as of now, tariffs are a level playing field. If nobody knows what's going to happen in future because it's, the U.S. administration has been very, very unpredictable.

But if you were to pick up signs, you would have seen that probably India and Vietnam, both the countries are one of the best place countries to kind of finalize trade deals. In fact, U.S. themselves have told that India is one of the first countries, where they're going to finalize the trade deals.

These are positive signs. Vietnam, we all know that the delegation is already or was in U.S., and they have kind of slashed all the import duties from U.S. to 0, which is an indication of the fact that they are also wanting the status quo to be restored. So, and both these places, we are pretty

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much well placed to kind of cater to the demand. So I don't see, as of now, any sort of disadvantages for us. But yes, we'll hold our breath till we

get to hear finally from them.

Lokesh Maru: Perfect. Sir, one question on this side, your gross profit growth has been 19%, but EBITDA growth has been higher at 38%. So fundamentally, when you negotiate a contract, does it basis gross spreads, I mean, because when you come to EBITDA, fixed over is in, is in company's hand, right, how to manage. So is it gross spread that you negotiate on? And is that something we monitor to monitor the volume growth apart from these production mix changes obviously...

Praveen Jaipuriar: Both the levels, but fundamentally, we would like to protect the EBITDA growth. So therefore, a large portion of the expenses are built into the margin calculation that we do. So we do make sure that all the expenses are also built into the costs that when we are doing the final negotiations and the price negotiations.

Moderator: The next question is from the line of Swayam Ranabhat from Pinpoint Capital.

Swayam Ranabhat: So my question is like, sir, can you please tell me about the demand scenario that we are seeing from B2C segment? And are we like seeing any sort of challenges over there?

Praveen Jaipuriar: So considering we are a very new player here, there are numerous challenges. The biggest challenge is to fight you know, 2 big players in the market. So, but yes, off late, what we have also seen is that because India is a very price-sensitive market. And with the kind of price increases that the category has taken in the last few quarters, we are looking, and we are experiencing certain stresses in the demand.

But I believe these are short-term stresses because the amount of consumption that is, the amount of consumption that is being driven, especially the out-of-home player in the cafes. I think fundamentally, in the long run, we see a huge demand that is going to kind of creep into economies like India, which is looking like, looking, as of now that the nation is fastly converting from a tea drinking nation to a coffee drinking nation.

So long-term demand, this thing, we are not very bothered about. Yes, in the short term, there are some category stresses, but we are very small, as of now. We will continue to aggressively drive it because our main efforts will be towards gaining as much of market share as we can.

Swayam Ranabhat: Got it, sir. And sir, my last question is, what are the key strategy that we are following to grow our overall business going further?

Praveen Jaipuriar: So it's a multipronged strategy. We are looking to make sure that we increase our proportion of private label consumers, who generally are end consumers because these are not consumers, customers, sorry. These are customers, who stay for you, with you for very long periods of time.

So that's one strategy that we are working on.

The next strategy that we are working on is to penetrate newer markets. We have been talking about this. B2B. We all know it takes a bit of time to convert customers because a lot goes behind converting customers. It's not just price. It's the type of coffee, the blend. They must be

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convinced about not only the price, the blend, but also our value chain system that we are geared for delivering the demands of their demand in turn. So all of this play a role.

So new geography expansion is also something that we are working on. We have been starting to get results from markets like China, Taiwan. So these are new geographies that we'll build on. Add to it, we are also looking to increase our footprint in the Middle East and the African markets going forward.

So yes, it's, and in the domestic market, in the branded segment, we are continuing to drive share gain through distribution expansion and through new geographies and more penetration, driving more and more sales in the quick for and the e-com space. So it's a multipronged strategy, differently played for different geographies, different segmen

t of ours, different customer of ours. So yes, these are a few of the nuggets that I've given you that is what we are adopting to grow our sales.

Moderator: The next question is from the line of Rajesh from AlfAccurate Advisors.

Rajesh: Just wanted to understand 2 important things. One is, do you see that in terms of the coffee prices, let's assume the prices stabilize, whether any of the, from our side, the shipment, whether is there any preponement in this quarter? That is the first question.

And second question, if I look at the freight cost, which has gone up significantly due to these tensions and geopolitical issues, how is it behaving now? And do you expect a stabilization in the same?

Praveen Jaipuriar: So there wasn't any preponement per se, yes. So we didn't see any of those trends coming in.

And as far as freight costs are concerned, we still, it's very difficult to comment. There was a quarter when we thought that now things are very stabilized in the Red Sea zone. And I come to hear that yesterday, there was a bombing at Yemen imports and all that. So really, it's very difficult to comment right now where things will go forward with.

Then again, when Trump had decided tariffs and all that, suddenly, there was a slump for a few days. Then again, it went back. So it remains to be a little uncertain at this point of time. We would hope that over a period of time, these things settle down. And also sometimes directly, if you compare freight charges, sometimes it also doesn't give you the right picture because a lot of times, we have a mixture of FOB and CIF contracts.

So sometimes it gets this thing in the above column of revenue and COGS. So it's a little difficult to kind of actually also compare like-to-like and a direct comparison may not always give you the right scenario.

Rajesh: I see. And from your EBITDA per kg perspective, the debt remains quite constant, right, like FY '25. And when you look at going forward, as you focus a little bit more on the mix, do you see any scope for improvement in EBITDA per kg?

Praveen Jaipuriar: So no, EBITDA per kg, this is a little tricky question. We have seen EBITDA per kg improvement this year because we concentrated a lot on end customers, the mix changed, we
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concentrated a lot. See, what has happened also is that because of these high coffee prices, there is a lot of churn that is happening internally as well in terms of newer coffee blends getting developed, even customers are because nobody is wanting to increase prices so much.

So there is what we call it all at, all times when the prices go at such high levels, not just coffee, any commodity or any sector that you see, there are a lot of internal churn in terms of more efficiency building happens. So all of that we see has taken, has been a part to increase the EBITDA per kilo. Now some of it will probably continue. Now the rest of it, how the volume mix is going to change, we never know.

Tomorrow, let's say, the coffee prices go down and we kind of get low-margin business as well into our portfolio to be added, maybe the mix could change and the EBITDA per kilo may be kind of come down. So there are a lot of ifs and buts are at play. There are a lot of parameters are at play. And therefore, we give a guidance that at an overall level, we have given a guidance that our EBITDA growth at an absolute level will be at 15% to 20%.

There will be times, where we will drive this through more of volume growth. There will be times when we will drive it through better EBITDA per kilos. But yes, that's been our overall guidance, therefore. So if you look at this quarter that, okay, EBITDA per kilo has gone up significantly. Will it continue? It's a question that is very difficult to answer. But yes, what is certain is that we will continue to drive our EBITDA, absolute EBITDA growth between 15% to 20% year-on

-year.

Rajesh: Sorry for, I joined a little late, if I can mislead this call. I don't know if this question is already asked. So the...

Moderator: We probably request you to rejoin the queue for follow-up questions. The next question is from the line of Kashyap Javeri from Emkay Investment Managers.

Kashyap Javeri: Congratulations for amazing set of numbers. Just wanted to check, one, what was the broad range of volume growth in quarter 4 and consequently for the full year? Second, if I look at the difference between consolidated and stand-alone numbers this quarter, there is a fairly sharp rise in subsidiary profitability. So whether it was Vietnam, the granulation unit in Europe or whether this was the retail or branded sales that drove that profitability?

And the third question is on Vietnam, there is likely probably tariff of a very high number, though it's been postponed now. But with 100 % customs duty on coffee imports in India and likelihood of tariff on Vietnam, how can we juggle the production for various geographies?

These are the 3 questions that I have?

Praveen Jaipuriar: Yes. So Kashyap, as far as volume, let me give you a broad idea, the volume growth was closer to 10-ish kind of for the full year.

Now coming to the second part, the subsidiary profits were higher. Yes, it wasn't that CCSA because that's a very small in terms of revenue, it's a much smaller subsidiary. So yes, profitabilities were much higher at NCL and not really with the granulation unit at CCSA. So NCL, the profitabilities were higher.

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Now that profitability is on 2 accounts, as I already mentioned, that the customer profile, the efficiencies, all of this had an improvement. Also at a net level, Vietnam is a tax-free this thing, so you get to see more profits there. So that's the reason there. And the third thing you asked was about...

Kashyap Javeri: Sir, likely impact on Vietnam.

Praveen Jaipuriar: Tariff. Yes. So...

Kashyap Javeri: Is still better than India. So...

Praveen Jaipuriar: Yes. So tariffs, again, I was just mentioning as an answer to one previous question that we believe, again, tariff once 90 days are over, we really don't know because things have been very unpredictable. But the signals are much more positive for both the places, Vietnam and India.

Vietnam has already kind of made all imports as 0 tax from U.S., urging them to go back to status quo. So I'm sure there will be some settlement there.

And India also, we are seeing certain positive signals when U.S. declared that India would be one of the first countries, where they would confirm the tariff deals. Just because India is 100% tariff on coffee, I don't think so it affects India U.S. coffee trade because U.S. neither grows coffee nor produces coffee, yes.

So I don't think so, it's unlike cars, wherein the U.S. has been very adamant that you put 100% tax on cars of mine, but I put 0% tax for your cars. So that's not fair. But in coffee, there is no reason for any kind of conflict because they are neither growing coffee nor they are making coffee. And India doesn't import coffee at all from U.S. So I don't think so that will be a point of contention. We feel that both the places will be positive.

The other thing is that considering that the way our plants are configured, the way our blends are configured, we have the option of -even if, let's say, out of these 2 countries, one becomes a little unfavorable, we have the option to supply from the other country. So we have that flexibility. Now it's quite unlikely that both these countries will become unfavorable for U.S.

yes. So that's something that we are not too worried at this point of time. But having said so, that unpredictability about U.S. government stays, we really will have to see when the time comes.

Kashyap Javeri: Okay. And just utilization levels, that's the last question, both places.

Pra

veen Jaipuria: So utilization generally see at, so I generally break it down between 2 sets of things because the expansion has been at a staggered level. The earlier capacity, the existing capacity, we are almost running 100%. The newer capacities last year because they came at different points of time. But on a yearly basis, if you see, there was 10% to 15% utilization of the newer capacities. And the extended capacity of Vietnam, we just announced. So we will see in the next quarter how the utilization happens.

Moderator: The next question is from the line of Prateek Poddar from Bandhan AMC.

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Prateek Poddar: Congratulations on a great set of numbers. Sir, I have just one question. I know this question has been asked, but just on inventories, as a proportion of sales or let's say, when we look at other companies, which use input and convert it into final products, whenever they see a price increase, we don't see them increasing their inventory levels or the inventory in terms of number of days as a percentage of sales increasing. Can you help me understand why is it particular, or why is it only in our case that when coffee prices rises that you, that the inventory levels go up far higher than input to sales?

Praveen Jaipuria: So 2 things here. Yes, I think that's a very valid question. Two things here. One is that our buying happens from multiple sources, yes. So the multiple sources are sources like Vietnam, Indonesia, Brazil. Now Vietnam, Indonesians are much closer to our manufacturing units. So suppose you were to buy from Vietnam or Indonesia, probably you build 15 to 20 days of transit time.

But you're buying from Brazil, then you probably have to build in 60 days of transit times. So last year, if you see, a lot of our buying was also from Brazil because there, the prices were much more favorable. So that adds to your holding cost of inventory.

Second is that a lot of our buying happens at the ground level from the local aggregators, from the local farmers. Now in the rising price scenario, it so happens that the chances of default becomes much higher. So today, let's say, if the price is 100 and I contract it at 100 and I don't secure it right away, the chances are that tomorrow when the prices have gone to 150 the guy could come back and say, there were some mismatches in inventory, he didn't calculate it properly, blah, blah, blah and he would tend to default.

Now you can't go to court cases with these small, small time sellers. So what you end up doing is kind of you say that stick to the coffee. So therefore, these 2 tendencies increases the holding cost of inventory for us. The opposite will happen when the prices are sliding down.

So if the prices are sliding down, I would have paid him at higher price, but he would be very happy to hold it for me because, let's say, 2 months down the line, the prices would have slid another 15%, 20%. So he would be very happy saying that you don't worry, I'll hold it for you. I'm holding it. So these are the challenges that come into picture, and that's the reason you will see a higher inventory holding.

Prateek Poddar: Could you just split the inventory into finished? How much would be finished goods? Is it possible for you to call out?

Praveen Jaipuria: Finished goods won't be much because generally, the finished goods have everything is against order. So as and when the order comes, so maybe finished goods will be, let's say, 15 days of stocks, not more than that, 15 or 20 days of stocks, yes. But inventory could be 3 months, around 3 months of stocks. Green coffee inventory, sorry.

Prateek Poddar: And sir, just last question in terms of getting the supply guide because this has obviously been the case. You've been here in this industry for 20 years. You would have your own supply chain, right? You would know who's trusted me and who's not. I mean in the

past 20 years, that kind of knowledge or on-ground insights would be there, right, in terms of ultimately, it's a relationship business.

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So I find it a bit difficult that, I agree that there is this tendency for someone to make profits on the, I mean, have opportunistic profit, but then he uses the relationship forever, right? Is that still something which is widely practiced in the industry...

Praveen Jaipuria: So it doesn't happen 100% of the time. You're right, we are now 30 years in the industry. We practically know every supplier, every aggregator. But having said so, let's say, for 60% to 70% of our purchase, which is generally from large houses like the OLMs and the e-coms of the world, we don't face those kind of challenges because these are pretty professional organizations.

But what we balance is at a very local level. Now while we know these people, that, in fact, adds to this thing because this guy comes with a silken face and says that he has a miscalculation of inventory, I really can't go after him putting up cases and all that. So yes, it's not that 100% of my stock are there. But this little 30% probably adds to certain days of your inventory, yes. So

we don't want to take chances. And because we have done the contract, so we cannot, in fact, we would, our model is very simple. The day we finalize the contract, the same day we go and buy coffee.

So it's an added pressure for us also because if I even leave for 10 days and the coffee prices would have fluctuated, then I am in a tight spot. So it's my desperation to make sure that I've secured the coffee in the same day adds to that level of this thing that I need to secure. So even if he may not default or do things bad to me, I need to make my security to improve.

Prateek Poddar: So why do we need to keep 6, sorry, last question and maybe we can take it offline. You need to keep 6 months of inventory, your, let's say, cycle is less than 3 months, right, from processing perspective.

Praveen Jaipuria: But there's no 6 months of inventory. Where did you calculate 6 months of inventory?

Prateek Poddar: Anyways, I think we'll take this offline. This will be...

Praveen Jaipuria: Yes, there's no 6 months of inventory at all.

Moderator: The next question is from the line of Abneesh Roy from Nuvama.

Abneesh Roy: Two quick questions. One is in terms of price hike in the B2C Coffee India, how much has the industry taken and how much you would have taken last 1 year?

Praveen Jaipuria: So Abneesh, probably on the larger packs, 30% to 35% industry has taken, and we have also taken similar price increases. But yes, the smaller packs like the single-serve sachets and the INR5, INR10 pack, that remains same. There has been certain grammage reduction and some reblending that would have happened. But yes, that's about it. So 30%, 35% industry has taken the price increase. We have also done that.

Abneesh Roy: Sure. Second and follow-up question essentially. In tea, we have seen down-trading and downgrading. So from larger packs, smaller packs are being bought in the B2C and customers are also shifting to newer brands, weaker, cheaper brands. In coffee, would you have seen similar phenomenon in India recently.

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Praveen Jaipuria: So in coffee, that sensitivity is a little lower because while tea is very hugely penetrated and goes to all kinds of consumers, coffee is a little more concentrated towards more A class and B class. And also, it's a very urban phenomena. So the price elasticity is actually better there than the commodity like tea, which is very price elastic and very sensitive to price increases.

But yes, and the other thing is that coffee in North India and coffee in South India, they are consumed very differently. In South India, anyway, the small pack used to contribute approximately 65

% of the business, yes. So that remains to be true even today. In North, the phenomena of small packs is much lesser. It is largely a large pack market up and upwards of 50 grams.

So there, as I was telling in my earlier answer as well, in the last quarter, Nielsen has reported certain volume stresses, but it's not very significant. So we'll wait and watch because a lot of price increases have happened in the last 3 months or 4 months or so. So I think this quarter, next quarter, we will see how the category numbers are. But it isn't so much drastic, as it would have happened in some of the other more penetrated category.

Moderator: We'll take our next question from Vivek Tulshyan from New Mark Capital.

Vivek Tulshyan: If I look at the coffee prices, whatever data we get on the global side, it seems like coffee prices have gone up almost 60%, 70% in the last 1 year, whereas if I look at our contribution growth from realization is only 6%, 7% because the rest of it is volume growth. So would it be fair to say that even if coffee prices start to correct because these contracts are coming with a lag, we will continue to see growth in terms of realizations for the next few years before it starts kind of

tapering off?

Praveen Jaipuriar: Yes. So of course, it will all depend how quickly or how slowly the prices go down. But first and foremost, let me just come to the first observation that you had. I don't think so the price increases have been 70% in 1 year, 60% to 70%. Last 1 year has been largely, I think, 20% or 30% or so, but with a lot of ups and downs, yes. Lot of ups and downs, yes.

So there are times when it used to kind of, for example, when Trump announced tariff, that day itself, the coffee prices fell by 10%, yes. So these kind of fluctuations have happened in the last year. It will depend. A lot will depend on our revenue trajectory on how much or at what times we have done our contracts.

A lot of times, a lot of our contract gets closed on the days of drops, because everybody is in a wait and watch these days. So the moment there is a drop, we would see a lot of confirmation.

So very difficult to predict the price advantages that we may get to see once the prices either stabilize or to cool off. It will depend on various factors.

And that's the reason I think that, because that is something that is not fundamental to our performance. And that's the reason we always say that EBITDA growth is something that should be tracked for our metrics because whatever the price fluctuations are, whatever long-term, short-term contracts we get, all said and done in a longish period of time, we are committed to delivering that 15 %, 20% EBITDA CAGR. So that's where we stand.

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Vivek Tulshyan: Got it. And the second question was if the coffee prices remain at the current level, then given our investment has increased because the coffee prices have gone up and our inventory holding is at a higher price, do we also renegotiate on our whatever EBITDA per kg that you would be charging the clients? And does that also start showing up in higher EBITDA per kg going forward?

Praveen Jaipuriar: No, no, no. So we are a cost-plus and a back-to-back this thing company. We do cost-plus pricing, and we do back-to-back buying. Therefore, what it means is that both at the back end or at the front end, we don't renegotiate. So we don't renegotiate for any contract that would have done at certain price that the coffee prices have fallen, so give me at a lower price. That's not what we do or that's not even the industry practice as well.

And secondly, once the contract is over, I don't think so even the clients renegotiate with us for lower cost because we would have bought the coffee at the time of the contract at the price that we had mentioned at that point of time. So that is not there. Again, now once the coffee prices fall, yes, then

a new contract is liable for new negotiations.

So there will be negotiations with the new prices or at the time of finalizing the contracts, there will be new negotiations. So that we will see how it takes place. But yes, at a blended level, at an overall level, bottom line level, we try and see that how well or how can we protect our EBITDA per kg. So that's our endeavor when we kind of give our prices or work our cost prices and things like that.

Vivek Tulshyan: Just the last question.

Moderator: Sir, we request you to rejoin the queue for follow-up question. The next question is from the line of Prakash Goel from Kedaara Capital.

Prakash Goel: Praveen, I wanted to understand like we were working back the numbers that you have close to 7% price realization growth. Hello? Am I audible?

Praveen Jaipuriar: Yes, yes. Please go on.

Prakash Goel: Yes. So if you are doing the same thing with the inventory as well, there's a good amount of jump in the volume of the inventory that you had at the end of the year?

Praveen Jaipuriar: Yes.

Prakash Goel: Is that correct? Like how to think about it? Like how much volume you extra you are owning at the end of the year?

Praveen Jaipuriar: Yes. So it again depends on and we'll kind of work it out separately probably to give a little more granular answer. But at broad level, the inventory this year probably has gone up because of the fact that a lot of are buying products from Brazil, which takes a lot more logistics time to reach us. But you own the inventory at the moment you buy these stocks, yes. So therefore, there will be some this thing inventory increases during the year. Just not because of volume increase. It's also because of these logistics issues and all.

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Prakash Goel: And it would be also helpful to understand like your EBITDA margin jump is very significant

in Q4 what has led to this? Like any specific reason? Because, say, when there will be a fall, people would like to understand what went right in Q4 and what went wrong in Q1. It might be appropriate for you to share the details so that we can plot that trajectory for the company.

Praveen Jaipuria: Yes, yes. So I'll share certain details beyond which it becomes detrimental for us. But the details are, again, as follows. In Q4, we had a very high proportion of high-margin contracts. And a lot of end customers, which we had talked about in the last 4 quarterly updates that we are working on a lot of them. So a lot of these contracts happen to be high-margin contracts.

If you also see the volume trajectory for last 3 years has been a lot closer to 20%, 22%. This year, it's closer to 10%, which means that, that 10 % trajectory drop is also because of the fact that we were not, we did not do low margin, a lot of low-margin contracts. So suddenly, the per kg EBITDA profile kind of increased a lot. So these are the reasons in quarter 4.

Now going forward, again, one could, that's the reason I kind of have been harping on this and telling us that while we should understand the per kilo EBITDA, but this should not be a measure to keep tracking because, let's say, if the per kilo EBITDA has jumped, do we think that this will constantly stay here?

Probably not, but it will depend on a lot many things how the profiles are, what new customer acquisitions are, we are doing at what price, what margins and all that things will come into play. Therefore, at an absolute level, we say that, okay, how are we growing our EBITDA at the absolute level?

And that's the guidance we are giving that 15% to 20% because we also know that there will be times, where we will drive low-margin business as well. So higher volumes with lower margin business, what would mean is that it will lower down my EBITDA per kilo, but it will still keep me in that bracket of 15%, 20% EBITDA growth. So that's the metrics we try and track and see over

a period of time that is it moving in that direction or not.

Prakash Goel: So basically, you are saying that if you are growing 20% volume, you can have a very much flattish Y-o-Y EBITDA margin per kg. Unfortunately, or unfortunately, we try to track everything possible. And obviously, some of these numbers may not match quarter-on-quarter or year-on-year.

Praveen Jaipuria: Correct.

Prakash Goel: And there's no benefit of currency or price by virtue of price movement. It is more just because of the particular contracts.

Praveen Jaipuria: Yes, yes. Because there is a price movement as we were doing back-to-back, we don't kind of get any benefit of the price movement.

Prakash Goel: And the benefit of currency also as well?

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Praveen Jaipuria: Currency, see we buy in dollars, get in dollars. So most of it is negated over a period of time. So there isn't any significant gain here or there. And these are all built-in basis. There will be certain things here, and I cannot say it is 0 because it's not that 0. There is a margin difference that we get. So on that, there will be certain differences that may crop up. But these are not significant to drive our or to change our performance that we are seeing.

Moderator: The next question is from the line of Bhargav from Ambit Asset Management.

Bhargav: Congratulations on the good set of numbers. Sir, my first question is that assuming that the volume growth is flattish, say, for next year and if the raw material prices fall by about 10%, then what can be the reduction in your working capital loan, which is obviously correlated to our inventory just on a broader basis?

Praveen Jaipuria: Yes. So yes, we'll have to do a calculation here. But on a broader basis, very simple, if I don't grow volumes, and the prices will come down by 10%, my need for working capital will come down by 10%, considering if we are holding the same inventory. But let's say, for example.

Bhargav: So in a falling price environment, obviously, your inventory days will also reduce, right? I mean, that's the assumption.

Praveen Jaipuria: Absolutely. Because the cost of holding the inventory and the total inventory will also come down. Also, like I just told in the last answer to the last question that, let's say, it also depends where the prices are following, which origin is better suited. Let's say, for example, in a scenario, where the Vietnamese coffee prices become much more favorable and they fall, then my inventory days will become even lower because my, I have more ability to do just-in-time buying.

So let's say, in Vietnam, we used to buy coffee from Vietnam, yes, which changed last year because we started buying coffee from Brazil, from Vietnam. So all the way from Brazil, the coffee was coming to Vietnam. So there are a couple of more factors, which lead to our inventory holding stocks and the valuation both put together.

Bhargav: And would it be, would it probably possible to share what would be the share of Brazilian raw material in your overall inventory mix? And is it fair to say it's been the highest this year?

Praveen Jaipuria: Yes, it has been the highest this year. Exact number probably offline, we'll be able to share with

you.

Bhargav: Sure. And lastly, sir, in terms of trends in the event the coffee prices fall, obviously, it's difficult to highlight, but do you see fall more in Brazil relative to Vietnam? Or how should we think about.

Praveen Jaipuriar: No, sorry. I was, I couldn't hear your last part.

Bhargav: No, I'm saying the fall in the coffee prices could be more in Vietnam or in Brazil, sir, in your opinion?

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Praveen Jaipuriar: No, we really don't know because as I told you, the Brazil crop comes now. Really, we'll have to see that how the flow is. So let's say, if the flow is very good because Vietna

m crop comes in

November, December. So that's the time we get to know about Vietnam crop. Now we will get to know about Brazil crop in another 20 days, 25 days' time. It will just start flowing in the next 4, 5 days. It will start happening.

And then next 15, 20 days, 30 days, you get to see that how the flow is and how the demands are and how the picks are. So that will determine the price range for the Brazilian crop. But difficult to predict which one will be lower or both will be higher. God knows.

Bhargav: And in the event, sir, if the reciprocal tariff on Vietnam is higher than in Brazil, do you think that the Vietnam coffee prices could fall more because the sourcing will reduce from Vietnam or nothing to do with that?

Praveen Jaipuriar: No. So yes, it will, it should because if the Vietnam tariffs in other countries and especially U.S. become higher, then there should be a thing in Vietnam. But this is, this looks farfetched, as of now because the fact of the matter is that Vietnamese have been most proactive to go there and sit there and tell that, okay. And in fact, they were the first ones to announce that we are announcing 0 tariffs on all American imports. So we don't see that situation arising. But yes, if it does arise, the Vietnamese coffee crop will come down, the prices, sorry.

Moderator: So the next question is from the line of Nirav Savai from Abakkus.

Nirav Savai: My question is on the long-term contract side. So we had been facing a lot of challenges there I would understand when the coffee prices were rising. So have we seen any normalization there?

Praveen Jaipuriar: Not much there because they still are at high levels and at choppy levels. So we haven't seen normalization there. So still people are, because as and when, while the prices have been a little more stable in the last 2, 3 months, the thing is that people would wait for these crop cycles. So they will wait for another 20 days, 30 days to see how crops have come in Brazil and then probably would want to confirm contracts. And then what happens is that next 2, 3 months, they would, so everybody is in a little wait and watch. So I haven't seen much of a change in that scenario.

Nirav Savai: But would it be able to, would it be possible to quantify the revenue, which has come from long-term contracts in this quarter?

Praveen Jaipuriar: So generally, see, again, that's not, that's very difficult to say. Now we must divide 2 things here. Now when I say long-term contracts versus long-term customers, so these are, it's not that you're not getting long-term contracts and therefore, my long-term customers have gone away. The long-term customers are always there with me. But they are the ones who are giving me short-term contracts.

So my, as we have spoken about this before as well, my long-term customer profile will be approximately 60% to 60%, 70%, yes. So these are my long-term customers who buy from me always. But the only thing is that instead of saying that, okay, the next 1-year quantity is this much, they would say that, no, let me buy only for 3 months.

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So that's the percentage and the profile of my long-term, short-term customers. Now out of that long-term customers, how much was long-term contract is something that I'll have to see and calculate and come back to you. But this is a better way to look at it, that are the long-term buyers intact with me or not.

Nirav Savai: Right. And in terms of small pack contribution, how has it been for the quarter and the entire year?

Praveen Jaipuriar: So entire year, now we have crossed around 20%. So that's an increase. We were at around 18% or so, 18%, 17% to 18% last year. So this is constantly inching up. Hopefully, we are kind of planning to inch it up another by 2%, 3%. Let's see how things go this year.

Moderator: Ladies and gentlemen, this was our last question for today. I wo

uld now like to hand the
conference over to the management for closing comments.

Praveen Jaipuria: Yes. Thank you all for joining us for this conference call and sorry, and thank you, Manish and your team for organizing this. We look forward to meet you again next quarter.

Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us.

Call: Aug 2025

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Date: 12.08.2025

To

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Scrip Code: CCL To

The Corporate Relations Department,

BSE Limited,

Phiroze Jeejeebhoy Towers,

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Scrip Code: 519600

Dear Sir/Madam,

Subject: Transcript of the Conference Call held to discuss the results of Q1 FY 2025-26 as required under Regulation 30 of SEBI (LODR) Regulations, 2015

With reference to the above-mentioned subject, we wish to inform that,

i) The copy of the Transcript of the Conference call held on Wednesday, 06th August, 2025 to discuss the results of the first quarter of the financial year 2025-26 is enclosed herewith.

ii) The Transcript is also uploaded on the Company's Website and the web-link for the same is:

<https://www.cclproducts.com/wp-content/uploads/2025/08/Q1-Earnings-Call-transcript-2025-26.pdf>

iii) The List of Management attendees is stated in the transcript.

iv) No Unpublished Price Sensitive Information was discussed in the call.

This is for your information and necessary records.

Yours sincerely,

For CCL Products (India) Limited

Sridevi Dasari

Company Secretary & Compliance Officer

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Q1FY26 Earnings Conference Call

August 06, 2025

MANAGEMENT : MR. CHALLA SRISHANT – MANAGING DIRECTOR –

CCL PRODUCTS (INDIA) LIMITED

M R. B. MOHAN KRISHNA – EXECUTIVE DIRECTOR –

C CL PRODUCTS (INDIA) LIMITED

M R. PRAVEEN JAIPURIAR – CHIEF EXECUTIVE

OFFICER – CCL PRODUCTS (INDIA) LIMITED

M R. CHAITHANYA AGASTHYARAJU -- CHIEF

FINANCIAL OFFICER – CCL PRODUCTS (INDIA)

LIMITED

M S. SRIDEVI DASARI – COMPANY SECRETARY –

CCL PRODUCTS (INDIA) LIMITED

MODERATOR : MR. MANISH MAHAWAR – ANTIQUE STOCK BROKING

LIMITED

CCL Products (India) Limited

August 06, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the CCL Products (India) Limited Q1 FY '26 Earnings Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manish Mahawar. Thank you, and over to you, sir.

Manish Mahawar: Thank you, Anushka. Good afternoon, everyone. I'm pleased to host today's earnings call of CCL Products. We have leadership team represented by Mr. Challa Srishant, Managing Director; Mr. Praveen Jaipurkar, CEO; Mr. Chaithanya Agasthyaraju, CFO; and Ms. Sridevi Dasari, Company Secretary on the call.

Without any delay, I would like to hand over the call to Mr. Jaipurkar for opening remarks, post which we will open the floor for Q&A. Thank you. Over to you, Praveen.

Praveen Jaipurkar: Yes. Thank you, Manish, and thank you, team Antique for arranging the call. Good afternoon, everyone. I welcome you all to the first conference call of '25-'26. Let me just give a brief overview of company's performance for the first quarter. The group has achieved a turnover of INR1,058 crores for the first quarter as compared to INR774.6 crores for the corresponding quarter of the previous year, achieving a growth of 37%.

So this incidentally is the first time we achieved a turnover of INR1,000 crores in a quarter. The EBITDA stands at INR161.43 crores as against INR131.62 crores, which is a growth of 23%, while PBT is INR131.62 crores, growing at 8% and the net profit stands at INR72.45 crores with a growth of 1%.

The PBT and PAT got impacted due to higher interest and depreciation component. The domestic market where we sell our branded products continues with its growth momentum and we clocked approximately INR150 crores in the first quarter itself.

Out of this INR150 crores, almost INR100 crores was from brand and the retail business. So -- and because of this aggressive growth, there is a continuous market share gain across the channels and across geographies. As far as the green coffee prices are concerned, they have softened 20% or so or 20% to 30% in the last 2, 3 months. However, there is -- still there is a lot of volatility in the market.

Every day, we see a lot of ups and downs that is happening, which is making the buyers -- still the buyers are very tentative. The period between the Brazil crop, which is ending now the harvesting of Brazil crop and the harvesting of -- starting of the harvesting of Vietnam crop, which happens in December time, I think this is a period of wait and watch for all of us because if prices were to remain stable during this period. Then it augurs well in terms of the price softening and stabilizing post the Vietnam crop. So that's a little brief from our side. I open the house for questions now.

Moderator: We take the first question from the line of Akash from CC Products.

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Akash: Congratulations on good volume numbers. I just had a few questions regarding the volatility in margins because I know the correct way to gauge your company's EBITDA number as you have previously mentioned. But the huge variations in quarterly margins, what do you think is a stable number to look at?

Because I can understand with coffee prices decreasing, your EBITDA will be the same and therefore, margins will increase if the coffee prices stay the same. But then what is the good way to see your margins, sir? Because there's a huge volatility quarter-on-quarter?

Praveen Jaipurkar: Yes, absolutely, Akash, you're right. And this volatility

is simply because our selling price is

related - we operate on a cost-plus model. So our selling price is related to coffee prices. And if the coffee prices fluctuate, EBITDA as a percentage to top line becomes very confusing. So the right way and that is what we have guided that the right way is to look at your EBITDA growth numbers.

So in most - last 2, 3 years, we have always guided that our EBITDA will grow in line with our volumes. And we have given a guidance of 15% to 20% volume growth and EBITDA growth year-on-year and that is what we have been maintaining.

So if you see our EBITDA growth at a consolidated level, it is at 23%, which is what one should look at that is this growth momentum being continued or not. And that is how we internally also look at that - are we maintaining this momentum or not?

Because there are a lot of other factors apart from the coffee prices also that determine this percentage to - EBITDA percentage to top line, things like what is your product mix, what kind

of clients you are serving, what kind of pack sizes you are serving. So these are all determined and there could be quarterly fluctuations in terms of what kind of product mix was there, what kind of client mix was there, what kind of pack size mix was there.

So therefore, keeping all of this in mind, we have always guided that you should look at the growth figures when it comes to EBITDA. And our guidance has always been 15% to 20% and that is what we have been maintaining for the last 3, 4 years. And that's our aim to kind of at least for the next 3 to 4 years that will be our aim to maintain that kind of a growth momentum. Akash: Okay, sir. Just a follow-up, sir. With Brazil having 50% tariff, okay, and most probably the coffee prices will be - the coffee prices will be passed on with 50% tariff. Is there any chances of those coffees getting rerouted to countries like Vietnam and India for processing and therefore, we stand at advantage for that? Is this a possibility?

Praveen Jaipuriar: So there is definitely a possibility because of 50% tariff, they would want to sell the coffee to other regions as well. The good thing about us is that both at India and Vietnam, we are placed in such a manner that we can buy coffee from across the world.

So that gives us a lot of flexibility, which is not necessarily there with a lot of producers across the globe. So whether Brazil coffee gets sold in Vietnam at a good price or Vietnam coffee comes down because of our flexibility, we are always in an advantageous position.

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So either way, we are not speculating or wanting to kind of double guess the market that what will happen. We are taking as things come along because anyways, we are in a good advantageous position.

Moderator: The next question is from the line of Abneesh Roy from Nuvama.

Abneesh Roy: My first question is on the India coffee costing. Based on the current tariff structure, and these can change, we all know that? But if we assume that this is the current India tariff structure and this is the current Brazil tariff structure and then taking the international price of coffee, my sense is international coffee has corrected 30% from the peak, if you could confirm that. And based on the 2 crops which we have, Robusta and Arabica, what will be your sense if we ignore the tariff-related noise and based on the supply/demand, what will be your expectation? You expect more coffee correction in India on the - in terms of the India prices?

Praveen Jaipuriar: So Abneesh, you're right, there's a lot of flux in the market and that is actually - has kept all of us guessing. First and foremost is tariff. Tariff also, we all know while the statement come at a very broad level that there are 20% tariff or 25% tariff or, let's say, 50% for Brazil. The final prints have to be read because there are a lot of segments which they are

also choosing

to kind of let go. So that is keeping all of us guessing that what is going to happen. But leave alone that fact because at both India and at Vietnam levels, the tariff structures as of now comparatively are at an advantageous position because Vietnam is at 20% and India at 25%. So we don't see any disadvantage on that front as of now.

Now coming to your second part of the question that with 30% lowering of coffee prices, see, anyways, we work on a cost-plus model. So any lowering of prices or any table lowering is -- while it is good news on the front that our holding costs become lower and therefore, our requirement for working capital becomes lower, it does not affect our margin profile.

In terms of growth prospects, one has to see because we have discussed this in many number of times that any growing price hikes and declining prices actually are not good news. The good news is when the prices are stable. That's when the clients get committed towards longer contracts towards more volumes. So that is the situation.

Today, what has happened is that while the prices have corrected 30%, if you see every day, there is almost \$100 fluctuation up and down, up and down that is happening. So everybody is in a little guess mode and people are trying to double guess what's going to happen in terms of prices going forward.

So people are a little noncommittal at this point of time. And that's the reason we said that this interim period between Brazil crop ending and Vietnam crop starting will be a key period for all of us to watch because if the prices hold on to these levels till the next - for the next 3, 4 months and then the Vietnam crop arrives, then I think it will be good news for all the buyers as well as manufacturers because price would have stabilized. And that in turn kind of augurs well for all of us.

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Abneesh Roy: I understood the cost-plus model. Wanted one follow-up here. In terms of the supply side, say,

the crop quantity, et cetera, in Brazil, is it a good increase versus last year and versus the demand side, is it good? Vietnam crop, you said 3, 4 months. So I think it will be a bit early to really guess there how the supply side is. If you could comment on this.

Praveen Jaipuriar: So actually, yes, Brazil crop, there was a good flow of Brazil crop this year. And that is actually - that was a trigger point for the prices to start softening. And the good part was that the prices softened not only by 30%, but for good now 2, 3 months, the trend has been on the softening side. So that's a good indicator as of now.

So yes, Brazil crop, we had a good flow this year. But more than that, Abneesh, a lot of - if you were to match the supply and the demand trend for last 25, 30 years, you will see that the difference sometimes is not more than 4% to 5%, but the speculation and the market spiral kind of make the coffee prices go up by 40%, 50%.

So actually, what happens is that coffee because of the fact that it's the second most traded commodity after oil, there's a lot of interest and therefore, leads to a lot of speculation as well.

So yes, but to answer your first question that has the supply been good? Yes, the supply from Brazil was good this year.

Abneesh Roy: Sir, my second and last question is on the 2 line items. Depreciation, 45% Y-o-Y increase, 24% quarter-on-quarter increase. Does the number stabilize at this INR34 crores number? And the lower coffee costing, you did say the working capital needs will reduce. So interest cost at INR34 crores, that should hopefully reduce if we assume this 30% lower costing will continue?

Praveen Jaipuriar: So both the answers are yes, Abneesh. First one is about that these are peak levels of depreciation, yes, because after first quarter of last year, we commissioned both our India unit and Vietnam unit in the last quarter.

So now the full depreciat

ion is coming to the books and therefore, these are the peak levels. And

secondly, interest cost, yes, again, these are peak levels. Considering 2, 3 things that, one, because of the cash flows, we will be able to, over a period of time, start retiring the debt.

Our working capital requirement if the coffee prices remain at the levels that they are, will also come down. So, all of these - so improved cash flow, working capital coming down would mean that the interest outflow will be lower. But yes, there is a lag effect that happens because we do hold 2 months of - because of our order book, 2 months of inventories, which will be at higher prices.

With that lag, I think from next quarter end onwards, we can start seeing some relief on that front as well.

Abneesh Roy: And could you confirm gross debt, net debt and cash levels?

Praveen Jaipuriar: I'll just ask Chaithanya to kind of give you this number.

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Chaithanya A.: So, the debt as of 30th June stands at INR1,671 crores. It was INR1,812 crores as at 31st March and INR1,974-odd crores as on December '24. So from INR1,974 crores in December '21, we have brought it down to INR1,812 crores and now it is INR1,671 crores.

Abneesh Roy: This is gross, right, or net?

Chaithanya A.: Yes. Net debt.

Moderator: The next question is from the line of Abhishek Navalgund from Centrum Broking.

Abhishek Navalgund: Congrats on a good operating performance, sir. So first question is on basically India and Vietnam SDC capacities, which we have started like 1, 1.5 years back. So possible to share broadly the utilization levels at both these capacities?

Praveen Jaipuriar: So Abhishek, because of the fact that a lot of new capacities have come in a staggered manner, very difficult to break everything down. But largely, let's say, if I were to kind of -- we have doubled the capacity. So one way to look at it is that our existing capacity, which was there is running at full capacity level.

And the new capacity, we have started utilizing around 10% to 15% of that capacity. So at an aggregate level, you could say 60% of the utilization is there. So that is where we are on the capacity utilization.

Abhishek Navalgund: Sure. Sure. And you spoke about the B2C part also. Is it possible to also give some color on the Percol outlook in U.K., maybe from this year or next year's perspective?

Praveen Jaipuriar: So Percol, Abhishek, as we've kind of at least turned the downward spiral that Percol was in.

This year, we are looking to double the value from last year. So last year, because we were kind of ending the takeover formalities, we were doing around -- just to give you a brief idea on the top line, around INR15 crores, INR16 crores, we are looking to double that this year.

So that's what's happening in U.K. We are going for a lot of relisting. The challenge in U.K. is that you only get -- there are designated times for listing in U.K. stores. So we have to wait for that full cycle to get over for new listings and all that. We are getting very aggressive on Amazon. And the good part is we have started to build the brand by spending on social media and outdoor

to make sure that we build the brand on a sustainable basis. So that's the brief on the U.K. Percol plan. U.K., India, we just launched a couple of months back. You would have seen a lot of activity, especially in the print media and all.

So we are again looking to build this brand as a premium offering in the Indian market, trying to capture the niche premium segment in the Indian market. So too early to give any numbers or any listing directions.

But yes, things are moving good. We are now selling on almost all the platforms. We are very particular about putting it in very, very niche modern retail outlets. So all that work is, as we speak, is going along. We'll wait for a couple of quarters for us to kind of get a firm hold on the k

ind of feedback that we are getting from this launch in India.

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Abhishek Navalgund: Sure. Again, coming back to the B2B, sorry. So is it possible to share what percentage of our orders are, let's say, on spot basis? The question I'm asking - the reason I'm asking this is basically just wanted to understand in a gradually declining pricing scenario, is it possible to quantify any inventory loss during the quarter, if any, or there is no such thing for the spot order segment?

Praveen Jaipuriar: There's not much of change, Abhishek, because while the prices are falling, I mentioned that in both rising and falling markets, there is a sense of tentativeness. We'll look to see how stabilization happened. But as I told earlier also that we have full visibility of the quarter, almost near to 50%, 60% of the visibility for the subsequent quarters. So that stays - see, our long-term clients, they stay with us.

Only thing is that instead of giving me a 12-month contract, they will give me a 3-month contract or a 4-month contract. So that is how it is still panning out. There's not much of a difference. But we have a feeling that going forward and as we close into the Vietnam crop cycle, we will start seeing a lot more long-term contracts coming in.

Moderator: The next question is from the line of Shirish Pardeshi from Motilal Oswal.

Shirish Pardeshi: Just 2 quick questions, Praveen. The prices have come down very severely. So just more curious, what is the high-cost inventory we are holding at this point of time in terms of number of days or in terms of sales?

Praveen Jaipuriar: So Shirish, whatever inventory what we hold is what we have sold already. So there is no inventory which is loose inventory with us. We don't buy inventory at all, yes. But generally, yes, we - because our - you know that 3 to 4 months of - we have definitive contracts which are there, the volumes are sold. So at any point of time, we would hold 2 to 3 months of stocks with us.

But all of this is sold stocks. So we don't - we're not holding any inventory. So prices going up and coming down doesn't bother us. What bothers us that there shouldn't be much of a fluctuation around in the market?

Shirish Pardeshi: So you mean to say that the price drop for the inventory is immediately can be passed on because we have a cost-plus model?

Praveen Jaipuriar: Yes, we have a cost-plus model and we buy after we have sold. So price drop can be passed on to the customers. So today, we will do a contract at today's price.

Shirish Pardeshi: Okay. My second question is on the outlook. You mentioned that Brazil is already dropping and Vietnam is also looking good. But in that context, if I go back exactly 90 days before the customers were having the order, but they were not giving you the visibility. But is there any behavioural change which has happened, sentiment change happened, people are now giving you maybe 90 days inventory visibility?

Praveen Jaipuriar: So as I was telling, Shirish, that our long-term clients, they give us a visibility. Only thing is that we only advise them not to go for very long-term contracts in terms of volatile market situation.

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So we know we have a visibility. But there are 2 things. One is having a visibility and that is the reason we have expanded our capacity. We have given aggressive guidance.

Otherwise, we wouldn't have given this aggressive guidance if we didn't have visibility. The only thing is that if you ask me that do I have a confirmed contract in my hands for next 12 months, probably not. That is when we say that, okay, for the next 3 to 6 months, I know that the contracts are there in the hand.

But in terms of visibility, yes, there is a behavioural shift now people are breathing a sigh of relief because a lot of these price -- there has been an incessan

t price increase for the consumers

also in the market across the globe. And last 2 years, there has always almost -- there is a price increase of 40% or so, which is very steep in any consumer goods category.

So what it does is that it probably puts a stress on the consumption pattern. So now brand owners and suppliers and retailers, they are obviously breathing a sigh of relief because at least they'll be able to kind of either reduce prices or hold on to the prices. And this will mean that there will be a consumption drive that would again come back to this category. So I think on that front, it is there. Yes, it will translate to orders as we go along because obviously, everybody wants to make sure that things are settled now going forward.

Shirish Pardeshi: That's exactly my point, which I was trying to understand. With this visibility, the volume what we have reported this quarter, does that give the confidence that we will be able to maintain or surpass the volume in second quarter?

Praveen Jaipuriar: So absolutely, it gives the confidence. And that's the reason, Shirish, even when the prices were going at a buzzer pace, our confidence on volume growth was always intact because ultimately, there are 2 things that - not - in fact, not 2 things. There is only one thing that we are concerned about. The consumption should stay intact.

As long as people are drinking coffee, we are in the business. And because of the competitive edge that we bring to the market and that's the reason we - so even when the prices were at INR5,000 levels, we were confident and we had given a guidance that we will grow at. Yes, we had kind of broadened the guidance from a very sharp 15% to 20% to 10% to 20%, but that was about it. We were always committed to that kind of a growth and that's what we have delivered in the worst of times when the coffee prices are at such high level.

Moderator: We take the next question from the line of Bhavya Sonawala from Samaasa Capital.

Bhavya Sonawala: No. Yes. So just want to know has volume growth been in line with the EBITDA growth that we usually always -- yes.

Praveen Jaipuriar: Yes. Yes. So it's not exactly in line, probably a little lower than the EBITDA growth. But yes, almost the same pattern continues for us.

Bhavya Sonawala: Okay. And just wanted to also understand our investment going ahead in the branded business that - which we are already in coffee and plus now we have started snacks, which I understand CCL Products (India) Limited

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is going to be a pilot. But in the next 2, 3 years in terms of advertising and any other further investments, can you just throw some light how that is going to pan out?

Praveen Jaipuriar: So Bhavya, I think what investments we are doing is largely to build the brand. We are not doing any investment in terms of capex as far as B2C is concerned. Even if we are getting into new category like snacks, we are going for third-party manufacturing.

So all the investment is on the brand. And what we have now since the brand business itself is profitable, so what we are doing is instead of making the brand, we are trying to kind of plough in the profits going forward.

And that's the reason we have been experiencing such aggressive growth and we are looking to maintain this momentum by maintaining the spends that we have been doing. And in fact, as the brand is growing, we are, in fact, increasing the spend as well.

So that is something that we'll continue to do because not only we have coffee itself, we are very small right now. There is a large scope to grow. But also now we are kind of spending to build on some of the other categories right now at very test market levels. But I'm sure soon we'll start investing there also in terms of brand building. Nothing on the capex side.

Bhavya Sonawala: Understood. Just a last question. By the year-end, do you see the branded business around INR400 cr

ores, INR500 crores? Is that something that is on the paper?

Praveen Jaipuriar: So I think you have given as broad guidance that we have been giving, INR400 crores to INR500 crores. Definitely, first quarter itself, we have done INR400 crores. So definitely, we are going to touch INR400 crores.

Now how far we go beyond INR400 crores is the question that we all have. We are putting all the measures and all that, all our might to make sure that we go as far as possible.

Moderator: We take the next question from the line of Richa from Equitymaster.

Richa: Sir, I just wanted some more insights on with this different tariffs that are being imposed. Okay.

I'll just try again. I just wanted to understand that with this tariff, what is the sourcing pattern in the U.S.? How much of -- what is the Brazil share versus India share? And are you witnessing increased inquiries from the U.S. customers with this tariff talk?

Praveen Jaipuriar: So it's a yes. Actually, there has been increased inquiries. But with this tariff also, there is a lot of layers into these tariffs. And every day, everybody is discovering newer things. So while Brazil has had 50% of tariffs, we still are trying to figure out that what is the -- because when Trump announced the tariff, he just gives a statement -- broad statement that 50%, 25%, 20%. But in between the lines, there are categories which are getting exempted.

For example, U.S. said that all the agri products which they don't grow, will be 0 tariff. So there are news like these also. So we'll have to see -- we have to let the dust settle down. Yes, there has been an increased inquiry, but has it quickly translated into sale? As of now, I can't say for sure.

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But yes, we are dealing with those inquiries as far as possible because while Brazil has got 50%, Mexico has got a leeway for another 90 days. So there are these kind of lots of, let's say, what should I say, fluidity in terms of this tariff thing.

The whole world is under confusion and it will take a little bit of a time for us to understand where things are going. But yes, we are getting more inquiries and we are addressing them as far as.

Richa: Okay. And sir, my second question is on the tax rate. I see some sharp variation. So if you could just guide us where the tax rate could land over the next 3 years?

Praveen Jaipurkar: I don't think so there is a variation. We are at full tax rate in India. So whatever the profit that flowed in, in the stand-alone, that profit, whatever tax was applicable, that is there. Otherwise, it remains pretty much similar if you were to see. And this tax is under MAT credit. So a portion of it kind of just gets into the book. But otherwise, in terms of cash flow, it improves the cash flow. So it is actually good in terms of cash flow. Yes, on the books in the P&L, it does show as that.

Richa: Okay. Okay. And sir, I just wanted to understand, if I may ask one more question. What would be the margin difference between FDC and SDC?

Praveen Jaipurkar: Again lot of - here, Richa. The margin difference on a base to base thumb rule level could be anywhere between 30% to 40% between an SDC and FDC, but really depends on what kind of -- sometimes even SDC, very high-quality SDC is also equally margin -- you get high margins there also. So it depends on blend, the type of pack, the type of customers, lots of layers into it. But yes, as a thumb rule, one could say that FDC would be 30% more margin than SDC.

Moderator: The next question is from the line of Deepak from Sundaram Mutual Fund.

Deepak: Sir, could you please highlight what was our Y-o-Y volume growth for Q1 quarter?

Praveen Jaipurkar: So it was almost double digit, yes. So -- and that's a little lower than the EBITDA growth because we got better margins this time as well, like it happened in the last quarter as well. So that is how we should look at it.

So a double digit volume growth leading to around 23% EBITDA growth.

Deepak: Okay, sir. Double digit, meaning, let's say, between 11% to 12% or 12% to 14% means?

Praveen Jaipurkar: It was very difficult for me. I'll tell you what. This is something that we don't -- we give a little broader guidance on this because this is also sensitive information, which kind of leads to a lot of poaching and sort of understanding about us by the competitors.

So we stay a little this thing, broad on this in terms of our explanation. But you could -- as I told you, volume growth and EBITDA growth generally go in line. But for last quarter also and this quarter, we have seen much higher EBITDA growth than the volume.

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So if the EBITDA growth is at 23%, we're saying that we have got double digit volume growth, yes. So double digit means somewhere lying in between. I don't want to push it towards the higher mark. So you could kind of take the mean medium mode of 10% to 20%.

Deepak: Okay. And sir, in this domestic business, which we clocked around INR150 crores, are we EBITDA-positive in that business or we are still to breakeven at EBITDA level as well?

Praveen Jaipurkar: No, last to last year itself, we broke even. Last year, we were positive. And this year also, we will be, in fact, more positive. But yes, we are not kind of keeping -- we are clawing back as much as possible, whatever the brand requirement is, whatever it requires to build the brand, whatever it requires to be aggressive as we have been because there's a lot of aggression in terms of the branded business, we are growing very handsomely. So we are ploughing back a lot of money. But it is -- yes, even after clawing back, we are year-by-year increasing our EBITDA margins on the branded business.

Deepak: Okay. Is it in, sir, higher single digit? Or is it, let's say, below 5%?

Praveen Jaipurkar: No, no, no. So it's -- this year, last year was around 4% to 5%. Before that, I told you we broke even. And this year, we'll be again between 5% to 10%. But the good thing is that whatever now since last year, what we -- the interesting thing is that the additional volume that is coming is coming at a very -- because all the breakevens and negatives are already built in the base.

So which means that if we are adding, let's say, INR100 crores to the branded business, that INR100 crores is coming at a much higher EBITDA margin, yes. So in fact, almost as much as equal to the company EBITDA margin. So now the incremental business is now no more margin-diluting. It is kind of adding to the margin.

Deepak: Okay. So even that should be helping our this 22% EBITDA growth as well?

Praveen Jaipuriar: Absolutely. Absolutely. All of it. So there are a lot of things that has helped us and that being one of them.

Deepak: Okay. And sir, last question in the past con call, you have highlighted that you wanted to expand in some U.S. market for premium coffee and then again, Southeast Asia market. So can you just elaborate what is the broad strategy around it means has something changed in the last 6 months given the volatility of coffee prices? Or our strategy remains the same more or less and we are focused on premium at the Western world and, let's say, more economic coffee at the Southeast Asian countries?

Praveen Jaipuriar: So yes, more or less, our strategy remains same. It's very simple. There are 2 sets of consumers we are wanting to target. One is the Indian diaspora because now our brand has become very -- brand awareness in India has become pretty high, which means that the Indian diaspora is now -- they know our brand.

So with the current brand itself, our own brands, Continental, we are wanting to serve the Indian diaspora. So wherever we have got a reasonable amount of Indian diaspora, we would be wanting to launch our brands there.

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And for the Western diaspora or the local diaspora, we are using brands like Percol and Rocket Fuel, which we acquired last to last year to serve the premium or the more coffee or a blend, which is more tuned towards the local diaspora. So that is our strategy. We are working on that. And as and when -- because even in U.K., now that the brand is gaining momentum, there is a brand work happening, brand building happening. So a lot of European markets, we will look to kind of seed the brand because once it is known in U.K., awareness is there, then other countries also, they start showing signs of demand.

So that is the strategy for Western diaspora for Percol and Rocket Fuel and for Indian diaspora, our current brand. So that strategy remains the same. And the Southeast Asian market is actually not a low coffee market, low-cost coffee market. It is actually more of a premix market.

So that is the strategy we will -- we are looking to kind of enter the market, that product strategy of how can we enter through premix. So all that work is happening at the back end. And as and when we are ready for launch or some news is there, we'll share it with you.

Moderator: The next question is from the line of Anand S. from Avendus Spark.

Sundar: This is Sundar from Avendus. Sir, couple of questions. If you were to look about a couple of years ago, we had this phenomena when Robusta prices did decline. We had a huge variation between Arabica and our volumes had a significant uptrend.

Now is that something that we can expect with keeping in mind that there has been higher production numbers factored in, especially for Vietnam Robusta going over in the near to medium term and volumes resuming back to about a 20% number?

Praveen Jaipuriar: So basically, what happens is that for a short period of time, even 2 years ago when the Robusta did not kind of come down and come very close to Arabica, these are short-term phenomena because over a period of time, the table corrects itself because Arabica is used a lot for fresh coffee and a lot of fresh coffee is being used in the more developed economies.

So what happens is that if the price kind of if Arabica and Robusta, they come close to each other or go very far from each other over a period of time, the table corrects and they have that kind of a difference, which is a 30% difference that autocorrects and comes to that level.

So that is there. Currently also that difference continues to be there. And while Vietnam is a lot more about Robusta. So when the Vietnam crops comes, that's a correction time for Robusta this thing.

Now Brazil is also growing Robusta. So they also have a good flow of both Arabica and Robusta.

So we don't see much of a closure -- closing of the gaps or the gaps widening beyond the justifiable limit. So they are in -- the gaps are there, the rightful gaps are there in the market.

Sundar: Just a follow-up in terms of Robusta prices with Robusta prices already down about 30% in the last month and anticipated to further go down with great number Robusta production expected

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to be as it was there in FY '22. What kind of debt levels can get reduced from our books on price corrections?

Praveen Jaipuria: So the debt levels will reduce on 2, 3 fronts. One is, of course, the cash flow. Now we are done with our capex. There's no new capex there. See, all the cash flow that we will generate will be used to retire the debt.

That is one. Second is that with 30% -- if the 30% price reduction stays on track, so the working capital requirement over a period of time will come down by 30% like-to-like when we speak about it. So that should be there.

So we will see this happening towards the end of next quarter. And that is, again, with the quote that the prices stay where they are. So we'll start seeing these kind of reductions. And hopeful

ly,

by the end of the year, I cannot pinpoint a percentage, but there will be a reasonable drop in our debt level.

Moderator: We take the next question from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: My first question is due to the tariff that has been imposed on Brazil of 50%, I mean, there's a lot of reports coming up saying that the additional beans might make possible to -- might make way towards China and EU. So considering I remember from our earlier calls where we have said that we targeted China and Middle East as a market where we see potential growth. So how does this new set of competition that we foresee due to this tariff situation?

Praveen Jaipuria: So fundamentally speaking, yes, these news are there, but Brazil green coffee coming to China and other places, see, we also have our setup at Vietnam. So in fact, last time, if you remember, we had also told that last year, because the Brazil coffee prices went below Vietnam prices, we also bought a lot of Brazil coffee.

So when these news comes, these are largely about green coffee itself. In terms of instant coffee, I don't see Brazil had advantage over us if they want to sell in China, right? Because from Vietnam also, there is no duty to China.

And our logistics will be much faster there than the Brazilian products. So I don't see Brazil having an advantage in Asia because they want to supply more to Asia because of the U.S. tariffs. And if this tariff was to continue for Brazil, I think it will give us an advantage in U.S. So it's a good news for us because we will not lose any advantage in the non-strong Brazil market, but we will get an advantage in the Brazil strong market like U.S. So let us see. But as I told you in one of my answers to the previous questions that we'll need to see how the dust settles because while these are -- again, we are quoting broad numbers of tariff 50%, 25%, 20%. We also know even if India is at 25%, some of the iPhone components and iPhones and pharmaceuticals, they have either been kind of given leeway for that or they are thinking to reduce tariff to 0% on those product categories.

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So let's see how things settle down, maybe for coffee because they don't grow coffee U.S., they may also want to kind of give leeway on coffee imports as well. So we will wait and watch on this front. But as of now, things are pretty fluid and double guessing is not going to help any one of us.

Vignesh Iyer: Right, sir. On my second question, on our interest part of this quarter -- the last 2 quarters now, we've seen around INR34 crores of outflow when it comes to interest. With prices coming down, can we more or less say that this could be the peak interest cost and some type of short-term debt will be reduced due to lower working capital requirement?

Praveen Jaipuria: Yes, yes, 100%. These are peak levels, won't go beyond this. Going forward, this will only come down. But as I was telling you, because of the lag effect, it may take a little time, but definitely, the interest cost will be on a downward trend itself. You want to add something, Chaithanya?

Chaithanya A.: In addition to what Praveen has highlighted, we have a debt reduction plan in place now. So the gross debt will come down over a period of time. But as pointed out by Praveen, there will be a lag in terms of reflection in interest cost. Interest cost will obviously come down but with a lag.

Moderator: The next question is from the line of Gopinadha Reddy from PNR.

Gopinadha Reddy: Sir, coming to Continental brand that we are selling in India as retail, when it comes to instant coffee small packets, last time -- last conference you said that to maintain the prices...

Moderator: Sorry to interrupt, Mr. Gopinadha. We are actually not able to hear you. Your voice is breaking. Could you please fix that?

Gopinadha Reddy: Okay. I'll repeat it. When it

comes to Continental brands in India in retail, sir, when it comes to small packets, due to the coffee price increase, we said that we are changing the mixing of roast mixing of chicory and roasting and that has changed the taste, obviously. Is it not going to impact our brand image when it comes to a particular brand, the customer

expects that particular brand to have particular taste, right? How are we looking into it?

Praveen Jaipuriar: So there are 2 things that we do. Internally, we make sure that the taste doesn't change, right? So we do very strong consumer test and only then we release any blend or any blend change. So this is done with utmost care so that the final taste doesn't change. So that is something that we take care because with the brand, we don't want to -- as you rightly said, the taste change should not be there.

So we don't take any blend change without doing any consumer test. So very strong consumer test happens, very detailed consumer test, only then when we get a final pick on that, only then we proceed.

Gopinadha Reddy: Okay, sir. I got the feedback from customers, so I just said whatever I got to know that that will be...

Praveen Jaipuriar: I'll be happy to kind of -- if you could share the feedback with -- on our website or on other mail, I'll be happy to engage and then kind of take it up with our R&D. But that is something that we

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make sure that we don't kind of tamper with the taste at all. But would be happy to kind of take this feedback.

Moderator: The next question is from the line of Vaishnavi Gurung from Craving Alpha Wealth Fund.

Vaishnavi Gurung: I just had 2 quick questions. The one was on the revenue split, if you can provide by geography for the company. And the second one was which plans to reduce debt, what debt level we can expect in next -- for 1 year?

Praveen Jaipuriar: Okay. So first thing, let's say, if I were to give you a sense of a feel of the geographical split, out of our exports business, around 10% or so comes from the American market, around 35% to 40% comes from European markets, including Russia and the CIS countries. And the balance 35%, 40% comes from Asian markets with very little business in, let's say, Australian market. So that's the split in terms of our export market.

Add to this, again, our brand only right now is selling in Indian market. Yes, a little bit of it of Percol has now started to sell in the U.K. market. So that's broadly the split between the markets.

And the debt levels, I think, Chaithanya, you could give a color by year-end, it should be...

Chaithanya A.: So I think it was said in one of the previous question. We were at INR2,000 crores as of December '24, we brought it down to INR1,805 crores, plus the reduction of close to INR150-plus crores this quarter.

Then again, in this quarter from March to June, we brought it down by additional INR170-odd crores. So our target is to take it to INR1,500 crores probably by September and additional INR150 crores by end of December.

Vaishnavi Gurung: Sir, can you please repeat the number?

Chaithanya A.: So that would be around INR1,350 crores as at December '25.

Vaishnavi Gurung: Okay. Sir, just one more question on the U.K.-India FTA. Do we anticipate any benefit? Or are we seeing any increase in query?

Praveen Jaipuriar: Sorry, what did you say?

Vaishnavi Gurung: Sir, my question is regarding the U.K.-India FTA since you mentioned that 30% to 40% comes from U.K. So any...

Praveen Jaipuriar: Not U.K. I said Europe, Europe. Sorry, I said Europe. Yes.

Moderator: We take the next question from the line of Abhishek Mathur from Systematix.

Abhishek Mathur: Just wanted to check our volume growth guidance, is it maintained at 10% to 20% that you had mentioned some time back? Also, what was the EBITDA per kg for the quarter, if you can sort of guide on that?

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And what is our guidance for this metric going forward? And finally, on the inventory that we keep a few months of inventory, is there some mark-to-market revaluation that we do which hits the EBITDA? Those are my questions.

Praveen Jaipuriar: Okay. So yes, the volume projection remains same, 10% to 20%, but EBITDA guidance is like between 15% to 20% for the full year. So that also remains the same. The EBITDA per kilo is approximately, if I'm not wrong, around between INR125 to INR135, somewhere in that range.

And no, there won't be any hit on the EBITDA because of the inventory that we carry because once we have sold the coffee, that rate remains. So there is no change in the rate when the green coffee prices either go up or go down. So that won't change our EBITDA. It won't hit our EBITDA at all.

Abhishek Mathur: Great, sir. Just wanted to clarify one more thing. Do we also do some bulk sales at a lower EBITDA? Is that part of our volume also?

Praveen Jaipuriar: Yes. So we do lots of types of sales, right, from low EBITDA sales to high EBITDA per kilo sales. So that is part of our strategy. It's not that we don't kind of thing. But yes, there are certain things which we don't like to do.

We don't like to do pillar coffee or an adulterated coffee and things like that. So that quality we maintain. So beyond a point, we also don't kind of do the race to the bottom kind of a strategy. But yes, there are low-margin contracts also which we do.

Moderator: We take the next question from the line of Manish Mahawar from Antique Stock Broking Limited.

Manish Mahawar: Yes, Praveen, most of the questions have been answered. A few data points I wanted to understand. During 1Q, what was the growth in SDC and FDC if possible to share?

Praveen Jaipuriar: Manish, we will kind of give a color separately, but we don't kind of share the product-wise and the market-wise or customer-wise growth and all that.

Manish Mahawar: Okay. But FDC will be better growth than SDC, that be right to understand this quarter?

Praveen Jaipuriar: Yes. Directionally, it will be higher than FDC.

Manish Mahawar: Understood. And in terms of -- just wanted to reconfirm the debt number, what Mr. Chaithanya said? The number was INR1,671 crores. is this the gross debt or net debt, INR1,671 crores for the quarter?

Chaithanya A.: So it's the net debt.

Manish Mahawar: Net debt. Okay. And you said by December '25, it will be INR1,350 crores, right?

Chaithanya A.: Right. It will be INR1,350 crores. So the plan is to bring down the debt by around INR150 crores every quarter.

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Manish Mahawar: Okay. Okay. Understood. And by March '26, what's the number you are looking out?

Chaithanya A.: An additional INR150 crores, so it should be around INR1,200 crores. March '26 would be INR1,200 crores.

Manish Mahawar: Okay. Understood. And capacity utilization you said at the opening, right, around 50% utilization at a blended basis for all the capacity? Can you break it up in terms of India and the Vietnam utilization level?

Praveen Jaipuriar: So at a broad level, both the places and we are taking it as a group only, it's at around 60%, Manish, because the last capacity or, let's say, the existing capacity is now fully utilized, 10% to 15% is the new capacity utilization. And both the places, the figures are similar.

Manish Mahawar: Okay. So 60% at a company level, right, in 1Q?

Praveen Jaipuriar: Yes.

Manish Mahawar: And definitely, Vietnam will be a bit lower because the new capacity came into 4Q only?

Praveen Jaipuriar: Very, very -- so that build-up is happening. So I think, yes, there is a little catch-up here. But even in India, there is a catch-up to happen with the full 16,000 tons of FDC that is there. So it's like a quarterly basis, there could be a little up and down. But at the year-end, we are looking at a similar kind

of utilization at both the places.

Manish Mahawar: Understood. And last one, in B2C, what is the number you said in the call -- branded business revenue for the quarter?

Praveen Jaipuriar: So B2C basically almost INR100 crores we did this quarter. INR150 crores was the domestic number, out of which INR100 crores was B2C.

Moderator: Ladies and gentlemen, due to time constraints, we take that as the last question. And would now like to hand the conference over to the management for closing comments.

Praveen Jaipuriar: So thank you very much. Thank you, Antique and team for organizing the call. We will look forward to interacting with you in the next quarter. All the best to everyone.

Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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D

ate: 10.11.2025

To

The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra – Kurla Complex,
Bandra East, Mumbai – 400051.

Scrip Code: CCL To

The Corporate Relations Department,
BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai – 400001.

Scrip Code: 519600

D

ear Sir/Madam,

S

ubject: Transcript of the Conference Call held to discuss the results of Q 2 FY 2025-26

as required under Regulation 30 of SEBI (LODR) Regulations, 2015

W

ith reference to the above -mentioned subject, we wish to inform that,

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)T

he copy of the Transcript of the Conference call held on Thursday , 06th November , 2025 to
discuss the results of the second quarter and half year ended 30th September, 2025 is enclosed
herewith.

i

i)

The Transcript is also uploaded on the Company's Website and the web -link for the same is:

h

<https://www.cclproducts.com/wp-content/uploads/2025/11/Q2-Earnings-Call-transcript-2025-26.pdf>

iii)T

he List of Management attendees is stated in the transcript.

iv

) No Unpublished Price Sensitive Information was discussed in the call.

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urs sincerely,

For CCL Products (India) Limited

S

ridevi Dasari

Company Secretary & Compliance Officer

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"CCL Products (India) Limited

Q2 FY '26 Earnings Conference Call"

November 06, 2025

MANAGEMENT : MR. CHALLA SRISHANT – MANAGING DIRECTOR –
CCL PRODUCTS (INDIA) LIMITED

M R. B. MOHAN KRISHNA – EXECUTIVE DIRECTOR –
C CL PRODUCTS (INDIA) LIMITED
M R. PRAVEEN JAIPURIAR – CHIEF EXECUTIVE
OFFICER – CCL PRODUCTS (INDIA) LIMITED
M R. CHAITHANYA AGASTHYARAJU -- CHIEF
FINANCIAL OFFICER – CCL PRODUCTS (INDIA)
LIMITED
M S. SRIDEVI DASARI – COMPANY SECRETARY –
C CL PRODUCTS (INDIA) LIMITED

MODERATOR : MR. DIPAK SAHA – NIRMAL BANG INSTITUTIONAL
EQUITIES

CCL Products (India) Limited
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Moderator: Ladies and gentlemen, good day, and welcome to CCL Products India Limited Q2 and FY '26 Earnings Conference Call hosted by Nirmal Bang Equities. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded.

I now hand the conference to Mr. Dipak Saha from Nirmal Bang Institutional Equities. Thank you, and over to you.

Dipak Saha: Thank you, Samad. Good morning, ladies and gentlemen. On behalf of Nirmal Bang Institutional Equities, I welcome you to the Q2 FY '26 Earnings Call of CCL Products. The management today is represented by Mr. Challa Srishant, Managing Director; Mr. Praveen Jaipuriar, CEO; Mr. B. Mohan Krishna, Executive Director; Mr. Chaithanya Agasthyaraju, CFO; and Ms. Sridevi Dasari, Company Secretary on the call.

Without any delay, I would like to hand over the call to Mr. Jaipuriar for opening remarks, post which we will open the floor for Q&A. Thank you, and over to you, Praveen, sir.

Praveen Jaipuriar: Thank you, Dipak, and thank you for setting up this call. Good morning, everyone. I welcome you all to the second conference call of FY '25-'26. Now I'll give a brief overview of the company's performance for the second quarter and the first half of the year. And thereafter, we will open the floor for questions.

So as far as the numbers are concerned, the group has achieved a turnover of INR1,128.21 crores for the second quarter as compared to INR738.74 crores for the corresponding quarter of the previous year, achieving a growth of 52.7%. The EBITDA stands at INR198.61 crores as against INR137.62 crores, which is a growth of 44.3%, while PBT is INR127.09 crores, which grew at 45.5% and the net profit stands at INR100.86 crores with a growth of 36.4%.

As far as H1 is concerned, the group has achieved a turnover of INR2,186.25 crores as compared to INR1,513.37 crores for the corresponding half of the previous year, achieving a growth of 44.5%.

The EBITDA stands at INR360.05 crores as against INR269.23 crores, which is a growth of 33.7%, while PBT is INR221.28 crores, growing at 26.8% and the net profit stands at INR173.31 crores with a growth of 19.2%.

The domestic market continues its growth momentum with a gross sales of INR160-odd crores in the second quarter and INR310-odd crores for the first half. Out of this INR310 crores, almost INR210 crores was the branded business, and there is a continuous market share improvement across channels and states as we speak.

As far as the green coffee scenario is concerned, the green coffee prices continue to be volatile. There was some softening in Q1, which we saw, but post Brazil supplies, but then the prices went up again in Q2. And the news about Vietnam crop has been conflicting right now. So the prices continue to be volatile. We will wait and watch till the month of December when the crop

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starts to flow in. That's when we'll get some idea that where the prices are settling down. That is a brief note from our side.

Now I open the floor for further questions.

Moderator: Thank you very much. The first question is from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: Yes. My first question is on the last point which you made in terms of coffee clarity coming in

December. So in terms of crop, if you could tell us till now what is the indication? We have seen many agri commodities globally in India also, they have been slightly soft. And we are seeing Robusta and Arabica, the chart is a bit divergent. So if you could comment between the 2, what is the sense you are getting

g in terms of pricing in the next 3 months?

Praveen Jaipuriar: So actually, as I was mentioning, Abneesh, that there has been conflicting reports, and therefore, you are seeing some divergent chart movements across both the types of coffee. But as we speak, what has happened is that, and this I have been mentioning in our previous calls as well, that a lot of considering coffee is so much traded, there's a lot of speculative tendencies that have crept in, which means that conflicting reports keep coming in as far as the crop is concerned. So till 2 weeks before, we were getting good news about the flow of crops in Vietnam.

But last week onwards, we have heard that there has been certain amount of flooding in some coffee growing region of Vietnam, which could impact the supplies. So therefore, it's become very, very difficult to predict that which way the prices would settle and therefore, there is no other way but to wait until December to see how the crop flows happen and where does the price settle in.

So while I agree that a lot of agri commodities have softened, settled in, but coffee somehow remains to be volatile. And this also points to the fact that the demand has been robust for coffee, which means that the volatility is easier to manage when the demand is pretty robust.

In most of the other commodities, you'll see that generally softening happens at the demand side as well, kind of that settles the demand and the supply gap. But here, considering the demand has always been robust, the supply fluctuations have led to these kind of price volatility.

Abneesh Roy: And last question on the branded coffee in India. If you could tell us in the e-commerce and quick commerce, what kind of share performance you have had, market share performance? And which channels you have a good presence because the #1 player is still seeing a 20%, 25% sales growth. Of course, large part will be the inflation. But how are you doing? Because both the #1, #2 seem to be doing quite well.

Praveen Jaipuriar: So yes, Abneesh, I think if you see our numbers, when it comes to growth, we're almost growing at 40% to 50% at least in the first half. So our growth has been very, very robust. And these are backed by volume growth as well. It's just not price increase. So almost 25%, 30-odd percent out of this is due to the volumes itself. So that's a pretty strong growth. And we are gaining market shares, as I told, not only in states, but also in channels.

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So now again, we look at, in 2 ways. One is the southern markets, where we are trying to drive penetration. So here, our presence in general trade and modern trade and e-commerce are equally strong. But when it comes to other markets like the Northeast and the West, where our distribution may not be so penetrated as it is in South, there, our presence in e-com and modern trade is very strong.

So as we speak, we are pretty well positioned. And in fact, our channel shares in e-com and modern trade are much better than our overall market shares. So we are doing pretty well in all the platforms, so as to say.

Abneesh Roy: Will it be high single-digit market share, e-commerce, quick commerce plus modern trade?

Praveen Jaipuriar: E-commerce, modern trade and this thing is double-digit market share, Abneesh.

Abneesh Roy: Pan-India?

Praveen Jaipuriar: Pan-India. Yes, most of the platforms, we are double-digit market shares, both in modern trade and in e-commerce. So that's very good news. And in some of the states, we are now pretty much, let's say, if you were to take the states of AP and Telangana, where we are very strong, we are #2 player now. So that's how strongly we are gaining market shares.

Abneesh Roy: And AP, Telangana, you will be displacing the #2?

Praveen Jaipuriar: Sorry?

Abneesh Roy: Who have you replaced in terms of # 2, because #2 is the other large MNC?

Praveen Jaipuriar:

So let me not comment in detail. You can put your guesses who will be #2 in South because it's a pretty clear market who is the #1 in North and who is #1 in South. So the 2s are automatically you can spell it out.

Abneesh Roy: And you will be a bit competitive price compared to the other 2 players?

Praveen Jaipuriar: So it depends, Abneesh. Some places will be competitive. Some places, we are higher. And in some places, we will be kind of same pricing. So for example, the small pouches and all that, everybody is at the same pricing level, right? In some SKUs, we do become competitive at times. But now you know the pricing has become pretty much kind of, you can change it by channel, by the day and by the month. So a lot of times, we are not necessarily competitive prices. And

especially considering that the way we have gained market share, a lot of players are kind of pushing very hard on the pricing front as well.

So yes, but there has been a pretty good equity building on the brand also. We are seeing in our equity scores also. There's quite a good uptick in the awareness levels and the conversion ratio. All of them are leading to good results for us.

Moderator: The next question is from the line of Siddhant Mantri from InvesQ Investments.

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Siddhant Mantri: Yes. Congratulations on the strong results. Actually, my question was on the working capital changes. There has been some cash release on the inventory side so -- and also the receivable side. So is this a onetime thing due to the prices or like could you some -- could you like to throw some picture on this?

Chaithanya Agasthyaraju: With regard to receivables, there are a lot of operational efficiencies, which we have brought in. So we are pushing for early realizations from the customer and then offering the discounts to them in case if they pay us a little early. And then we are renegotiating the contracts as well to reduce the credit period. So this has led to a drop in the receivables.

Inventory has come down because there is better utilization of the existing stock in this quarter compared to the procurement. So this has translated into a better working -- this has translated into a better working capital, and this has led to the reduction in the debt.

Siddhant Mantri: All right. So is this going to be a durable sustainable level? Or is this a onetime thing, which has happened due to the pricing of the coffee?

Chaithanya Agasthyaraju: Last quarter, we have given a guidance that by this -- by the end of September '25, we'll have a net debt of INR1,500 crores. Of course, we are ahead of the guidance. But we would like to maintain the guidance that we have given in the last quarter because the seasons that we have -- the next 2 quarters that we have ahead is basically the harvesting season.

There will be a lot of procurement that will be -- that we'll have to do in the next 2 quarters. So we'll retain our guidance of INR1,350 crores by December and INR1,200 crores by March. We are not revising that guidance.

Praveen Jaipuriar: In short, the efficiencies are long term, but let's say, the things that are related to the prices could be because of the lower prices. So we'll have to wait and watch to see how things pan out.

Siddhant Mantri: And just a follow-up question, sir, about the whole tariff situation and how is that fared till now? And going forward, how do you think the situation is going to be?

Praveen Jaipuriar: So the tariff situation continues to be the way it was last quarter. India is at high tariff levels. But considering our facilities in India and Vietnam, we were able to divert quite off -- quite a bit of the U.S. business to Vietnam, which meant that there was no disruption. We continue to be competitive in that market, and we continue to grow in that market. So that is the situation.

As of now, we all are hoping not just us, the whole of

India is hoping that post the deal, the tariffs should come down. And if that happens, then it's not that we'll get an added advantage, but we get a better leeway in terms of deciding, where do we want to supply from, whether it is India or Vietnam.

Siddhant Mantri: Because actually, what has happened is that a lot of coffee from Brazil has been diverted from U.S. towards the Europe. So is that affecting our market share over there? Has that something that has happened?

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Challa Srishant: So it's, yes, Brazil coffee could be coming to Europe, but it is not just during tariff times. See, any time when the Brazil crop would be cheaper than the Vietnam crops, they become a little more competitive and therefore, the movement could have happened. Probably it was a coincidence that tariff also happened and the crops are also good for Brazil this time. But I don't see a direct relationship that because Brazil crops are coming to Europe, it has added to our competitiveness. The competitiveness remains the same as it was before.

Moderator: The next question is from the line of Naeem Patel from Bastion Research.

Moderator: As there was no response from this participant, we will move on to the next one. The next question is from the line of Bhavya Sonawala from Samaasa Capital.

Bhavya Sonawala: Am I audible? Hello. Am I audible?

Management: There is an issue with line. People are not able to connect.

Bhavya Sonawala: Am I audible?

Moderator: Hello, Bhavya, hello, sorry to interrupt you. Actually, your voice is cracking.

Bhavya Sonawala: So just wanted to understand on the capacity utilization including our new capacities that have

come online. Can you give us a blended capacity utilization what's been in this quarter?

Praveen Jaipuriar: So this quarter was around 65% to 70% because we had good volume growth this quarter. So that's the blended capacity utilization. So almost 100% on the previous capacity around 15%, 20% on the newer ones.

Bhavya Sonawala: So newer ones would be 15%, 20%.

Praveen Jaipuriar: Yes.

Bhavya Sonawala: Okay. And would we be thinking about any newer capacities considering if we continue this growth in the next 2, 3 years? Or is it time for that conversation to come on?

Praveen Jaipuriar: So right now, I don't think so we are actively thinking. And as we have always maintained that when we near 80% or 85% utilization, that's when we will start thinking. But as we have always maintained that there could be many ways we could kind of source capacity, either we build or we buy. So we will take a call maybe 2 years or 3 years down the line.

Bhavya Sonawala: Understood. Just a last question on the branded business. Can you just throw some light on how the marketing spends will go ahead from here, considering we're trying to build Percol and a few other brands overall? Are we going to ramp it up? How does it look from here?

Praveen Jaipuriar: So actually, yes, we have been ramping up our marketing spends, and that's the reason we have been gaining market share across the board. And we will continue to do that because the growth are good. We don't want to kind of slow down the momentum at this stage. So we will continue to ramp up our marketing initiatives.

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And the marketing initiatives are being ramped up almost all 360 degrees. So whether it is mass media or whether it is select channels online, everywhere, you would see that our presence is increasing by the day.

Bhavya Sonawala: And can you just hint on the volume growth overall, what's been on this quarter?

Praveen Jaipuriar: So this quarter was 20-plus percent, yes. So that was the volume growth this quarter.

Bhavya Sonawala: Okay. Can you just throw some light on this 20% after quite a while of volume growth being in single digits or higher, just high single digits. So anything

that has changed us..

Praveen Jaipuriar: Not really. I think as I have always maintained, 1 quarter growth sometimes is not really the reflection of the right picture. Therefore, we say that go with the annual guidance and a little long-term view of the company because multiple factors could play in a quarter, but long term is what will matter.

Even things like that, how was the same quarter last year. If you remember, the same quarter last year wasn't as strong. So that base effect also plays in. So the long-term guidance of 10% to 20% volume growth remains intact. We are currently closer to first half around 15%. So we're looking to maintain that kind of a thing going forward as well.

Moderator: The next question is from the line of Abhishek Mathur from Systematix.

Abhishek Mathur: Congratulations on a good set of numbers. Just wanted to understand, sir, it seems that our EBITDA per kg seems to have improved materially sequentially as well as on a Y-o-Y basis. It would be great if you can give an indicative range. But also if you can talk about what seems to have led to this improvement? What are the factors that are leading to this? It seems that over the past 2 years, this has significantly improved as well. If you can talk a bit about that.

Praveen Jaipuriar: So, this is, if you see, and again, I'm just pointing it to some long-term trends. Yes, it has improved in the last 2, 3 quarters. But if you were to see maybe a few quarters prior to that, it had also kind of softened a bit also. I had always maintained that at that point of time, our capacity addition was largely in spray-dried, spray-dried, the EBITDA per kilo is lesser than freeze-dried. So what happened initially, our contribution of spray-dried had increased, so the EBITDA per kilo had softened a bit.

Then as the new freeze-dried capacity came into picture, which largely happened last quarter. So a lot of EBITDA per kilo improved because of the re-entry of, not re-entry, I'd say, more addition of freeze-dried into our sales profile. Our small pack profiles are increasing. I had always maintained that in tough times, which was last year, we were also looking to, when the volume growth were not so high, we were looking to drive in more efficiencies. So that's adding to the growth.

And also, let's say, the things like domestic market, which is now the additional contribution already the domestic market, first few hundred crores were built on breakeven. Now whatever is happening additionally is also contributing now to the profit. So all of these factors are leading to improvement of EBITDA per kilo profile.

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I always say that there are certain things, which are built for long term. So efficiencies are built for long term. But quarter-on-quarter, let's say, change in the mix, change in the profile could lead to some fluctuations here and there. And therefore, our guidance doesn't change largely. Yes, it improves a little bit. We had given a guidance of EBITDA growth of around 15% to 20%. It looks like we'll end up -- end the year towards the higher end rather than the lower end. So that's what we are looking at. So in totality, this is what, this is what the scenario is.

Abhishek Mathur: And if you can give an indicative range of what was the EBITDA per kg for the quarter or for the recent 1H?

Praveen Jaipuria: So if you see and because we don't share the volume numbers, it's a little bit of a back calculation, but I'll give you some range because you are persistently asking for it. But you have seen that last quarter, we had mentioned that it was around INR120. Probably this quarter, there is an increase of INR10, INR12. So that is where it is. So that's the thing.

Moderator: The next question is from the line of Shirish Pardeshi from Motilal Oswal.

Shirish Pardeshi: Praveen, more curious how in the context of the crop volatility, which is visible

in terms of

demand, how the customers are reacting because now the price increases are given. So obviously, is there any change in ordering, is there any change in sentiment from the customer?

Praveen Jaipuria: So yes, last quarter, there was a little change in the sentiment because prices had softened and there were some long-term contracts that we saw coming our way. But what happened is that very quickly, subsequently, that whole softening kind of went away. And post the harvest of Brazil and before the harvest of Vietnam, which is going to happen in November, December, the prices again went up, and it remains to be volatile because we are seeing fluctuations almost to the tune of \$100 every single or every 2 days.

So that is again keeping the people on tender hooks and people are still not, a large section of the buyers are not still committed to the long term because all said and done, while price increase is there, people are still not willing to accept that this is the real price that is going to kind of stabilize at. So therefore, still tentativeness is there. So I can't say much has changed from the previous quarters as far as the sentiment of the buyers is concerned.

Shirish Pardeshi: No, why I'm asking because you did fantastically well and the volumes are very good. So in terms of B2B, what kind of volume? Is it higher of 20% or is lower than 20%?

Praveen Jaipuria: Yes, yes, it was closer to 20%. And B2C, as I was mentioning just a while ago, was closer to 25%, 30%. So blended, yes, we were a little upwards of 20%.

Shirish Pardeshi: And in domestic, what is the business we have? And in that, what is the branded?

Praveen Jaipuria: So domestic, we did around INR310 crores, INR315 crores of business. And out of that branded is INR210 crores in the first half.

Shirish Pardeshi: No, particularly this quarter?

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Praveen Jaipuria: This quarter was out of INR210 crores, it was INR110 crores was this quarter because if you remember last quarter it was INR100 crores. So it is INR110 crores this quarter, yes.

Shirish Pardeshi: And in the domestic, because we've been saying that we have been feeding a lot of new markets and the small packs or the pouch packs is growing faster. So is there a significant volume rise you are seeing in the South versus North?

Praveen Jaipuria: No. So in fact, we are seeing more because our bases are small in North, so we are seeing more volume increase and value increase in North. But South also remains to grow very, very strongly.

So at these levels, both are growing well.

In South, we are driving more penetration. As you rightly mentioned, we are driving more of small packs, sachets and getting into smaller towns and the wholesale business, whereas in Northeast and West, we continue to drive more of variety, e-com, quick-com and of course, the modern trade. So from there, we are driving a lot of variety of packs. We have done flavored coffee and things like that. So that is what is helping us drive more growth in the other markets.

Shirish Pardeshi: This is a little hypothetical, but assume that if the prices remain elevated, so what is our quarter 4 exit debt position you aspire to be?

Praveen Jaipuria: So I think CFO had given a guidance of around INR1,300 crores to INR1,400 crores. So that is what we will probably end up at.

Moderator: The next question is from the line of Vignesh Iyer from Sequent Investments. As there was no response from the participant, we will move on to the next one. The next question is from the line of Nitya Shah from KamayaKya.

Nitya Shah: Congrats on a good set of numbers. I just wanted to understand the vision of the company going forward. I saw that you have launched products such as iced tea and some non-coffee kind of products. So what's the vision here? Do you plan to be just a coffee company or an FMCG company in the future?

Praveen Ja

ipuriar: So I think we have kind of spell it out. You have, and you have spelled it out in your second half. We want to be an FMCG company. We want to build more and more brands. That's our long-term vision. And therefore, you will see our experimentations into some of these categories, which kind of very well complement our coffee category, which is also growing very well.

So we are wanting to enter into more categories. And we are creating this distribution network.

And as we grow into smaller towns, we probably will -- this entering into other categories will also help us expand. So it's like a 2-way process. So the distribution will help us launch products and the new products will help expand distribution as well. So it's a 2-way thing that will also benefit us. So long term, yes, you're absolutely right. We are looking to be an FMCG company.

Nitya Shah: Okay. And are we expecting a lot more new kind of product launches this year and next year, like other than what has already been announced?

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Praveen Jaipuriar: So I don't see a lot of launches because there are quite a few things that we have launched, and we want to consolidate that. We are experimenting. We are test marketing. You know how we work. We generally want to make sure that in the test market, we make things right and then expand. So there is these things like tea in the institutional segment, iced tea for the consumers.

We've also done a very small micro or, let's say, a nano test launch of snacks as well.

So we are looking to kind of make sure that our -- all piece of marketing are set right before we expand. So we have our plates full right now. So I don't foresee any more categories getting added very quickly. But yes, at the background, we keep evaluating things. We are working on a lot of things. So that work keeps happening in the background.

Nitya Shah: And to fund the growth of this new vertical will all be done through internal or in the future, you may require more debt or equity funding. How would you go about it?

Praveen Jaipuriar: Absolutely internal because our old coffee business now, hopefully, this year, we'll end up at INR420 crores, INR430 crores, which is profitable. And as I said, not only to grow the coffee business, but also for the newer categories, we will have enough internal accruals, not just internal accruals from the company, but from this vertical itself, which is the B2C vertical, which will be able to fund its own growth going forward.

Nitya Shah: Sir, what was the revenue number of the B2C segment in this quarter?

Praveen Jaipuriar: Yes, INR110 crores. I just mentioned in my previous.

Nitya Shah: INR110 crores. Sorry I missed that.

Moderator: The next question is from the line of Siddharth Purohit from InvesQ Investment Advisors.

Siddharth Purohit: Just one clarification and understanding I would like to have. Earlier when we used to see a lot of price fluctuations and probably price being elevated and continuously upward trajectory, we used to see a margin pressure. And when you started the short-term contracts, it has been largely been kind of insulated.

You have been largely insulated. So right now, from the customer point of view, does it really make a difference if prices like if at all, starts trending down, they will continue to have a short-term contract with you. And in that case, again, how do you position your contract going ahead so that we maintain the similar EBITDA per kg?

Praveen Jaipuriar: So I think that's a wrong conclusion to draw. Price never determines our margin profile because we are, we always do cost-plus model, yes. So which means that we try and maintain our margins, whether it is a short-term contract or it is a long-term contract. Yes, long-term contract gives us better vision, gives us better planning. Our supply chain management gets better. But largely, our margin profiles don't

change whether it is a short-term contract, long-term contract, right?

The improvement in margin profiles happen because as we were speaking earlier, product mix, efficiencies getting built at our end, small packs, now domestic market is also contributing. So

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all of these lead to better margin profile. And sometimes, therefore, I say some of these stay with us, like, let's say, things like efficiency building, internal efficiency building and all that, they will stay with us.

Product mix and all that is also a determinant of how the markets are behaving and how the contracts are coming. So that is why, that is how things will play out as far as the margins are concerned.

Now where do we focus on? Obviously, we love long-term contracts because it gives us long-term view. It helps us plan better. But sometimes, we also don't want to kind of as our clients to go into long-term contracts because of high prices because, see, if they go for long-term contracts at high prices, then it is actually a loss for them when the prices fall. It will not lead anything, means it will not impact us in any way.

But we have a very strong relationship with clients. We guide them that how to do things, how should they place the contracts. So we also, at times of volatility, we actually tell them to kind of go for short-term rather than long-term contracts. But yes, we would love the prices to stabilize as much as possible because long-term contracts obviously are much better in terms of our view in the future.

Siddharth Purohit: Okay. And just 2 more bookkeeping questions. Now that our assets have been capitalized, is it the current run rate of depreciation will be like is at the peak? And secondly, earlier you used to have lower tax rate. Now last 2 quarters, we have been on a higher side. So is it the normal tax rate that we should be considering going ahead?

Praveen Jaipuria: So I think, first, I'll just answer the first one very broadly because I think your voice was not very clear. So I don't know whether our CFO heard it. Second one about tax rate, he will clarify.

So we are already off the peak levels. If you remember, last year end, we were at around INR1,800 crores, INR1,900 crores debt levels, which has now come to INR1,580 crores and the net debt will be a little lower than that as well. So we are off peak levels as far as debt is concerned. As far as tax rates, I'll just ask Chaithanya to clarify to you.

Chaithanya Agasthyaraju: So regarding the tax rate, again, it's a derivative of where the profit has come from. Since we have facilities at Vietnam, we have, as you said, EU and all. So where the profit earned also determines the tax that we have in the P&L. So average, it would be around 17%. So we can take 17% as the average tax rate.

Siddharth Purohit: And also the depreciation is at a peak right now, now that we have capitalized RSV.

Chaithanya Agasthyaraju: Yes. Yes, yes. So depreciation is at peak. Interest is also interest will start slightly moderating. It may not come down significantly because last year, we would have capitalized a lot of interest.

So in terms of depreciation, it is at the peak level. Interest rates will more or less remain stable.

Moderator: The next question is from the line of Nihal Shah from Prudent Corporate Advisory Services.

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Nihal Shah: Congratulations on a great set of numbers. So as we have seen a lot of growth in the B2C segment, can you give some color on the margin profile that we are managing right now at B2C segment?

Praveen Jaipuria: So your voice was a little cracking, but what I hear you is that you are asking to give some color on the margin profile, right?

Nihal Shah: Of B2C.

Praveen Jaipuria: Of B2C. Okay, fine. So the margin profile is pretty much similar to what we had seen last year. Aga

in, there is a lot of things that play into it. The more penetrative we are becoming, the more small packs we are selling. Small packs don't necessarily have very high margin profile. But what we are doing is at 2 levels.

One is we are keeping an eye on our top line growth, and we are keeping an eye on our EBITDA levels. Now what is happening in between is that we are playing it around so that we keep the momentum happening. So at times, we are pushing the brand because some SKUs need to be pushed. And at the same time, we are also creating enough pool. So that is where it is.

As far as EBITDA is concerned, we are at around 5% to 6% EBITDA level for this B2C setup.

And we will continue to be at these levels going forward because we want to reinvest, as I told you, that not only in driving the coffee growth and distribution, but also making sure that some of our new initiatives also are nurtured and nourished. So we'll keep using the fund to drive all of this and keep the margins at these levels and continue to drive the aggressive growth.

Moderator: The next question is from the line of Param Vora from Trinetra Asset Managers.

Param Vora: Congratulations on great set of numbers. So sir, can you give us some light on the 26% stake you took in Mukkonda Renewables, like what will be the time line for commissioning and what EBITDA margins can we expect?

Praveen Jaipuria: So there is a dual purpose of this. First and foremost, yes, as a company, we are a responsible company as far as the energy requirements are concerned. So we want to go for greener energy more and more. So that was our primary objective to do this or take this project. This project will take around 12 to 18 months to complete because it's a hybrid thing. Therefore, I'm giving you a broad guideline.

In 12 months, certain set of energy will start coming in. And in 18 months, the full energy that we have contracted with them will start coming in. And almost 50% to 60% of our energy requirements will be suffice to this arrangement. And this would mean that 50%, 60% of our

energy requirement will be green energy. So that is there.

Yes, there will be an improvement in terms of operational cost. But we are looking at it in both ways because we're also kind of spending money upfront to get this thing done, which will mean that there will be a 2, 3 years of payback period as well. So that's where it is. Right now, we are not too predictive about that what is the margin improvement that will happen because energy
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is contributing very, very small portion into the margin profile. 60%, 70%, we all know is green coffee. So that is what will drive the margins going forward.

Moderator: The next question is from the line of Dipak Saha from Nirmal Bang Institutional Equities.

Dipak Saha: Praveen sir, one question on the B2C part. If you can double-click on the demand driver. I mean, is it more of out-of-home consumption or in-house consumption that we are seeing, which is doing 40%, 45%? I understand base is small, but what is largely driving from the end user perspective? Is it out-of-home or it's in-house consumption or something else? If you can give some color on that?

Praveen Jaipuriar: So let me first, Dipak, give you a little category this thing. So category, if you see, the out-of-home is growing much faster than in-home, yes. So there is quite a bit of consumption increase.

The in-home consumption still is not very euphoric. It is, let's say, if I were to speak of volumes, it is low single digits only. So it is not very high.

But for us, the growth is not necessarily coming from the category growth. We are more focused because we are a very small player. We are a new entrant in the market. So most of our growth is largely dependent on market share gains. And that is where our focus is that how do we gain more and more market share.

Dipak Saha: Got it,

sir. And sir, just a follow-up on the previous participant's question on the investments that you have done on the renewable side. And you also highlighted the kind of efficiencies kicking in from working capital point of view and other measures that you are taking. So if you can list out all these other different measurements that you are taking to bring operational efficiencies, both on the operations side and as well as it is reflected on the working capital side, it would be a bit helpful for us to understand.

Praveen Jaipuriar: So it kind of span across the whole value chain. So basically, right from making sure that you get the most optimum yields, the better utilization, as we increase our utilization, the fixed cost spread becomes better. So you're able to spread towards a higher volume. All of this leads to better efficiencies.

Now energy cost, yes, this will also add. It's like in Hindi, we say small saving making a big investment that's the kind of thing that is going to happen on the efficiency front. And most of this is going to stay. But yes, considering, as I told -- as I always tell, 60%, 70% is green coffee, which determines where the margins will be. So yes, efficiency building is something that we have taken forward.

Now if you were to ask -- if you were to break it down, very difficult to break it down that, okay, if I got a INR10 better margin every kilo, how much was it through energy and how much was it through yield improvement. But yes, all of them have kind of added to this INR10 is what I would like to say.

Dipak Saha: Got it, sir. And sir, one last thing. I mean, quite structurally, if I see, I mean, our capex cycle is behind us. We are talking about debt reduction, working capital is improving. Your cash flow from operations have gone up quite meaningfully. Now, and B2C has started firing, right?

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So considering all this when we are talking about 15% to 20% kind of an EBITDA growth, right? And there has been steady improvement on the operational efficiency side. So is it fair to say that we are being quite conservative on those numbers? And structurally, not from a near-term point of view, next couple of years, we can actually do even better than that?

Praveen Jaipuriar: So time will tell whether we were conservative or not. But yes, we kind of, as I always said, 1 quarter may not be a reflection of a long-term performance. And when we say long-term performance, we always, and you know if you were to see CCL we always have been kind of saying that we want to maintain steady state of growth. And to do that, last conference call, I mentioned that there are times where volume will drive our growth. There are times where efficiency and other aspects, mix will drive our growth.

Sometimes a quarter like this happens where all of them come together, so the growth becomes that much more nicer. So therefore, so therefore, I cannot for sure say that this will happen every

time. Thus, the long-term guidance remains. But yes, I do kind of accept that when we had given a guidance of 15%, 20%, we could have landed anywhere between 15% to 20%. Now it looks like we probably will land closer to the higher end of the guidance than at the lower end. So that's the submission from my side.

Dipak Saha: Appreciate it, sir. Just one last thing before I join the queue. Sir, structurally, now you mentioned that even last con call and today also you mentioned that the desire to be a FMCG company, and we have seen the kind of measurements you have taken for with Malgudi brand and different other snacks also some of the experiments that you are doing.

So if you just can very briefly give your thought process on where -- how we position ourselves from a longer-term point of view. One is coffee business is definitely doing it. But beyond that, what's your vision on that front?

Praveen Jaipuriar: So very, very

clear. I kind of spelling it out again. We want to be an FMCG company. We are building distribution. We were the, probably the only company 6, 7 years ago when everybody was kind of focusing on direct-to-consumer and we're not ready to build distribution because of the challenges it has, we went the other way around and we went ahead and build distribution because we were clear that if this were to succeed, we probably in future, would like to transition ourselves into an FMCG company. So that is the thought process.

And therefore, seeding of some of these initiatives like iced tea or, let's say, a snack, all of this is happening. There are a few categories we are always on the lookout or kind of working at the back end at what could be some of the other categories. But right now, we have our plates full in terms of driving growth in some of these adjacencies that we have entered into.

And going forward, yes, we are putting all our might behind all of these categories and developing ourselves into an FMCG company. Today, as we speak, we are already directly distributing to 130,000 or 140,000 outlets, which is quite significant. And we have a belief that since we have built this distribution network, we need to supplement it with some more categories.

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And these more categories will help us go beyond from 150,000 to 200,000. So because every additional outlet you go, the through put has to match the cost of going to that outlet. So unless and until we add to our portfolio, this may not be feasible. So keeping all this mind, our vision and our way forward is pretty much clear.

But yes, while we say so, we always know that all of this has to be taken with a pinch of salt because not every initiative succeeds. So therefore, we are taking calibrated steps doing test marketing, be sure that in the test market, things are working and only then we will expand and spend money behind it.

Moderator: The next question is from the line of Akhil Parekh from B&K Securities.

Akhil Parekh: Many congratulations, Praveen sir and Srishant for the good set of numbers. And it's really heartening to see the gradual and consistent progress that CCL has achieved over the last 10 years and more so specifically in the last 5 years.

So my first question is on the branded business, right? We have seen last 2 years, we have maintained 70%, 30%, right, in the domestic, 70% comes from branded, while non-branded is 30%. While in first half, we see that proportion has gone down to slightly below 50% for branded. So any specific pockets where we have seen growth in the non-branded part? And what has led to that distortion basically? And how should one look at it between branded and non-branded domestic for next 2 years? That's my first question.

Praveen Jaipuriar: Akhil, so again, one of the first things that I've been telling that let's not look at proportions because it's not that we will compromise on any one segment for the other. So what it means is that, yes, we would like all our business to come from B2C, but there is a non-branded segment also, which we drive very aggressively.

Today, as we speak, almost 80% of the private label that we are doing in India -- 80% of private label in India, we are doing. So we are aggressively driving that segment as well. So we don't want to leave any piece saying that, okay, because we anyways are a coffee manufacturer, we have been in the B2B business for so long.

And our ability to deliver on the B2B part is equally good. So what is happening is that we have set up a separate vertical, which is now very aggressively going to all the private labels, the B2B parties in India, and we are aggressively driving the growth there as well. So it's more like we are driving equal very strongly all the segments. And it so happened that, that segment, we gained a lot of contracts in the near time. Last 6

months, we have added 2, 3 more private labels to our kitty, which has led to much better growth there as well.

Akhil Parekh: Sure. And the margin profile would be broadly similar between the 2?

Praveen Jaipuriar: So it depends. If you were to see at the gross margin levels, the B2B will be lower. But when you look at net margin levels, the B2B will be higher because you don't spend anything on marketing spends and all that. So it is like that, but yes, we kind of play it contract by contract and target by target, client by client.

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Akhil Parekh: Sure. And my second question, you mentioned that we have reached 1.5 lakh retail outlets. What would be the true potential in terms of the retail outlet reach we can achieve, say, over the next 3 years?

Praveen Jaipuriar: So in next 3, 4 years, 3 years, at least, we'll try and double it. It will all depend on some of our other initiatives. So the more things we add to the portfolio, our speed of reaching the outlets will become that much more bigger because now after 1,50,000 what happens is that the cost of going to that outlet sometimes doesn't justify the through put, yes. But when you have other things in your portfolio, then it's getting justified. So it really depends how things shape up in the future. But in 3 years' time, we can definitely double it.

Akhil Parekh: Sure. And my last question, slightly short-term based. Usually, what we are seeing is second half is better than the first half, right? And our EBITDA growth is far better than 20% in first half, while you're alluding that you maintain 20% plus EBITDA growth for full year. So how should one read about the second half?

Praveen Jaipuriar: So Akhil, 2 things. One is that I think, yes, you're right. Maybe 5 years ago, we used to see that second half used to be a little better than the first half. But I think last 5 years, I haven't seen in terms of -- and this I'm talking about in terms of business. I haven't seen much of a difference. Yes, in India, the second half is definitely a little better because India is a little seasonal market. But rest of the markets like a Europe market, U.S. market, CIS country market, these are generally, and the buying for the second half, the season time also happens pre-season. So I don't see much of an impact in terms of sales or margin. Also, a little will depend on how the bases are. So I don't want to dampen the spirits here. But you remember that last year, the second and third quarters were a little weaker than the first and the last.

So you will see the last, this year, the last quarter will probably, we'll be facing a very good last quarter last year as well. So that will also determine how the growth level are. So I can't say that this growth will better off. We'll try and maintain as much as possible. But yes, the guidance remains that we probably will be at the upper end of the 15%, 20% guidance of EBITDA growth.

Moderator: The next question is from the line of Vaishnavi Gurung from Craving Alpha Wealth Fund.

Vaishnavi Gurung: My first question is on the capacity side. If you can help me with the capacity in India versus Vietnam and the respective capacity utilization.

Praveen Jaipuriar: So in India, we have a capacity of around 40,000 metric tons. Vietnam is 36,000, 37,000. So the total is around 77,000, right. And the utilization at a blended level is around -- this quarter was 65% to 70%. So which means that the old capacity is fully utilized and the new one is at around 15%, 20%.

Vaishnavi Gurung: Sir, a follow-up question. When can we expect better capacity utilization for the new capacities added?

Praveen Jaipuriar: So it will, so the better is a question which is, can be answered in this way that we are anyways looking at the consistent volume growth. So it won't happen that overnight the capacity gets

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utilized. What will happen year after year as we are driving volume growth, you will see probably every year, maybe 30% additional capacity gets utilized, the new one. So that is how the trajectory will be.

And therefore, we said in 3 years' time, 3 to 4 years' time, we will look to kind of fully ramp up the capacity. But as we have maintained that some of these capacity utilizations are in, it's a step-up process. So for any gradual increase also, you have to increase the capacity in such a manner that it takes care of next 3 to 4 years.

Vaishnavi Gurung: Okay. And the last question is on the revenue side. Our quarter-on-quarter sales have been increasing by 40% to 50%, if I'm not wrong, year-on-year basis. So just wanted to ask how sustainable is that? And where do we expect to close for FY '26?

Praveen Jaipuriar: So as you know this growth is largely dependent on the green coffee prices and may not be reflective of the long-term performance because it all depends how the green coffee prices pan out. And therefore, we kind of give you a little color on how the volume growth have been. So

that is the true picture of our performance and even our EBITDA growth are mostly in line with the volume growth.

So our volume growth have been this quarter, the quarter gone by was a little upwards of 20% and the first quarter was closer to 8% to 10%. So the blended first half is around 15%. And we would like to maintain this kind of a volume growth going forward.

Vaishnavi Gurung: Any guidance on the revenue for FY '26?

Praveen Jaipuriar: So revenue, again, I said that it's a little, not, it doesn't give you the right picture. We have already done INR2,000 crores. If I were to, INR2,000 crores, and if the same coffee rates were to hold on, then INR2,000 crores will become another INR2,000 crores, so it will be closer to INR4,000 crores, but we will really depend on the coffee prices. And therefore, sometimes there could be fluctuation on the value numbers.

Moderator: The next question is from the line of Lokesh Manik from Vallum Capital.

Lokesh Manik: Praveen, my first question was on the new capacity utilization, 15% you mentioned. What is the size of this capacity?

Praveen Jaipuriar: So the new capacity is almost half of the total capacity that we have because, almost half, a couple of thousand crores here or there, yes.

Lokesh Manik: 35,000, give or take.

Praveen Jaipuriar: Right, right.

Lokesh Manik: My second question is, if I look at the conversion margins, they are at the lower end compared to historical levels. Then would it be a fair assessment that the mix would have more spray-dried compared to freeze-dried?

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Praveen Jaipuriar: No, not necessarily because what is happening is also that because of the new capacity, it also adds to the fixed, the fixed cost gets added. And therefore, you will see some lowering of the conversion margins here or there. But it's not necessarily because spray-dried has increased. In fact, our freeze-dried component increased and therefore, EBITDA per kilo if you see are better than previous quarters.

Lokesh Manik: Okay. And, but the new capacity is of freeze-dried, if I'm not mistaken, which is coming up.

Praveen Jaipuriar: Both freeze-dried also and spray-dried also.

Lokesh Manik: Okay. My last question was on the branded business side on the B2C side specifically. So if you could just give a sense of what would be the, since you mentioned it's profitable now, if the margins, EBITDA margins are at the company level below that, above that because of 2 reasons.

One is it is also, you mentioned contributing to our EBITDA per kg. And secondly, you mentioned that the new initiatives would be self-funded through this vertical. So there's a plus and minus kind of a scenario. So just getting a sense of where these margins for new businesses would be, B2C business vert

ical would be compared to the company level?

Praveen Jaipuriar: Yes. So it is lower than the company level. That is because we are reinvesting a lot of this back into the business. But if you see the additional volume that is coming, so let's say, for example, we did INR200 crores, let's say, last year, and if we were to do INR300 crores. So what happens is that the additional amount is, and INR200 crores is the, let's say, the breakeven of that INR200 crores is already built into the business. So the INR100 crores is coming at a much higher clip than it was coming last year. And therefore, I said it has started now contributing.

So at a full level, like, let's say, we have done already INR210 crores in the first half. there we are at 5% to 6% EBITDA margin, yes. But come to think of it, last year, this INR210 crores was, let's say, INR130 crores, INR140 crores, that kind of a number. And that number was breakeven. So the additional number, the full 5%, 6% is actually contributed by the additional volumes. And that is why I said it is now contributing.

But having said so, we would want to maintain this 5%, 6%, not kind of milk it as of now because as we said, we want to kind of grow the business, not only this business, but also add a couple of other categories, which will require investments. So therefore, we will continue to kind of spend at those levels.

Lokesh Manik: Just last one. The B2B business in this, what would be the revenue for this quarter or half year, if you can share? I missed that, I'm sorry.

Praveen Jaipuriar: Which B2B, India B2B?

Lokesh Manik: Yes, the private label part.

Praveen Jaipuriar: So basically, in India, first half, we have done around INR310 crores. So if you remove INR210 crores, almost INR100 crores is B2B, which is both bulk and private label, right?

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Lokesh Manik: Bulk and private label. Okay. And these would include the snacks and the new initiatives, the entire vertical?

Praveen Jaipuriar: No, snacks is very small, but hardly anything to write home about. So these are very small. This is built into INR210 crores, not in the, but those will be a few lakhs because we are only micro marketing, test marketing.

Lokesh Manik: Right. And any development on the, or update on the U.K. brand acquisitions that we had done? How is that progressing this time?

Praveen Jaipuriar: That's progressing quite well in spite of the hugely competitive market and a market which requires very, very high level of investment. In spite of that, we are growing, we are kind of adding new accounts. And so that business is also doing pretty well. So we should get a 30%, 40% growth in that business as well.

Moderator: The next question is from the line of Manish Mahawar from Antique Stock Broking.

Manish Mahawar: In terms of EBITDA per kg, I think last 2 quarters, right, our EBITDA is around INR120 to INR130 per kg, right? Going forward, maybe '27, '28 once our capacity will reach optimum level, how do we see this EBITDA per kg should be.

Praveen Jaipuriar: So it should improve, Manish. Very difficult to put a number. But as we have been speaking, it will improve because of 2, 3 things, as we've said, more and more end clients that we are targeting, more and more small packs we are doing. Already, we have built in certain efficiencies. So that efficiencies will stay. It's already there in that EBITDA per kilo that we got last couple of quarters. So it's definitely going to increase.

And if you remember, we probably have kind of advanced this a little bit because 2 quarters ago, we were saying that when people ask that EBITDA per kilo, when will it increase and all that. We had been saying that because of the efforts that we are taking in terms of changing the product mix going to the end customers, doing more small pack, the new additional domestic volume. All this will keep adding to the profile. Only t

hing is that we said that for a year or so, don't expect too much of an increase. But yes, some of that increase has started to build in. Going forward, put an exact number to this, that whether this will increase becomes very difficult because sometimes these things add to the EBITDA per kilo, but the proportion or, let's say, the product profile mix could also change. So that is very unpredictable. I cannot for sure say that my product mix profile will remain same or will improve in the future.

And therefore, we'll remain with this guidance of 15%, 20% EBITDA growth year-on-year, whether it comes through only volume increase or it comes through proportion changes and all that, that is something that we'll keep an eye on. But nothing more or less to add to this number from here.

Manish Mahawar: But product mix side, I think so your FDC and -- FDC mix will remain, right, whenever you reach to optimal level, it will be stagnant on that time. You know the capacity numbers right now. Only I understand this small pack and bulk proportion may change, which you can't predict.

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And operating leverage fixed cost, you know the company, right? So definitely, you must be knowing the per kg ballpark number can come over the next 2 years.

Praveen Jaipuriar: No, no. So I'll tell you, even the mix of SD and FD is sometimes difficult to predict because right now, let's say, this quarter, we had a very good FD mix, and that's the reason you saw a much better profile, right?

Now if you know in India also, we had increased 16,000 tons of SD and Vietnam also 16,000 tons of FD. So if you see that our SD profiling is, in fact, capacity profiling has been more than FD, right? So that also plays a role. And therefore, predictability becomes a little challenging here.

Manish Mahawar: Okay. Understood. And second question in terms of debt number, I think loans, right? You said we will close by INR1,300 crores to INR1,400 crores by this year-end, right? Already first half, if I look at the number, I think INR1,500 crores to INR1,600 crores gross debt and we are sitting on a cash of around INR350-odd crores roughly in the book in the balance sheet, right? So we already have reached a number of net debt number of around INR1,250-odd crores, right? So you are not expecting any improvement or debt reduction in the second half?

Praveen Jaipuriar: Yes. So it depends, again, that is what CFO was mentioning. It will depend on the Vietnam crop, how does the prices and all that pan out. And therefore, we don't want to be committed on saying that it will go down. Let us see how it happens. But yes, definitely, it will not go up. And this is the guidance we had given at the start of the year. Yes, it has got advanced by a quarter or a couple of quarters. But as of now, let's maintain the guidance rather than being bullish on that because we'll want to wait for the Vietnam crop to come in.

Manish Mahawar: Understood. And last one...

Moderator: Sorry to interrupt, Manish. Hello? Sorry to interrupt. Due to time constraint, we need to close this con call.

Manish Mahawar: Yes, sure. Just last bookkeeping question, if I may. Can I?

Praveen Jaipuriar: Yes. Please go ahead, Manish.

Manish Mahawar: Just can I get, possible the number available for your Vietnam and your South subsidiary, which is FDC per kg number for first half EBITDA and PAT?

Praveen Jaipuriar: Separately, I'll ask this thing to give some color, but you'll get the number at the end of the year. We'll be able to give you some color there.

Moderator: Due to time constraint, that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Praveen Jaipuriar: Yes. Thank you, everyone, for joining the call, and thank you, Nirmal Bang and team to arrange this call. We will look to meet you all again in the next quarter. Thank you,

everyone.

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Moderator: On behalf of Nirmal Bang Institutional Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

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Date: 09.02.2026

To

The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra – Kurla Complex,
Bandra East, Mumbai – 400051.

Scrip Code: CCL To

The Corporate Relations Department,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Scrip Code: 519600

Dear Sir/Madam,

Subject: Transcript of the Conference Call held to discuss the results of Q3 FY 2025-26 as required under Regulation 30 of SEBI (LODR) Regulations, 2015

With reference to the above-mentioned subject, we wish to inform you that,

i) The copy of the Transcript of the Conference call held on Thursday, 05th February, 2026 to discuss the results of the third quarter and nine months ended 31st December, 2025 is enclosed herewith.

ii) The Transcript is also uploaded on the Company's Website and the web-link for the same is:

<https://www.cclproducts.com/wp-content/uploads/2026/02/Q3-Earnings-Call-transcript-2025-26.pdf>

iii) The List of Management attendees is stated in the transcript.

iv) No Unpublished Price Sensitive Information was discussed in the call.

This is for your information and necessary records.

Yours sincerely,

For CCL Products (India) Limited

Sridevi Dasari

Company Secretary & Compliance Officer

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"CCL Products (India) Limited

Q3 FY '26 Earnings Conference Call"

February 05, 2026

MANAGEMENT : MR. CHALLA SRISHANT – MANAGING DIRECTOR –

CCL PRODUCTS (INDIA) LIMITED

M R. B. MOHAN KRISHNA – EXECUTIVE DIRECTOR –

CCL PRODUCTS (INDIA) LIMITED

M R. PRAVEEN JAIPURIAR – CHIEF EXECUTIVE

OFFICER – CCL PRODUCTS (INDIA) LIMITED

M R. CHAITHANYA AGASTHYARAJU – CHIEF

FINANCIAL OFFICER – CCL PRODUCTS (INDIA)

LIMITED

M S. SRIDEVI DASARI – COMPANY SECRETARY – CCL

PRODUCTS (INDIA) LIMITED

M R. CHALLA RAJENDRA PRASAD – EXECUTIVE

CHAIRMAN – CCL PRODUCTS (INDIA) LIMITED

MODERATOR : MR. DIPAK SAHA – NIRMAL BANG INSTITUTIONAL
EQUITIES

Moderator: Ladies and gentlemen, good day, and welcome to CCL Products (India) Limited Q3 FY '26 Earnings Call hosted by Nirmal Bang Institutional Equities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone screen. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dipak Saha from Nirmal Bang Institutional Equities.

Thank you, and over to you, sir.

Dipak Saha: Thank you, Iqra. Good morning, everyone. On behalf of Nirmal Bang Institutional Equities, I welcome you all to the 3Q FY '26 Earnings Call of CCL Products. The management is represented by Mr. Challa Srishant, MD; Mr. Praveen Jaipurkar, CEO; Mr. B. Mohan Krishna, ED; Mr. Chaithanya Agasthyaraju, CFO; and Ms. Sridevi Dasari, CS of the company. So we also have Mr. Rajendra Challa with us on the call, and I'll request Mr. Praveen sir to start the call and give his opening remarks. Thank you.

Praveen Jaipurkar: Thank you, Dipak, and thank you, Nirmal Bang for arranging this call. Good morning, everyone. I welcome you all to the third conference call of FY '25-'26. And now I'll give you a brief overview of the company's performance of the third quarter and also the 9 months period gone by.

As far as the group performance is concerned, the group has achieved a turnover of INR1,053 crores for the third quarter of '25-'26 as compared to INR761 crores for the corresponding quarter of the previous year, achieving a growth of 38%. The EBITDA stands at INR187.56 crores as against INR127.22 crores, which is a growth of 47%, while PBT is INR116.27 crores, growing at 62% and the net profit stands at INR100.26 crores with a growth of 59%.

As far as the 9 months figures are concerned, the group has achieved a turnover of INR3,239.41 crores for the 9-month period as compared to INR2,274.54 crores for the corresponding 9 months period, achieving a growth of 42%.

The EBITDA stands at INR547.6 crores as against INR396.46 crores, which is a growth of 38%, while PBT is INR337.55 crores, growing at 37% and the net profit stands at INR273.57 crores with a growth of 31%.

The domestic market continues its growth momentum with a gross sales of approximately INR180 crores for the third quarter and approximately INR480 crores for the 9 months period. Out of this, the branded sales contribute close to INR120 crores for the quarter and around INR330 crores for the 9 months period.

As far as the green, we have been speaking about this intermittently, but the green coffee prices, as far as they are concerned, they remain in the range of INR3,600 to INR4,000 levels. We'll have to wait and watch, post I told this before as well, post pet holidays, how things pan out, and that will determine the range of green coffee prices going forward. Additionally, the company

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has declared an interim dividend of INR2.75 per equity share for FY25-26 That is a brief update from our side.

I would now open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Shirish Pardeshi from Motilal Oswal.

Shirish Pardeshi: Praveen, if you can give the outlook on the coffee prices because the new crop has just come in. So I think what are the pressure which we see at this time? And my related question is that in the quarter of 38.5% revenue growth, what is the volume momentum we would have seen? And maybe number you can share?

Praveen Jaipurkar: Yes. Thanks, Shirish, for the question. As I told you, the green coffee prices, the outlook as of now looks much better than w

hat it was a year ago. If you remember a year ago, this quarter was a most tough quarter in terms of prices that it -- where it had surged at the maximum levels and -- but however, this quarter, things are looking far more stable than the last year.

But having said so, we were still in a little wait-and-watch period, considering that Vietnam goes for pet holidays and there is a little bit of a selling off tendency before the pet holidays. So prices are at softer levels. But the real test would be after pet holidays, if the farmers decide to hold on to the stocks, then we could see some more volatility coming in, some more price increases coming in.

But as of now, things look the only guidance that I would give is that it looks far more stable.

The Brazil news is good as of now. The crop looks good unless until there is some other bad news coming in. I think going forward, things are looking much, much better than what it was an year ago.

So that's on the green coffee prices. As far as the volume trajectory is concerned, Shirish, the -- out of this 38%, the volume is close to 20% or so. There is another 18% to 20% of value growth that we've got for this quarter. And therefore, the value growth was at 38%.

Shirish Pardeshi: So just to follow up with the volume, which is going to pick up, and that's my understanding, will this price stability will come down? And therefore, 2 follow-up, is the customer is now giving you a steady order or there is also a wait-and-watch mode? And second, how much price increase reduction on the account of all this situation now panning out, we will have to take or the price will remain elevated for some time?

Praveen Jaipuriar: So 2 things, Shirish, we have always maintained that it's actually not right to look at the price growth because that is determined on the green coffee prices considering we do cost-plus model. So the real marker would be to see the volume growth and the EBITDA growth. And that, as we have always maintained that the guidance remains stable. There is no fluctuation there.

\ So really, we are not so bothered on the prices that even if the prices drop, that's okay because that's not what we are guiding the market or we are looking at as a parameter. So that -- so the CCL Products (India) Limited
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guidance stays from our side that keep looking at the volume growth and the EBITDA growth from our side.

Shirish Pardeshi: Okay. Just last question. the stability in the U.S. tariff and other thing, does that customer which was holding the inventory or maybe there were lower inventory, is that reflected in the month of January. So there is some spillover which would have happened in the quarter 4. Is that the understanding correct?

Praveen Jaipuriar: Not really. I don't think so people have been holding finished goods inventory across the globe. Yes, in green coffee, there are speculative holdings that happen with the green coffee farmers and the aggregators. But I don't think so this tariff impact is going to impact much of the trade and especially for us because we had the flexibility to supply from Vietnam.

So it did not affect us. So even if the lowering of tariff also is not going to help us or it did not adversely help us -- adversely affect us 2, 3 quarters ago, it's not going to give us undue advantage now also.

So our position remains stable as it was before going forward as well. And the customers are considering the green coffee prices are now -- the more stable they are, they are more assured they are. So the long-term contracts obviously start coming in. And this is evident in our volume growth also.

If you see last year, when the prices are so choppy, our volume growth were in the range of 10% to 15%, which goes to now 15% to 20%, considering long-term contracts have started to seep in -- the confidence has started to seep in amongst customers that the prices are much more stable
t

han what it used to be last year.

Shirish Pardeshi: I was just asking -- Praveen, I was just asking the price stability, is there expectation that quarter 4 volumes will be much more than 20% what you've delivered this quarter?

Praveen Jaipuriar: No, no, not really. Not really. See quarter 4, we have already -- for the next subsequent quarters, our contracts are almost done. We are kind of -- we know how it will be. So there won't be any undue advantage that we get in the project.

Challa Rajendra Prasad: Shirish, this is Rajendra Prasad. Most important, I always maintain, we maintain CCL, it's a year-on-year company. Don't look at quarter-to-quarter. See it's been 30 years now. So there is nothing we have built the capacity slowly it will come. And everything falls in place. They will not -- nobody buys just like that and keep stock, especially in a volatile market like green coffee, what exactly is happening. Nobody knows, nobody can predict.

So what -- as far as CCL is concerned, we always look for long-term stable business. So there is no issue at all, okay? And all of you should only look CCL on a year-to-year basis. Just like Praveen just now explained, what we have done in the domestic also, slowly, no, it will take a little time. It doesn't matter, but we are very much there. Thank you.

Moderator: The next question is from the line of Vivek Ganguly from TCG AMC.

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Vivek Ganguly: I just wanted what would be the debt level as of the quarter end? And if you can give the debt level for the corresponding period and also the interest cost, rate of interest?

Chaithanya Agasthyaraju : Yes, Vivek, we continue to channelize our efforts to deleverage the balance sheet. There is a subtle shift in our finance strategy towards a more cash flow-oriented and working capital-oriented approach, which is actually helping us in terms of reducing the debt. The gross debt, which used to be around INR2,000 crores a year ago, has come down to INR1,448 crores as at 31st December '25. This is the gross debt. Net debt would be around INR1,248 crores.

Vivek Ganguly: And the interest rate would be?

Chaithanya Agasthyaraju : Interest rate would be around 7% on an average across the group. And our guidance was INR1,250 crores at the end of -- as at 31st March '26, we have given a guidance of INR1,250 crores. We can see we are almost a quarter ahead of the guidance, but we'll stick to that guidance.

Vivek Ganguly: Okay. That's all from my end.

Chaithanya Agasthyaraju : So one small aspect is basically in spite of the significant increase in the volumes, the debt has actually come down. With the increase in volumes, the working capital should have ideally gone up, but we have actually brought it in the opposite direction.

Moderator: The next question is from the line of Kashyap Javeri from Emkay Investment Managers.

Kashyap Javeri: Really heartening to see Mr. Rajendra Prasad also being on the call. Thank you so much, sir, for being there. I have a question on our volume number and slightly longer term. So once we hit, let's say, the full capacity, which is to be about 77,000, 78,000 tons, when we do the peak utilization there, what would we be as a market share of the outsourced instant coffee globally? And once we hit that number, then should one assume that post that, the growth will be in line with what the market would grow at because we would be fairly large market share? That's the question one. And second question is on our retail business in India, the branded coffee. If you can give some idea on how that business has progressed in third quarter this year?

Praveen Jaipuriar: Kashyap, so on your first question, when we are at peak capacity utilization, which is some time away from now, we probably will hit at 12%, 13% global market share of the outsourced market, right? Now that is -- there are 2 ways to look at it. One is to say tha

t even 12% or 13% is -- there

is still some way to grow. So we could be growing ahead of the market even there.

Kashyap Javeri: Sorry, Praveen, just to intersect here, when you say 12%, 13%, this is the total market or the outsourced market?

Praveen Jaipuriar: Outsourced market. I'm just talking about the outsourced market because see we can't compete in the branded and the captive consumption market. So that is -- I'm segregating that. So this is only the outsourced market, will be 12%, 13%, which means that we still have some headroom to grow.

And we'll continue to kind of strive for higher growth than the market. Even the market, we have seen that the instant coffee market, considering that the growing economies are growing the way CCL Products (India) Limited

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they are, and they are more likely to adopt to more instant coffee, we see a better growth of instant coffee than other coffees as well.

So I think both put together, the market growth and our ability to still gain market share, we should be growing at a little higher level. So that is the long-term guidance. But it is really long term, we'll see how things pan out going forward. So that's on your answer to your first question.

The second question, you talked about the branded retail sales. So as I told in my opening remarks that the branded retail sales continue to grow at a very good momentum. We are growing at almost 40%, 50% this year. And this year, we are likely to close at around INR430 crores, INR440 crores of only branded sales. And the India sales will be around INR650 crores.

And we have been gaining constant market share and expanding our distribution. We are now distributed -- directly distributed in 140,000 outlets. We are also expanding our networks beyond South, which is North, East and West markets.

On most of the e-commerce and the modern retail platforms, we are very strong number 3 and in some cases, even number 2 player. We are like kind of out-blown some of our more illustrious competitors. So that is the -- a little color on how the domestic market has fared, and we'll continue to grow aggressively in this market.

Kashyap Javeri: And just a clarification, when you say INR430 crores at MRP level, this would be what, about INR800 crores to INR1,000 crores?

Praveen Jaipuriar: No, no, we are not now at 50% discount. So you may add 30% in any retail loan approximately considering the retail margin and the schemes you give, 30% to 35% you can add at MRP levels.

Kashyap Javeri: Okay. And last question, on the Vietnam side, we have capitalized large blocks in this year, in fact, March last year as well as mid of this year. But if I look at the sales, we are not seeing that kind of growth which we are seeing in the gross block there. What could be the reason there? So we are at about similar number for now about, let's say, 2 or 3 quarters. but the new capitalization should have added top line growth in the third quarter also?

Praveen Jaipuriar: So if you -- if I read your question right, you're asking that are we getting commensurate growth

in terms of volumes in NCL. I would say, yes, we are because a lot of, if you see even our margin profile improvement is because of the FD capacity utilization, which is now at much better levels than because last year, there was no FD capacity in Vietnam. So we are getting commensurate growth from Vietnam as well.

Kashyap Javeri: But utilization even today would be in the new capitalization would be less than 50%?

Praveen Jaipuria: No. Yes, less than 50%. But considering that this is the first year of operation, utilization of 25%, 30% is, in fact, a very, very healthy utilization. And that's what we had planned, and that's what we are completely on target on that.

Kashyap Javeri: And again, Praveen and team, Mr. Srishant, Mr. Rajendra Prasad, fantastic show. Thank you so much for these numbers.

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Moderator: The next question is from the line of Abhishek Mathur from Systematix Group.

Abhishek Mathur: My first question was on our EBITDA per kg, which is a key metric for us. If I'm not wrong, it would have been approaching about INR140 for the quarter, and you can correct me if that's not accurate. But the question here is that now with coffee prices probably on a downtrend on a Y-o-Y basis at least, what should we expect in terms of the response on the EBITDA per kg as we enter into a cycle of maybe declining coffee prices Y-o-Y?

Would this metric respond negatively? Would it come down? Or would it not be affected? Just trying to understand the dynamics between these 2, the coffee price and the EBITDA per kg here?

Praveen Jaipuria: So I'll answer your second question first. Absolutely, there will be no impact on EBITDA because a lot of people ask these questions. We don't speculate on coffee prices. It's a cost-plus model, very sound in terms of how we build prices. So even if the coffee prices come down, our per kilo EBITDA will remain impact -- will remain intact.

So there is no impact there. Now coming to your first question, yes, you are right. We have now improved our EBITDA per kilo. It's now at INR135, INR140 levels, and we'll continue to maintain -- try and continue to maintain at these levels.

As Mr. Prasad right now just said that don't look at quarter-to-quarter, there will be some variations. A lot goes in EBITDA per kilo, what is the product mix, what is the type of SKUs you are selling, large packs, small packs, a lot of things come into play, freeze-dried versus spray-dried.

So long-term guidance has been that we'll keep improving, but INR135, INR140 levels we have achieved, and we'll try and maintain these levels going forward as well. And of course, there will be quarterly variations, don't look at quarters, maintain the long-term view on our EBITDA per kilo.

Abhishek Mathur: Sure. Great, sir. Second question, sir, on -- just wanted to understand if there is any contribution or impact from the foreign exchange changes. So obviously, part of our business would be naturally hedged. But even so, if you can talk about whether we are seeing any impact of FX changes on our business? And if you can talk about any other kind of hedging that we follow?

Chaithanya Agasthyaraju : See, Abhishek, we have a natural hedge sort of thing. Most of our imports -- most of our raw material procurement happens only from -- most of our imports -- most of our procurement is only through imports. And since you have exports and you have imports, it is supposed to get naturally hedged.

Having said that, when rupee depreciates, you will have a little bit of exchange impact because we are net exporter and we have a little bit of impact in the sense that there is an exchange gain, which will be there in that.

Abhishek Mathur: Right, sir. But this is not material to call out?

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Chaithanya Agasthyaraju : No, that's not material because the thing is that we are naturally hedged. We have imports, we have exports, which will automatically negate the exchange risk.

Abhishek Mathur: Understood, sir. And just one final quick one, if I can squeeze in. On the India branded business, our operating margins would be in the range of 5% to 8% or any other range that you want to specify?

Praveen Jaipuria: Yes, that is there. And we'll keep going back to the business so that we can grow this business. This business has just started to kind of having green shoots, and it is important for us to keep investing into the business, so which we'll keep doing for the long periods of time. That is the guidance we have given that we'll maintain at these levels.

Abhishek Mathur: Yes. So is it -- if you can give a specific number, between 5% to 8% or any specific number?

Praveen Jaipuriar: I think th

is number because we don't kind of granularly kind of publish numbers. So let us stay with that. And it's not a very broad margin, 5% to 8% to my mind is quite a decent spectrum that we are giving.

Moderator: The next question is from the line of Lokesh Manik from Vallum Capital.

Lokesh Manik: Heartening to see the Chairman, sir, on the call, on this call today...

Moderator: Sorry to interrupt Mr. Manik. We are unable to hear you. Can you please speak a little louder?

Lokesh Manik: Yes. Is this better now?

Moderator: Yes, please go ahead.

Lokesh Manik: Heartening to see the Chairman sir on the call today. Praveen, my question is more from a portfolio diversification perspective. So how am I looking at it is core coffee business and then you have the B2C, which has grown fantastically, domestic market and then you have also in the U.K. market acquired a couple of brands.

And then the third piece is the new products that we keep experimenting with. We had cold brew coffee earlier. We are now doing plant-based snacks. So on these 3 areas, if you can give a sense how the portfolio is diversified or contribution from these segments can help us just understand how the diversification is progressing?

Praveen Jaipuriar: Absolutely, Lokesh. Let me give you some color. You know that -- and we have been speaking this for long that the whole foundation of the company is based on innovation, which means that we constantly offer new products to our clients understanding the market needs, understanding what the client needs.

And that's the reason we have been showing this kind of performance over the period of so many years that every time we have been a little ahead of the curve in terms of providing the products. We were the first ones to set up a freeze-dried plant in India when nobody thought of it, which clearly demonstrates our penchant to do newer products for our customers.

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And that also helps us to diversify our portfolio and not be dependent on one product. And that's the reason we have been able to get a consistent growth over a period of time. We also diversified into creating our own brands, which also has done well for a period of now last 6, 7 years, which is also part of our diversification process because it helps us to kind of be a complete company in terms of our coffee, not only supplying good products and diversified products for our B2B consumers, but also to our B2C consumers.

Even in B2C, if you see our product range has been very, really vast. In fact, when we started, a lot of people have questioned us that as a start -- a company, which is only starting, why do you have so many ranges of coffee? Our very simple answer was that we understand the consumer pallet. We understand what consumers want.

For every region, we developed a new blend, for every type of consumers, we developed a new brand. And that's the reason we ended up creating a very good portfolio even in the branded segment in the domestic market.

The UK acquisition continues to grow. We are handsomely growing there. The business -- it is so tough to create and grow a brand in these kind of countries, which are very, very brand conscious, right? So there also, we have been doing extremely well.

As far as the question of plant-based meat is concerned, Lokesh, that category itself, if you see around you, has kind of -- has not done well. In fact, the whole category is almost on a shutdown basis. And we quickly took a call because we didn't want to further our losses in that category.

So we quickly cut down on the losses and we stopped that category because we didn't see the category, the way it was evolving is going to evolve well in the future. So we are now rethinking that is protein a good category and how we can participate in that category.

And while we are doing that, our thought of diversification doesn't end here. We said that

can

we see beyond coffee. And that's the reason we have started experimenting with some traditional snacks under the brand name Malgudi, which goes with traditional ethos of the country.

And we have started to launch very -- micro launch these products in some of the outlets in Hyderabad to see how the response is. If we get good responses and we get the product mix right, the pricing mix right, then we will expand this further.

So that's in all with the base (b) innovation, a color on how diversification has been the key for the company in any segment that we operate. So that probably completes your answer to your question. If you have anything in more detail to ask please.

Lokesh Manik: Yes. Just one more on the success of 2-in-1 and 3-in-1 in Europe, especially they were quite well known and famous. India also, we tried to introduce. So on both these fronts, how are we doing

on those product portfolios?

Praveen Jaipuriar: Yes. So Lokesh, just a small correction. It was not very popular in Europe. It was very popular in Southeast Asia. Yes. It was very popular in markets like Vietnam, Singapore, Malaysia, CCL Products (India) Limited
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Indonesia. And the prime reason for this was that there was always a shortage of milk in these countries.

So for them, 3-in-1 and 2-in-1 became very popular choice, and they kind of grew up on such kind of coffee. Now coming to India and European markets, these categories are doing well because it's not as big as what Southeast Asia is because fundamentally, these countries are milk surplus countries. They have enough of milk. So 3-in-1, 2-in-1 will take its own time to develop. But in certain segments, like, let's say, the student segment, the single office growing segment, these segments, it is catching up and growing. Europe, we are yet to see massive growth. Also in Europe, supplying of 3-in-1 is a challenge because they don't allow dairy from any other country. So we have to look at other options. So as and when things evolve, we'll keep you updated, but that's the update on these segments.

Lokesh Manik: Praveen, just last one, just to add on this. If you see the growth in the future coming for coffee, mainly for emerging markets and mainly Southeast Asia, then 3-in-1 and 2-in-1 would be a good bet then that should I take this forward then?

Praveen Jaipuriar: No, it's already a good bet. We are not saying that it's not a good bet. But all these countries, Southeast Asian countries, they have very strong brands. In fact, a lot of brands we supply coffee to. So we are already, in a way, participating in that growth that is happening in 2-in-1 and 3-in-1 because a lot of brands, we are the suppliers of coffee.

Now the only question that remains is that do we participate in these markets with our own brands, that we'll check and see that is it fruitful to operate in already crowded market, which is unless and until we have a product innovation, some differentiator we would not like just to kind of go ahead and participate in the market.

So we'll see how things pan out in these markets. Right now, our focus is in India, and we'll start seeding some of our brands in some of the other markets, but that's been the focus right now.

Moderator: The next question is from the line of Khushal from Asian Broking.

Khushal: I just wanted to know new product segments the company is exploring like any new segments the company is planning to get into apart from...

Praveen Jaipuriar: Sorry, just to interject, are you asking about new segments within coffee or new segments outside coffee?

Khushal: Overall business?

Praveen Jaipuriar: Overall business? Yes. So okay, let me answer you in 2 phases. One is within coffee also. I just now spoke about the new types of coffee that we have been experimenting with. I told you about how we were the first ones to introduce or get into freeze-dried coffee in India. Then things I

like instant cold brew, which was like unheard of phenomena, we developed it and that is going handsomely for us. We are also now developing specialty coffee, which was only CCL Products (India) Limited
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restricted to roast and ground and green beans -- sorry, roasted beans. We are now kind of -- we are experimenting that can we bring these concepts into instant coffee.

So these are some of the innovations that we are doing, the microgrounds and things like that. So various innovations we are doing depending on which markets we want to operate in and which clients we are supplying to. So lots of innovation on B2B.

On the B2C front, as I just explained, we are also seeding or, let's say, experimenting with some of the categories which are outside coffee. Can we look at things like snacks, which go well with coffee and helps us with our distribution and kind of helps us penetrate the market better in the FMCG segment.

So these are some of the experiments. Already on the vending side, we are supplying tea to a lot of our clients because the vending business is not just about coffee, it is about coffee and tea as well. So these are the segments that we will be experimenting, seeding the seeds. We are not -- we have never been one company wherein we suddenly kind of do a market bombing.

We see the markets, we see how things are -- how responses are coming in, do some product changes as per the market, go step by step, and that's how we will grow the market. So that's what we will continue to do in the future. So these are some of the categories that we will try and experiment with.

Moderator: The next question is from the line of Deepak from Sundaram Mutual Fund.

Deepak: Sir, my first question is on small pack. Could you please highlight it? What is the small pack capacity we have right now? And what is the utilization level? And is there any expansion plan, let's say, in the next 12 months for that?

Praveen Jaipurkar: So the expansion plan, Deepak, will depend on how the future orders are. So let's say, for example, let me break it down into, let's say, small pack within small packs also you have different types of packaging, yes, right, from sticks and sachets to pouches to glass jars, tins. So all these kinds of packing are there. So let's take an example of small packs.

So we have seen a lot of demand for the real small pouches because these are unit price pouches and especially in economies like the growing economies, the demand for these kind of small packs or LUPs, as you popularly call them, is very high, and it is growing. So markets like Africa, India, they're responding very, very well to the small packs. So definitely, we are going to expand this capacity.

Right now, if I aggregate all the small packs, our capacity is 12,000 to 14,000 metric tons of small packs we can do. Already, we are running out of capacity in the small units like packing-sachets. So we are going to expand this in the near future. For glass jars and cans, we have enough of capacity as of now. But if we see that we are nearing full capacity, we'll expand that also.

Last time also, we had briefed that the unit -- our units are constructed in such a manner that you can kind of do modular expansion as well. So as of now, the small pack facility is such that by CCL Products (India) Limited
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just adding machines, we can add the capacities for the small pack. So that's where it is. So again, to reiterate sticks and pouches, we are almost running at full capacity. And in glass jars and cans, we are at 50% to 60% of capacity utilization. So there is some way to go, and this we are going to expand in the near future.

Deepak: Okay. And my second question is on volume front. So if I look at our 9 months volume growth, we are almost doing 18% to 20% volume growth. So in Q4, is this kind of volume growth sustainable for us? I'm as

king because, I guess, accretively, the base is higher versus last Q4 since that was a quarter where we also had double-digit volume growth. And to continue on this, would it be fair to assume that on a higher base of FY '26, at least 11% to 12% volume growth is possible for us, let's say, in '27 and '28?

Praveen Jaipurkar: Definitely, this quarter, our volume growth should be as good as what we have seen in the first 9 months. Yes, you are right. Last year, the same quarter was a very high quarter for us. So we had also expected that the growth, at least, while we'll keep the momentum, the growth will be a little less, but we are confident that on a yearly basis, we will be growing at 18%, 20% volume growth.

So that remains intact. Next year, we will see because a lot of things are evolving. As I told in my opening call, post petholidays, we'll see how the prices kind of pan out. If they remain stable, we are likely to get more long-term contracts, and that will help us assess our volume growth better. So maybe by end of next quarter, we'll be able to give you better guidance for next year.

Deepak: Okay. And sir, any particular areas where we are penetrating further? I just wanted to understand that since instant coffee market itself is growing at a lower single digit and we are growing at a higher double digit, then where exactly we are gaining more wallet share? And how much, let's say, client additions are we factoring in that for those kind of volume growth?

Praveen Jaipurkar: So client addition, I can't quantify it, but it's an ongoing process. See, every day, we add clients, every day, there will be some clients also go away from us. It's a leaking bucket. It's not that everybody stays with us and nobody will come to us. So that's not the case. Every time we are adding new clients.

Yes, our ability to add new clients because of the product portfolio, our servicing levels, our cost structures is better. And that is the reason we have been growing a little ahead of the market, right? If the market -- you're right, the market is low single digits, that's the growth. But we have been maintaining better growth.

Now where are this growth coming from? I think this growth is well panned out. We are getting growth from all geographies. We are getting very good growth from Africa. We're getting good growth from the American markets as well as the European markets. Asia is growing for us. Our brand is growing for us very handsomely.

So we are getting very all-rounded growth and it is not skewed towards a geography or a client that is there. Even our client base is very well spread out. We have already spoken about this. Our top 20% of the clients contribute only 40% to 50%, which means that the diversification of CCL Products (India) Limited
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our clients is also very good. So yes, so that's the bottom line that the growth are coming from all quarters.

Deepak: Very helpful. If I may squeeze in one more. Just on the gross debt part. So earlier, sir, highlighted that our gross debt has come down despite such a high volume growth. Just wanted to understand, sir, how we are able to manage this? Is it because of change in sourcing mix? Or is it because of better inventory management? Just wanted to understand what is going right for us in terms of working capital management?

Chaithanya Agasthyaraju : See it's all about working capital management, bringing in operational efficiencies into the system. So if you bring down the DIO days, obviously, your working capital will get freed up, right? So the same is the case with DSO. If your realizations are faster, right? So it obviously generates free cash flow, which in turn will be utilized to service the debt.

So what we have been doing for the last few quarters is that we have been -- we have approached the customers and then renegotiated the contracts saying that we'll reduce the credit period. And

that has helped us in terms of reducing the DSO days, which in turn helped us reduce the debt.

Praveen Jaipuriar: Also just to add to this, one wouldn't deny that the softening of coffee prices, our ability to hold less of green coffee because in a higher rising coffee prices market, you tend to hold more inventories as well. So again, it's not a single factor that is helping us. It's a multiple of factors that is helping us to get to a better debt levels as we see today.

Moderator: The next question is from the line of Dipak Saha from Nirmal Bang Institutional Equities.

Dipak Saha: First of all, congratulations on this great execution, sir, and really pleasure to see Chairman sir, on the call. So just one question, Praveen, sir. First of all, see, I mean, given the kind of volume growth that we have seen and the working capital management that we have done.

So earlier, we had this sourcing issue given the geographical proximity from, say, Brazil and our dependence on Brazil and Vietnam. Now given the coffee prices have started coming down, so what would be the sourcing mix between, say, Brazil as far as green coffee is concerned on the Brazil side and Vietnam side?

Praveen Jaipuriar: So Dipak, we never have a sourcing issue because see, we are an export-oriented unit. We have the flexibility to source from Brazil, Africa, Vietnam. Yes, the logistics time does increase when you import from Brazil. But having said so, if you do your planning well in advance, we have that flexibility to import wherever we can -- from wherever we can.

Now coming to the question, where we will do more sourcing from going forward, it will all depend on how prices pan out. Let's say, the prices stay very stable in Vietnam, definitely, we would love to source from Vietnam considering we have a factory there and its proximity to India as well.

But let's say, Brazil crop comes out good and there the prices soften, we also have the ability to source from there. So our sourcing will really -- also a lot also depends on what are the kind of

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client profile you have, what is their demand, what kind of sourcing or type of product they want. So again, multiple factors will come into play.

The only thing that we would like to say is because considering the way we are structured, we have a massive flexibility and which helps our business to grow. So that wouldn't be a challenge going forward for us is the only point that I would like to say.

Dipak Saha: Got it, sir. Sir, basically, what I was trying to highlight the fact that earlier when the prices were, say, on the elevated side and dependence on Brazil would have -- because of the geographic proximity would have increased our average inventory holding period, right? Now given prices have come down, we would not have that problem now and which is also a reason we are seeing a better inventory management, which is the biggest thing?

Praveen Jaipuriar: Yes, that's what I added to Chaithanya's comment that even the coffee prices has helped us, the price -- the fact that if Vietnam softens, we don't have to kind of hold much of stocks from Brazil.

The third thing is that you see in a market when it is growing, there is always a tendency for small guys to falter also because today, you contracted let's say INR100, tomorrow the price at INR120, he may falter also.

So we would want to secure that green coffee and put it our godown, which increases your inventory, yes. So that also adds to the pressure of working capital. Now in an inverted market, as you say, when it is going down, it is more beneficial for that guy to hold the stock for me than me holding the stock. So definitely, all of these factors are helping us. And going forward, if things remain stable, it will further improve. So even our debt position will further improve going forward.

Dipak Saha: Got it. That's really helpful. Sir, sec

ond question is, if I see 9 months this year, I mean, we have done, as earlier you mentioned, say, 18%, 20% kind of volume growth and EBITDA per kg has also improved. I mean earlier our guidance was, say, 15%, 20% kind of an EBITDA growth. We are at 9 months, 38% kind of an EBITDA growth Y-o-Y, right?

Now looking at next year, even on decent volume growth in alignment with what we did last year or the guidance that we gave earlier, even our EBITDA per kg is materially improving trajectory. So will it be fair to assume that, that 15%, 20% Y-o-Y EBITDA growth guidance that we had, that remains very much intact.

Praveen Jaipuria: Not only impact this year, again, you have to see all year, we are already at 30%. So in fact, we -- you can take it from our side that the guidance gets revised for this year at approximately 25% or so. So that we are very definite about.

Now going forward, next year, as I told you, give us a couple of months' time because a lot will depend on how the prices and coffee prices are all pan up and how the contracts will evolve, if the contracts are going to be -- if the coffee prices remain soft, the contracts will be long term and our guidance of 15%, 20% will give an impact, but we will wait and watch for 1 or 2 months to -- before giving a guidance for next year.

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Dipak Saha: Got it. Got it. Got it. So incrementally, we have that potential of, say, that 20% going to a little bit on the higher side. I mean, depending upon how things pan out, but that remains fundamentally intact. That is really helpful?

Praveen Jaipuria: Absolutely. Dipak, last year when the coffee prices were very choppy, that is the reason we had broadened our guidance to 10% to 20%. But things panned out well for us. We will continue to strive for it. But if you ask me a guidance, I will wait for a month or 2 for the coffee prices to come in, then we will give a guidance for next year as well, yes.

Dipak Saha: No, fair enough. Fair enough. Sir, coming to the B2C side, so now as we're targeting, say, INR430 crores kind of a number this year. And what would be the number for 9 months so far that we have done?

Praveen Jaipuria: So INR330 crores we have already done. We're going to add another INR100 crores, INR110 crores in the last quarter. Of course, these are primary numbers. We'll see the last month because only last month, we drive more of collection and less of pushing into the market. So that will determine. But yes, INR100 crores, INR110 crores is definitely. So that's not a problem at all.

Dipak Saha: Got it. So on this thread, just last 2 questions, sir. One is the kind of marketing measurements we have seen on the western side of the country is quite meaningful. And earlier, we had quite of a dominance in southern market, especially Andhra and Telangana, we increased our market share and almost replaced the number 2 player. So now what's the strategy?

And more than that, what's the feedback or market response you're getting from Western side or other parts of the country because Southern market, we are already doing good. What do you think going ahead, what would be the growth levers for other parts of the country, especially Northern side and Western side of the country? If you can slightly give some color on this?

Praveen Jaipuria: So Dipak, in spite of doing well in South, we continue to aggressively drive in South as well because some of the geographies, we feel that we still can drive a lot of penetration. especially in markets like Tamil Nadu and Karnataka. We have gained very handsome shares. We started our activity 8, 9 months ago to drive more penetration in Tamil Nadu that has reaped us very good benefits.

We have gained good market share. The growth momentum has come out very good in these markets. So we will continue to drive penetration in these markets. In the other markets, we have a very d

ifferent strategy where we are saying that we will cream the distribution there. What it means is that we will continue to drive very aggressively on e-commerce platform because that is not manpower heavy, and it now reaches to all in sundry in the North, East and West markets. Already in some of these platforms, we are double-digit market share, yes, which is very good news for us. And some of the activities that we have taken in the North, East and West markets have already started to reap very good results in platforms like Blinkit and all that, which are very, very concentrated in the North Indian markets, we have already gained very, very handsome market shares.

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As I already told you, in most of these platforms, we are double-digit market share, including Amazon. So these are the kind of initiatives we will do in the non-South markets and continue to drive much more aggressively. Of course, because of the lower grades, they will grow at

higher levels. And we will also do cream distribution, which means that, let's say, in the top 5% to 10% of the outlets.

Thankfully, coffee is not so well penetrated in the rest of these markets. So what we'll do is we'll say that, okay, direct distribution is 5% to 10% of the outlets, which has a lot of heavy weighted distribution and continue to drive from through e-commerce and the other quick commerce. Even in modern retail, we are doing extremely well.

Reliance, we have crossed double-digit market share, which is very good news because Reliance again is very strong in all the parts of the country. So there also, we are getting. So these are markers of the fact that the brand has started gaining traction in some of these markets and some of the initiatives that we have taken is giving us good results. And we'll continue to do that.

Dipak Saha: Very heartening to see that the kind of response is there. I mean, really great to say. Last question to CFO, sir. On the cash flow from operations and free cash flow side, given debt has come down and overall, there's no meaningful capex going to happen, say, in FY '27 and subsequent year.

So what kind of -- and our working capital efficiencies have really kicked in, right? So congratulations on that part. So what kind of CFO and free cash flow that we are looking for, say, FY '27 and FY '28? Just some color on that.

Chaithanya Agasthyaraju: So probably it may be too premature for me to comment on that. For the current year, we have generated close to -- on a TTM basis, we would have generated close to INR700 crores of free cash flows, right? So we continue the same momentum and probably now that we have higher operating profit and working capital efficiencies, both will lead to higher free cash flow. So we continue that momentum and probably it may be slightly ahead of INR700 crores is what we expect.

Moderator: The next question is from the line of Samay Sabnis from Helios Capital.

Samay Sabnis: Sir, in Q3, what would be the blended utilization levels?

Praveen Jaipurkar: So at an overall level, we are around 65%. 65% to 70%, yes.

Samay Sabnis: And so we are at 65%, 70% right now in Q3. Now could you just share some time line -- could you share a time line on how we are going to reach full capacity levels by what? So do we see 65% in the next -- maintain 65% in the next few quarters? And when should we start seeing an uptick? Like could you share some color on that?

Praveen Jaipurkar: So let's say, at an annual level, next -- by the end of 2 years from now, let's say, we are looking at an 85%, 90% kind of a capacity utilization. And that's the time we'll see that going forward, how do we want to build capacity, which areas do we build it ourselves, get into strategic partnerships. So all that will start happening after 2 years.

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Yes, we'll put our thinki

ng hats maybe after 1.5 years to see that what directions we can -- we look forward to go. But next year will be really critical if, let's say, the volume growth are maintained in a similar trajectory of 15% to 20% then we definitely will be very close to 80%, 85% in 2 years, and that's the time we'll start thinking about adding fresh capacities.

Moderator: Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to the management for closing comments.

Praveen Jaipurkar: I thank you all for attending this conference. And thank you, Nirmal Bang for arranging this conference. We will look forward to meet all of you in the next quarter margin calls. I would just like Chairman to give a closing remark on the call.

Challa Rajendra Prasad: Thank you, everybody. Just have patience. That's all I can say. Everything will go as we had planned. Okay. Thank you, Nirmal Bang. Thank you, everybody. We are always open to any kind of questions. So there is no issue at all. Thank you.

Moderator: Thank you very much, sir. On behalf of Nirmal Bang Institutional Equities, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.

Call: May 2026

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To
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Dear Sir/Madam,

Subject: Transcript of the Conference Call held to discuss the financial results of Q4 FY 2025-26 as required under Regulation 30 of SEBI (LODR) Regulations, 2015.

With reference to the above-mentioned subject, we wish to inform that:

i) The copy of the Transcript of the Conference call held on Friday, 08th May, 2026 to discuss the results of the fourth quarter of the financial year 2025-26 is enclosed herewith.

ii) The Transcript is also uploaded on the Company's Website and the web-link for the same is:

<https://www.cclproducts.com/wp-content/uploads/2026/05/Q4-Earnings-Call-transcript-2025-26.pdf>

iii) The List of Management attendees is stated in the transcript.

iv) No Unpublished Price Sensitive Information was discussed in the call.

This is for your information and necessary records.

Yours sincerely,
For CCL Products (India) Limited

Sridevi Dasari
Company Secretary & Compliance Officer

MANAGEMENT : MR. CHALLA SRISHANT – MANAGING DIRECTOR –
C CL PRODUCTS (INDIA) LIMITED
M R. B. MOHAN KRISHNA – EXECUTIVE DIRECTOR –
C CL PRODUCTS (INDIA) LIMITED
M R. PRAVEEN JAIPURIAR – CHIEF EXECUTIVE
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FINANCIAL OFFICER – CCL PRODUCTS (INDIA)
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M S. SRIDEVI DASARI – COMPANY SECRETARY AND
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LIMITED

MODERATOR : MR. DIPAK SAHA – ASHIKA INSTITUTIONAL EQUITIES

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Moderator: Ladies and gentlemen, good day, and welcome to CCL Products (India) Limited Q4 FY '26 Earnings Conference Call hosted by Ashika Institutional Equities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that, this conference is being recorded.

I now hand the conference over to Mr. Dipak Saha from Ashika Institutional Equities. Thank you, and over to you, Mr. Saha.

Dipak Saha: Thank you, Michelle. Good morning, everyone. On behalf of Ashika Institutional Equities, it's indeed a great pleasure to host the 4Q FY '26 and full year '26 earnings call of CCL Products Limited.

Joining us today to discuss the earnings for the fourth quarter and full year ended 31st March 2026 are Mr. Challa Srishant, Managing Director; Mr. Praveen Jaipuriar, Chief Executive Officer; Mr. B Mohan Krishna, Executive Director; Mr. Chaithanya Agasthyaraju, Chief Financial Officer; and Ms. Sridevi Dasari, Company Secretary and Compliance Officer. We thank the management for giving us the opportunity to host this call.

I would now like to hand over the call to Praveen sir for his opening remarks, post which we'll open the floor for Q&A. Thank you. Over to you, Praveen sir.

Praveen Jaipuriar: Yes. Thank you, Dipak, and thank you team Ashika Institutional Securities for hosting this call. Good morning, everyone. I welcome you all to the fourth conference call of FY '25-'26. And now let me give a brief overview of the company's performance for the fourth quarter ending year gone by.

The group has achieved a turnover of INR1,226.39 crores for the fourth quarter as compared to INR839.65 crores for the corresponding quarter of the previous year, achieving a growth of 46%. The EBITDA stands at INR193.76 crores as against INR167.1 crores, which is a growth of 16%, while the profit before tax is INR123.1 crores growing at 16% and the net profit stands at INR114.53 crores with a growth of 12%. As far as the full year is concerned, the group has achieved a turnover of INR4,465.80 crores as compared to INR3,114.2 crores for the corresponding previous year, achieving growth of 43%.

The EBITDA stands at INR741.38 crores as against INR563.54 crores, which is a growth of 32%, while the profit before tax is INR460.74 crores, growing at 31% and the net profit stands at INR388.11 crores with a growth of 25%. The domestic business has achieved a gross turnover of INR650 crores, approximately out of which the brand sales were around about INR440 crores. And now Continental as a brand is well established as the number 3 player in the country. And in some regions and platforms, we are also the number 2 player. And we will look to further strengthen this position in the coming months and years.

As far as green coffee prices are concerned, they remain to be stable as of now, which is a good sign. The Brazilian crop is around the corner. And with the positive news of good supplies, we have a belief that the prices could further soften in the coming months.

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The Middle East crisis does pose a challenge with a bit of supply disruptions and energy price increase, but we have managed the situation well and do not see much of disruption going forward.

I will just ask Chaithanya, our CFO, to give a little bit of color on the balance sheet performance, post which we will open the floor for questions. Thank you.

Chaithanya Agasthyaraju: Good morning, everyone. Adding to what is highlighted by CEO, we are closing the financial year on a very strong note with revenue and profit both growing significantly for the quarter and for the full financial

year.

A key area of focus for us this year has been strengthening the balance sheet. We always delivering very good operational results with the CAGR of close to 20%. What we have done this year is to ensure that the operational results get translated into a real balance sheet strength. The balance sheet right now is much cleaner and a lot healthier with healthy cash flows and debt coming down significantly. The net debt as of 31st March is around INR1,073 crores, a reduction of more than INR750 crores from last year. Debt to equity is at 0.5 compared to 0.92 a year ago. Net debt to EBITDA is at 1.45 right now compare to 3.1 a year ago. With that, hand over to Dipak for questions.

Moderator: Thank you very much. First question is from the line of Abhishek Mathur from Systematix. Please go ahead.

Abhishek Mathur: So just wanted to check what would be our volume growth for the quarter? Also has the EBITDA per kg, which is a key metric we track, has it come down to a level of about 130, which is a bit down sequentially from maybe the 140 that we saw in the previous quarter? And what is driving the strong realizations on the top line for us to have clocked this kind of growth? Thanks.

Praveen Jaipuria: Abhishek, just to clarify -- sorry, the first thing that you asked was on this thing -- if you can...

Abhishek Mathur: On volume growth, sir. On the volume growth for the quarter?

Praveen Jaipuria: Yes, yes. So our volume growth has been -- and I'm speaking on a little larger four quarter perspective has been in the range of 18%, 20% this year, and the quarter was also very similar.

So volume growth stands at that level. And EBITDA per kilo, again, probably this quarter was a little bit of a down considering the proportion of coffee that you sell, because if you would have seen last quarter, much higher high-margin coffees were sold. But on an annual basis, in fact, the EBITDA per kilo has improved from previous year. So that's an improvement.

And as we have been guiding most of the time, some of these key metrics on a quarter level may not give the right picture. So while a sequential drop a bit, but I don't think so that there's much to read into that on an annual basis, in fact, the per kilo EBITDA has improved.

Abhishek Mathur: Just a follow-up second question, sir. What -- so we have earlier given the guidance for 10% to 20% volume growth and maybe a 15% to 20% EBITDA growth. Anything changing for FY '27?

How is our guidance looking now?

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Praveen Jaipuria: So the guidance is very similar. Probably we are giving a guidance of both volume at around 15% and even EBITDA at around 15%. So that will be the thing. While things have stabilized, quite a few things have stabilized since the last year. But keeping the other volatility in mind, we are sticking to the volume growth guidance of 15% and the resultant EBITDA growth will also be in the same region.

Abhishek Mathur: Great, sir. And finally, the guidance of the India business and also any capex thoughts that we have -- capacity expansion thoughts that you have right now? That's it from me.

Praveen Jaipuria: So while there have been discussions, we are looking at things related to capacity. But as far as next 2 years are concerned, we are generally good for our growth aspirations, our capacities are good. But there could be certain areas where we would like to kind of see if the grows are more, for example, we are seeing better utilization for freeze dried. So if that is happening much faster -- at a much faster rate, the utilization, we could look at not necessarily a capacity expansion, but maybe a strategic tie-up or things like that.

But these are things we will be able to comment on when we come closer to a decision on date.

Obviously, there are discussions that keep happening on a regular basis. But on a largely on a long-term basis for the next 2 y

ears, we are good as far as capacity is concerned.

As far as domestic business is concerned, as I told in the narrative that out of the INR650 crores that we did in the India business, INR440 crores were the retail business, the branded business. And we'll continue to drive similar growth in the coming years also. We are seeing very good traction in a lot of areas. And it is important at this stage that we keep driving those growth traction. So that will automatically come through. So we'll keep up the momentum on the

branded business as well.

Moderator: The next question is from the line of Abhay from Carnelian Capital.

Abhay: So I just wanted your outlook on the D2C business segment firstly. Secondly is the margin contraction, can that entirely be attributed to the coffee prices? And in general also, what's your outlook on coffee prices in the coming quarters?

Praveen Jaipuriar: So I'll answer your second question first and then come to the first one. The second question, there actually is no margin contraction. So the margin contraction that you see is basically because we are seeing EBITDA as a percentage to top line, and therefore, it is only optical in nature as we have always maintained that our business works on per kilo EBITDA where there is no contraction.

But because the prices -- coffee prices increase and we are modeling as a cost-plus model, therefore, it seems that the top line kind of in times of rising coffee prices looks -- the growth looks more inflated. So let's say, if you take the 46% growth top line, it is a combination of 18%-20% volume growth and another 20%-25% of coffee prices increase that gets built into top line. And therefore, EBITDA as a percentage top line looks contracted, but it is not because what will happen, the opposite will happen probably going forward when in the base, you have higher CCL Products (India) Limited

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green coffee prices and going forward, the green coffee prices could soften. And therefore, you may see in spite of 15% volume growth, you may see lower value growth.

But what we always say that, how the basic metrics to be looked upon is the volume growth, the EBITDA growth and are growing in line with each other or not. And that's the guidance we are giving for the future that in line with the volume growth of 15%, around about that number. We also look to drive EBITDA also in the same region.

So that's the answer to your second question. And therefore, what it means is that the volatility in coffee prices does not affect our margins because the moment we do contract, we do back-to-back buying of green coffee, which means that we are guarded against any fluctuations, if at all it happens in the coffee prices. So that's the answer to your second question.

The first question as far as D2C is concerned, we are doing extremely well on D2C. Most of the platforms, we are very strong with double-digit market share. And in a few of the platforms, we are also the number 2 player in the category. So we are doing extremely good approximately 20% to 25% of our sales come from the online channel, which is very good -- very good marker for the business that we're doing.

Abhay: Got it, sir. Another question was just the capex fund, but I think that's been answered already.

Moderator: The next question is from the line of Raj from Fident AMC.

Raj: A couple of questions. Firstly, on inventory days. Now I was just looking, I mean, because of the softening of coffee prices, the inventory days are almost for us are at historical lows. Do you see any further improvement in inventory days over the next 2 years, assuming that the coffee prices stay at these levels or even move down further from here?

And secondly, I think, because we don't have any major capex for the next 2 years, our operating cash flow is actually going to be very strong. What is the management thinking about maybe going forward for util

izing these funds, whether it will be increasing dividend payouts or any acquisitions or any other thing?

Praveen Jaipuriar: So 2 things. First was about the inventory cycle. Of course, yes, you're right, lowering of coffee prices and the better visibility has helped us tighten the inventory cycles. And it's just not the inventory cycle, there are other efficiencies that we have been able to bring in, in most of our operations.

So that's an ongoing process. Do we think that as a guidance, we would like to lower it from the place that it is? I don't think so we are giving guidance of lowering of inventory cycles from here on. We would love to kind of better it. Better it, of course, we'll do our best. But as a guidance, I would not like to kind of give a guidance of lowering it further from here because we will take it as things come along. So that's on this thing.

Of course, yes, you have pointed it right. We will have cash flows coming in. Now as far as how do we utilize it, there is no commitment as of now, but things that you spoke about, most of the things we are thinking about. And we are thinking, yes, if there's an opportunity in the areas of CCL Products (India) Limited

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any good acquisition that comes our way, we would definitely love to evaluate those. And we'll make sure that we are using these flows to maximize the returns for the stakeholders in whatever

way we can.

Raj: Understood. I mean, just whether it will also be used for reduction in debt from here on, I mean, we are at...

Praveen Jaipurkar: It is actually, yes, yes, yes. So yes, of course, it won't come to 0, but definitely, there is a certain reduction that has already happened and a significant reduction. We were not -- last year, if you would have heard, our guidance was around INR1,400 crores, INR1,500 crores, but we have reduced it to INR1,080 crores, I think possibly around about that number. Maybe there could be a certain more reduction. But again, all will depend on because even our growth numbers are there, we are at 15% volume growth is what we are thinking. So which means that you require 15% more working capital to fund this growth.

So -- but how much of this gets offset by lower coffee prices and all that. So we will take things as it comes along, but definitely idea would be -- the long-term debts will anyways get paid. So there will be reduction in the long-term debt.

Working capital will take it up as things come along. But definitely, all the efficiency measures are being put in place to improve the ratios and the parameters as much as possible. And maybe CFO saying that, probably with a 15% growth, probably INR1,100 crores, INR1,200 crores is the level that we probably could be seeing in the next year.

Raj: Understood. Just lastly on capex again. So I mean, currently, what is our capacity utilization on a consol basis globally? I mean, you said that will be good for next 2 years, but for a new plant, would it be greenfield or brownfield? And I mean will it -- what time will it take for a new capex to come on board once we start executing it?

Praveen Jaipurkar: So first and foremost our annual utilization would be around 65% or so, a couple of percentage here or there. Last quarter was a little maybe 70%. So that's why I said we are good for another 2 years. It does take 1.5 to 2 years to materialize the capex. But the thing is that whether it will be greenfield, brownfield, we go into a strategic tie-up, it will all depend on how things shape up, there could be a scenario that we don't put our own capex, but we end up doing some sort of a capacity strategic tie-up or we end up buying capacity, underwriting capacity of somebody else or we may ourselves think that we want to put a brownfield, that also is on the cards. But all of this, it is a little too premature to talk to. We'll definitely keep you posted, if there is any development on this front b

ecause a lot could change as we go along, it depends on what kind of product the utilization is better. But at an aggregate level, we are good for 2 years, but it could happen that maybe on atypical type of product, we could be seeing better utilization than 2 years.

So it will all depend how things go from here. On a broad basis, yes, we are good for the year. What do we put next year, we are all evaluating and watching the situation very closely, how growth are panning on, which areas, which geographies, and accordingly, we'll take a decision going forward.

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Raj: I was only asking from that point of view because we are hearing that Indian players are guiding -- I mean gaining significant market share globally plus our peers are also talking about strong volume growth. I was just trying to understand whether our volume growth, what we are guiding if we achieve materially higher than that, we should not be caught in the wrong foot in terms of having -- not having enough capacity there.

Praveen Jaipurkar: Absolutely. Yes. So that is an assurance we are giving that we will not let capacity come in way of growth. So we will make sure that we do kind of get the capacity required to fulfill our ambitions.

Moderator: We take the next question from the line of Kashyap Javeri from Emkay Investment Managers.

Kashyap Javeri: Congratulations team for great numbers. Just one question. I missed out on the number of capex for FY '27, if that was discussed, if you can repeat that number?

Praveen Jaipurkar: So, there is no capex for '27. We didn't say there would be any capex. As we have been maintaining next 2 years, there will be some maintenance capex of maybe INR25 crores to INR30 crores, INR35 crores, but these are very small capex. There is no planned big capex -- planned as of now for the next 2 years, so yes.

Kashyap Javeri: Trying to sort of reconcile this number. I think what Chaithanya mentioned was that our debt next year closing could be roughly about INR1,100 crores. Now let's say, our sales grow by about 15%, that's additional about INR700 crores of sales at about 120 days, that would need just about INR200 crores worth of cash. You add about INR50 crores, which will come from the maintenance capex. That should still leave a significant number in terms of free cash to repay the debt. So does that mean that we would retain cash on the book? Is that assumption correct?

Praveen Jaipurkar: Not really. So, Chaithanya is a little bit conservative considering the volatility that has been there in the market. So we would like to kind of are on the right side than on the wrong side. Definitely,

as per your calculation, there will be cash in the book, as I said, there are multiple ways to figure out things, right now, while we're doing a lot of evaluation not wanting to commit on any one aspect or the other. But given a chance, obviously, we would like to retire debt rather than keep it on the books for long period of time. So that goes without saying. But we don't know, yes.

Kashyap Javeri: Understood. If coffee prices remain where they are, this ceteris paribus, the calculation is in the right direction.

Praveen Jaipuriar: In the right direction absolutely.

Kashyap Javeri: Like, you said, there could be -- if there is any plus/minus in either of these assumptions, then obviously, what Chaitanya is saying could be.

Praveen Jaipuriar: That could be, yes, yes, yes.

Kashyap Javeri: Congratulations again for a great set of numbers.

Moderator: The next question is from the line of Prithish Garg from Nuvama Wealth.

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Prithish Garg: I would like to bring attention to a little bit about the business side of things. As we have seen the coffee market in India shift from spray-dried coffee to freeze-dried coffee and even to roasted blends. So what do you believe would be your plan to shift that demand in the company as well?

And since we're also talking about DTC demand that has grown to 20% this year. So what is your plan on brand visibility as we again mention that freeze-dried coffee and roasted blends are usually focused, the buying is focused on brand visibility, like Blue Tokai and everything. Does Brand House usually acquire that share by creating the taste of coffee and focus towards premiumization?

Praveen Jaipuriar: Yes. So there was a little bit of disturbance in your voice. What I heard I'll try and answer that. And probably a couple of answers in your question as well. So the first thing is -- sorry there is a lot of...

Moderator: Mr. Garg, please mute your line, sir. Mr. Garg, please mute your line, sir.

Praveen Jaipuriar: So what I was telling is that it happens in any category that there will be premiumization. So there is not a shift from spray-dried to freeze-dried, there is a large chunk of consumers who are still drinking spray-dried and continue to drink spray-dried. But yes, as it happens in any category, there is always a premiumization that happens.

People are always upgrading to better coffee. And that leads to some of these shifts that where consumers are adopting freeze-dried coffee. And that's the reason we are pretty well equipped to cater to that demand. And that's the reason. And this, in fact, we had predicted a couple of years ago, and that's how we initiated capacity enhancement in freeze-dried as well. So that is always there.

As far as the shift towards beans is concerned, if you see largely the consumption of beans is for out-of-home consumption. And in growing markets, the out-of-home consumption is growing. And therefore, the usage of beans is growing at a much faster pace. We largely are not into beans because that is something that we very localized.

There is not much of value addition. So we don't see that market as a very big market for us. But yes, in the Indian context, we do supply to a lot of cafes and a lot of cafe chains, the beans, the roasted beans as well. So that is also something that we are seeing as growth drivers at least in the local Indian market.

As far as your brand building activities question is concerned, yes, we are building the brand. We have developed certain strengths in certain categories and in some areas. So we are taking things forward. It's not necessary that all the categories we will be driving the growth. What we think that will give us the maximum impact are the categories that we are building.

So like we started in South of India, we are strengthening our brand a lot there. And now we have started building traction in rest of South also. So we're getting good returns from markets like North and West, where our next growth momentum will come from.

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So all of that is part of our strategic initiatives going forward. But yes, there will be certain categories where we will not knowingly participate because we want to deploy the resources at the places where we think we'll get the maximum impact. So I don't know whether I have answered all your questions because there was some disturbance from the side, but this is our thought process.

Moderator: Sir, the participant has left the queue. We will move on to the next question. From the line of Vivek Ganguly from TCG AMC.

Vivek Ganguly: I had one quick question. Your debt in the balance sheet has come up very significantly INR700-odd crores. But we do not see a corresponding reduction in the interest, the finance cost. Can you shed some light on that?

Chaithanya Agasthyaraju: Sure. Vivek, last year we had a lot of interest capitalized because our Vietnam facility was not yet running last year, right? The interest was getting capitalized. If you take that interest, there is a significant reduction in the interest as well.

Vivek Ganguly: Okay. A

nd what would that number have been? And secondly, what is your cost of borrowing as we speak today?

Chaithanya Agasthyaraju: So I may not be in a position to give you exact number that has got capitalized. That should be somewhere around INR25 crores-INR30 crores could be probably last year what got capitalized.

The cost of borrowing right now hovers between 7 to 7.5%, depending on where the borrowing happens.

Moderator: The next question is from the line of Bhavya Sonawala from Samaasa Capital.

Bhavya Sonawala: Yes, sir. First of all, congratulations on a good set of numbers. I think last few years have been very good. Just a couple of questions. First question is, I think you guided 15% EBITDA growth and volume growth for the next 2 years. So is this with respect to contracts still being short-term or because it's such a specific item, are the customer giving you long-term guidance? Can you throw some light on that?

Praveen Jaipurkar: So yes, so things are changing now -- sorry, there is some noise that I can hear, I don't know where its coming from. But yes, so things are changing as coffee prices are stable, we are seeing a lot of long-term contracts. In fact, some of our freeze-dried capacity is quite long-term now.

So that has given a very long-term picture. So there is a movement towards long-term contract, and therefore we can be fairly assured of the guidance that we are giving.

Bhavya Sonawala: Okay. Understood. So just with respect to the guidance, again, I think this year, we ended up at 30% growth in EBITDA, and the next year we are guiding 16%. Is that considering some conservatism and, keeping in mind coffee prices and other, probably issues that might happen? Or anyway, is there some change because we were guiding 20% and then we obviously revised it upwards to 25% in this year.

Praveen Jaipurkar: Right, right. So there are couple of things that went our way this year and probably, once it gets into their base, there may not be further improvement there. For example, this year our

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proportion of freeze-dried was much higher, right. So that proportion may not get even higher next year. So therefore, that benefit we may not get. There are certain efficiencies that we had spoken about that may get built over a period of time. And some of them, got preponed a little bit because we were able to fasten some of these efficiencies. So that got built into the base as well. Some of the small packs where we were able to fasten the proportions there.

Some of these things are already there in the base and therefore may not come as an additional thing going forward. So therefore, we have always guided that our EBITDA growth will be in line of volume growth. Since we have guided a volume growth of 15%, and we already have built the efficiencies into the bases and proportions into the bases, I don't see this adding onto anything that we have already built. And therefore, we are giving a guidance that EBITDA also will grow in line with the volume growth, which is around sort of 15%.

Bhavya Sonawala: Okay. Got it. Just a last question, if I may squeeze in. On the branded business, what kind of growth do you think we'll be able to garner in the next few years or at least the next year?

Praveen Jaipurkar: So again branded business also this year, we got very, very handsome growth, which was on the back of volume as well as value. So volume was around 25%, 30%, and then we added another 15%, 20% of value growth. This year, probably because post GST and post coffee prices softening, I don't see that advantage of value coming in. But we are still committed to driving 25% kind of volume growth, which means that the value growth also will be in the same lines. So we are looking to drive that sort of growth going forward as well.

Moderator: The next question is from the line of Richa from Equitymaster.

Richa: My questi

on is related to utilization at FDC capacity at Vietnam and the capacity enhancement that you have done at India. So what is the annual utilization? What is the run rate currently?

Praveen Jaipurkar: So I'll give you a broad picture. We don't kind of get into too much of details on capacity utilization. It works against us sometimes. But at a broad level annually, we have with everything put together, new old, everything put together, we are approximately 65% capacity utilization.

And I cannot kind of go into details of Vietnam, India, but freeze-dried was a little higher utilization. As I told earlier also, the proportion of freeze-dried was better. So freeze-dried was higher than the average utilization, but average utilization remained at 65%. Last quarter was a

little better at around 70%. So that's where it is.

Richa: And sir, this year, normally, you guide for that our volumes and EBITDA grow in tandem. But this year, our EBITDA growth absolute was more than well above 30%, while volume growth was 18% to 20%. So I mean, I understand that there is a mix of FDC and small packs coming in here. But going forward, is there also a possibility that our EBITDA per kg could moderate given the product mix and the fact that when coffee prices soften a lot of non-premium customers or traders also come in to get that volume. So would that be a fair assumption?

Praveen Jaipuria: I think you asked a very precise question. Yes, there could be a possibility where it could soften. But as I have always maintained last time also, we were saying that we will try and kind of negate the pluses and minuses and keep it at the level that they are in, right?

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So although technically, you are bang on when you say that there could be a situation where my proportion of FDC could increase. And as you rightly said, if the coffee prices are down, a lot of low-margin customers also come into the picture. So that could lead. But as I have told that we are continuously trying to build efficiency, small packs, trying to go to end customers. So all that will also help us, and we are very confident that we'll be able to, if at all, there is any negative impact negates to some of these actions. So hopefully, we will try and maintain the EBITDA per kilo going forward.

Richa: Okay. Okay, sure. And sir, also from a 2 to 3-year perspective, what kind of guidance would you give for your domestic and domestic sales and branded business, especially? Where could it be as a proportion of the total business? And will that end up becoming a better growth driver, let's say, 3 to 5 years from now, sir?

Praveen Jaipuria: Again, there are 2 aspects to it. One is that, yes, we are growing the business aggressively. What percentage to the total business will it become? I think that's not the right way to look at it because the other part of the business also we are growing aggressively. So that metric becomes irrelevant. What is relevant is that are we growing the B2C business much faster than the category? Are we gaining shares from our competitors or not? And are we making this business sizable enough for it to kind of give it back to the business?

And we are well on to this and not only in India, we are now looking to expand our B2C business in some of the other geography as well. And hopefully, we will keep building on this vertical as fast as possible. Now going forward, let's say, now the India business has become quite sizable at INR400-odd crores, it is no longer a very small business. It is quite sizable when you look at from a very -- on an absolute term basis. Now we are looking to kind of every 3 years, we would love to kind of double this and say that, okay, where do we go from there.

But -- and in the previous calls, we are also saying that we are also trying to see if there are some other categories we can kind of grow our business into. So a lot of

our growth momentum will

be dependent on how some of these things shape up. But yes, that's the intent that I would like to tell you that we are driving things very aggressively, not only in India, but trying to see if we can scale up outside India as well.

And in India, can we get into some other categories as well. So all of them is being worked upon.

And yes, as a proportion, we'll try and keep increasing the proportion as much as possible.

Richa: Yes. So also, we keep investing back in the business as we grow at least for the next 3 to 4 years, right?

Praveen Jaipuria: Absolutely. Our intent is that we don't want to make this business as of now. We'll keep investing back into the business going forward.

Richa: Okay. Okay. And sir, my last question is if you could just guide us on the tax rate...

Moderator: I'm sorry to interrupt you, ma'am. We'll take the next question from Naeem Patel from Bastion Research.

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Naeem Patel: Congratulation on a good set of numbers. So I would just like to follow up on the last questioner's question that what the tax rate, what are we looking forward for that in next 2 to 3 years, considering we have capacity set up in Vietnam? That's my first question.

And secondly, on the B2C side, we have international brands as well. What sort of initiatives are we taking in on that account as well? Those are the two questions from my side.

Chaithanya Agasthyaraju: So regarding the first question the average tax rate at a consolidated level is a coalition of different, different -- multiple things. In the sense that we have entities which are at full tax, then we have a resident which operates at 15% tax, then we have a 115BAA entity, then again we

have an entity which is completely not taxable. When we take an average tax rate at a consolidated level, you may have a bit of deviation year-on-year. Having said that, the average tax rate should be somewhere closer to 17%.

Praveen Jaipuria: International, you were talking about the international brand. So yes, Percol now this year in U.K. alone is approximately anything between INR25 crores-INR30 crores and there is a bit of India business as well. We are looking to expand, not penetrate not only in the U.K. market with Percol, but we are now actively looking to take this brand in some of the other geographies as well. So we're talking to a lot of our partners across countries that how could we take this brand in some of the other countries now seeing this getting established in the U.K. market.

Naeem Patel: Understood. Just one last question on the cost of goods sold side. This quarter was on this spike in this quarter on year-on-year, this was largely due to the cost-plus model nature of the business and there is no inventory loss or anything. Is that correct way to look at it?

Praveen Jaipuria: Yes, yes. Actually, it's not really about anything else because we work on cost plus. So the cost of goods sold could be dependent on the type of contract one is doing. So this quarter, we did a little bit of the proportion of lower margin contracts are higher. So the cost of good proportion is higher this quarter.

Moderator: We'll take the next question from Dipak Saha from Ashika Institutional Equities.

Dipak Saha: First of all congratulation on great set of numbers. My question is on the B2C side. So it's very heartening to know that on the quick commerce side, we are doing INR100 crores kind of a number for full year. So what I wanted to understand since there will be many markets where we would be mature in terms of compared to other micro-markets that we have gone?

What broad understanding currently we have that, we are giving 30%, 35% discount and after considering commissions and all at MRP. Now are there levers to grow that particular number or improve our take rate on some of the mature markets and which can eventually impact our

o

verall revenue and profitability?

Praveen Jaipuria: Yes, yes, definitely. So Dipak, it's actually directly linked to the equity that we are building. Brands with higher equity will command better pricing, lesser discounts, right? Also discount is a thing of competition is the same. So what has happened is that because of the aggressive growth that we have been seeing, there is also a very heightened level of competitive activity. So we have to keep maintaining pace so that we don't lose ground that we have gained till now.

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So having said so, on a thumb rule basis as the markets mature, as the brands get stronger in terms of its equity, your margin profiles keep improving because then you are able to command a better pricing, right? So your discounts would be lesser and things like that. So that pattern will continue and more and more strength that we get, the more and more pricing power also we will get.

Dipak Saha: Got it, sir. And sir, what's the feedback on the Malgudi brand that we launched for snacks in our vision to create multiple pillars in the consumer business? So what's the response there?

Praveen Jaipuria: So the response is quite good there. We have done as I told very small 100, 150 stores kind of a pilot. There is a lot of response on various aspects. People have liked the product. There are certain variants where we are doing some product tweaking as well because there was certain feedback. And hopefully, in a couple of months' time, you should be seeing a more broader launch at least with some of the product categories. So yes, we are going to scale that up pretty soon.

Dipak Saha: Got it, sir. Sir, last 2 questions very quickly. We have 65% capacity and utilization and probably we are at 50,000 kind of a number. I know you guided for 15% kind of volume growth, but let's assume if at all we get an opportunity 20% then next year -- next 2 years, 20% kind of an opportunity, that will be still under 72,000 tons kind of volume aggregate. So overall level, even if this kind of opportunity arises that would not be constrained to our capacity utilization, right? We'll be able to deliver that kind of growth?

Praveen Jaipuria: Absolutely. Absolutely, Dipak, we'll be able to deliver that kind of growth we have that capacity and as I told earlier also we are also -- we are always on our toes-- we are making sure that any growth opportunity is not lost because of any capacity, even if it means that we have to do some strategic tie-ups, buy capacity from outside. And we have seen 4-5 years, 4 years ago when we were at 100% utilization, we did take that step to buy capacity from outside and not let the growth rates come down. So that goes without saying, we'll not let the growth suffer at all.

Dipak Saha: Got it. Last question, sir, on the interest cost side to CFO, sir, we have INR130 crores interest against FY '26. Now given our debt is gross level INR1,280 crores, INR1,290 crores right? So at least on interest cost side against INR130 crores, probably INR110 crores, around that number would be easily we can pull up and can save INR18 crores, INR20 crores around for the year?

Chaithanya Agasthyaraju: So we have a gross rate of probably around INR1,000 crores to INR1,200 crores levels next year

as well, as indicated by CEO in one of the question. So if you take INR1,200 crores at an average rate of 7.5%, it translates to close to INR90 crores, INR95 crores. So somewhere around INR100 crores would be an appropriate number is what I can give you.

Moderator: The next question is from the line of Sanjaya Satapathy from Ampersand Capital.

Sanjaya Satapathy: Congratulations on doing so well. So my question is that there is a huge difference and volatility in your subsidiary performance that you report. And this quarter, for instance, the subsidiaries made hardly any profit, which is why the consolidated and s

tandalone, there is not much of a

difference in profit. And then this keeps fluctuating a lot. Can you explain that? That is one.

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And the second thing is that it looks like there was a decisive shift in your revenue mix towards freeze-dried coffee. And that also you said that as a lower margin contract. Was it some kind of an entry strategy, which is why it is normally better profit should be expected out of the frozen -- freeze-dried, but it didn't materialize and it will reverse going forward?

Praveen Jaipuriar: First and foremost is I think looking at subsidiary and trying to add that consolidated level is not the right way because the business is sort of centralized, wherein the production planning will have this thing to say that where -- what gets produced, which customer gets serviced from which this thing.

The business development teams at subsidiary levels could be doing a higher margin business in some quarter, lower margin business in some other. So all of these play a role and therefore, the consolidated level is a better picture to see. And I won't read much into subsidiary performance. And therefore, you see sometimes the volatility in subsidiary performance.

And the second part is freeze-dried. Yes, there was a higher proportion of freeze-dried, and this also depends on how the markets are shaping up. There are times when the demand for freeze-dried goes up, there are times when demand. And actually 2-3 years ago, if you look at long-term patterns, when the coffee prices are high, you will see that there is a little bit of a down trading and the coffee prices starts to soften up trading happens.

So all these factors play a role in deciding what would be the proportion. And we keep tracking some of these trends that are evolving and accordingly, not only do our business, but also build our capacities. So that's how we kind of play on this. A lot of it is not driven by us, but it is dependent on the market forces.

Sanjaya Satapathy: Understood. And but typically to assume that the profit of freeze-dried is generally going to be higher?

Praveen Jaipuriar: Yes. Profit of freeze-dried is always higher than spray-dried.

Sanjaya Satapathy: Okay, okay.

Praveen Jaipuriar: It's a more premium product, yes.

Sanjaya Satapathy: There were some contract issue in this particular quarter?

Praveen Jaipuriar: Not contract issue. It's more of a phasing issue. So there are quarters when we will do because it is all dependent on which customer at what point of time wants their goods and all that. So quarterly, there could be variations in the proportion. Some quarter you'll see higher proportion of spray-dried, some quarter lower proportion. So yes, quarter-wise this variation come. And therefore, we always maintain that it is best to see us on a slightly long-term perspective because quarters could give you a little varied picture.

Sanjaya Satapathy: Last question...

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Moderator: Mr. Satapathy, I'm sorry to interrupt you, sir. I request you to kindly rejoin the queue for follow-up, please. There are others who are waiting. We'll take the next question from Deepak from Sundaram Mutual Fund.

Deepak: Sir, my first question is with respect to our exports. So could you please highlight like out of our total exports, how much would be FOB based?

Praveen Jaipuriar: Most of it, almost if I take exports, 70% of our sales would be FOB based, right?

Deepak: Okay. And in the CIF-based contracts, are we facing any backlash from our customer to pass on the increase let say insurance or freight cost and since the Middle East started and we do export to U.S. and Europe as well. So any contract negotiation in terms of trade? Or are we able to fully pass on the logistics cost increase to them?

Praveen Jaipuriar: No. So if you have done the contract on terms an

d conditions, you will have to take on that,

right? So any increase or any this thing in cost in CIF contract is not a backlash it is a actually a stress on us. So if we go back to them ask for increases, but it not happen all the time. So not all the costs can get passed through especially in CIF contracts.

Deepak: Okay. And sir, any disruption are we seeing, let's say, either in terms of any fuel availability or, let's say, shipping routes towards the Western exports? Or how are we managing it? Or is it like as of now, there is no such disruption that we have observed?

Praveen Jaipuriar: A little bit about supply disruption to the clients that we were servicing in the Middle East for some time, but we haven't seen any route disruption because it was only the Strait of Hormuz which was closed, which is only for -- mostly for oil, not for goods and all. And yes, there has been certain increases in the logistics cost. There has been certain increases in the energy cost. So that is there. Availability wise, we haven't seen any challenge, but there are challenges in terms of cost pressures on certain accounts.

Moderator: The next question is from the line of Samay Sabnis from Helios Capital.

Samay Sabnis: So when you're guiding for the volume growth of 15% next year, so then what is the blended utilization that we target to achieve in FY '27?

Praveen Jaipuriar: So when you say blended utilization, you are saying utilization of the capacity?

Samay Sabnis: Yes.

Praveen Jaipuriar: So probably from 15% on the basis that you can do a back calculation. We are looking at 7,000 to 10,000 additional tons of sales that could happen.

Samay Sabnis: So like you said 65%, right, for FY '26...

Praveen Jaipuriar: Yes. 65% will go to around 72%, 73%, If I were to be very specific.

Samay Sabnis: Okay. And then that becomes to what level in FY '28, which is when you look for...

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Praveen Jaipuriar: We are in the range of 78%, so that will around 80%, 82%, 85% maybe.

Moderator: The next question is from the line of Yogansh from Mittal Analytics.

Yogansh: Congratulations on a good set of numbers. Sir, most of the questions have been answered. Just one follow-up on your branded B2C business. So like it has been scaling really well. Last quarter, you mentioned about an EBITDA positive. So going forward, what is your expectation? Can we expect the EBITDA to increase? Or would you like to still maintain it and pull back the money to grow the business further?

Praveen Jaipuriar: Yes. So we'll keep maintaining the same percentage level, which means that a large portion of it will be pulled back. As I was mentioning that we are looking at new regions, new categories. So we'll try to kind of develop that also. So it will be in an investment mode in the next 3-4 years.

Yogansh: Got it. And sir, broadly, can you also quantify what was the proportion of small packs in our overall business?

Praveen Jaipuriar: So largely, it is around 20% or so. It used to be -- and I'm talking about broad this thing because on a very small quarterly basis becomes difficult to assess. But largely, it is in that zone. If you remember, 2-3 quarters or, let's say, last year, we were talking about a number around 15% or so. So it has increased and that has also helped us improve our profitability.

And going forward, we are also -- and we have -- last time we had spoken that we are trying to see if we could go up the value chain as much as possible for a lot of more of our clients. So that endeavor will continue. And we'll try and see if we can improve upon this going forward.

Yogansh: Fair enough, sir. And just last one, if I can squeeze in. The new markets that you want to enter for your branded business, by when can we expect that? And what kind of scale should we think about those businesses?

Praveen Jaipuriar: So this one is a little tough to answer, bu

t just to give you a little color that where -- what are we

trying. So of course, there is one market, which is the U.S. market, which we are actively evaluating that whatever the ways and means to enter that market. Vietnam is one more market which we are evaluating that because we have our setup there. So it makes a lot of sense to see if we can build something there.

Now what is the scale that we want to build, that's a little tough to answer. But if I were to say U.K., let's say, it's already a INR30 crores, INR25 crores, INR30 crores kind of revenue, we probably are looking to kind of get to INR100 crores within 2 years or 3 years or so. So that's the kind of scaling up we will try and do there. As far as the other markets like U.S. and Vietnam, it's a little premature to comment on this kind of scaling because let us seed them first and see what is the kind of traction we are getting.

I'm sure there are certain markets where we will go wrong as well. So it's not everywhere or everything that we do will be bang on. So a lot will evolve and closer to our evolution and our understanding that what is going right, what is not going right, we probably will be able to give

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you a sense of scale. But whatever I can, I've given you a scale that how we are looking to build up some of these markets.

Moderator: The next question is from the line of Kenneth Mendonca from TCG AMC.

Kenneth Mendonca: I just wanted some color about for our B2C business about how the non-South growth has been? And secondly, while you have mentioned briefly about reinvesting profit generally, what is the medium-term profitability trend for the business?

Praveen Jaipurkar: The B2C business?

Kenneth Mendonca: Yes.

Praveen Jaipurkar: So of course, the non-South business is growing at a faster pace now. Yes, the bases are still very, very small, but we are putting a lot more effort into these markets to make sure that we build a sizable base here as well. As we speak, our market shares are also seeing positive movements in some of the key cities like Delhi, Bombay. So probably our efforts are also bearing fruits in these markets. So we are actively seeking to grow at a much higher clip in these markets than the South markets. So that is there.

As far as the profitability, I already mentioned that we probably are at around 4%, 5% EBITDA level. We'll keep the EBITDA levels there so that all the additional profits are plowed back into building the brand and growing the business. So that will be our model. So next 2-3 years, I don't think so we will look to. So we'll keep the EBITDA levels at the same percentage level.

Kenneth Mendonca: Sure, sir. And my last question is just given that you mentioned that we are seeing heightened costs due to freight insurance and given that largely we are an export business. Do we expect any sort of impact on margins despite the guidance you've given?

Praveen Jaipurkar: So of course, last quarter, there was a bit of an impact, a little impact that we saw. But what I see as we speak, I'm seeing much more stability and hopefully, we'll keep our fingers crossed that things only improve from here.

So we don't see much of -- because since 100% of our business is on cost plus and 70% is on FOB, a lot of our -- these kind of fluctuations we are insulated against. So therefore, there won't be much of an impact. But I'm hoping and we all are that the situation improves from here. So we don't see much of an impact on the guidance that we have given.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Mr. Praveen Jaipurkar for closing comments. Thank you, and over to you.

Praveen Jaipurkar: So thank you, everyone, for joining the call. I appreciate Ashika Institutional Securities for holding this call, and we'll all meet in the next quarter.

Thank you, everyone.

Moderator: Thank you, members of the management. On behalf of Ashika Institutional Equities, that concludes this conference. We thank you for joining us, and you may now disconnect your lines.

Thank you.